Anup Engineering (ANUP)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

"The Anup Engineering Q4 FY-23 Earnings
Conference Call"

May 17, 2023

MANAGEMENT : MR. PUNIT LALBHAI – VICE CHAIRMAN AND
DIRECTOR THE ANUP ENGINEERING LIMITED
MR. REGINALDO DSOUZA – CEO, THE ANUP
ENGINEERING LIMITED
MR. NILESH HIRAPARA – CFO, THE ANUP
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Moderator : Ladies and gentlemen , good day and welcome to Q 4 and year ended FY23 Earnings Conference Call of The An up Engineering Limited.

As a reminder all participant lines w ill be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing ' *' then '0' on your touchtone phone.

Please note that this conference is being recorded.

Before we proceed to the call , let me remind you that the discussion may contain certain forward -looking statements that may involve known and unknown risk s, uncertainties and other factors.

It must be viewed in conjunction with our business risk that could cause actual results , performance or achievements to differ significantly from what has been expressed or implied in such forward -looking statements.

Pleas e note that the Company has uploaded the " Results , Press Release, Investor Presentation " and also the outcome of the board meeting on the website of stock exchanges and website of the Company .

I now hand the conference over to Mr. P unit Lalb hai. Thank you and over to you sir.

Punit Lalbhai: Very good afternoon to everyone on the call. It's a great pleasure to interact with you all today.

We've seen a very uncertain and difficult year due to the global geopolitical situation. In that I am very happy to say that the team at Anup has come out with a good performance.

To take you through the details of the year and the quarter , I now invite our CEO – Mr. Reginaldo Dsouza to give his presentation and then w e'll all jointly take the calls. Thank you.

Reginaldo Dsouza: Thank you so much Punit bhai. Hello everyone. Greetings from t eam Anu p. It's wonderful to be with you all again as we close the year FY23 and embark on our growth journey. We are truly grateful to all of you for your support , your confidence in our business and being with us as we take this growth journey.

The year FY23 has surely been a challenging year with geopolitical uncertainties , supply disruptions , volatility in raw material prices , impa cting even the logistics side with challenges on shipping availability and cost. But w ith a strong res olve of our spirited team at Anup and our partners we were able to sail through and end the year on a decent note.

Talking now on the market side; the st ory has been favorable with many projects kicking in and also order release from our customers being concluded. We booked around (+ 500) crore s new orders in the year FY23. This has ensured a healthy opening balance of around (+ 500) crore s as

we began the y ear FY24. This favorable trend has continued helping us book over 150 crores already in this year till date. Of course, most of them executable in the year FY25.
Now talking about our performance in Q uarter 4:

We achieved a revenue of 144.2 crores against 100 crore s quarter -on quarter of last year. That's about 44% improvement over last year with an EBITDA of 30.2 crores against 23.8 crores quarter -on-quarter that's about 26.8% improvement . For the year ended March , 2023 if you look at the whole year FY23 , the revenue stood at 411.3 crores against 288.2 crores in the year FY2 2. That means it's a growth of about 42.7% to be precise with an EBITDA of 82.7 crores that's 20.1% against 70 crores in FY22 at 24.3% . That's a change of about 18.2%. PBT is at 70 cror es that's 17% against 61.1 crores last year, that's 21.2%. That means it's a change of about 14 .5%. The PAT is at 51.4 crores at 12.5% against 62.1 crores that's 21.5% , a drop of about 17%. But that's mainly due to the tax reversal that we had in the last quarter of FY2 2 of about 15.5 crores. If you take a net off of the tax reversal our P AT for th

is year stands at 51.43 crores against 46.49
crores last year. We have made some improvements even on the P AT net-off the tax reversal .
The working capital has im proved from 155 days to about 148 days and also, we have maintained our position of almost being debt free even with our new investment in the Indian facility at Kheda.
Our exports revenue stands at 19% which I did mention on the call last time that this i s a very important factor for our business. It stands at 19% for FY2 3 and on the product portfolio side heat exchanger still remains dominant at about 74%. We are almost there year -on-year on heat exchanger component being around that 74% -75% mark. This was the performance of FY2 3.
Now how do we see ourselves in FY2 4:
As I mentioned with a very healthy order book of about 530 crores opening , we expect to continue our growth of 25% to 30% with an annualized EBITDA of around 22%. Our export is expected to grow to 30% of our sales revenue. This is what I said earlier last year it was 19%. We expect it to grow to about 30% in this financial year. That is FY2 4. What's important for us , we will continue to focus on consistent quarter -on-quarter performance. I'm sure you would have seen our last three quarters, which were all (+ 100) crore and we as a team wish to continue and ensure this consistency going forward.
On the capacity front :
I am happy to share that our new facility at K heda is now ready with the trial production on. We are placed very well on that front which we've been discussing over the last couple of calls. This new Kheda facility which is about 40 km from our existing facility in O dhav will surely help us boost our revenue in Q uarter 3 and Quarter 4 with the first dispatch from that plant expected in August , 2023.
I'm also happy to share a dividend of 150%. That's Rs . 15 per share which translates to about 29% of PAT . I'm sure this clearly demonstrates our confidence in the busines s, its growth journey and what the future holds for us. With this I end my small briefing. Thank you once again for being strong supporters in our growth journey and for giving us your valuable time

today and a patient hearing. Thank you once again and we will be happy to take your questions if any.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of T ushar Raghatate from Kamaya kya Wealth Management.
Tushar Raghatate: I just want to understand the revenue potential of the K heda facility going forward and also the incremental bay which we can add every phase we come going forward. That is my first question.
Punit Lalbhai: Regie I think you are best placed to answer the potential of th e CAPEX that we have done plus how we are looking at the future.
Reginaldo Dsouza: That's correct. As we discussed over the last call , in Kheda in the first phase we have this 1.5 bay literally which we have built and which is operational now , ready to ki ck start commercial production. In the first year we are expecting revenue of about 60 crores coming from that plant. Of course, that's the first year , so w e need some time to stabilize and that's the reason there are
60 crores for this year . Going forward from next year on when we have the full complement of 12 months at our disposal and the plant completely stabilized , we can look at a turnover of (+ 160) crore s. Of course , that all depends will all depend on the product portfolio that we are able to get from the market. But a t a broader level I would say 150 to 200 crores is what we can look at here.
Tushar Raghatate: And the guidance which we gave of 25% to 30% CAGR for next 2-3 years , what would be the

margin for those? In the past you have mentioned the long -term guidance of 1, 000 crores till FY27, so do we hold that?
Reginaldo Dsouza: Yes, we very mu

ch hold that. Even at this 25% to 30% growth if you work up the arithm etic it would come to that. So , we hold on to that. On the margin side , we are looking at as we grow — obviously as I explained last time over as we grow— we will have to move to a little more complex and higher metallurgy product where we are expecting to maintain a margi n of (+ 22%).
Tushar Raghatate: One last question. This IOCL is expanding their capacity from 3.2 billion metric tons to 6.8 billion metric tons in the next 3 to 5 years. They also came up with the Petchem facility of 61 ,000 crores in Odisha . I just want to understand how the bid pipeline is looking and what would be our conversion from that bi d pipeline in the percentage terms .
Reginaldo Dsouza: So, you're right in whatever you mentioned about these projects. In addition to that there are many projects whi ch are kicking on. On the market side we see a very good traction. We are good on that . Overall , on the inquiry side , the conversion side we are at about between 15% to 20% conversion. That's more to do with our choices that we make. Of course , it can be h igher if we have to make a choice but considering our growth aspirations and along with the profitability that we desire, the conversion is about 15% to 20%.
Moderator: The next question is from the line of Naysar Par ikh from Native Capital.

Naysar Parikh: My first question is on , can you give some sense of the sector split , end industry split for your business currently and the new order s pipeline etc., which are the sectors that you are seeing more traction in?
Reginaldo Dsouza: On the sectors oil and gas and petrochemicals has always been dominant for us. Even in this order book that you look at , you'll see a dominant portion coming from oil and gas and Petchem . But h aving said that chemical industry is also growing and lends a lot of growth for us. So that's about 11% right now. But o f course , dominantly it is oil and gas and petrochemicals .
Naysar Parikh: In terms of competition , bunch of people are obviously growing or aggressively increasing capacity in your space as well , including people larger players like Tata P rojects and all of that. Are you seeing increased competition and pricing pressure on your products in the market?
Reginaldo Dsouza: So, let me just make a small clarification there. Tata Project is generally ou r customer. They are the EPC companies , so they are our customers. Of course , as you rightly said the capacities are growing but in the same breadth the CAPEX cycle is on the positive side today . So based on our analytics we are very confident of the share of growth that we need in the market.
Naysar Parikh: Last question on the margins , you obviously mentioned 22% . In this quarter also it was a bit subdued but if we look at your order book that you have 530 crores and assuming the current price as they ar e, how do you see the margins on that for the next year or how should we think of that and is there any scope for improvement over there?
Reginaldo Dsouza: In this current year that we speak about , FY24 we see EBITDA levels at about 22% as I mentioned because we completely have the order booking on our hands today. We very clearly have a handle of the numbers . Going forward as I mentioned our growth aspirations are there in the line of 25% to 30% year -on-year with an EBITDA margin of (+ 22%). That's going t o be our guiding principle going forward.
Naysar Parikh: Just maybe the last thing is on your working capital cycle . It's obviously elongated. Is t here anything that we can do to bring it down, a re we doing anything to bring it down?
Reginaldo Dsouza: So, you rightly said it's a long gestation project. Also , our cycle terms vary anywhere between 10 months to about now as we move up the ladder in terms of product complexities . It

would go
even up to 14 months. What we are focusing internally is just to giv e one picture of what we are doing is , focus on consistent quarter -on-quarter performance. I'm sure you would have seen the last three quarters that we had was all (+ 100) crores which historically you would have seen a spike. That's where the focus is , so that we get our collections on time , we get our monies back on time and improve our working capital. That's the predominant focus that we have considering that we have long cycle projects on hand.
Moderator: Next question is from the line of Sak et Kapoor from Kapoor and Co.

Saket Kapoor: When we look at your order book currently at 530 crore s, does the impact of the higher raw material prices and the lower margin profile is now totally executed? Now we are back to the old regime of this 2 0% to 22% margin that we would be expecting going ahead ?
Reginaldo Dsouza: Yes, if you recall our words in the last call, we wanted to close all the executions of the past

which had this high material cost impact because of which we had projected lower EBITDA last year. But there was some realignment of some of the projects where the deliveries were little postponed from the customer's end or we realigned it. With that some execution is still pending in Q1 and a little early in the Q 2. But largely to answer your question ye s, the challenge that we had of the past in terms of raw material price currently is out of our way. It's only whatever is on our plates we are executing , all the new orders that , so y ou will see a very healthy EBITDA level (+22%) in Q3 and Q 4. At overall annualized level we will be surely (+ 22) and plus.
Saket Kapoor: You are referring to Q uarter 1 and Quarter 2 will have some impact. You are articulating to have some impact on the Q 1 and Q 2 numbers on the margin front and Q 3-Q4 will have the hig her margin profile.
Reginaldo Dsouza: Yes. At EBITDA levels in Q 1 and Q 2 you'll see around (+ 20) number because we will complete all the executions which were pending of last year and Q 3 and Q 4 you would see at a much higher level. On annualized basis you will see (+ 22%).
Saket Kapoor: When we look at this capital work in progress the figure is now at 87 crore s. So, what should we be capitalizing it once Kheda is commissioned ? W hat portion of this 87 crore s will get capitalized?
Reginaldo Dsouza: We woul d be capitalizing the complete 87 crores.
Saket Kapoor: This will be for the first quarter itself. I missed your deadline , when will K heda get commissioned?
Reginaldo Dsouza: Yes, in Quarter 1.
Saket Kapoor: What would be the depreciation impact for the nine months for the entire year?
Reginaldo Dsouza: Around roughly 4.2 crore s.
Saket Kapoor: Coming to the profile for our order booking , you spoke about 30% of the total order book to be executed towards the export segment and the order book itself stands now at the same mix. Earlier also in our last c onversation , you did spoke about garnering more orders from other geographies. If you could give us some more color , how the pipeline is there in terms of the export market and what are we eyeing in terms of improving our order booking going ahead in terms of the export?
Reginaldo Dsouza: Oof the 530 crores opening balance that we have, this year that is financial year FY24, we should be about 30% on the export side. So, f rom 19% in FY23 we move up to about 30% export. I

recollect on the last call we did say that we have a plan to go up to 40% in 3 years horizon but we should look at 40% by FY 2 on export side . Overall , on the market side export the traction is we are feeling right now is very good. In fact , the last couple of months the order booking that has been there has mostly come from export. I would s

ay about 25% to 80% has come from export s which was a focused one. Of course , we targeted those and we could win them . So, all in all on the market side th e scene looks pretty good. On the CAPEX cycle we have been successful in the export orders and we wish to take this export portion from 30% to 40% by FY25.
Saket Kapoor: One small clarification said this 530 crores is executable over the 12 months and t he 150 crores order intake takes our c losing order book as on 17th May or even date to what figure ?
Reginaldo Dsouza: This 530, I would not say 100% executable give and take here and some which are greater than 12 months and 13 months of execution would move some in that , this (+150) crore s that we have booked in this year , some of them would be executed . Overall , it would give a bunch of sales order that would give us a 30% growth for this year.
Saket Kapoor: 30% growth on revenue terms?
Reginaldo Dsouza: That's correct.
Saket Kapoor: We are eyi ng to close this year on a top line growth of 30% on what we posted for FY2 3 with an EBITDA margin in the vicinity of 20% to 22%.
Reginaldo Dsouza: That's correct. So , I reclarify ; we stand with our growth aspirations of 25% to 30% year -on-year. 30% looks very strong for this year with a (+ 22%) EBITDA.
Saket Kapoor: Can you give me the closing order book number as on date ?
Reginaldo Dsouza: We opened the year at 530. We booked about close to about 150. So that's about 680 crores.
Saket Kapoor: There will be execution as of now. That would be the normal course of business , right?
Reginaldo Dsouza: That's correct. So, balance I would say on a round of figure (+ 150) crore s would be already for FY25. So , in sh ort, the order bookings that we are doing now going forward is for not this year but financial year ‘25.
Saket Kapoor: Thanks to the board for increasing the dividend payout. This gives a clear indication on sharing the cash with the investors. Thank you and I will join the queue .
Moderator: Next question is from the line of Abhishe k Agarwal f rom Naredi I nvestments.
Abhishek Agarwal: My first question , how many orders are you expecting in FY2 4? Out of that how many orders are for K heda plan t? That's my f irst question. Second question when will we start doing C APEX

in a K heda phase 2 a d how much will be the C APEX ? Will we take any loan or raise equity for CAPEX ?
Punit Lalbhai: So, let me try and answer that. I think as Regie has just mentioned that we want to target the 25% to 30% growth year -on-year. So , the arithmetic is simple. If you are at 530 and you add on 30%, you have to book that much or more orders in this year. I think the way the year has started ; the team is pretty confident in doing that . As far as K heda is concerned since we are just starting out. The real dispatches will be only in Q 3 and Q 4 this year to which Regie has already answered that we are probably going to have about 60 crore s kind of turnover from K heda. But t he investment that has already been done should take us anywhere between 150 to 200 at a good capacity utilization. I suppose we can anticipate kicking off an investment for the next phase sometime du ring the next financial year so that we are ready wit h and that would be 8, 200 crore s kind of CAPEX that will ready the next 150 crore s kind of turnover that we can expect from ….as that stabilizes and goes towards utilization. So that's a brief idea of how we are planning to invest .
Abhishek Agarwal: In phase 2 80 crores of CAPEX will be done from internal a ccrual ?
Punit Lalbhai: Yes, more or less. I mean that is the plan. If this 30% growth and profitability expectations are met then we should be on track. But w e'll have to of course based on the detailed cash flow working we'll have to probably decide closer to date as to whether everything is matching

up. There are no timeline mismatches etc. So very hard to confirm that. As far as possible we will try an d keep it that way.
Abhishek Agarwal: How much the CAPEX was also done in FY23 and how much will be CAPEX in FY24?
Punit Lalbhai: Regie we have those numbers on hand?
Reginaldo Dsouza: In FY23 we have done 47 crores , sorry 75 crores.
Abhishek Agarwal: For FY24 what is plan for CAPEX ?
Reginaldo Dsouza: 47. If you remember we had articulated that it will be roughly about 120 crores of total CAPEX for K heda. So that's the breakup. 47 which I stated wrongly earlier it was for FY2 4 and (+ 70) was for FY2 3.
Moderator: Next question is from Soniya Varnekar from Dalal & Broacha.
Soniya Varnekar: I just want to understand, I just want to have some details on other expenses. If we look on quarter -on-quarter basis , the other expenses has increased from 164 crores to 286 crores , sorry on YOY basis . Even in last quarter on YOY basis there was sharp jump. Can you share some details on this and why it has increased so much?
Reginaldo Dsouza: Yes, we got a question. If you look at on the other expenses , if you look at the product portfolio that we have executed most of the projects that were executed were Helix changer and exchanger

which is a licensed product from Lummus Heat Transfer. For these kind of licensed products where we have a licensee agreement we need to pay off some royalties. These are royalty payments which normally kicks in once we execute this particular order.
Soniya Varnekar: Is this expected to continue in coming quarters or it's one -off kind of a thing?
Reginaldo Dsouza: No, this w ill continue based on the product portfolio. If the product mix contains a lot of Helix changer and exchangers then it would have these royalties built in.
Soniya Varnekar: Basis our current order book , do we have such kind of products in the overall orde rs?
Reginaldo Dsouza: We do have but n ot at the levels that we had in FY2 3. FY23 was really more loaded onto the license equipment but in FY2 4 we do not see that kind of a loading on royalty.
Punit Lalbhai: I think this is already factored into the cost s heet. It's only the allocation of expense that goes under a different head. But it will be part of the 22% margin going forward as well.
Reginaldo Dsouza: These do not impact our margins these are factored in our costing when we work out.
Moderator: Next question is from line of Ap urva from Philli pCapital .
Apurva: The first thing , it's more of like a clarification. As we are moving from domestic to export and maybe 30% this year and 40% next year and similarly for the product diversification from heat exchanger heavy Company to maybe wide variety of products including tower etc. So would that have any impact on margins because is that so that the domestic product margin is higher than or lower than the exports and similar for the other product cate gories?
Reginaldo Dsouza: I would not say really Apurva, what happens is moment we move to exports the chances of winnability increases because the competition level drops down , in a sense the number of competitions , that's one. Of course , on the far side sometimes we tend to benefit. Overall , on the profit sheer numbers perspective at the costing level you may not see that kind of a huge difference.
Apurva: I was coming to the hedging part only so what would be our hedging policy? Would it be open

or woul d it be par tial hedging because if you move from 30% to 40% and if I remember clearly,
we have a fixed price contract. Despite this fixed price contract if FOREX fluctuation adds up
then probably that could open up a more risk area. How would you see that as a risk or as a potential to benefit from the higher export?
Reginaldo Dsouza: I understand your question. What we are doing today is since we ar

e evolving on the export side
and moving up in terms of the percentages , currently what we are doing is we are protecting
ourselves at being conservative at the costing level right now. But a s we move up now , we are
going to have a case-to -case basis hedging principles moving forward. We worked that out
internally and we would protect ourselves with the timely intervention.

Apurva: Just last one question on the proprietary products. So, what is your thought process ? How many
proprietary products we may expect over the next 2 to 3 years which can elevate the Company
from a curr ent level to the next level because we are very ambitious on that segment as well ?
Can you throw some thought process for proprietary products?
Reginaldo Dsouza: So, Apurva, it will be hard for me to exactly name which are those products which we will finally
be able to succeed. But I can tell you that there are 3 or 4 products which we are in discussions
currently to help us move up the value chain in terms of product portfolio. Surely , we should get
a handle of couple of them. But w e'll wait for it becau se it does not depend on ly on us. It also
depends on the other side of the license r to provide us for those proprietary items based on our
past record . I can tell you today Anup E ngineering enjoys a very good repute in terms of on time
delivery performance and quality. So, this should be sooner than later.
Apurva: Out of that any would be exclusive or like Helix there are other licenses and licensee s as well.
Are we looking for any exclusive tie up with g lobal technology giant?
Reginaldo Dsouza: Our intention would be to have exclusive s but finally as I said it will depend on the license r. We
would prefer an exclusive license like what we have for EMBaffle Technology. It is from
Brembana & Rolle, Italian Company where we have the licensee agreement which is completely
exclusive. That's the kind of contract we would prefer but we will take it as per the licensers
recommendation because if the pie is large like what Alexis , we would not mind taking that up.
Modera tor: Next question is from J aydeep f rom Amber Capital.
Jaydeep Shekavat: I just want to understand when I look at your historical growth trend, it has been roughly a 5%
top line CAGR from 19 to 22. Want to understand what has really driven this (+ 40%) growth
during ‘23 and why do you think that the current order growth momentum that we are seeing is
sustainable and why has the oil and gas sector contributed a lot to that? Your thoughts there .
Reginaldo Dsouza: Obviously the most important factor for this g rowth has been the market , market the CAPEX
cycle allows us to get this kind of order intake. The second portion is the capacity that we built
up, so with the expansion of K heda now it throws up a capacity for us to add up to our Odhav
current facility. Also , third internally you would have seen the execution capabilities that we
have brought about in terms of consistency. Market tailwind, the capacity additions that we've
done and execution excellence that we have brought about internally to bring about quarter -on-
quarter performance which smoothens up the execution in terms of the final turnover.
Jaydeep Shekavat: Just more nuanced on that. I mean what has really changed over the last year that there has been
so much demand in the market for your products , be it exchanger , be it reactors , vessels and
everything else that you sell ?
Reginaldo Dsouza: If you see the CAPEX cycle, currently it's like projects are announced all across like what the
earlier gentleman said. If you heard even the Indian government , why the domestic market is
picking up , even if you listen to the Indian government, we just announced a couple of months

back that we want to doubl

e our refining capacity by 2030. Now that brings about a lot of
investment from public sector units like I OCL, BPCL and H PCL in bringing about more refining
capacity. That's where you see these projects coming up. On the other side , chemicals how things
have changed after the pandemic and all of those has been the growth story. That is the reason
why petrochemic als and specialty chemicals are picking up. The demand on the product side is
what's fueling this CAPEX . As per me personally if you ask me, even after the pandemic and
the geopolitical scene around every country want to be now self -sufficient and avoid im porting
these items. That's the reason if you see every country would try about putting up more projects
to be self -sufficient for these kinds of resources.
Punit Lalbhai: I would also add that the last few years are not representative of normal market conditions. I

think the whole COVID pandemic disrupted the order flow significantly for quite a while and in addition to the K heda CAPEX we've dramatically added capacity both in terms of area under the crane and also what we can do under the crane, in ter ms of higher metallurgies , higher thicknesses , higher weights even in our old Odhav facility ; over the last 2 years we've done a lot of changes to be able to get a much better product mix. So, the revenue per square meter , the capability to do higher on that has gone up as well. There has been a lot of change both on capacity , market and plus the last factor that Regie mentioned is probably the most important , very good execution to where better and better customers are trusting us with their orders and so we are seeing different quality of conversations going forward. I think all of these things give a lot of confidence that this is a new trajectory that we are charting and with the kind of CAPEX cycles already announced , we see a good demand for at least t he 2 to 3 years going forward. There's no reason to believe why this should not continue.

Participant: My last question was in terms of the competition on the export s market ? Who would you really be looking to replace?

Reginaldo Dsouza: If you look at Indi an context, we would be amongst the Top 4 in terms of making these complex equipment s, static equipment s for oil& gas . It would be the competition among these four and the competitiveness that we hold , augurs well for us to have a higher win rate as compar ed to our competition.

Punit Lalbhai: I would like to also add that it's not all about taking a share of the pie. I think the overall pie is growing at a healthy rate. I think we are extracting more oil now than even pre-COVID. That's one data point I had, correct me if I'm wrong Regie. The demand overall in the petrochemical and refining space is likely to be strong globally. Plus, our emergence in a relative competitive landscape in India is we are well positioned both on cost and track record especially in the last 3 to 4 years. Plus, I think India in its global position is enjoying an advantage both geopolitically and also from sort of a competitiveness perspective. I think all those things are in favor for us to be well positioned in exports as we ll.

Moderator : Next question is from the line of Rohit Bahirwani from Vijit Global Securities P rivate Limited.

Rohit Bahirwani: If you look at annual report for FY22 it shows Company has contingent liability of Rs. 175 crores in the form of bank guarantee s. Are they in the form of performance -based guarantees or financial bank guarantees? And can we see these coming down in future?

Reginaldo Dsouza: So, these are the bank guarantees that we need to give in two parts. One is against advances which we call as ABGs and the other is we generally have to give 5% to 10% performance back guarantees which remain for the valid warranty period . So more so it

is going to be in line with this and as we grow on our top line , it may go proportionately higher than at the current level.

Rohit Bahirwani: At what number are you seeing this to go further up?

Reginaldo Dsouza: It would be hard for us to predict the exact number. I'll tell you why because this would all depend on the advances that we get against a particular or der. Some orders would have an advance of 20% where we will have to give an AB G of only 20% , some may have 50%. It is in proportion to the advances that we take on the order. PBG is more so it will be 5% to 10% around that range, that do not change much.

Rohit Bahirwani: 5% to 10% of top line , you are seeing ?

Reginaldo Dsouza: The post PBG is the performance bank guarantees that we talk about is generally 5% to 10% of the pure value.

Punit Lalbhai: Yes, so you are right top line.

Moderator : Next question is from the line of Naysar Parikh from Native Capital Inc.

Naysar Parikh: On the vessels and the reactors’ part you have which is expect to be 35%. One is , what are the margins on that versus your heat exchanger ? Secondly , you did mention briefl y but what kind of other products are you looking at? If you can give some idea that would be helpful.

Reginaldo Dsouza: So, could you please repeat the second question since I couldn't get the second part of it?

Naysar Parikh: My second question was that what other kind of products are you looking at which you briefly alluded to an earlier question besides these two new segments which are expected to grow in the next year ?

Reginaldo Dsouza: Yes, I get that . So, on the vessel side the first question that y ou asked on the margin side , it will not vary of course , it all depends on the way the negotiations are. B ut by and large I would put the numbers for heat exchangers and vessels to be at the same level and that's where our EBITDA of (+3 2%) would come in. On the products what we intend and our focus is to move up the value chain in terms of metallurgy. Say for example today if we are having a carbon steel predominant portion of it, we would want to move to exotic material because that gives us a larger turnover for the same space and the contributions that we make. It's more about moving up the value chain in terms of the metallurgy. The second part is in terms of the complexity , that is what we

spoke about moving into proprietary items which would obviously come with a little better margin but more importantly with a lesser competition.
Naysar Parikh: What would be some of these products which can give you better metallurgy and higher complexity?
Reginaldo Dsouza: So, for example a vessel we are making today of carbon steel we would get a particular rupees per kg of it. We would want to move it to say for example duplex or stainless -steel material. Obviously for the same amount of value addition that you do, you get larger returns in terms of your top line an d in terms of complexity , of course moving more and more to the licensed equipment , more into the ammonia and the urea basket.
Naysar Parikh: And in terms of the competition that you mentioned; can you just broadly name them and also how would they rank in terms of market share maybe in India or exports in your view?
Reginaldo Dsouza: Largely it would be hard for us because these are products which are custom made. There would be vendor list which our EPCs or end customers or the license r would project fro m various parts of the globe. The se competition s would be around the globe and who all are playing in this field and in the Indian market. So, all of them would be there in the Top 4 and plus there would be the players in the international market which are approved in the vendor list for a customer. It would be hard for us to pinpoint a name on the government project .
Naysar Parikh: The exports a

re mainly to which countries?
Reginaldo Ds ouza: Largely as Anup today we are focused on US market. That's something which is working well for us and also as you know Middle East is a hotbed for oil & gas. These are the two markets which are focused at .
Moderator : Next follow up question is from t he line of Saket Kapoor from Kapoor & Company .
Saket Kapoor: When you mentioned that the contribution from K heda would be 60 crores for this financial year, that takes into account our top line guidance also? This 30% growth is including the 60 crores from Kheda or excluding the sa me?
Reginaldo Dsouza: Yes, this is including Kheda.
Saket Kapoor: So, 15% would be coming from K heda itself ? Out of the total top growth 15% will be from the new facility ?
Reginaldo Dsouza: If you do the economics …
Saket Kapoor: I will work it out.
Reginaldo Dsouza: You are right.

Saket Kapoor: When we look at the balance sheet part, we find our borrowing for non-current liability at 30 crores and for current liability at 4 crores . If you could explain to us what resulte d in these two borrowings going up?
Nilesh Hirapara : For K heda expansion we have drawn out around 34 crore s as the loan. Out of that 4 crores installment would be due during this year and rest would be in the rest of installment. Those amount which will be due in the next financial year that is FY24 has been shown as the current borrowing liability and the rest against non -current borrowing liability. Just to add one line , at the end of a year as on 31
st March we have been almost net debt free that is like negative balance of 1.34 so cash balance plus debt is roughly negative 1.34 crores .
Saket Kapoor: What is the cost of fund?
Nilesh Hirapara: 8.5% and also, we are expecting a certain percent interest redemption subsidy from Gujarat industrial policy. Th at would be roughly a redemption of around 7% interest from the government which would be equal to the 1% of CAPEX cost . That will bring down our CAPEX loan cost .
Saket Kapoor: If you could explain it once again , the loan incentives ?
Nilesh Hirapara: The loan is 6.5% and we'll get interest subsidy from the Gujarat government which would be nearly 7% interest cost. But in total it would be 1% of a CAPEX cost. In total we'll get a reimbursement of around 1.2 to 1.25 crore s as interest.
Saket Kapoor: What does the policy entail it gives us a n interest subsidy of 7% on the basically entail the visibility of the subsidy part from the government?
Nilesh Hirapara: So, government is financing 7% CAPEX loan. The total subsidy would be the 1% of CAPEX. Suppose we are closing Kheda CAPEX at 120 crores , we'll receive 1.2 crores as a CAPEX subsidy.
Saket Kapoor: 1.2 crores only, 1% of this ?
Nilesh Hirapara: Yes, that’s correct.
Moderator : Next question is from the line of Tushar Raghatate from Kamayakya Wealth Manage ment

Private Limited.
Tushar Raghatate: I understand competition like Godrej & Boyce, L&T and Patel Eng , so I just want ed to understand what differen t we do in A nup compared to those guys and I understand the pie itself is increasing so what make us help to get such a high export target like from near to 18% 19% we are targeting to 40%. I just want to understand your thought on that ?
Reginaldo Dsouza: Tushar if you look at the product portfolio that we deal with , most of these are customi zed product static equipments that we make and here the past track record in terms of our on time

delivery performance and quality plays a very important role. So yes, the pie is definitely better based on the CAPEX cycle today. But for us to be having tha t growth path and with a decent margin profile , we have to hit the right product and win the right order. That's wh

ere the
credibility in terms of your past performance and a good repute with customers will play. I think that's where Anup comes at the top in terms of having a good track record and relationship with the customer s especially in terms of on time delivery performance.
Punit Lalbhai: I think also there's an element of the past being a capacity constraint environment where we didn't have to look very far beyond domestic orders that were of very high quality. Now with more capacity , with enhanced capability , we can also pick up very discerning orders from very discerning clients abroad. I think the effort to gain more export volumes has been ratchet ed up for the last year or so and that is now paying dividends. The growth and the capacity expansion and capability expansion has also led to this directionality of higher exports.
Reginaldo Dsouza: And also, to add to what Puni t bai said with K heda faci lity now at our disposal , it's bang on the highway. It opens up now a larger product basket for us. Say earlier in O dhav we had a limitation in terms of the height of the equipment that we could move out mainly because it is landlocked because of all the f lyovers and being in the city. Now this new facility has opened up that channel for us where we could move equipment s even up to a diameter of 7 -7.5 meters. This opens up a larger basket for us and that's what customers desire. They don't want us to pick a nd choose product , they would want that we actually address the whole inquiry basket for them. So earlier there were cases where we had to say no to a customer because we did not have this facility and we couldn't move out from our Odhav facility whereas now it opens up the gate for us to accept whatever inquiries that customer can give in. This all put together puts us in a very strong position in terms of export market.
Tushar Raghatate: From the green hydrogen opportunity do you manufacture any product catering to green hydrogen and what sort of a growth you are seeing on that?
Reginaldo Dsouza: So green hydrogen we all know it's the next energy mix that we all are going to move. Of course, there are some challenges right now but sooner than later it wi ll be addressed but a direct answer to your question Tushar is on the generation side , we don't play a role because green hydrogen is basically electrolysis and other part where we don't have a role. But once the hydrogen is separated out from water that's where our role comes in , in terms of storage and transportation of hydrogen and to clarify we are already into that business today. We are already making these equipments for some of the customers as and when the opportunity arises. So, a short answer yes, we are not on the generation side. We are on the transportation and transmission side and on that side, we are already there into this business.
Moderator : Next question is from the line of Akshay Kot hari from Envision Capital Services Private Limited .
Akshay Kothari: Just wanted to know the exotic metallurgy part which we are going to do, what actually drives the demand for this sort of material and in which industry does it get used to?

Reginaldo Dsouza: Generally, these exotic materials you would find more and more usage in specialty chemicals and that's the sector as you know which is booming right now. So that is bringing about the change and if you remember probably if you heard earlier calls , we used to talk about this clean room. Now this clean room is exactly meant for these kinds of equipment s. We have prepared ourselves for this kind of order intake and now with this capacity that have we built in which we have commissioned about 4 to 5 months back in Odhav we are now going to customers seeking orders for this clean room.
Akshay Kothari: Currently do we have any orders for this sort of material?
Reginaldo Dso

uza: At the moment no , we are not executing but we have a handful of e nquiries whe re we are quoting and trying to bid .

Punit Lalbhai: Regie we do have a lot of exotic material inquiries. Perhaps not clean room great but exotic metals is a big -big basket, right?
Reginaldo Dsouza: Yes, in terms of Inconel and others but I think the main question if I understand correctly, it was on the titanium side probably because of the clean room. That's the reason I was trying to answer that. On the titanium side we don't have an order right now , we are not executing. We are having inquiries which we are targeting to receive but from the other higher metallurgy basket like Duplex , Inconel we are already making and we have a handful of them right now under execution.
Akshay Kothari: You did mention that we are trying to double the refining capacity by 2030. What sort of opportunity does lie ahead of us in terms of heat exchangers , vessels and the products we deal in. If you can just give some metric there is a CAPEX of around 1 ,000 crores happening. Out of that how much pie would come to us in the market as in , what sort of opportunit y is there?
Reginaldo Dsouza: What I said was India which has articulated this vision a number of times that we want to double our refining capacity. It will see a lot of refineries coming up. You would have heard in the news even the Ratnagiri one of the largest refining project that is being talked about. That's also now on the discussion, these kind of refining projects would come . In terms of what is the kind of opportunity that we have. Say for example , the example that you gave 1, 000 crore s comes in , static generally in the product portfolio that we as Anup Engineering would be interested in because there are some products where we are not qualified , some products which we are not interested in because they are too small. The pie that we would be interested in is roughly about 2.5% to 3%.
Akshay Kothari: Out of that if I did get it right, 15% to 20% is the conversion of the bid pipeline, right?
Reginaldo Dsouza: That is correct. If you see any project , refining or a petrol chemical project being announced you would see a number of say in between $1 and $2 billion kind of a project. Roughly about 7, 000 to 13 ,000 crore s worth of project. That's the size of the project out of which the product portfolio that we would be interested in would be roughly about 2.5%

Moderator : Thank you very much. I now hand the conference over to Mr. Reginaldo Dsouza for closing comments.
Reginaldo Dsouza: Thank you so much everyone for a very interesting and an interactive session. We were quite happy responding to all the queries and clarifications that you wanted. I am sure going forward as well , we will have your understanding , support and guidance as we take this journey towards a glory future creating a win -win for all our stakehol ders. So once again a big thank you and take care.
Moderator : Thank you very much. On behalf of the An up Engineering Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.
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Call: Jul 2023

“The Anup Engineering Limited
Q1 FY ’2 4 Earnings Conference Call ”
July 28 , 2023

MANAGEMENT : MR. REGINALDO DSOUZA – CHIEF EXECUTIVE
OFFICER – THE ANUP ENGINEERING LIMITED
MR. NILESH HIRAPARA – CHIEF FINANCIAL OFFICER
– THE ANUP ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of the Anup Engineering Limited. As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Ple ase note that this conference is being recorded.
Before we proceed to the call, let me remind you that the discussion may contain certain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause actual results, performance or achievements to differ significantly from what has been expressed or implied in such forward- looking statements.
Please note that the company has uploaded the results , press release, investor presentation and also the outcome of the Board meeting on the website of the stock exchanges and the website of the company.
I now hand the conference over to Mr. Nilesh Hirapara, CFO. Thank you, and over to you, sir.
Nilesh Hirapara : Yes. Thank you so much. A very warm welcome to everyone. We are happy to report the Q1 FY24 results and the number of this quarter are very, very encouraging. We have clocked a revenue of INR 125 crores, a 142% increase over Q1 FY '23 with an EBITDA of IN R28 crores at 22.4% compared to INR 9.4 crore s in Q1 FY '23, which is roughly 3x of EBITDA last Q1.
PAT stands at INR 18.6 crores at 14.8% which is 259% higher than in Q1 FY '23. On our balance sheet front, we have a net debt of INR 4.2 crores only as on 30 June '23. If I mention about today's position of our net debt, then we are approximate INR 20-plus crores cash surplus.
On a working capital front, as on 31st March, 2023, we were roughly 2.8x to 2.9x. We have now achieved our 3 to ns. With this, I'm handing over the call to Reginaldo Dsouza, our CEO, to share his opening thoughts.
Reginaldo Dsouza: Hello. Good evening, everyone. Greetings from team Anup. I thank each one of you all for being on this call. It is always a pleasure to connect and have a conversation on our company's performance. So happy to say that we have finally broken the grims of not so good quarter 1 with this INR 125 crores revenue that we have clocked in quarter 1. The last historical best quarter 1 being INR52 crores. So it's a substantial jump and a substantial improvement on our quarter 1 performance.
Also, I would like to make a note that now we have 4 consecutive quarters of INR 100 crores plus, which surely should give us a lot of comfort on the consistent ex ecution and the quarter - on-quarter performance. On the industries that we serve, oil and gas and petrochemicals still remains the dominant portion with 85% of our revenue coming from these sectors in quarter 1.

On the product portfolio, again, heat exchang ers contribute to about 76% and vessels, reactors

and columns at 21%. Of course, this 21%, we'll see an increase as we dispatch our goods from
the new Kheda facility, which is strategically placed to build vessels, reactors and col umns. So
we will see that 25% to 21% going up in near future.
Our pure exports stood at 15%, which we should see going up to 30% by the year -end. On the
order bookings side, of course, there is an very encouraging progress. As aware, we opened the
year with an order book position of INR530 crores as on 1st of April.
In quarter 1, we have a historical best new order book of INR 240 crores, INR 240 crores. An
interesting fact in that is that 70% of this is pure exports, which definitely augurs for us in the
direction of exports. So what this means, the INR 240 crores order booking in Q1 is tha

t we have
an order book position of INR651 crores at the end of Q1.
If we consider the plan for FY '24 as per our guidance of INR 520 crores to INR 530 crores, what
it leaves is about INR 240 crores to INR 250 crores for execution in FY '25, which will further
build on as we progress into the year. So this definitely should give us a good confidence even
in the year FY '25.
On the capacity expansion, I'm very happy to inform you all that our new manufacturing facility at Kheda which is
approximately 40 kilometers from our existing facility in Odhav, Ahmedabad
was inaugurated on 1st of June. And we expect the first dispatch fr om this plant coming in
quarter 2. So with this, we are on track on our guidance of approximately INR 50 crores to INR 60
crores from this new facility in Kheda in FY '24.
On our product expansion, as I mentioned in my earlier calls, centrifuge, which is a r otary
equipment and which is our own design. We wish to now consolidate our position in the market on this product. Mr. Ganpat
Chowdhary, who is our Independent Director, is guiding us on this
journey. And I'm sure with his experience and we can make good inroads in considering our capabilities and a strong
reputation in the market.
On the people front, we've made some good consolidation in the organization structure. And we have a very -- strong team
now of right capability to execute our plans. I can conf idently say that
I'm blessed having brilliant talent and taskmasters in my team. So with a very good beginning,
good order inflow with the necessary capacity built in to execute and a strong team to execute
the order intake, we should be confident of achie ving our plans for the year of INR 520 crores to
INR530 crores and an EBITDA of 22% to 23%.
We will continue to stay focused. I take this opportunity to sincerely thank each one of you for
being with us and trusting on our capabilities. Thank you, and happy to have a conversation.
Moderator: The first question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: My name is Ravi Naredi not Ravi Reddy. Anyway, Mr. Dsouza, sir and Nilesh, you did well. So
first congratulation to both of you, al ong with whole team. Sir, my question is what margin we
get in exported, what margin for domestic sales?
Reginaldo Dsouza: So if you compare the export and domestic, we would not say that the margins are drastically different.
But of course, there are inhe rent advantages of exports. Number one is the winnability
is better for us because there are limited players that we play with in the export market. Sorry?
Ravi Naredi: Yes, yes. Continue, sir, please.
Reginaldo Dsouza: Yes. So since there are limited play ers, our winnabilities are better. On the costing side, because
of the forex , we are always a little conservative. So there's always a margin for us over there on
actual realization. And also the advances in exports are much better as compared to domestic.
So we are better on our working capital as well. So all in all, I would say at the order book
position level, the margins may not be drastically different. But yes, there are opportunities
towards the end.
Ravi Naredi: Okay. And by end of financial year ' 24, how much total order book should we expect sir, just
outline we need only?
Reginaldo Dsouza: So we expect, as per the guidance, we expect the order book position to -- total new order book
for in this year to be INR 600 crores to INR 630 crores around that number.
Moderator: The next question is from the line of Divya Daga from Vijit Global Securities Private Limited.
Divya Daga: My first question is, in last con call, you have mentioned that company is in discussion for 3 to
4 proprietary products which will help increase in value chain. So can you tell me the status and
what are these products?
Reginaldo Dsouza: Yes. So as we mentioned in our g

uidance point, we wish to -- since our capacity is now in Odhav
are built in and also we have built the Phase 1 in Kheda. For us to now grow up our revenue, we
need to move up the value chain in terms of metallurgies, number one, and also in terms of
complexities of the equipment. So metallurgy is, of course, we are doing much better in a sense

that if you look at our revenue growth from the Odhav facility, the capacity remaining the same in terms of tonnage, we've been able to churn out much higher revenues, which clearly suggests that our metallurgies are going up, and that's the reason we are getting better revenu es from the same capacity.

In terms of complexity of the equipment is where the licenses for our proprietary item comes in. As you know, it takes a long time to convince the proprietary licenses and get inroads into their vendor list. We are in discussions . In fact, we had a couple of discussions, very strong discussions with the client, and it will materialize soon.

So we'll have to wait for that time period for us to get onboard their vendor list for us be to able to make that claim that we are a licensee or registered for our proprietary equipment. It takes a substantial time for us to make the visits because every licensor unless they come and visit and

see our facility and conduct the audit and then make a report, it takes somewhere around 6 months to 1 year. That's 6 months to 1 year is kind of a timeframe that we are looking at. So we'll come back to you momentarily through with the process.

Divya Daga: Okay. And my second question is, as you have mentioned earlier that in Kheda Phase 1, company is exp ecting capex of INR47 crores in FY '24. So how much we have done already or how much is still pending? Sir, can we expect any additional capex other than this in this financial year?

Reginaldo Dsouza: Yes. So thank you for this question. On the first part, let me clarify the guidance was INR 50 crores to INR 60 crores of turnover from Kheda Phase 1 in FY '24, which is this year, and we are on track for that. As I said, the first equipment will be dispatched in Q2. And most of the substantial portion should come in Q3 and Q4.

On the capex front, the Phase 1, we've already done, we have commissioned the plant except minor capex that we will be needing for fine tuning some of our investments. But otherwise, the major investments have been completed in Kheda.

Divya Daga: Okay. Thank you so much sir.

Reginaldo Dsouza: And then one , in case if I have not answered your first question that you asked, the type of prosperity of the items, I would not be able to disclose the actual item because of confidentiality claus es that we have with our licensors. But I can tell you that it's in the ammonia field, where we are targeting towards the hydrogen circuit.

Moderator: The next question is from the line of Chetan from Abakkus Asset Management.

Chetan: Sir, a few of the questions and the order book which has now gone up to INR 650 crores. What is the timing or period by which you will be able to execute this? And at what process these orders are bidded at?

Reginaldo Dsouza: Yes. So most of these orders ar e INR651 crores executable in this financial year itself. So that's where we are saying it will form the part of INR 520 crores to INR 530 crores. But of course, about 20% of it for next financial year. That's the reason we are saying about INR 220 crores wil l move to next year. And on the margin front, it would be around that same guidance margin of 20% to 23% EBITDA.

Chetan: Great. And whole Kheda coming into the picture, how is the bid pipeline has got changed because now we will be able to offer any more core products, which were earlier not possible. So how that has got changed if we compare to last year? Our bid pipeline?

Reginaldo Dsouza: Yes. So as I mentioned earlier too, Khe

da is strategically placed on the National Highway, Baroda, Ahmedabad highway. So that gives us the ability to make much larger products than my current facility in Odhav. So obviously, your question is relevant that it would give us more inflow in terms of the inquiry bank. So if you want a number to be put at, it would be about 20% of my inquiry banks have gone up.

So as we speak today, I've got roughly about INR 1,000 crores kind of an inquiry bank on my hand. And around 30% to 35% would be reactors, vessels and columns, which are meant for Kheda.

So as I mentioned earlier, strategically, we are moving with a road map that heat exchangers will be made in Odhav facility and the vessels, reactors and columns will be made in Kheda facility, not because of anything else, but only the logistical constraints that we have in Odhav, being in the city limits the flyovers restrict us for moving larger diameter equipment. So that's the only reason why we have strategically made this choice.

Chetan: And sir, lastly, one bookkeeping question, salary during the quarter has gone up from INR 5.5-odd-crores to INR 8.8 crores just from the March quarter. Can you elaborate the reason for that?

Reginaldo Dsouza: Yes. So what we have done, Chetan, this time is, we've set in a new process in place that normally, we have these performance bonuses and t he salary revisions also coming in. Going forward, and this year, what we have started a practice is that the performance bonus we would pay out and the salary revisions will do it in the first quarter itself. And also make the provisions of the year into that quarter.

So that's the only reason you are seeing. Otherwise, if we had not done that, if you see last year, we paid it in somewhere in quarter 3. So we've made that process change for better motivation of people and also to roll out bonuses at the -- immediately after the year is ended.

Chetan: So on a yearly basis, what should be the employee cost?

Reginaldo Dsouza: So on overall, at the end of the year, which we are looking at about INR 26 crores to INR 27 crores. At a 5 -- 20 to 30 top line.

Moderator: The next question is from the line of Kunal Shah from Carnelian Asset Management.

Kunal Shah: Yes. So congratulations to Regi and team for a good set of numbers. I have two questions. One was we had mentioned in our annual report of capability enhanceme nt, where you mentioned about polymerization reactors, high thickness reactors, orders in Floating LNG Offshore space, etcetera. And also you mentioned about increasing the query bank that we have. So two parts to this question.

One was, how does the oppor tunity type increase for us with the introduction of the new products? That was the first question. The second question was also, does it help increase the per unit average saving value with all of these new products, which can help us increase sales.

Regi naldo Dsouza: Yes. Thanks, Chetan -- Kunal for that question. Yes. So with the introduction of Kheda, surely, it increases our opportunity pipeline in a sense that earlier, whatever we had to regret because we couldn't make it in Odhav now we are able to address the full basket of inquiries from the customer. So as I mentioned earlier, it gives us an opportunity increase of about 20% overall in terms of the bidding pipeline.

These polymerization reactors and others that you mentioned, yes, surely they were the first that we made. So this polymerization reactor was the first polymerization reactor ever made in India, for an Indian project, of course, through our licensor in Europe. So it's a very critical piece of equipment. So what it does is that it sets us one level higher in terms of the capability benchmarks since the equipments are so very critical.

And as you know, we do not, per se,

have a standard product, we sell our -- basically, sell our capabilities. Based on that, we make customized equipment. So when we move one level up in terms of our capability index, by making such critical equipment, the opportunities for such critical equipments go up. And whenever such polymerization reactor plants come up, we surely have these opportunities when those projects hit the ground.

So overall, I would say a 20% increase in the opportunity pipeline or the opportunities that we would regret earlier would be at our disposal. With the -- I'm saying with the limited capacity right now in Phase 1 that we have, of cour se, when we start and then venture into Phase 2 and Phase 3 of Kheda that will lend up into bigger capacities for us, and we would be able to address much larger basket of the inquiries.

Kunal Shah: Okay. Interesting. And when do we plan to do capex for Ph ase 2 in Kheda, and of what amount?

Reginaldo Dsouza: Yes. So as you know, in Phase 1, we have built a 1.5 days to be precise. The overall master plan was for 7 days. So in Phase 2, we have a plan for 2 more days and the balance number of days in Phase 3. Now, as I said in the last call as well, with the capacity that we have put in Odhav now, plus the added capacity in Kheda with Phase 1, we should be good to go with INR 700 crores to INR 750 crores kind of a turnover from this capacity.

So what does this me ans for us is that the decision on building a new bay, considering that it would take about 11 to 12 months for us to build. FY '25 early is where we will make a decision of investing into the Phase 2 because that is the right time for us to get going. And then we'll take a call at that point in time. So early FY '25 is the right point for us to take a call on further investment in Kheda. One each day should cost us since now we have built all the utilities around the company, what we need to now invest is only in the manufacturing base. So each day would cost us anywhere in between INR50 crores and INR 60 crores to set up with a time line of 11 to 12 months.

Kunal Shah: Okay. That's really helpful. And just one more question that's more of an accounting ques tion. The contingent liability as a percentage of network is at almost 45%. So there is a nature of the industry where we give guarantees for advances that we receive. So if you could help understand how does this work? And with the increase in the scale of business that is going to happen in the next 2, 3 years, how should one look at this particular aspect?

And historically, has there been any performance guarantee that has been crystallized or anything of that sort would also be very helpful.

Nilesh Hirapara: Right. Good question, Kunal. So right now, we have a total limit of INR 325 crores. Of which INR315 crores is a limit for a nonfund based, right? Of which -- as on 30th June, INR145 crores is ABG, advance bank guarantee. So right now, the average life of advance bank guarantee is INR1.23 crores -- it's 1.23 years.
So generally, what happen the project cycle would be the 7 to 8 months , so along with the order we generally get a 10% to 20% advance, which is against the order. As on 30th June, receipt on the advance of INR 82 crores against the INR 143 crores ABG, which is on the advance of INR 82 crores. Roughly INR 84 crores ABGs are such which is submitted to the customer, and we are expecting advance to be received in the next 1 or 2 weeks. And there are INR38 crores worth BG, which is expired and we are awaiting the same to be received from the bank once receipt will submit to the bank and that will get canceled. So this one portion is ABG.
Second would be the performance bank guarantee, since the aver age life is 3.5 years. So generally, these products have a warranty. I mean, customer ask us to submit the performance bank guarantee, which would be in the

range up to 1 year to 5 years. But in the past, there is not a single incident where customers invo ke without bank guarantee. There would be some minor issues with the equipment, which can be sold through a back charge.
If you go to a P&L then this -- last year, we had a INR 36 lakh of back charge charges. Other than that, there is no incident related to invocation of those bank guarantees. And the third portion of this limit would be the LC. So most of materials we buy would be from the Jindal, then Nippon Steel and some other good companies where they ask us to give them an LC at site or LC of 90 days. So we sit on the LC of roughly INR 20 crores.
So out of that INR315 crores of limits, we have already utilized INR 355 crores limit. And that is the reason, right now, we are going ahead with the resolution of increasing this limit from current INR350 crores to higher limits through shareholder approach.
Kunal Shah: Okay. That was pretty helpful. But do we make any provisions on a regular basis for the guarantee that we provide or we provide for it in P&L only when it incurs?
Nilesh Hirapara: No, we provide a 0.5% provision that includes the healthy back charge and warranty. So of a top line, we provide this provision for 0.5%.
Kunal Shah: Okay. Fair enough. And just one last question, if I may squeeze in. Now we are focusing on exports as well, right? So are we having any hedging strategy in place to hedge the currency movements? Or how do you plan to kind of hedge that? Because if I understand correctly, with this current order intake also, we had a significant, a good part coming in from export. So are we ha ving any plan to kind of hedge or how will you look at that?
Nilesh Hirapara: Regi, correct me if I'm wrong, I could not find that in annual reports pertaining to hedging anything.

Reginaldo Dsouza: Yes. So until last year, we haven't hedged any of our for ex exposure. From this quarter, we have started considering the possibility of hedging the foreign exposure, especially USD currency.
But our first strategy would be to safeguard the denominator, which we have taken while giving quotation to the customer. So right now, when we see the dollar between INR 82 and INR82.30.
So we are in discussion with our treasury team and probably by end of this month or next month, we'll hedge the portion, which is receivable in next 2 quarters.
Kunal Shah: Okay. Okay. Fair enough. I think that would be fair because that protects us, if anything, adverse just in case has to happen and can protect our margins as well. I think that helps answering all of my questions.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Company.
Saket Kapoor: Yes, thank you for the discussion sir, it's in-depth and covering all the points. For the bid pipeline, you did mention that with Kheda now being operational, we will have a -- we can target now which is about INR 1,000 crores bid pipeline that we were not able to do, that is what you commented, sir, earlier.
Reginaldo Dsouza: Sorry, I couldn't get few of the words. Could you please repeat the question, please?
Saket Kapoor: Yes, sir. In the earlier conversation, you ment ioned that now with the commissioning of the Kheda facility, we could now bid for orders to the tune of INR 1,000 crores, which was not earlier in our ambit. So this was the -- your remark that now the bid pipeline through Kheda is to the tune of INR1,000 c rores?
Reginaldo Dsouza: No. So let me clarify. So what I said -- mentioned was that as we speak, we have an inquiry bank

of INR1,000 crores. That includes both Odhav as well as Kheda. But with the Kheda now 20% of this about INR 200 crores, which we normal ly would have regretted because of the size limitations in Odhav. Now we are able to quote for that and probably win that order. So it gives us approximately ab

out 20% better inquiry bank. And then, of course, the strike rate depends on the profitability a nd how well the negotiations going on.

Saket Kapoor: Right sir, earlier conversation, you would also like to -- you had also explained the point about exotic products, wherein we would be having incremental margin than what the regular margins have been in the vicinity of 22% to 23%. So how much of the order book -- do we have any of that exotic product? Or what is the status on the same, in terms of the re -gardening and executing those products?

Reginaldo Dsouza: Yes. So on the order book that we have toda y, we roughly have about 5% which are nonlinear materials which we call as exotic, 5%. Of course, we wish to increase it further. But those products you very well understand they are not too many in the market, they become limited,
but of course, they get better winnability for us because only top 2 or 3 players can participate in those. So the direct answer about 5% of the current order booking would be in the bracket of that exotic products. And then we wish to increase it as we move forward.

Saket Kapoor : Okay. And then taking into account the talk and the feel which we get from the European market in terms of the recessionary trends prevailing there, how would that impact the -- our trend in the business going ahead? So if you could give us some understa nding of how are you visualizing '25, '26 going ahead, sir?

Reginaldo Dsouza: Yes. So as you know, we definitely, we all would agree that we are definitely having a good tailwind as compared to as we speak about the market. The capex cycle is really, reall y good. So it augurs well for manufacturers like us into the capital goods segment.

Having said this, domestic, of course, still poses a lot of potential for us in terms of picking up orders. On the export side, as I mentioned earlier also in my call, we are a little matured right now because of the geopolitical situations around.

There are two reasons we are mainly focusing on today. One is United States of America and the other is Middle East. Now these are the 2 prominent geographical regions where we ar e focused on because we are a little cautious of doing business as well.

Of course, in the European side, largely, if you see, if you look at our order book and the execution you will not find much projects of this oil and gas and petrochemicals in Europe. It is
more of the EPC contractors who are in Europe are the licensors who are in Europe. So they would release the order for us, but it will be for a project in some other regions. It could be Middle East or United States of America. So per se, we are not impacted too much by that. And largely, our focus market is also United States of America and Middle East for now.

Saket Kapoor: Correct, sir. And for the domestic market, sir, the pillars are from the refinery segment that is the private -- as a public s ector, refineries only that the main tranche is from them or the private participation is also there. If you could split the order book for the domestic segment between public and private?

Reginaldo Dsouza: Yes. So last year, it was more dominant on the PSU side. But this year, I can tell you that even it could be a 50 -50 kind of a mix. Based on the projects that we are bidding, which should be finalized in a couple of months, there are pretty large private players also who are expanding their petrochemicals and refining segment.

Saket Kapoor: Okay. And you mentioned, in the last point, you mentioned that we will be closing this year order book at what we have closed for now INR 600 crores plus would be the expected order book as on 31st March '24 with an e xecution cycle of INR 535 crores for FY '23, '24 which is what the number is?

Reginaldo Dsouza: Yes, that's correct. So we will be booking an overall order book -- new order boo

k into this year
of close to about INR 600-plus crores. And the revenue for this year, FY '24 will be INR 520 crores to INR 530 crores as per our earlier guidance.

Saket Kapoor: All the best to the team, sir. Once again and we hope sir, that quarter 2 also we will get an opportunity to call and interact with the management team.

Reginaldo Dsouza: 100%. It's our pleasure to be talking to you.

Moderator: The next question is from the line of Atharva Bhutada from Purnartha.
Atharva Bhutada: I just wanted to understand what the replacement cycle for your product, sir? And have we seen customers coming back from maintenance of vehicles or replacement of their older vehicles?
Reginaldo Dsouza: Yes. So thank you for the question. So the answer to the first question is the average age of our equipment would be anywhere between 15 to 25 yea rs kind of a thing. Depending, of course, on the service, it varies based on the service. Heat exchangers it is more of a replacement of bundles. So there is something called as a bundle inside, so in heat exchangers, you get frequent maintenance during sh utdowns. And that is the product which is more dominant to us.
If your question is what is the kind of business that we get from replacement, it's not too heavy right now. It's about 5% to 8% kind of a business comes from replacement most of it comes from expansion or a new greenfield project.
Atharva Bhutada: Okay, sir. And one question was that more thickness brings more margin because they are difficult to make, right?
Reginaldo Dsouza: In one way, you're right, yes.
Atharva Bhutada: So what is the thick ness for most of our products? And will we increase it multifold?
Reginaldo Dsouza: Yes. So the higher thickness that we made, which I -- which is there in our report as well, was 185 thick, 180 base thick with some cladding on it. So that is the highest t hickness that we ever made. Of course, we have capacity to roll, we have the rolling machines, which can roll even 200 millimeters. But of course, as of now, we made 180.
Average thickness, since our larger portfolio is on the heat exchanger side, you will find average thickness varying between 50 to 80 millimeters thick. That's the kind of thicknesses that average out over our product portfolio. And when you say that larger the thickness, the better the margins?
In a sense, what I would put it is that, yes , as the thicknesses go up, the competition is limited.
That means you play with 2 or 3 players in India. So obviously, your probability of getting higher margins is higher.
Atharva Bhutada: And sir, in quarter 2 FY '23, we've got an order of 36 heat excha ngers for INR 100 crores. So I just wanted to understand if that order book has been completed and because it was a big order, was it a low margin model?
Reginaldo Dsouza: So we've largely completed, except -- so you would say, almost done, we have closed t hat order. That was for INR 100 crores.
Moderator: The next question is from the line of Abhilash Shah , an individual investor.

Abhilash Shah: Good evening. This is Abhilash. I'm an individual investor. First of all congratulations to the team Anup for exec uting -- and my question is that, what is the road map for FY '26 and FY '27?
Reginaldo Dsouza: So as we mentioned in our guidance, we wish to grow year -on-year at a 25% to 30% kind of a growth level, for the next 3 years, that's the kind of guidance.
Abhi lash Shah: Okay. So you tend to maintain the 25% to 30% growth for the next 3, 4 years?
Reginaldo Dsouza: Yes, next 3 years.
Moderator: We have the next question from the line of Ajay Surya from Niveshaay.
Ajay Surya: Yes. Congratulations on a good set of numbers. So my question is more on the heat exchangers side. So if I look at the heat exchangers private m

arket, so if I assume that INR 1 lakh crores of capex is happening in refinery industry. So what is the opportuni ty size for heat exchanger as a product? And how much of that caters down to Anup Engineering? If you can throw some light on that.
Reginaldo Dsouza: Yes. So thanks, Ajay. So if you look at the proportion of exchangers in a project, depending on the investment, it largely, would Ajay, I'm sure you would appreciate that it would depend on the type of project that coming in. If it's a refining the proport ion would be completely different. If it's a petrochemical, it would be completely different. But our ballpark number averaged out from the perspective of a project of an average size in nature, the exchangers would be anywhere between 40% to 50% and balance would be reactors, columns and vessels.
Of course, again, I'm saying it would vary drastically depending on what kind of project it is. But average it out, you could take this sort of number.
Ajay Surya: No. But my question is more on like what is the opportunity size for the number -- ballpark numbers like INR 1 lakh crores kind of capex happening in refinery. So would that grow down to INR4,000 crores, INR 5,000 crores of the heat exchanger kind of demand in the industry or not? That is more what I would like to know.
Reginaldo Dsouza: Okay. Okay. So I would respond from the perspective of Anup's interest in that kind of a range of exchangers because there would be a lot of other heat exchangers, which are very small in nature, where we don't wish to part icipate, and we do not even track those kind of orders. But what is relevant to Anup's product portfolio, it's average about INR9,000 crores kind of an opportunity every year in the global market.
Ajay Surya: Got it. Sir, my next question is on like basica lly, if I look at the overall heat exchanger market,

majority is obviously is shell and tube heat exchangers. But again, air cooled heat exchangers are also gaining a lot of traction in the refinery side. So is that any trend in the industry where refineri es are preparing a mix of both air cooled and shell and tube, and not just preferring shell
and tube. So is it like air cooled are replacing the demand of shell and tube? Can you share --
just throw some more light on that? Like what's happening in the ind ustry? And what are the
trends towards the product mix which is happening in the industry?

Reginaldo Dsouza: Thanks, Ajay. I sincerely appreciate you tracking this market so closely. So as you rightly said,
yes, air cooled heat exchangers are also gaining traction. Largely from the perspective of water scarcity because air cooled condenser heat exch angers could work without fuel.
Now if the question is why? When the traction is there, Anup was not in the picture . We didn't
venture out into this product is. Air cooled heat exchangers need a large space. So it actually
consumes a lot of floor space for you.
Now with Kheda in picture, and with further land available for us to expand. We are, I wish to say that we are simply looking at it. We've had some great d iscussions over it. We will make a
decision soon on that particular product. But you're right. It is a product which is gaining traction.
But I would also make a point that knowing the product, we know it's not a very high-margin
product.
Ajay Surya: And last question would be like -- we have mentioned in the presentation that we've gained 3
new customers, that is like Graham, Indorama and ITT. So can you just throw some more light on like are these -- what time does it -- did it took for us to gain these customers? Or what are
the approval cycles that we have to pass through to gain new export customers?
Reginaldo Dsouza: No. So these three, as we mentioned, are very strategic customers for us, and it's on our strategic direction that we want to gain tract ion into a l

arger geographical base. So that's where the whole
process of connecting, as I mentioned earlier, of getting the customers to audit your facility because finally, our capabilities are more important to customer. So it takes anywhere between
-- depending on the licensor and the customer and the stringent requirements, it would take
anywhere between 6 months to probably 2 to 3 years to get them on board.
And of course, once they qualify then you've have to bid for the inquiries, you should be in a
position to win with a better price and of the right quality. So we are happy to have these three
customers on board, we've been trying to get orders from these customers for probably a year, 1.5 years.
Ajay Surya: All the very best for the coming term.
Moderator: We have the next question from the line of Atharva Bhutada from Purnartha.
Atharva Bhutada: Actually, I just had one question regarding the raw material that is majorly used in the contracts
-- that are given in the contracts for heat exchangers?
Reginaldo Dsouza: Yes. So on the contract for heat exchangers, if you look at the raw material content, Atharva, it
is largely on the tube side. So larger portion would be tubes. Of course, we have a larger sourcing
within India for tubes, we have very good sources in tubes. And it would be place, which are the
next buying where we have good reputed suppliers in India, like the ArcelorMittal, Nippon Steel
and Jindal.
Moderator: The next question is from the line of Ankit an Individual Investor.

Ankit: Cong ratulations for a great set of numbers. Just wanted to clarify in one of the earlier questions,
you said that out of the INR 600 crores order book, which the company has currently as of Q1,
most of these orders will be executed in this fiscal year and only around 20% would get like
rolled over to next year.
So that implies like almost INR 500 crores will be booked this year, and we have already reported
like around INR 120 crores in Q1. So -- is my understanding correct? Like, so -- it would be like
INR120 crores plus INR 500 crores or am I missing something here?
Reginaldo Dsouza: Let me clarify. So the order book position as we opened up or recent if you take the Q1 -- Q1 is
showing roughly INR 650 crores, right? That's the order book position as on today. We have
already clocked INR 125 crores. What we are saying is FY '24, we will be INR 520 crores to
INR530 crores kind of a revenue. So what does that translate? That translate as we speak,
INR220 crores for FY '25.
Of course, that will further build on as we book orders in the coming quarters, which will be
largely for FY '25. And overall order book, new order book in this year, which is INR 240 crores
now in the quarter 1, we wish to take that to about INR 600 crores plus in this year, new order

book.
Ankit: Okay. Understood, sir. And like -- if we look at the trailing 12 months revenue, it's like already at INR485 crores. So which implies not -- I mean, not a very significant growth for the next 9 months. Any reasons like to be like conservative and not revising the guidance at first or you just want to wait for like one more quarter before like giving us like more update on the guidance?
Reginaldo Dsouza: So, Ankit, what we are saying is based on the workings, based on -- because every project has got a time line of completion and the revenues are generated. So we don't go by POC method. We go by actual dispatch method.
So based on the dispatch dates, when the customers would pick up the equipments from our side, based on that, we have a firm understanding that we would be around INR530 crores in this quarter, which surely means the earlier guidance that we have given, so we would be in that bracket of 25% to 30% growth. And that's what we wish to continue in the next 2 to 3 years.
Ankit: Okay. And sir, last one for me. Are you seei

ng any impact from the higher interest rates from your like customer size? Are there any delays in the capex ? Anything which you are seeing or
the order inquiries are like very good and very strong, given that the higher the rates?
Reginaldo Dsouza: So we are not seeing that, Ankit. Of course, having said that, there are specific projects where we see a little bit of fall back, not because of the interest rate or because of anything else, but because of their end product done, there are a little bit of doing research on that.
So but largely, if you see, the capex cycle is really, really at the peak today. And we expect next 2 to 3 years to be continuing this trend, mainly because, as you know, I'm sure you're tracking

the steel prices . This is the best time for any projects to be invested because the steel prices are at a lower base as compared to what you've seen probably a year back.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Reg inaldo Dsouza for closing comments. Over to you, sir.
Reginaldo Dsouza: Yes. So as we have now announced the quarter 1 numbers, I'm extremely pleased of this performance. And as we have the guidance for the year of INR 520 crores to INR530 crores, we and wi th an EBITDA of 22% to 23%. So we're off to a great beginning, I'm pretty sure and confident that we are on track for this particular plan.
So I once again thank you, everyone, for a very interesting and interactive session. We were quite happy responding to all the queries and clarifications that you had. And I'm sure going forward as well, we will have your understanding, support and guidance as we take this journey
to a glorious future for Anup Engineering and a win-win position for all our stakeholders.
So once again, a big thank you. Happy to interact with you and stay safe and take care. Thank you so much.
Moderator: Thank you. On behalf of the Anup Engineering Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

“The Anup Engineering Limited Q2 FY24 Earnings
Conference Call ”

October 30, 2023

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ANAGEMENT : MR. REGIN ALDO DSOUZA – CEO, THE ANUP
ENGINEERING LIMITED
MR. NILESH HIRAPARA – CFO, THE ANUP
ENGINEERING LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of The Anup Engineering Limited.
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that thi s conference is being recorded.
Before we proceed to the call, let me remind you that the discussion may contain certain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause actual results , performance or achievements to differ significantly from what has been expressed or implied in such forward- looking statements. Please note that the Company has uploaded the Results, Press Release, Investor Presentation and also the outcome of the Board Meeting on the website of stock exchanges and the website of the Company .
I now hand the conference over to Mr. Nilesh Hirapara. Thank you and over to you, sir.
Nilesh Hirapara : Good evening to every one. This is Nilesh – CFO at An up and we have our C EO – Reginaldo Dsouza on the call with us.
We have clocked a revenue of Rs. 139.8 crore s and EBITDA of Rs. 31.4 crore s in this quarter, which is 22.4% of revenue. It is clocking revenue of Rs. 265 crore s and EBITDA of Rs. 59.4 crores in H1. PAT remains at Rs. 21.7 crore s that is 15.5% of revenue in Q2, whereas in H1 PAT is at Rs. 40.30 crore s, which translate to 15.2% of revenue.
It gives us immense pleasure to inform you that on H1 current year versus H1 last year, revenue from the operation has grown by 73% and EBITDA has almost doubled and PAT has increased by 122%. Our ROCE for the quarter is at 23.6% whereas Return on E quity is at 18.9% . On the balance sheet front , net cash is Rs. 59.50 crore s, which is net of debt of Rs. 45 crores.
The working capital terms achieved during Q2 is 3.5 terms mainly on account of reduction in the receivable and higher receipt of advance from the customers.
With this update, I would like to hand over call to our CEO – Mr. Reginaldo Dsouza, to give you update on the operations and market before we open up our session for the question and answer.
Reginaldo Dsouza: A very good evening and a good day to all and w arm greetings from team Anup. We are glad to be part of this call to present our Quarter 2 results and overall performance. I must say the team at Anu p has executed the plan very well so far into this year to ensure we post a good

performance in Q2 and H1. So, my sincere thanks to all our dedicated and committed team members, our partners, our suppliers and all our shareholders for standing by us and trusting the brand Anup .

So, let me take you all through the performance into Q2 and H1 . So, on the revenue front of our H1, as mentioned by Nilesh, we have posted a 73% growth to clock a revenue of Rs. 265 crores with a decent EBITDA of 22.4% at Rs. 59.4 crores which is almost double of last year during the same period. Also, as mentioned by Nilesh, all the other parameters on working capital, cash flow and financial ratios have been very encouraging in Q uarter 2 and H1.

On the industry that we served in Q2 , Oil and G as and Petro chemicals still holds the dominant position at 82% of our revenue. Fertilizers came in second at 17%, which also includes our business for hydrogen projects.

On the product portfolio side, H eat Exchangers still maintain the dominant position at 76% and Reactors , Vessels and Columns at about 21%. Now, as I mentioned earlier, also in the last call this we will see a change as we move ahead in time as our

Kheda plant starts dispatching
equipment because strategically, Kheda will be manufacturing all V essels, Reactors and Columns , so obviously we see this percentage mix changing and V essels and Reactors taking a little higher percentage as we grow and move in time.

Exports which is another strategic focus for us , at the level of H1 it stood at 15% of our total revenue and as guided earlier, we should touch an export revenue of approximately 30% in this financial year . This is based on the order book ing in hand and our dispatch plan into quarter 3 and quarter 4 . So, we should be comfortably at about 30% exports of the revenue for the year.

On the order booking side, I must say we had a very good run. A t the end of Q2 w e had a total of approximately Rs. 355 crores worth new orders booked in this financial year which translates into pending order book of Rs. 630 crores as on H1. Carrying on with this momentum, this month I must say, has been an outstanding month for us, that is the month of October we booked about Rs. 243 crores worth new orders this month, Rs. 243 crores. This is historic and the highest ever that we have booked in a month. So, as we speak now, we have clocked approximately Rs. 598 crores worth new order booking in this financial year so far and interestingly, 55% of them for exports. So, this is another important factor of this new order booking . And also I must say a good portion of it is booked for hydrogen projects , so this signifies our presence on the journey towards energy transition and our hydrogen economy across global projects. So, this new order intake means a pending order book of Rs. 873 crores as on date. This is the best we ever had , so Rs. 873 crores as on date as we speak.

So, considering our plan for this financial year and if you put the numbers together as on today, we would have approximately about Rs. 590 crores of orders to be executed in the next financial year, FY25 and we are s till counting as we have some good prospects in the coming months . This means well for us and perfectly in line with our growth plan of 25% to 30% in the coming year.

On our new manufacturing facility at Kheda , I am happy to state that we have dispatched our first equipment from the plant in Q2 as plan and on time. So, it was a large piece of equipment weighing about 200 metric tons for an export order for a customer in Jordan. So, Kheda now with this moves the full stream executing orders for the coming quarters. I am also happy to state that good part is that we have over Rs. 100 crores order already booked for the Kheda plant. So, that means well for this new facility which we commissioned and inaugurated in the month of June.

I am also happy to announce that we have expedited the decision on adding capacity at Kheda . We have decided to extend the one partial bay which was built in phase one , so we are going to complete that bay . So, if you remember , we had built one and half bay , manufacturing bay of the total 7 bays that we had planned at the macro level. So, that one and half bay we are going to now complete that half portion and complete 2 full manufacturing bays. The plan is to make this operational in early Q1 of FY25, so by March, April is where we are going to complete the construction phase and start and c ommission this extension of the existing half bay . This means we will have 2 full manufacturing bays as against one and half for the next year. So, for this we need an investment of approximately Rs. 15 crores and we have a plan to complete it within next 5 months to maximum of 6 months.

We are also making some good moves on sustainability initiatives. We have started on the project of Rooftop Solar at our Odhav plant . With the commissioning of this plant, about 50%

of our power utilize d will be from renewable source. This would be

a good move and we will
continue on this journey of getting our power utilized from renewable sources . Also at Kheda , since we have a vast land at Kheda , we have started forestation project at Kheda in the open land available to create a greenbelt in our quest to offset our carbon footprint and contribute towards our sustainability initiatives.
So, all in all, to conc lude, we had a very fruitful first half of the year and the momentum created with a good order book position means well for achieving the growth plan of 25% to 30% for this year that is FY24 and also sets a stage for a similar gr owth in the next financial year that is FY25. Having said this, we are also aware and cautious of the current geopolitical uncertainties, elevated oil prices and also a volatile economic outlooks in various parts of the world , but I am
confident that with a good business visibility into the next yea r, on account of a strong order book and order pipeline already on hand and at the strength of a strong execution team at Anup and with the support of our reliable partners and suppliers , we will be able to deliver on plan.
So, with this, I end my remarks and comments on the performance of Q1 and H1, and we would be happy to open up the session for Q&A.
Moderator : Thank you so much, s ir. We will now begin the question and answer session. The first question we have is from the line of Abhishek Agarwal from Naredi Investments . Please go ahead.

Abhishek Agarwal : Congrats on the good set of numbers . Sir, I have two questions , first question, what is the reason for lower the cost of employee and other expense in Q2 compared to Q1 FY24?
Nilesh Hirapara : As we speak in the Q1 call, there were certain variable incentive portion of last year which were taken as a provision in the last quarter and from this year we have made a policy wherein the variable pay likely to be paid at the end of the year which will be provided in each of this 4 quarter s, so that one time hit which we took last year that is the reason why employee cost was higher. And the main reason for the reduction in other expenses is the royalty. I n the last quarter , there were certain dispatch which were subject to royalty, whereas in this quarter the dispatches which are subject to royalty is very minimum that is the reason why there is a reduction in the other expense in this quarter . Nonetheless , we would like to tell you that the royalty which we are supposed to pay on the product is already built in the cost, so it doesn't impact our profit beyond the point.
Abhishek Agarwal : So, for yearly basis what should be the total other expense in FY24?
Reginaldo Dsouza: This would be in the line of Q2 only .
Abhishek Agarwal : And second question, this enhanced net profit margin you attained in Q2 and H1 FY24 is sustainable and this kind of 15% net profit margin will be maintained for next 2 years to 3 years ?
Nilesh Hirapara: Yes.
Moderator : Thank you so much. The next question is from the line of Abh ineet Anand from 3P Investment. Please go ahead.
Abhineet Anand: Just wanted to understand our role in the hydrogen part that you were talking about that some of the orde rs that you go t in the international markets , so what exactly are our roles in this hydrogen part?
Reginaldo Dsouza: So, hydrogen as we know broadly has 3 aspects , 1 is the generation side, 1 is storage and transmission. When we speak about say for example G reen hydrogen on the generation side, we do not have any role per se right now because that is more on the electrolyz ers and generators using Green Electrolysis process where we play a role is in storage and transmission of this hydrogen. So, today , we are manufacturers of Static Process equipment and those are the equipment that are used for storage and transmission of hydrogen. So, broadly , even toda y

with
our capabilities and capacities in place, we are able to serve our customers for hydrogen business and we will continue to do so in the future. So, broadly a direct answer to your question is, it is more about storage and transmission using S tatic Process equipment that we build. So, it is not a different product portfolio for us. It falls in the existing product portfolio bucket.

Abhineet Anand: And is it possible to state like for example over the next few years, how important can this segment be? Like today we are at X %, which might be small because it is initial time like so and over the next 3 years to 5 years, can this become a significant opportunity for us?
Reginaldo Dsouza: Yes, surely it is already becoming a significant opportunity , so as I mentioned, the current order booking that we had substantial portion of it has come from H ydrogen p rojects for exports, largely in places like Louisiana, USA and Canada. So, we see a lot of H ydrogen project offers .

We don't see as many Green Hydrogen projects, but Blue Hydrogen which is probably the intermediary is same till such time that G reen Hydrogen really picks up because I think on the Green Hydrogen side, the cost would be a major factor. Today , we see anywhere based on the information available, the price is anywhere between $6 to $7 per unit. And what it will make affordable and a mass demand would be somewhere around $1.5 to $2. So, that would take some years, but I am sure intermediate till we reach that stage, Blue Hydrogen will be the path forward and a substantial p ortion of it is coming from H ydrogen projects for us today.
Abhineet Anand: And any green shoots you have seen on this side in India, s ir?
Reginaldo Dsouza: You mean to say on the H ydrogen project?
Abhineet Anand: Yes.
Reginaldo Dsouza: So, there are a couple of projects which are being initiated, of course, it is not at the same scale as we see abroad, but there are pilot projects which have been announced an d we see this taking and picking up in the near future . From the Anup perspective, we are ready as the same product portfolio, so it is just about getting the enquiries, quoting and winning the projects and executing.
Moderator : Thank you. The next question is from the line of Bharat Gupta from F air Value Capital . Please go ahead.
Bharat Gupta : Congratulations for a good set of numbers . Sir a couple of questions from my side , so when I look at the overall space in terms of the CAPEX intensity which lies in the domestic space, so definitely there has been some sort of a slowdown, if I look at the chemical space alone , so how do you rate? Because I believe Rs. 4,000 odd crores of that comes on an annualized basis , so are we seeing that kind of a slow down getting impacted to us in the domestic way?
Reginaldo Dsouza: So, on the domestic side, yes, on the Refining and Petrochemical side where we are not seeing the same drive as we saw last year because there are some projects which have been announced and yet to take a shape, b ut they are in the preliminary stage of getting along with the project. What we see is a lot of projects which are coming up on the Petrochemical side and also especially in PVC, P olysilicon and PTA plan ts. So, there are a lot of projects on the cards now and if you just remember me talking about why do we want to have the geographical spread focused on exports as well, this was the precis e reason because we have seen this nature of CAPEX is cyclical. Of course , we are in the best CAPEX cycle right now and a stretch ed one

too, partly it is going to be cyclical in nature and that is the reason this geographical spread is extremely important , so that it does not impact our business going forward and that is where we have a good mix n

ow of domestic and exports and that would protect the growth going forward.
Bharat Gupta : Sir, just on the export bit, because I believe our strike rate in the dom estic space is near about 30% odd, so how are we placed in terms of the export orders which we get? What would be a strike rate in that?
Reginaldo Dsouza: Strike rate in a sense you mean order conversion rate?
Bharat Gupta : Yes, conversion rate .
Reginaldo Dsouza: So, we are in the region of 15% to 20% average strike rate, and we wish to keep it at that, as I mentioned earlier too, it is all a factor of the profitability that you earn , you can improve your strike rate by taking orders at a lower margin, which is not the strategic intent that we have. So, based on the experience and based on the inquiry bank on the table today and wha t we see in years down the line. W e feel 15 % to 20% conversion rate is a good strike rate for us to maintain both growth as well as profitability.
Bharat Gupta : So, sir in a way, if I look overall in terms of the margins, EBITDA per tons, s o that will be comparable to the one which we enjoy in the domestic market ?
Reginaldo Dsouza: Exports will be comparable in a sense, when we book the orders, we do not see much of a difference in the margin profile. But yes, exports do benefit us from the perspective of better working capital because the advances are much better as compared to domestic orders and also more than often, we are conservative on the FOREX side, so when we actually dispatch and get our money, we tend to benefit out there. So, like-to-like at the order booking stage, there would not be a substantial difference, but once you kick into execution, export orders do help us as compared.
Bharat Gupta : Last time when we were discussing, so probably we were thinking of adding new like titanium kind of a coating , so that gives you an edge in terms of your predicting the margin side because we are fairly above 20% odd. So, in a way going forward, do we think that because hydrogen would be one which will be contributing a major part of revenues going forward? So, there the margins will be remaining on a similar sort of a trend, and it will be mor e of a premiumize d kind of a segment for us ?
Reginaldo Dsouza: So, as I mentioned, our strategic intent is as we grow to maintain a 20% plus kind of an EBITDA range, that is what our intent is, so it is all about making choices and currently also the orders that we are booking in the hydrogen space and elsewhere, we are choosing products or in other words we are going aggressive on products and orders

where we get a better product mix in
terms of higher metallurgy . So, with the same kind of churn and e xecution , we tend to get a
higher realization in terms of revenue and EBITDA. When I say EBITDA, it is an absolute

EBITDA from executing projects with higher metallurgy. So, we see that trend going and that
is clearly a differentiating factor for us going forward because labor arbitrage will not work for
too long, s o we have to differentiate ourselves and create our own USP's by having more fast
track records on executing critical projects . So, we will be strategically going more deeper and
more wider into the product segment s.

Bharat Gupta : Just a last bit, what will be a timeline for the execution of the current orders which we have received over the last 6 months ? And we aspire to become Rs. 1,000 crores topline Company , so is that 25% kind of a CAGR grow th is sustainable over the next 3 years to 4 years?

Reginaldo Dsouza: So, the answer to your first question, as we speak all the orders that we have booked is within the realm of FY 25, so we have got deliveries until 17 months to 18 months , so all it falls exactly into the end of FY 25. So, whatever order book that I have mentioned will all be executable by the end of FY 25.

Sorry, w hat was the follow on question on that?

Bharat Gupta : Sir just wanted to check like in terms of our aspiration to be a Rs. 1,000 crores odd Company in terms of the top line, so do we see the momentum to remain on a positive side? W e want to grow at 25% CAGR over the next 3 years to 5 years ?

Reginaldo Dsouza: So, our growth guidance remains the same that we want to grow at a 25% to 30% growth rate and as I mentioned on the order booking this year has been quite encouraging and we see this momentum going forward with right choices made from our side.

Bharat Gupta : Sir just one question, particularly ju st a follow up on the export bit, given out the competitive intensity , like what remains our key mode out there in the export side, is it just primarily on the cost side or is there something where we have the expertise in the product design? So, what according to you has been the key moot and the key reason why we have been able to receive a good order from the export side?

Reginaldo Dsouza: So, the primary requirement in export of course , we being supplying equipment which are customized and high on technical nature, getting qualified technically of course is the primary requirement , but assuming that the competitors are all qualified and capable of getting the bids and quoting for it . Nex t, of course, p rice is a determining factor today because budget is a big constraint, but having said that, I think what we are seeing in export is also a more on reliability and a good experience in terms of the way the companies do b usiness. So, we have seen many repeat customers coming to us just because they had very good experience working with us, especially on the way we execute project on time. And then of course without say ing quality is hygiene for them. So, largely on price, yes, that is a critic al factor, but added to that, I think good past experience and reliability in terms of supplying equipment on time is a critical factor because as we said, our products would be a few crores but the customers projects would be billion dollars , so a lot depends on our timely delivery of equipment and I think that is the USP's that Anu p has today.

Moderator : Thank you so much. The next question is from the line of Nitin Gandhi from Inoquest Advisors Private Limited. Please go ahead.

Nitin Gandhi : I just wi sh to understand the dynamics of adding bay I rather appreciate that decision to have half bay quickly, but how is it linked? What kind of volume or what kind of revenue of order book flow will force for addition of next bay ? And how does it change cost wise? And I have one follow up question thereafter.

Reginaldo Dsouza: So, if you have heard us even in the last call, I think we had a lot of interactions on when Phase-2 at Kheda after we came with phase 1 . So, Phase-2 is 2 bays which we are going to add. So, intermediate to that, since the order booking has been really good, the market dynamics are favoring us. What we felt is that the extension of that half bay gives us that added capacity to delay that phase to a little bit, depending on how the market moves, so considering the order input, good visibility in terms of as I mentioned, Rs. 100 crore s plus for K heda already and counting. We see a lot of inquiries for V essels and Reactors on the table. So, we foresee that at Kheda we may quickly be out of scheme in terms of capacity, and we don't want to reach a position where we have the business opportunity and I am not able to execute and that is the reason we took a call and it is not much of an investment for us. It is just about Rs. 15 crores kind of an investment because we had already done half of the construction work in the 1st phase , like all the piles of our foundations have al ready erected, the floor was already ready, so it is just a question of co

vering the shade and having the final RC C flooring . So, that is the reason
we took the call. Number 1 , it will be quick 5 months to 6 months project , so we will be having
the shade up and running by March to April and also the investment was not too heavy for us.
So, that gives us flexibility in terms of added capacity.
Nitin Gandhi : No, sir I was just looking forward to say the subsequent phase, can I say that every Rs. 300
crore s order book addition will seek additional bay and maybe the investment will be somewhere
around Rs. 35 cores to Rs. 40 crores? So, because we have the capacity for 7 bay, so I am just
trying to understand that logic?
Reginaldo Dsouza: Yes, so we have the overall master plan of 7 bays. So, as I said earlier, each bay it would cost us
anywhere between around Rs. 40 crores to Rs. 50 crores kind of an investment and each bay can
give us revenue depending on the product mixes, around Rs. 150 crores. So, as we move ahead
in time and we need about 12 months for every bay to be constructed. So, as we move the right
timing for us is with this extension would be in FY25. So, as we approach and get into FY25
based on the order booking and the future forecast we will take a call on Phase-2 .
Nitin Gandhi : The another question is w hat is our role you say in Static Process equipment for hydrogen plant,
but what kind of revenue for some X capacity of hydrogen is possible for us based on the
competition profile because that segment data is there that the B lue hydrogen is getting added
so much, b ut what will be our revenue from each of hydrogen say 110 ton plan or something
like that? Some indicator if you can share that, how do we corre late our revenue with whatever
Blue hydrogen expansions are happening?

Reginaldo Dsouza: Of course, every hydrogen plant depending on the license is involved will have different kind of
configurations , so we will not be able to pack the same numbers for all kind of config urations .
But roughly, of course these data points are available, but based on our own experience for a
project of a particular size roughly about 2.5% to 3% is the S tatic Equipment requi rement where
we at Anup will be able to bid for . Now when I say this 2.5% -3%, it is a product portfolio that
Anup is interested in. Of course, there will be lot of other projects on the lower segment or lower
thicknesses where we may not be interested and also on the much higher segment where we are
yet not qualified and we wish to get qualified in the future. So, on average , this is around 2.5%
to 3% is the kind of Static Process equipment requirement based on the size of the project. Now
for example our project could be say for example $2 billion, kind of an investment, depending
on the size that they build, we could have an oppor tunity of about 2.5 % in static equipment . Of
course, that is, those are the inquiries that we can bid for than depending on the win rate and
how competitive we are, the order booking will be commensurate to that.
Nitin Gandhi : And the last question, so you said that at this juncture we have some capability , and we have the
aspire to go to higher level , so in terms of supplying this SE, so what could that be? Will that
change the percentage 2 .5%-3% for Anup to say 5% , 7%.
Reginaldo Dsouza: So, that strategic movement is basically to stay relevant and to be up on the competition bracket s.
So, as I said, there would be a lot of smaller players emerging in this market and rightfully so
because there the CAPEX actually is so good. So, for us to stay relevant, we will have to keep
moving up in terms of the complexity of the equipment both in terms of metallurgies and in
terms of the equipment complexity. So, that is more to be to staying relevant and getting the
order book position growi ng as we grow into the future .
Nitin Gandhi : Thank you very

much and wish you all the best for hitting Rs. 1,000 crores soon.
Moderator : Thank you so much. The next question is from the line of Abhishek Poddar from HDFC Mutual
fund. Please go ahead.
Abhishek Poddar : Sir c ongratulations on a very good set of results . Sir first question is regarding the inquiry
pipeline , if you could give us some understanding what inquiry pipeline you are looking for the
rest of the year ? You did mention about 15% to 20% strike rate ? And sir second is because of
the addition of Blue Hydrogen Static Equipment , how much gets added to the inquiry pipeline
on an annualized basis? If you can give some understanding there also?
Reginaldo Dsouza: So, overall as we speak, it is a real time we are at about Rs. 1,000 crore s kind of an inquiry bank
on the table , of which Rs. 600 crores to Rs. 700 crores comes from our conventional O il and G as
and Petro chemicals and about Rs. 200 crores to Rs. 300 crores comes from hydrogen , hydrogen
means green, blue all put together.
Abhishek Poddar : So, this thousand is for the rest of the year , sir?

Reginaldo Dsouza: It is rolling , so month-on -month new inquiries keep getting adding , the old ones keep getting
finalized. So, at any given point in time as we speak today, we have a Rs. 1 ,000 crore s inquiries
bank and touchwood it has been good over the last few years that we have carried an inquiry on

an average of Rs. 1,000 crores to Rs. 1,100 crores .
Abhishek Poddar : So, given this is rolling, sir, if we have to understand it from the annualized basis that let us say for this full year 12 months what kind of inquiry you would be responding to? Can you give some understanding , sir to help us little to understand what success rates and all?
Reginaldo Dsouza: So, on an average, if you lo ok at historical data points, we ha ve been quoting to anywhere between on an average Rs. 4,000 crore s kind of inquiry is where we have been quoting for . So, as we grow gradually, we will tap into more and more geographies. That is our intent because we are spreading out, so most likely we would be touching a Rs. 5,000 crore s kind of inquiry bank.
Abhishek Poddar : Sir out of this Rs. 5,000 crores you mentioned 20% -30% is hydrogen, so about 1,500 will be hydrogen and rest 70% would be Oil and Gas?
Reginaldo Dsouza: So, that is what it looks like today because we are seeing a lot of projects being announced on hydrogen, especially in exports, hopefully the trend continuing, we should see this k ind of break up.
Abhishek Poddar : What should be the breakout of this Rs. 5,000 crores in domestic and international?
Reginaldo Dsouza: Largely about 3,000-3 ,500 is domestic and balance is exports. Having said this, this would change year -on-year because the investment obviously are cyclical in nature , but if you take average d out, it would be around in that range .
Abhishek Poddar : One more question on the 2 bays at K heda, s o if those half bay is also commissioned what will be the total revenue that we can generate from Odhav and 2 bays at Kheda ?
Reginaldo Dsouza: So, with Odhav and 2 bays at Kheda , we should be comfortably at about Rs. 750 crores.
Abhishek Poddar : The remaining 5 bays, how should we think about the decision to add those bays?
Reginaldo Dsouza: So, the timing of the investment h ow we have planned, as I said, it takes about 11 months to 12 months to set the bays and good part is that have we already set the utilities in place for the whole master plan. So, what we need to add is only the manufacturing bays , so we will time it with an understanding of about 12 months to set each bay s and as we move accordingly, we will time the investments.
Abhishek Poddar : And sir how will be the total CAPEX this year including this Rs. 15 crores ?
Reginaldo Dsouza: It should be about Rs. 60 crores including this Rs.

15 crores .

Abhishek Poddar : And should this fall in 25, assuming this Rs. 15 crores is already spent?
Reginaldo Dsouza: You mean to say this CAPEX will fall in FY 25?
Abhishek Poddar : 25 yes, sir .
Reginaldo Dsouza: So, part of it would be commission ed in this year FY24 and part will go into FY 25, Rs. 15 crores for sure will be commissioned in FY25, so we could roughly say about Rs. 20 crores to Rs. 23 crores in FY 25 and balance in this year .
Abhishek Poddar : So, overall CAPEX number will be 60 in 24 and even in 25 it could be a si milar number only?
Reginaldo Dsouza: That is correct largely, of course, there could be some sort of operational difference in terms of some small machinery addition, but largely yes , around this number.
Moderator : Thank you. The next question is from the line of Alisha Mahaw la from E nvision Capital. Please go ahead.
Alisha Mahawla: So, first question is on gross margin there is a declining sequentially and Y -o-Y, how should I understand this?
Reginaldo Dsouza: So, if you look at the numbers this year, the COG S in quarter 2 and H1 stands at 58. Now what is happening is as I explained in my last call as well as we move up into more and more complex equipment and complex metallurgy , the component of material content would progressively go up. Just an example like carbon steel w ould have about 50% kind of raw material content, whereas if you go for titanium and others it could go even up to 70 % and 80% kind of material content. So, as we move into more and more complex, the COGS would go up broadly because the absolute EBITDA will go up by we moving up the ladder in terms of complexity chain , but percentage wise EBITDA is going to drop and that is the reason we were saying in the last call that we will never see those historic like 29% and 25% kind of an EBITDA because as we grow our material content as a percentage of revenue would keep going up with the complexity of material.
Alisha Mahawla: So, the 22% kind of model that we have been doing since the last 2 quarters, 3 quarters, are these more sustainable numbers?
Reginaldo Dsouza: So, strategically that is the choice, s o even on the order booking front when we make choices we are very sure that we are going to be around that number.
Alisha Mahawla: And with the mix of the order book skewing towards exports and like you mentioned earlier also the Kheda skewing towards Reactors and Pressure Vessels , with the new mix also , is the 22 sustainable or is the Heat Exchangers and especial ly on the domestic sites like unprofitable and there can be chipping off the margins from here also?

Reginaldo Dsouza: Going forward is sustainable and that is a strategic intent we have more in going forward. So, as I said, it is all about making choices , so that conversion or strike rate that we were talking about 15%-20%, now it can be taken to 25% and 30% and the number of order booking could go up, but then it would mean we would compromise on the margin, so that is the strategic intent that we have to grow at 25 %-30% rate year -on-year and also maintain 20 plus percent kind of an EBITDA .
Alisha Mahawla: So, just a clarification on this point , generally when we hear other peers in this space , the more complex or more customized the product as it helps us command a slightly more premium and hence slightly better margins . For us it is the other way around. While I do understand that i f raw material component will be higher or like you said, bigger size is more , compact size is lesser people who can manage to do it as efficiently as they can. Shouldn't that technically help us also enjoy better margins?
Reginaldo Dsouza: So, what happens is when we move to a particular product bracket, there would be a

competition,
say for example 4 players or 5 players who will play in those complex equi pment s. Now the profit margin that we can enjoy the contribution is on the value addition that we do. Say for example titanium heat exchanger which is high on raw material content , the value addition that you do in terms of conversion almost remains the sa me. So, your absolute revenue goes up, your absolute EBITDA goes up, but when you look at the percentage EBITDA, it will be on the lower side because of the lower contribution margin that you get. Moving up the metallurgy chain helps you to play with very few players say for example if you play in a normal carbon steel, you have 10 to 12 competitors. The moment you move into the niche segment , you would have 3 or 4 competitors to play with , so it he lps you to better your win rate and also grow your revenue and EBITDA in absolute terms.
Alisha Mahawla: And sir as on October, the order book is at Rs. 872 crores , can you give us the split between Heat Exchangers and the Reactor , Pressure Vessels for this?
Reginaldo Dsouza: So, Reactors and Pressure Vessels still stands at about 22% and the balance is Exchangers , so Heat Exchanger still holds the dominant portion, but as we move now because the order booking for Kheda is going to progress as we move ahead in time, we will see that portion going. So, as I mentioned earlier, the peak that we see still is around 55% to 60% Heat Exchanges and 30 % to 35% V essels and Reactors. So, Heat Exchangers will still be a dominant portion in our product portfolio.
Moderator : Thank you so much. As there are no further questions, I would like to hand this conference over to Mr. Reginaldo D souza for the closing comments. Over to you, Sir.

Reginaldo Dsouza: Thank you for questions , very interesting and insightful for us and thank you for your time. So, I once again take this opportunity to thank each and every one who has contributed to this performance and especially to all our stakeholders for your trust and standing by our side as always. So, thank you and on behalf of my team at Anup, I wish all of y ou a very happy festive season and a very happy Diwali in advance. Thank you so much a nd have a good day ahead. Thank you.
Moderator : Thank you so much, s ir. On behalf of The Anup Engineering Limited that concludes this conference. T hank you for joining us and you may now disconnect your lines. Thank you everybody.

Call: Feb 2024

“The Anup Engineering Limited Q3 FY-24 Earnings
Conference Call”

February 12, 2024

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ANAGEMENT : MR. REGINALDO DSOUZA – CEO, THE ANUP
ENGINEERING LIMITED
MR. NILESH HIRAPARA – CFO, THE ANUP
ENGINEERING LIMITED

Moderator: Ladies and gentlemen, g ood day and welcome to Q 3 and Nine-Month ended FY 24 Earnings Conference Call of The Anup Engineering Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

Before we proceed to the call, let me remind you that the discussion may contain certain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause actual results, performance or achievements to differ significantly from what has been expressed or implied in such forward-looking statements. Please note that the Company have uploaded the Results, Press Release, Investor Presentation and also outcome of the Board Meeting on the website of S tock Exchanges and the website of the Company.

I now hand the conference over to Mr. Nilesh Hirapara – Chief Financial Officer of the comp any. Thank you and over to you, sir.

Nilesh Hirapara: Thank you so much. Good afternoon and a very warm welcome to everyone. Thank you for joining us today for our Q uarterly Financial U pdate.

This is Nilesh and I have our CEO – Mr. Reginaldo Dsouza here with me.

I will start with a quick “ Rundown on the Number ” of this Quarter and then Regin will give an “Update on the Business and Market Outlook ”:

In Q3 FY24 we have achieved a revenue of 128 .4 crores , which is 12% higher than the revenue of Q3 FY24, EBITDA achieved is of 30 crores at 23.4% of revenue, whereas PAT is 20 .20 crores at 15 .70% of revenue. EBITDA has increased by 33% c ompared to Q 3 last year, whereas PAT has increased by 45%. For the nine -month FY24 revenue achieved is 393.5 crores versus 267 crores of same period last year. That is 47% higher compared to the same period last year. EBITDA is at 89.4 crores which is 7 4% compared to 52.5 crores EBITDA of same period last year. In percentage terms, EBITDA is at 22.70% , which is 3% highe r than the EBITDA percentage of same period last year.

For the nine -month FY24 PAT is at 60 .40 crores at 15.4% which was at 32 crores at 12% nine-month last year, s howing growth by 80% year -on-year, and improvement of 3.4% in absolute terms. In Q 3, we have achieved a working capital turn of 4.3 times mainly on account of good debtor collection as well as higher receipt of advances. In the long run, we expect working capital turns to be in the range of 3x to 3.5 times .

Our other income is at 2.6 crores in Q3, which is mainly on account of higher t reasury income. Same is at 4.7 crores in nine months. On the cash front, we are closing at gross cash of 146.4 crores and debt of 41 crores. Just to add , we have paid debt of INR 20 crores in the month of January 24.

With this, I would request our CEO – Mr. Reginaldo Dsouza to share update on our business and market outlook. Before we move on for question -and-answer session.

Reginaldo Dsouza: Thank you Nilesh . A very good evening, and a good day to all . Warm Greetings from team Anup. I am glad to be part of this call to share our performance on Quarter 3 and also provide a brief on the future outlook. As seen from the numbers presented by Nilesh . We have an unplanned Quarter 3 , with good consolidation on margins and better working capital management, helping our cash flows. I must say that the team at Anup has been doing a phenomenal job to maintain the momentum and consistent performance over the last three quarters into this financial y ear.

On the revenue for the nine

months ending December, we have posted a 47% growth at INR 393 crores with an EBITDA of 89.4 crores , which is 70% growth for the same period. Here , I would like to mention a fact that in Quarter 3 , we executed some free is suer material orders. Now, if you put that into numbers, it was equivalent to about 12 crores to our revenue. So, the 131- odd crores that you look at as revenue , apple -to-apple we should add 12 crores. So, it would effectively look like a quarter of probably (+ 140) crores , that’s mainly because we executed some free issue material orders in Quarter 3 . We had a healthy PAT growth of 89% at INR 60.4 crores. Also good debtor management and better advances ensur e that we maintain a very healthy working capital at 4.3 turns . On the industry wise, revenue for Quarter 3 oil and gas and pet chem is at 52%, fertilizers at 14% a nd interestingly hydrogen is at 33%.

On the product portfolio side, we have heat exchangers at 51%, reactors and vessels at 30 % and piping and spools and others at 15%. So, when you see this numbers, unlike the past, we see a more balanced product mix in Quarter 3 . Exports stood at 33% , which is very much in line with our guidance of 30% for the year. On the order booking side , I must say Q 3 was one of the best quarters with about 307 crores worth new orders booked, which makes the new order booking of 662 crores for the year. Of which 57% is exports s o that should be very encouraging for us as it’s in line with our guidance. This means a pending order book of 814 crores as we speak at the end of Quarter 3 . So, considering our plan for this financial year, and if we put the numbers together, we have an order book of 675 crores to be executed in t he next financial year FY 25. Now, this augurs ve ry well for us and perfectly in -line with our growth guidance of 25% to 30% for next year.

Also, with an average inquiry pipeline of approximately 900 crores on hand. We expect considerable order intake in t he coming months. We are actually now calibrating our new order intake for the year that is FY 26. On our new manufacturing facility at K heda . I am happy to state that we have dispatched yet another equipment of a pretty large size equipment weighing

approx imately 200 metric ton ne on time from this new facility. Also, an encouraging fact that we have about 150 crores worth of orders already booked for K heda plant to be executed in the coming period t ill next year. So, in short, all-in -all our Kheda plant has taken off very well in line with our expectations .

As conveyed during my last call , we have already started the work on manufacturing b ay extension at Kheda to complete the partial b ay built in phase one, we expect to have this operational in Q1 of FY 25. So, this means that we will have two full manufacturing base which would be approximately 10,000 square meters floor area at K heda . This will be available almost for nine months into the next year financial year.

On the sustainability initiatives w e have completed the one-megawatt rooftop solar installation at our Ahmedabad plant. It is expected to be commissioned in this quarter. Now with this operational and also the windmills that we operate, we should approximately have 50% requirement in Ahmedabad covered through renewable sources.

Taking this forward, we also intend to have a rooftop solar at K heda plant in due course of time. And also, as I mentioned on my last call we have also started the forestation project at K heda open land, because we have asked l and to create a g reenbelt and offset our carbon footprint.

On the market side, we see some encouraging continued investment plans in oil and gas, petrochemicals and also fertilizer and hydrogen globally. On the hydrogen business side, we are curren tly witnessing more opportunities coming from Blue H ydrogen, es

pecially from the Western part of the world. Coming to India at the recently concluded India E nergy Week Expo, the government 's clear emphasis on the roadmap towards energy transition. With a s trong focus on gas, petrochemicals, renewables and hydrogen economy was a confidence booster to us . We can surely hope for largest investment in the energy transition space.

On the supply chain, we are keeping a close watch on the geopolitical scenes arou nd, the current shipping challenges due to Suez Canal movement concerns, and also the volatile economic outlooks in various parts of the world. We are monitoring closely and are building our strategies around to de -risk.

To conclude, we 've had an encouraging nine months, and the momentum created with a good pending order book of 814 crores , along with a strong inquiry pipeline augurs well for achieving the growth plan of 30% for this year, and also sets the s tage for a similar growth in F Y25. I am confident , that with a good business visibility into the next year and a t the strength of a strong capability at Anup. And with the continued support from our reliable partners and suppliers, we will be able to deliver on our plans. My sincere th anks to all our hardworking, committed team members at Anup, our partners, our suppliers, and all our shareholders for standing by us and trusting the brand Anup. W e are ever indebted for your trust and support.

Thank you all for attending this call and for your patient listening. Happy to have your questions now. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Abhishek Singhal from Naredi Investments Private Limited . Please p roceed.

Abhishek Singhal: Sir my first question, how many orders have we won since January to till date ?

Reginaldo Dsouza: January of till date of this year right?

Abhishek Singhal: Yes.

Reginaldo Dsouza: Yes, so there has been no order finalization in this month January. But we hope a large portion of it to be finalized in probably next couple of weeks. So, we are working on as I said, right almost 900 crores kind of an inquiry pipeline. There were many exports, which were about to get finalized. But , because of the year end and the W estern part open up quite late into the year. So, we expect those finalizations to happen anytime in February and March.

Abhishek Singhal: So, what kind of order book are you expecting at the end of the financial year FY 24?

Reginaldo Dsouza: So, for the order book that we have on record so far we should be adding anywhere close to 100, 150 crores to that. And as I mentioned in my call, we are actually cali brating the order intake for FY26, as I am sure you understand that our delivery timelines for any order is average 11 to 12 months. And looking at our plan for next year and the pending order book on hand, we are calibrating it very cautiously, because for us on time delivery performance is of paramount importance. And that 's where I said that we are collaborating our order book for FY 26 actually now. Sorry to intervene, we need to keep some buffer capacity for short term shutdown jobs which we always keep about 5% to 7% kind of capacity booked for that.

Abhishek Singhal: Okay. And what is the impact of the Red Sea crisis on revenue and margin?

Reginaldo Dsouza: So, practically no impact for us, because largely the orders that we executed most of them had indigenous item procurement. And our deliveries were mostly either ex -works or FOB. So, from that perspective, I can confidently say we had absolutely no impact on o ur revenues or margins .

Abhishek Singhal: So, on FOB basis buyer immediately book revenue and delay for book ed ship?

Reginaldo Dsouza: So, most of our equipment's which have gone have already passed, loaded, and moved out of the ship,

and quarter four we h ave some of the equipment's were customer is already into booking the ship mode, and we should be able to move those equipment out from the shop. So, largely we were at a risk from the perspective of raw material intake. But we were able to maneuver that q uite well. And we were able to get most of our raw material within the time that we needed for project execution.

Moderator: Thank you. Next question is from the line of Atharva Bhutada from Purnartha . Please go ahead .

Atharva Bhutada: So, I have just two, three questions. First would be, will our revenue booking will be similar to what it has been last two years where March has been a heavy revenue booking in quarter?

Reginaldo Dsouza: Yes, so March definitely would be better than Quart er 3 for sure , because generally quarter four is definitely loaded. But to be frank with you, it will not be as in the past because if you have heard us we have tried to mai ntain a very consistent quarter -on-quarter performance through largely focused on t he execution side. So, it will be higher than Quarter 3 but not the kind of loading that you would have seen in the past. So, as I said we should be ending the year comfortably just over 5 30 crores .

Atharva Bhutada: And so, last quarter the order book was standing at 872 crores in October and right now in December it was 814 crores . So, have we increased our execution or taken a slowdown what's going on in the market?

Reginaldo Dsouza: No, I would not turn the word slowdown, largely if you se e as you know December is always slow month because most of the exports in Europe and US doesn't operate during that time. And also January early a couple of weeks we lose on that. But, having said that, this is a trend which we see every year. So, we shou ld see now the order booking as I mentioned 900 crores the inquiry pipeline which we have , which as per our timeline should be closed within next two months. And based on the strike rate, we should be able to book as I said 100, 150 crores comfortably .

Atharva Bhutada: Okay. So, there is one technical question. So, I just want to understand how do you all reduce your scrap because steel like stainless steel will be your biggest material and heavy scrap would also like cause a lot of problems in p roject d eliveries. So, how do you all manage to reduce the scrap project ?

Reginaldo Dsouza: I would not say we reduce, but what we do is as you know all our material procurement is project specific, we don 't have any common material probably which is just lying in stock and we use it for any project for every project once the order comes in and the engineering drawings are made there is something called as material planning which is done specific to that pro ject and based on that we procure material. So, for every project a plate while layouts are made, we upfront know when we have bought the material what would be the scrap percentage out of it, because we use the software to do the perfect lay outing on the plate. So, by and large, before even we start cutting the plates we very well know what is the scrap percentage coming out of it, because we try and utilize the plate to the maximum extent possible based on the shape and size of the components. So, it's n ot about probably reducing the scrap it is possibly probably of getting your yield highest possible depending on the shapes and cuts of the components.

Moderator: Thank you. Next question is from the line of Bhavya Sonawala from Samaasa Capital . Please proceed.

Bhavya Sonawala: So, just a couple of questions , the first, is it possible with reference to heat exchangers, are there any heat exchangers that we manufacture which don't kind of require any license and they are common in the industry?

Reginaldo D

souza: Sorry, can you just come again, please?

Bhavya Sonawala: So, basically, just trying to understand like how we have a license , the helix license for a heat exchanger , I am just trying to understand if there are any heat exchangers that don 't require particular licenses and are common for the industry to make ?

Reginaldo Dsouza: Yes, there are many in fact, so what I understand is , we are talking about referring to helix heat exchanges, where we have licensee tie up with Lummus Heat Transfer . So, I wou ld say yes, there are many common heat exchangers which do not need any specific licensee agreement. But having said that, your capability and your plan needs to be qualified with the customer to be able to do that. So, I would say on average in a year heat exchangers that we make only 20% to 25% would be licensed product and the balance would be the common heat exchangers with any of the qualified vendors into the customer list can bid for it.

Bhavya Sonawala: Okay , understood. And just a follow up on this, like you mentioned that only 25% of our order book is kind of with license. So, is that kind of countable number of licensees across the world where we can license them ?

Reginaldo Dsouza: Yes. So, that will be lot o f technologies which the licensor will license out. So, for example, helix heat exchanger, there's only one licensor in the globe, which is Lummus Heat E xchanger, but they have many licenses around, so similarly there are as you know we have three technologies where we have tied up one is helix heat exchangers , one is MFL technology for heat exchangers and one is polymerization reactor for reactors and vessels. So, there are many more such which are at the higher end of the segment. As I mentioned in my las t call too, we are in the process of discussions with those licenses to be on board to be able to make those complex equipment . It takes time of course to get qualified, but we are on that path.

Bhavya Sonawala: Okay, thank you for that . Just my last question , in our overall product portfolio if we remove the heat exchanger what kind of market size are we targeting?

Reginaldo Dsouza: In terms of numbers ?

Bhavya Sonawala: Yes, numbers in terms of how big the market is.

Reginaldo Dsouza: So, as I said , overall, the market that Anup Engineering that we are interested in. There could be something higher in the segment where we are yet not qualified and we wish to get into , but there is a very large component of product segment which is down the line wher e we don 't intend to participate, because they would be small in size , smaller in thicknesses and based on our kind of a capability put in place we may not be competitive. So, if you look at only the segment that

we wish to be part of it , roughly about 20, 000 crores annually is the kind of opportunity that we see globally and out of which approximately about 50% to 60% would be heat exchangers and balance would be reactors and vessels.

Moderator: Thank you. Next question is from the line of Vijay Kumar, who is an Individual Investor . Please proceed .

Vijay Kumar: My question is , what kind of order book we are seeing in Blue Hydrogen, and can you give some picture on the EBITDA margin on hydrogen side?

Reginaldo Dsouza: So, as I mentioned in my opening remarks, on the hydrogen side we see a great push you would have seen that almost 33% of our revenue for Quarter 3 came from that. Also going forward the order booking that we have we see largely export orders coming from Blue H ydrogen side on the Western side of the world largely United States of America and Canada. So, the equipment in those remains the same for us, as we are making today, there are a large number of heat exchangers , reactors and vessels. So, th at portfolio remains the same except that the designing is a little different

. There are some different specifications that we need to apply. But from capabil ity perspective and manufacturing perspective, nothing changes for us. So, we will have from product side heat exchangers , reactors and vessels. And on the EBITDA profile, we don' t see much profile changing between hydrogen and oil and gas and petrochemica ls or any other sector except that , we generally see a lesser number of competitor profile participating for those because you need to get qualified with those reputed customers. So, the number of people competing would be a little lower. But on the margin profile, we don 't see much change. So , short answer to your question, the EBITDA almost remains the same for us whether it 's hydrogen or oil and gas .

Moderator: Thank you. Next question is from the line of Aditya Agrawal f rom Ambit GPC . Please proceed.

Aditya Agrawal: Sir first is , wanted to understand what will be our current capacity utilization and what could be our CAPEX outlook for the next two, three- years?

Reginaldo Dsouza: So, when we talk about capacity for our kind of a business, normally we would talk about in terms of tons of fabrication that we can do. So, with our both facilities in Ahmedabad and Kheda , we roughly have about 15,000 metric ton nes kind of capacity. And the orders that we have are in the tune of 10 to 11,000 metric ton nes. So, we are roughly about 60% to 70% kind of capacity booking, we still can update about another 20% roughly to the capacity. In fact, as we said, we have already started the extension of our phase one where we had left one d ay manufacturing we partly build, so we are going to complete that , that would take about 15 crores to 18 crores so roughly about 18 crores kind of a CAPEX into the next year.

Aditya Agrawal: Understood. And sir the other question I have is, in terms of exports. So, currently it 's about 1/3rd about 33%. So, going forward, what kind of a number you are looking at would it be similar

to this or with hydrogen, the share going up probably exports could also go up forward from here?

Reginaldo Dsouza: So, this year we will end at about 30% around that number next year, we will be 40 % to 42% kind of an export company. And that 's sure because we already have full visibility of orders in front of us. So, pretty confident that we should end just above 40%?

Aditya Agrawal: Alright. And sir my last question is in terms of margins , the guidance that you have, so currently we are still at about 22 .5%, 23%. So, let say for FY25 -26 would it be in a similar range, or could this go up going forward?

Reginaldo Dsouza: So, as I mentioned, in terms of EBITDA percentage we would not see it going up too much. As we are growing, we will have to get into more and more product segments to fuel our growth aspirations and what we feel is , as I have given guidance that we would wish to grow at 25% to 30% growth rate with a (+20%) kind of EBITDA . So, that 's the profile that we want to maintain , growth along with a decent EBITDA.

Moderator: Next que stion is from the line of Ajayk umar Surya from Niveshaay Investment . Please go ahead.

Ajayk umar Surya : Sir, my question is on , sir if you can just explain us the order cycle like do we get the orders from PPP player or direct customers and also in which part of the cycle do heat exchangers get deployed on the refinery field s o, is it towards the end of the cycle or towards the beginning of the cycle?

Nilesh Hirapara: So, to answer your first question on the order booking cycle. So, any orders that we take on an average our execution cycle time is 11 to 12 months, that 's kind of a product portfolio we are in, of course if there are large size equipment's it may go even up to 14 but on an average it is anywhere between 11 to 12 months kind of an execution. And when do they get, and the custome

r profile , largely we get the orders from EPC companies or end customers. But having said this, if you look at probably a three- year average, you will find a 50%, 50% kind of a breakup that is 50 % from tender business, which is generally PSUs, in India like Indian Oil, BP , HPCL and others and 50% would be from either end users , direct end users or EPC companies. So, it fluctuates year -on-year but if you look at the three-year average you would find this kind of a breakout 50%, 50% kind of a breakup. When does the heat excha ngers go and actually get commissioned , in the project cycle of course the civil takes the longest time civil and other piping and others and probably the heat exchangers would go and sit in the plant. Of course, it would again vary because it will depend on the sequence of installation which part of the corner of that whole project depending on the accessibility , but largely I would say probably about one and a half year before the commissioning or a year before the commissioning is where the heat exchangers would go and get installed on the foundation .

Ajayk umar Surya: Sir you said that our heat exchangers get deployed during the end of the commissioning of any refinery and in the Indian context if I see the oil and gas CAPEX has been towards the last two,

three-year s have been p retty good. So, do we see any slowdown over there or what is that is giving us confidence of this 30% growth?

Reginaldo Dsouza: So, this confidence on the 30% growth comes from two fronts. One is, as I said, on the export side, the geographical spread that we are trying to get . If you have heard my calls in the past, the precise reason why we wanted to have this geographical spread is because we know this CAPEX cycle is cyclical in nature. So, having a larger spread would help us de-risk that simplicity, and all the efforts that we put into getting into exports are manifesting into real orders now, as I said 57% of our orders come from export. A nd what we are seeing is the projects and export largely on hydrogen account. And also, gas account is only increasing day by day. So, we see a lot of traction coming from United States, and a huge traction on the gas side from Middle East side. So, that's something which is fueling a lot of inquiries back home. And again, on the Indian context, as I said you would have heard the announcement in the India E nergy Week, the largest investment is going to be in the energy transition phase for next few years. That will be largely into doubling our refining capacity which India wants to do it befo re 2030. India wants to be a leader in petrochemical, so we are seeing a lot of pet chem plants coming up both in the public as well as private sector, we see a lot of PVC polysilicon , PTA plan ts coming up, which is a manifestation of that. And also, on th e energy transition towards greener side, be it in the hydrogen segment where we don' t have to do much difference it is the same product portfolio. So, for us getting into hydrogen business is a very seamless transition. So, on account of good visibility in terms of the projects globally, especially on hydrogen and the gas segment, and also back home. The projections and the investment committed by the government, we see a good traction on the investment, at least for next two to three-year s on oil and gas, petrochemicals and fertilizer side including hydrogen.

Moderator: Thank you. Next question is from the line of Romil Jain from Electrum PMS. Please proceed.

Romil Jain: I just had a couple of questions. One is , you guided about 535, 540 crores of roughly revenue in FY24. So, just want to understand, that would mean largely single digit kind of growth on a Y - o-Y basis in Q4. So, I understand we have met it will be more than 30% growth for the entire years. But is there any constraint or does any

thing stop us from growing faster in Q 4, or that will get accommodated in the coming years, which is FY25 . So, just if you can help us understand that?

Reginaldo Dsouza: I would say it's more about rationalizing our entire revenue for the year, with an equated quarter - on-quarter performance. And this is something which we have been talking about, rather than having quite a high spikes in quarter, we had planned the project planning was such that that we get a consistent performance on delivery, becaus e that is something very crucial to us. So, the quarter plan that I talk about is largely based on the contractual delivery dates of the order on hand to be delivered to the customers. So, it's largely based on the order input and the contractual delivery dates from the customers and also coupled with our execution in terms of how much we can execute in a quarter. And of course, this will see a little bit of change from next year onwards when Kheda really gets into full steam, which is expected to get into full steam from

quarter one with close to 150 crores kind of an order booked for that plant already, you see a change there from quarter one onwards.
Romil Jain: Okay . So, what kind of growth are we looking for the next two, three years in terms of top line?
Reginaldo Dsouza: So, we stick to our guidance of 25% to 30% growth that we are looking at and with a n EBITDA of +20%.
Romil Jain: Okay, got it. S ir, the next question is on the day that we are going to add at about 15, 18 crores. So, as you mentioned 15,000 tonnes metric tonne is the capacity right now, so, how much will this new CAPEX add in terms of the capacity ?
Reginaldo Dsouza: So, this 15,000, 16,000 metric tonne s on an average. Of course, it will again depend on the product portfolio that we choose, but it should take our capacity to about 16,000 metric tonne s.
Romil Jain: 16,000, okay. And lastly on the 12 c rores number in terms of revenue that you mentioned actuall y, I was not very clear on that, can you explain that part again ?
Reginaldo Dsouza: So, what happens is largely if you see our revenue generation would be on the order book that we take from the customers based on the material being procured by us, that is we buy the material and we execute the equipment. Now, there was one order from a reputed EPC in India, where the material was on free issue basis. So, what happens is the material content is given free of cost by customers, so the value that we see is only our value addition. So, we do all the work, we execute it, but it doesn 't reflect in the top line because the free show material content is there. So, just for an understanding of execution, whe re we stand it why that is like -to-like if you add , if the material was in our scope, our revenue would have looked like (+ 12) crores than what it is looking like today , it was like -to-like c omparison.
Romil Jain: Okay, that means material has been given by the client, and hence it doesn 't get reflected in our top line ?
Reginaldo Dsouza: That is correct.
Romil Jain: Any impact you see on the Red Sea going ahead in terms of exports, because our exports are increasing. So, maybe till now we have not seen much of an impact , but going ahead do we see anything ?
Reginaldo Dsouza: So, we have been talking to customers, in fact over the last mont h we had some results from the customers to discuss about it. So, the point is, even though our customers know the fact of this, customers know the fact that if they have to avoid this route , then they will have to take a longer route, they will have to book ships in advance. And they are already on the ir job. So, based on our deliveries, they are planning , they are shipping, either at Kandla M udra Port. So, it's a fact which is now known. It 's not a hidden fact, people know, and customers based on the

ir project

importance and what we understand from most of the customers is this project, their project is very critical to them in terms of execution, and they are willing to go out and look at alternate shipping arrangements to take these equipment's and be loaded there. Hopefully, this Red Sea concern s should go off quickly. But having said that, if it continues, then I am sure customers have got alternative options to take the equipment 's. So, all in all I don 't see based on my communication with the customer so far, that we should be impacted much. And when it comes to raw material imports, that's in our control. We are trying to indigenize as much as possible or buy from Asia , alternate options wherever it is available for us.
Moderator: Thank you. Next question is from the line of Prateek Giri from Subh Labh Research . Please go ahead.
Prateek Giri: Sir, needed a little bit of assistance in understanding the domestic , in understanding the order book numbers. So, in domestic this quarter, we have reported around 245 crores of order book. Vis-à-vis 259 crores last quarter , in September quarter this year. So , I just wanted to understand, should I add the D V SEZ order book also when I am taking domestic order book because I can see there's a good downfall in domestic order book from 330 crores in June quarter to 245 crores in December quarter. So, am I getting it right or?
Reginaldo Dsouza: You are comparing June versus Sept ?
Prateek Giri: No, I am just trying to u nderstand it sequentially. In June, we had 330 crores order book in domestic , then we had 259 a nd then this quarter we have reported 245.
Reginaldo Dsouza: You are reading right. So, the supply to a domestic market is higher than the order intake during this period. Yes, what you are saying is right, execution in the domestic is higher than the new orders. If you see in the June quarter, the export day and SE Z we were showing it combined. This time we had shown it separately. So, in 30th June 2023 , the opening order book was 319, which is now 570.
Prateek Giri: Okay , understood sir . So, I get that the execution for the quarter domestic business was a little higher. What , are you seeing any softness in domestic demand?

Reginaldo Dsouza: Practically, I would say no, of course it has not transpired into the order book, account directly. But there 's a lot of traction that we are seeing, from private players. To other big private conglomerate, we see huge traction in terms of order finalization s probably in February and March. That will be pretty good, and I am sure you will see in the results when we come out at the end of the year. On the R &D, on the PSU side, yes, because there was sudden rush of so many projects finalization we have not seen them in the past, but now we expect it to come because there are a couple of projects lined up. So, by the time the tender comes out, it is going to take probably three to four months of time that we probably get that order .

Prateek Giri: Understood sir. So, is it alright to conclude that there is some delay, but the demand i s still there ?

Reginaldo Dsouza: That's correct.

Prateek Giri: Understood sir, because even if you look at this quarter s domestic top line, it is actually lower than the last quarter because last quarter we did around 110 crores in domestic and this quarter we did 96 crores .

Reginaldo Dsouza: So, this is all the order s which we have booked in the past, so they have a particular contract delivery date. So, based on that, we are executing. So, depending on which projects CDD falls into that particular quarter, we can 't compromise because there will be otherwise LDs on it . So, so we go exactly by the contractual delivery dates, and that 's how it reflects

quarter -on-quarter.

But having said this , pure manifestation of the demand should be what 's the kind of inquiry pipeline that we are looking at , at any given point in time. So , if you have heard me even the last I said that we were around 900 crores to 1100 crores kind of a real time inquiry on hand. So, today as we speak also, we are about 900 crores of inquiries. Now, it 's a mixture of both export as well as domestic. That is on the car d, so it augurs well for us, as long as the inquiry pipelines which is looking good, based on our appetite for the strike rate, depending on our order book and the capacity, we take the call to take it in a particular month or no t. But overall, inquiry pipeline should give us a lot of confidence.

Prateek Giri: Understood sir, very helpful. M y second question on EPC a nd end customer is already answered. I heard that probably the mix is around 50: 50 on a two -year , three- year basis. Is that right sir?

Reginaldo Dsouza: Yes, so year-on-year it will change because sometimes you would find PSUs to be almost 70% and private customers and EP C 30. The next year you would just see the reverse. So, on an average three- year basis we would find about 30 plus, 50%.

Prateek Giri: Understood. A nd margin profile is again, is roughly similar ?

Reginaldo Dsouza: Yes, I said it's roughly similar , that's correct.

Moderator: Thank you. Next question is from the line of Atharva Bhutada from Purnartha . Please proceed.

Atharva Bhutada: I just had one question. So , since we are saying that, from the last three years , there is a 50 :50, between PSU and EPC. And because we need a lot of working capital, is there any cash flow in terms of getting money on time when we take PSU orders or are we seeing a lot of delays ?

Reginaldo Dsouza: No, we are pretty happy with the cash flows. We are getting our money 's on time, whether it 's PSU or private customers, we are working with most of the reputed customers globally, and we are getting our payments on time, both advances as well as final dispatch payments. And that 's exactly the reflection that you see on our working capital returns if you look at we have 4.3 tonnes in this quarter, which is I believe very good, if not the best, and that 's a pure reflection of collections of money and also receipt of advances.

Moderator: Thank you. Next question is from the line of Bhavya Sonawala from Samaasa Capital . Please go ahead.

Bhavya Sonawala: Just one question, when we talk about probably our e xpertise o f strength or the skill that we have , is it possible to explain the importance of design and fabrication is one more important than the other, if you can just throw some light on that ?

Reginaldo Dsouza: I would say both are important , because as I said we don 't have a standard product, we have every order that we get is a customized order sort of made to order to customer requirements. So, it all starts from engineering, which is an extremely , extremely important phase, because it is quite technic al in nature, you need to understand the details of the parameters that the equipment will operate in , which country it is located based on the ambient conditions that our parameters would change. So, design is definitely important a nd to add it to that , manufacturing because as I said this is a manufacturing which we make and the ASME code and we need to abide by all procedures and processes that align with that. So, the welding is extremely crucial , NDT that is you can't have any defects it has to be defect free. So , I would say engineering and manufacturing both are equally important for execution of the projects on time .

Bhavya Sonawala: Okay . And when we probably talk to our customers is it on these two levels engineering and probably manufacturing or is it one whole , is it like a particular order gi

ven as a whole, there is
no different two segments to it ?
Reginaldo Dsouza: No, we get a complete order right from engineering to procure of material , manufacturing and delivering to the point of their ca ll.
Bhavya Sonawala: Okay . And have we had any order where we have to only do the manufacturing and probably the design or the engineering part is given to us by the client?
Reginaldo Dsouza: Yes, sometimes we do especially when there is a repeat project l ike for example, if they have commissioned phase one or train one and they are putting an exact replica of the second then they would give us a drawing and then we would make as per that drawing . As possible, but I would say for 100 it could be one or two cases in that nature rest all we would be designing to fabrication to delivery.
Moderator: Thank you. The next question is from Saket Kapoor from Kapoor C ompany. Please go ahead.
Saket Kapoor: Firstly, sir for the Kheda part you mentioned that we are preponing , it has been mentioned in the press release that we are preponing the CAPEX, and we will be ready by Q 1 of the next financial year and order booking is to the tune of 1 50 crores , this understanding is correction sir?
Reginaldo Dsouza: Yes, order booking so far for Kheda is approximately 150 crores for next year.
Saket Kapoor: Yes, and what would be the execution period for the same ?

Reginaldo Dsouza: All would be in the 12 months period, so you should see a 1 50 crores kind of a turnover comi ng from Kheda next year.
Saket Kapoor: Okay. And that will cover our fixed cost sir, 150 crores ?
Reginaldo Dsouza: We will be surely profitable.
Saket Kapoor: Okay. Sir when we look at our Q -on-Q numbers , if we compare our December quarter with the Septem ber numbers, we find a dip in turnover, and I was just listening to your answer where in some of the order that we have executed there in we have not taken the impact of the material costs. So, that is the only reason why we have seen a dip in turnover fro m 140 to 128 crores or is the order mix that has resulted in the same?
Reginaldo Dsouza: Largely it is because of that, but historically also if you see and I am sure you would have heard me on the call that , Q1 and Q 3 this will be the two quarters which will be marginally lower than Q2 and Q 4, on a lot of things like in Q 1 it is more of holiday time right schooling and other, so we see an absenteeism of 30 %, 40% of the skilled labor. So, that 's the reason why Q1 will be a slight dip and Q 3 also because we have Diwali. So, the plant is shut for seven days of the quarter. So, Q3 and Q 1 historically and also going forward you will find it a little lower than Q 2 and Q 4, but not like what was seen in the past that we had a very large spike, we are moderated, we are planning such that we don't see a large impact. So, on that count, if you look like to like probably the Q3 has been better .
Saket Kapoor: Yes, sir whatever you have committed in terms of the vagaries in revenue quarterly basically that has now been evened out, and we are getting the same set of execution for quarterly basis given the minor aberration. So, thank you for that. So, for the year as a whole we are likely to close at 54 0 levels, this is what you have committed earlier in the call .
Reginaldo Dsouza: Yes, we are +530 so around that number.
Saket Kapoor: Okay. Sir , when we look at the last point on the other expenses part that has gone up Q -on-Q basis even on the lower revenue, so what explains this 4 crores increase in the other expenses ?
Reginaldo Dsouza: So, you are looking from Q 2 versus Q 2, or Q3 versus Q3?
Saket Kapoor: Q3 versus Q3, September '23 versus December '23.
Reginaldo Dsouza: Okay, so one major factor would be , so sometimes on some of the product which we sell, it is subject to a royalty. So, Helix H

eat Exchangers whenever we make a supply we have to pay a royalty. So, probably that 's the number which you see in our result and in Quarter 3 , we would not have paid much royalty as compared to quarter two.
Saket Kapoor: I missed the point ; can you please repeat once again ?

Reginaldo Dsouza: So, the royalty , so some of the equipment like our Helix Heat Exchangers whenever we make and deliver such equipment's we h ave to pay royalty to the licens or as that comes as other expenses .
Saket Kapoor: Okay. So, this was the case for this quarter, we have Helix Heat Exchangers being delivered.
Reginaldo Dsouza: That is one reason other than that power and fuel cost has gone bit up because Kheda operation

has reinstated well. So, these are the two major factor for higher other expenses in this quarter.
Saket Kapoor: And the finance cost part sir, that has also been quite a bit different number although very small base but if you could explain?
Reginaldo Dsouza: So, till now, on the loan part is Kheda plant was under commission we were capitalizing the finance costs as per the accounting standard, as Kheda plant has commiss ion that course is now coming to a P&L, right now the date is at roughly 40, 41 crores of which 20 crores is paid in the month of January. So, I assume that cost would come probably the 50% of what it is in Q 4.
Saket Kapoor: And lastly sir on the cost of material consumed to the revenue , this percentage depends on the order mix part but what should we penciling -in in terms of the cost of material consume to the revenue profile ?
Reginaldo Dsouza: So, based on the current product portfolio that we are execut ing, we should see it in the region of 50% to 55%. Of course, as we keep moving up, probably next year and year after we get into more and more niche segments, this percentage could go up. But as we speak, based on the current profile, it should be anywher e between 50 % to 55%, depending on the product portfolio.
Moderator: Thank you. The next question is from Naysar Parikh from Native Capital. Please go ahead.
Naysar Parikh: The first one is that, in your order book obviously, the domestic export mix is very different than what we have currently. So, just can you talk a bit about between domestic and exports in terms of the kind of product we are selling, or margin, et cetera is there a significant difference o r how should we look at it?
Reginaldo Dsouza: Yes, so on the export side, we largely see the orders coming in from hydrogen projects, Blue Hydrogen especially, and it is coming from the regions of the United States of Ame rica, Canada and Nigeria. That 's a major inflow w hen you look at the order book numbers, in terms of margins, I would not say that there 's much difference between domestic and export. But as I said, in the past two, exports always give us a percentage or t o better margins at the end of execution on two counts, one is the advances are better. So, advances are better as compared to domestic projects. So, we end up making some money there a nd also on the FOREX side, generally when we estimate we are conservative on the FOREX side, so by and large we tend to make money at the end of execution. So , at the order book level, both would look the same, but at the end of execution, yes, export would turn out to be a l ittle better than domestic.

Naysar Parikh: Got it. And y ou mentioned that there is obviously some slowdown on the order intake on the domestic side. And you obviously said that there are inquiries good. So, generally, can you just give, can you talk about like are you seeing that the next few quarters, we will see separate demand at the domestic side will take some time to catch up or how should we think about it . Because generally for others, we a

re not seeing this kind of a domestic order book slowdown, a t least on the capital good side?
Reginaldo Dsouza: Yes, so as I said there is a big inquiry pipeline even for domestic, especially for pet chem projects. And what we see based on our discussions with customers, we should be seeing them materializing in the month of March, pretty larger pieces of inquiry, the order intake should start flowing from March up till next month onwards. And most of it is coming from private players, large private conglomerates in India.
Naysar Parikh: Got it. A nd on the heat exchanger side what proportion of your revenue was generally replacements versus actually new clients , new orders ?
Reginaldo Dsouza: Again, would fluctuate year-on-year but, I can say probably about 7% to 8% is replacement rest goes for g reenfield or brownfield expansion projects.
Moderator: Thank you. Next question is from Saket Kapoor from Kapoor Company . Please go ahead.
Saket Kapoor: Sir, a small point in terms of how we closing this year, if we look at our quarterly performance, it has been more or less stable as reported also in Q 1 and Q 3 having a slight impact on the lower side. But when we just do the back envelope calculation, Q 4 last year was closer to something like 144 , 140 and this year also we are contemplating an execution of in a similar . So, what are the constraints , why are we not able to close the year on a growth rather than being very flat , if you could just explain that point ?
Reginaldo Dsouza: So, it is largely as I said earlier, it 's all about how we have planned at th e beginning of the year, we had a good overview of the entire booking for the year. So, we had a substantial order book position based on the contractual delivery date, we have planned the execution such that we don't land up into any delays. And that 's ho w it has been planned. So, we are very clear of, what are the kind of equipment's which are the orders that we are going to execute in Q 4. So, it's a pure reflection of the order intake and the ir execution capabilities. So, of course having said we could t ry but as we see this is what the number looks like based in the planning and the context of delivery dates of those equipment's .
Saket Kapoor: Sir, you spoke about strong order pipeline in the pet chem segment and also for the PVC part, sir if I heard you rightly ?

Reginaldo Dsouza: Inquir y pipeline, yes.
Saket Kapoor: Both for the pet chem and PVC segment?

Reginaldo Dsouza: That's correct.
Saket Kapoor: And sir so what kind of , what could be the size of the order that we may be bidding for these and these are long gestation period so for pet chem and PVC. So, if you could give some more color, what are we eyeing sir?
Reginaldo Dsouza: So, even for pet chem and PVC , the product portfolio that we deal with it will be somewhere around 11 to 12 months kind of an execution for us , because that 's a product portfolio segment we are in , the overall inquiry bank, as I said as we speak now, we are standing at an inquiry pipelin e of about 900 crores to be finalized in a couple of months period.
Saket Kapoor: Okay . So, on closing order book of 813 crores and an executable of 140 crores for the next quarter, we will be re placing our order book to that extent, what should we contemplate to close FY24, 31st March closing order book to be in the likelihood .
Reginaldo Dsouza: So, as I said we should be adding about 100 to 15 0 crores of order book based on the choices that we make, because we also have to take care of our deliveries. So, based on that, if you look at the execution we should be maintaining this pending order book position .
Saket Kapoor: We should be closing somewhere in this level only 820?
Reginaldo Dsouza: If you execute about 140 around and we add 140 so it will rema in the same, only thing

is , out of
which closed to about 700 should be executable in the next year and balance would go into the year after. So, we would maintain the growth trajectory that we mentioned. So, we should be comfortably doing 25% to 30% growth even next year.
Saket Kapoor: Okay. And does this includes 150 from the Kheda facility ?
Reginaldo Dsouza: That's correct.
Moderator: Thank you very much. That was the last question, I would now like to hand the conference back to Mr. Reginaldo Dsouza , for closing comments.
Reginaldo Dsouza: So, thank you. And I o nce again, take this opportunity to thank my wonderful team, the Anupites , I call them and to each and every one who has contributed to this performance. A big thank you to all of you, our shareholders for your trust and standing by our side a lways. Thank you, and on behalf of my team at Anup, I wish all of you a very happy, healthy and prosperous life ahead.
Thank you. Thank you so much. Bye , bye.
Moderator: Thank you very much. On behalf of The Anup Engineering Limited, that concludes this conference. Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

"The Anup Engineering Limited Q4 & Year -Ended
FY'24 Earnings Conference Call"

May 06, 2024

M
ANAGEMENT : MR. REGINALDO DSOUZA – CEO, THE ANUP
ENGINEERING LIMITED
MR. NILESH HIRAPARA – CFO, THE ANUP
ENGINEERING LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Q4 and Year Ended FY '24 Earnings Conference Call of The Anup Engineering Limited.

As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch- tone phone.

Please note that this conference is being recorded.

Before we proceed to the call, let me remind you that the discussion may contain certain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause actual results, performances or achievement to differ significantly from what has been expressed or implied in such forward-looking statements.

Please note that the Company have uploaded the Results, Pres s Release, Investor Presentation and also the Outcome of the Board Meeting on the website of Stock Exchanges and Website of the Company .

I now hand the conference over to Mr. Reginaldo Dsouza. Thank you, and over to you, sir.

Reginaldo Dsouza: Hi. Thank you. Hello, everyone. Warm greetings from team Anup. I am Reginaldo Dsouza – CEO at Anup, and I am glad to be part of this call to share our Quarter 4 and the Financial Year '23-' 24 Performance.

I must say, the year has been very eventful, challenging, rewarding and also very encouraging for our future. All thanks to our committed employees, especially my hardworking operators on the shop floor and also our supplier partners. Indeed, it has been a fairly decent year.

Coming to the Performance on our Quar ter 4, please note that all the numbers quoted by me are in INR :

The revenue clocked is Rs. 156.9 crores against Rs. 144.2 crores in Q4 of the previous year, means a growth of 8.8%.

EBITDA at Rs. 37. 3 crores as against Rs. 30.2 crores in the previous year, a growth of 23.7%. And a PAT of Rs. 43. 0 crores against Rs. 19.5 crores of the previous year, a 12 1% increase. If you discount and without the tax reversal, PAT is at Rs. 28. 5 crores, again a 4 6.5% growth.

Looking at the Year -End Performance of FY'24:

The revenue clocked is Rs. 550.4 crores against Rs. 411.3 crores of previous year, that means a growth of 34%. EBITDA at Rs. 126.8 crores as against Rs. 82.7 crores in the previous year, a growth of 53.3%. And a PAT of Rs. 103.5 crores against Rs. 51.4 crores, which is double that

of the previous year. Without the tax reversal, our PAT is at Rs. 89 crores as against Rs. 51.4 crores of previous year, which means a 73% growth.
On the Working Capital:
It has been good, and we are at our best average working capital of 4x. The cash was also managed well, ending with a net cash positive of Rs. 114 crores. Our on -time delivery performance, which has been the key focus for us over the years, was above 95%, which meant that we were able to meet most of our contractual delivery dates, thereby making our customers happy.
In terms of the Product Mix :
Exchangers still dominated in FY'24 at about 70%. Exports, including deemed export, was at 41% and pure exports stood a t 31%. In terms of the industry, Oil & Gas and Petchem still dominates the industry we serve, followed by Hydrogen and Fertilizers sectors. On the order booking, I think this has been one of our best. We booked new orders worth Rs. 853 crores for the year, which meant an opening balance of approximately Rs. 854 crores, of which around Rs. 700 crores plus will be executable in this year, FY '25. Interestingly, about 50% would be for exports.
We have had a few other strategic developments in the year, FY '24. Our new Kheda plant was made operational in June 2023 and has been doing wel

l over the last 3 quarters. Further, we have
also started the construction work on the extension of our existing bay in Phase-I. This will be operational in Q2 of this financial yea r, which will mean that we will have completed Phase-I with 2 complete manufacturing bays at Kheda, delivering about Rs. 150 crores plus revenue for this year.
As informed earlier, to increase our capacity for growth, we acquired a Company 100% down south in Tamil Nadu named Mabel Engineers Private Limited, which is predominantly into manufacturing of vessels and silos, thus complementing our existing product portfolio. We also started our design office in Vadodara, Gujarat in the month of March, with a strategic intent of being close to our customers since we have a large customers base out there. Also, on the sustainability initiatives, we completed our 1 -megawatt rooftop solar at Ahmedabad.
And along with our windmill, we now have 60% of our power requirements at Ahmedabad facility through renewable sources. This year, again, we have planned for installation of rooftop solar at Kheda facility also.
On the future market outlook :

We see some interesting projects, especially in Petrochemicals and also Fertilizers and Hydrogen globally. On the Hydrogen business side, we are currently witnessing more opportunities coming from blue hydrogen, especially from the western part of the world.
On the Supply Chain:
We are keeping a close watch on the geopolitical themes around and monitoring very closely and building our strategies around to derisk. So, indeed, FY'24 has been very eventful, exciting and quite encouraging. So, considering our decent performance in FY '24, we have issued a dividend of Rs. 15 per share and also a special onetime dividend of Rs. 5 additional since we have crossed a PAT of Rs. 100 crores for the first time. We are happy that we could do this.
Please note that in the financial results, we hav e shown EPS after considering the bonus issue shares, which was declared on March 20, 2024, and allotted on April 26, 2024. This was as per Indian Accounting Standard, that is, if number of shares increased as a result of bonus issue, the
calculation of ba sic and diluted EPS for all 3 periods presented shall be adjusted retrospectively.
As prices of shares are now ex bonus, we are required to show EPS considering bonus effect, that is, 2x of the number of shares.
As a result, you will find our EPS half of w hat it should have been if bonus shares were not issued.
So, to conclude, we had an eventful and encouraging year and the momentum created with a good pending order book of Rs. 854 crores and with a very healthy inquiry pipeline of close to about Rs. 1,000 crores, augurs well for achieving the growth plan of financial year FY '25 with a 25% to 30% growth and with an EBITDA of 20% plus.
I am confident that with the complete visibility into the year and at the strength of a strong capable team at Anup, and wit h the continued support from our reliable partners and suppliers,
we will be able to deliver on our plans. My sincere thanks to all our hard-working, committed team members, our partners, our suppliers and all our shareholders for standing by us and
trusting the brand, Anup. We are ever indebted for your trust and support.

Thank you all for attending this call and for your patient listening. Now I am happy to have your questions.

Moderator : Thank you very much. We will now begin the question -and-answer sess ion. The first question is from the line of Chetan Vora from Abakkus Asset Managers.

Chetan Vora : Would like to understand from a 3-year perspective now everything is getting into the place. So, how do we foresee to reach that Rs. 1,000 crores which we were earlier anticipating by the erstwhile management team. So, what are our views on that, sir?

Reginaldo Dsouza: Yes. So, Chetan, we stick to our plans that we had articulated last year that we should be an Rs. 1,000 cores Company in FY'27. So, this year, as you know, with the growth plans that we have and the visibility, we should easily cross the Rs. 700 crores mark. Next year, we should be close to over Rs. 900 crores and the year after, we should be Rs. 1,000 crores Company . So, we maintain our guidance of 25% to 30% growth with a decent EBITDA. We have done all the groundwork. As you know, we have put the capacities in place. And with the acquisition of Mabel, it gives an additional capacity buildup geographically an d also to grow our turnover towards the Rs. 1,000 crores mark.

Chetan Vora : So, that Rs. 700 crores what you mentioned this year, that includes the Mabel numbers also? Or it will be organic growth? Rs. 550 crores to Rs. 700 crores plus Mabel?

Reginaldo Dso uza: Yes, it will be an organic growth.

Chetan Vora : And plus, Mabel, whatever they do, Rs. 50 crores, Rs. 60 crores, correct, for FY '25?

Reginaldo Dsouza: That's correct.

Chetan Vora : So, you are saying that by FY '26, you will be seeing a revenue to reach Rs. 900 crores and basically, the quarter rate should be able to give us the confidence that we should be doing Rs. 1,000 crores of revenue, right, sir?

Reginaldo Dsouza: That's correct. So, in FY'26, we will be very close to that mark, but we will touch that margin in FY'27.

Chetan Vora : And how should we think on the margins front, sir, because Mabel is having margin profile which is close to likes of Anup, so how do we see the margin on a blended basis?

Reginaldo Dsouza: So, even as we grow, Chetan, we would be targeting the (+ 20%) kind of an EBITDA, though as we move up the metallurgical complexity, there would be increase in the raw material pricing, but our whole game plan is to grow at that rat e with a decent EBITDA margin of 20% plus.

Chetan Vora : Right. And did you say today that Kheda will be contributing Rs. 150 crores of revenue in FY'25, right, sir?

Reginaldo Dsouza: That is correct. Because we don 't have the full year, next year, that wil l contribute Rs. 200 crores.

Chetan Vora : Okay. Next year, it will be Rs. 200 crores. And that will be at full capacity, right?

Reginaldo Dsouza: That's correct. Because next year, we will have the complete 12 months at our disposal.

Chetan Vora : And then what about the next level of expansion of the third Bay and fourth Bay?

Reginaldo Dsouza: So, once we have done this extension, which will be commissioned in Q2 of this year, we will be initiating the next plan of expansion somewhere in end of this financial year, which will be either 1 way or 2 ways as the case may be, but surely one way.

Chetan Vora : In the presentation, it was mentioned that the second Bay will be commissioned in quarter 1, but it is Quarter 2 , yes?

Reginaldo Dsouza: Yes. So, it will be completed in quarter 1, but production with all the machineries and other set, we will kickstart in Quarter 2 . Production will kickstart in Quarter 2 .

Chetan Vora : Right. Wish you all the very best.

Reginaldo Dsouza: Yes thanks. And just in addi tion. As you know, in Kheda, the advantage for us is that we have set up all the utilities around in the first Phase-itself. What we need to add now going forward is only the pure manufacturing bays. So, that's the reason we are timing it correctly.

Modera tor: Next question is from the line of Abhishek Singhal from Naredi Investments. Please go ahead.

Abhishek Singhal : Regarding CAPEX , how much of CAPEX was done in FY '24 and what is CAPEX plan for FY'25?

Reginaldo Dsouza: Sorry, what was your second question, if you may please repeat?

Abhishek Singhal : How much CAPEX was done in FY '24? And what is CAPEX plan for FY '25?

Reginaldo Dsouza: Yes. So, in the earlier expansion of Phase-

1, as we said earlier, we had done a CAPEX of approximately Rs. 120 crore s. This extension would cost us about Rs. 18 crores to Rs. 20 crores, which we are going to commission in Q2. We don't have any further expansion plans, except

the small CAPEX for this year. Maybe that once we initiate Phase-2 construction, which will be
the CAPEX , which will impact us next year. So, this year, we do not have any large- scale
CAPEX plan yet.
Abhishek Singhal : And second question, what is effective tax rate for FY ’25 because in FY’24, our tax amount is low?
Nilesh Hirapar : It will be 25 %. It may have credit of tax charge of earlier years subject to admissibility of various claim on account of demerger (not a refund). If allowed, it will reduce to that extent.
Abhishek Singhal : 25?
Nilesh Hirapar : Yes, 25.
Moderator : Next question is from the line of Neerav V. from ASK Investments. Please go ahead.

Neerav V : Would it be possible for you to help me understand how big can be the opportunity for us coming from the Hydrogen segment? If you can help me understand the opportunity size?
Reginaldo Dsouz a: Yes. So, just to give you a perspective of the pending order book of Rs. 854 crores, roughly about 20% to 25% comes from the Hydrogen business. When I say Hydrogen, largely, these are blue hydrogen projects, not huge on green yet, but largely on blue hy drogen projects. And what we foresee in the next couple of years, we can see this trend moving forward, close to about 20% of our business coming from Hydrogen, especially blue.
Neerav V : Sir, my question was if Rs. 100 of CAPEX was being done for blue Hydrogen plant, what can be our scope of work?
Reginaldo Dsouza: So, on the overall project value, roughly about 2% would be our scope of work. And out of which, depending on the competition, how much we can win will be based on our win rate.
Neerav V : Would it possible for you to help me with the order inflows that you have booked in FY ’24?
Reginaldo Dsouza: Rs. 853 crores.
Neerav V : You mean to say order backlog and order inflows is practically the same at around Rs. 850 crores?
Reginaldo Dsouza: Almost the same, because if you remember, we opened the year at Rs. 530 crores. Of course, that was on a costing rate than we have. So, that’s how you see the opening almost the same as our order book. And that ’s how we target also every year. Whatever is our plan for the next year, we try to book it into this year. So, as on 1st of April, when we open up a year, we have the full complement of order book on our hand.
Neerav V : Sir, my other question is pertaining to margin trajectory. You stated that the ta rgeted EBITDA margin is 20% as you are aspiring for Rs. 1,000 crores revenue. My question is that if I look at the Hydrogen CAPEX , this is the CAPEX which is done by the largest industrial houses of India. And these companies are very tight in terms of ordering, and they have a history of not allowing their vendors to make higher margins. So, on what basis are we able to, I can say, demand higher margins of almost 20% from these really large conglomerates who really have a very strong handle on the project cost in part?
Reginaldo Dsouza: So, when we look at our business potential, we look at global. So, when I said that 20% of our pending order book is blue hydrogen, and this is almost, I can say, 100% is exports. So, what we are seeing largely on the hydrog en intake is the blue hydrogen coming from global market, especially on the Western side, U.S. and Middle East. India, I think as per our understanding, it will be more focused towards green hydrogen, which will take some time because there are lot of pilo t projects coming up right now. So, when we talk about the margin profile and the business potential, it is global. And as I said, of this pending order book of Rs. 850 crores, close to about

50% of this year ’s execution will come from exports. So, that’s where we have an edge in terms of margin profile.
Neerav V : Sir, do we also have to ship our products to the plant location? Like what I am trying to understand is there can be a potential impact on the elevated or higher logistics cost?
Reginaldo Dsouza: No. So, most of our projects, the POs are ex -works for domestic largely. If it is exports, it is freight onboard FOB up to the Indian port. We do not book orders at site for exports.
Neerav V : Sir, my last question. If I broadly look at our gross margin profile, it has continuously hovered around 50%. So, I wanted to understand the order backlog that we have of Rs. 850 crores, is this order backlog with a fixed price contract? Or there is a pass -through clause in it?
Reginaldo Dsouza: Thanks for the question. So, these are all fixed price contracts. We do not have any price variation clauses in our contracts. So, these are all fixed. We estimate and that ’s the reason more so the gross margin prof ile almost is a certain deal.
Neerav V : So, do we hedge material? Or how is it?

Reginaldo Dsouza: Yes. So, what we do is, as you know, since it 's a project environment, we have to buy materials specific to our project. We can 't have anything in stock. So, what we do is before preorder, we largely, for critical projects, have sort of an understanding with our supplier base. And the moment we receive the order, within 6 to 8 weeks is where the POs are released to our sub - vendors. So, it's a question of 4 to 6 weeks where between our PO to the PO to our sub-vendors, where largely, we don 't see that kind of a fluctuation in normal circumstances. Of course, we had our challenge during COVID times, which were uncertain, unpredictable. But in normal circumstances, we are fairly good on ordering.

Moderator : Next question is from the line of Kunal Shah from Carnelian Capital. Please go ahead.

Kunal Shah: Just a few questions. One thing was our order book of Rs. 850-odd crores comprise good amount of orders on the export front, almost like Rs. 500-odd crores. So, if you could help understand in the first place, how is the market scenario looking like both on the export and the domestic front? And within the export front, any particular geography where we are seeing a lot of tailwinds, which is helping us build this order book would be really helpful on the order book side.

The second question is on the cash. So, while our CAPEX requirement is only to the tune of Rs. 20-odd crores, Rs. 25- odd crores, you have a cash of about Rs. 100- odd crores. So, I would like to have your thoughts on how do you go about deploying this cash? And the third question was for Nilesh ji on tax part. So, if you could help understand what was this adjustment tha t has happened in the current quarter and whether the tax rate would continue going forward to be at

25% odd rate? Or since it is everywhere, we have some kind of benefit out there, how would the total tax rate look like in the coming years?

Reginaldo Dsou za: Thanks, Kunal, for the questions. I will answer the first part and then hand it over to Nilesh. So, on the export and domestic, so being frank, in domestic, we see a little bit of low traction. We see more traction on the export currently. So, the expo rt order backlog that we have, this comes largely from United States of America. Some in the Middle East, especially Saudi and Abu Dhabi. These are the two regions where we see a lot of projects coming in. And a big chunk of orders coming from Nigeria and Australia. So, overall, I would say, U.S. and Middle East is a focus area for us because we see a lot of traction on new projects in these areas.

Kunal Shah: And this is largely to do with the Oil & Gas industry or even the order pipeline, wh

ich you mentio ned largely comprises of exports? Or if you could give a general sense on that also would be helpful really.

Reginaldo Dsouza: Yes. So, largely, we see the traction on Petrochemical side. And in terms of the order book position also, if you see, more of the pending order book is coming from the Petrochemical side as compared to Oil & Gas.

Kunal Shah: And it will be right to understand that basically the exports market will have much better margin profile compared to the domestic market. So, generally, as the execution of the exports market kind of pick up, right, the margin profile probably will be better further from here on? Or how should one look at that? While you did allude to looking at EBITDA margin of 20% plus, but we have clocked 50% gross margins in the current quarter and 48% gross margins for the whole year, with the EBITDA margin at 23% for FY '24 ?

Reginaldo Dsouza: Yes. So, on the margin profile, see, when we go at the booking stage, we don't see that kind of difference between the export or d omestic. This I 've been mentioning in the past. What happens is when we book the order, we are a little bit conservative on the FOREX side because we need to build that risk into our costs . But over the years, we have seen that more than many we found that we benefit on the FOREX side.

And that 's how at the end of execution, the export orders tend to be more beneficial. And to add to that, it also helps us on the working capital side because the exports order, we generally see better advances as compared to domestic. So, that gives us a little bit of an edge in terms of our working capital.

Kunal Shah: And any thoughts on cash utilization, maybe how do you see that?

Nilesh Hirapara : Yes. Out of Rs. 100 crores, we will be paying a dividend to the tune of Rs. 40 crores, Rs. 30 crores, Rs. 35 crores will be paid to Mabel and the rest of CAPEX . So, like these are the three items where we will consume the entire Rs. 100 crores.

Kunal Shah: And Nilesh ji, on the tax side?

Nilesh Hirapara : Tax rate, we will have a general rate of 25% as a tax percentage. These are the refunds which are pertaining to the aspects of certain claims we know as a demerger of Anup from Arvind originally. So, a bit conservatism

would build where the expenses provided in the P&L and
refund claim was filed with the government. And we have just received the refund, and this would be probably the last tranche of refund which we were supposed to receive from the government. Going forward, the tax rate would be in the range of 25% to 25.2% as a percentage of PBT. It may have credit of tax charge of earlier years subject to admissibility of various claim on account of demerger (not a refund) . If allowed, it will reduce to that extent.
Kunal Shah: Just one question if I may pull in . On the domestic side, you mentioned that you're seeing a little bit of slowdown. If you could just allude a little bit pertaining to the domestic side slowdown?
Reginaldo Dsouza: No, that 's largely because we have seen the last 2 years, lot of projects are hitting, hitting, hitting the ground, especially from IOCL, from Nayara Energy, lot of domestic projects. So, what happens is these are long commissioning kind of projects. So, once they hit the ground and commission, then the next cycle of proje ct. And that 's the reason you always see the cyclicity in terms of project investments. So, I am sure that by the end of this year, investments are going to restart again with a lot of projects already outlined. We know 3 or 4 projects, which are already going to hit the ground probably in 3 to 4 months of time. So, this is only a short phenomenon that we are seeing. It will surely be up and runn ing probably 6 months down the line.
Moderator : Next question is from the line of Bhavya Sonawala from Samaasa Capital. Please go

ahead.
Bhavya Sonawala: Just have 1 question. You've spoken about us getting in the skids and modules going ahead as a longer -term vision. Just wanted to know if you can speak a little about it? And if there is any kind of already technology or design already there, just like how in the heat exchanger. So, is it similar like that? Or do we have to make our own de sign and where are we in this whole process right now? If you can just throw some light on that.
Reginaldo Dsouza: Yes. So, I did mention on the previous call that we see a visibility of getting into skids and modules in 2 to 3 years kind of a time frame. That is precisely where the Kheda Phase- 3 construction is going to help us. That is designed for those kind of equipments. These are nothing, but these are the equipments that we already make. But rather than supplying these equipments to the site and getting installed at the site, these are fabricated in the shop, they are attached to a structure in the shop and the whole structure moves along with the equipment to the site for quick fix kind of an installation.
So, what it means is broadly the installation and commissioning cost at the site, which is generally very high, tends to reduce when you have these modules built in the shop. So, as I mentioned earlier, we need to build our capabilities for being able to make the skids. We are already in that pr ocess. We had recruited a couple of engineers 6 months back. We are into that

process. It is going to take some time before we actually start making them. And our plan on the growth journey is to be making skids and modules 2 to 3 years down the line, and we are on track for that.
Moderator : Next question is from the line of Prateek from Subh Labh Research. Please go ahead.
Prateek : I was just curious to understand since the slowdown in our domestic order book has been continuing probably since last 7 quarters. I was trying to understand in this Rs. 1,000 crores order book pipeline, how much of it is domestic? Because last quarter, we had this understanding that probably the domestic market will also pick up. But I think that has not happened yet.
Reginaldo Dsouza: Yes. So, of the total inquiry pipeline, approximately Rs. 350 crores is for the domestic, which is much better than what i t was. So, it is improving. And as I said, 5 to 6 months is where we see a clear push on to the domestic projects. So, as I said, we were in the execution phase. So, if you remember, last year, we executed the largest order of Rs. 100 crores for an IOCL jo b, single order, which just got completed and we dispatched all of them in the last financial year.
And those are the kind of large -scale projects which once get commissioned, then the next phase of investments come in. So, we are very confident that the d omestic market is going to pick up.
And more so, you will have seen our focus has always been, I mentioned in the call that we would like to keep exports also much higher than our historical percentages. Our historical percentages used to be about 10% to 15% of exports. We wanted to have that geographical
spread and take exports to about 40% to 50%, more importantly, because we wanted to beat this cyclicity in terms of investments in a particular region or a country. And that's, I think, precisely where things have worked for us. That focus of a strategic shift in having sort of 40% to 50% exports is actually yielding benefit and showing in the results of our order booking.
Prateek Giri : Certainly, Mr. Dsouza. I would like to congratulate you there because the kind of pickup we have shown in our exports order book is quite appreciable from Rs. 100 crores to probably Rs.
488 crores this quarter. My second question, Mr. Dsouza, is given the slowdown in domestic order book, do you find enough order pipeline to take care of our growth for at least FY'25 or
F

Y'26 even b ecause FY'25 is already taken care of. So, if this slowdown continues, do you see enough opportunities in the exports market?

Reginaldo Dsouza: Yes. So, FY'25, as you rightly said, we already covered for FY '25. Over and above that we have Rs. 150 crores pl us already booked for FY '26. As I said, we have an inquiry pipeline of close to about Rs. 1,000 crores, of which about Rs. 650 crores are on the exports side. And then given our strike rate of close to about 20%, that 's what we wish to maintain and not go ahead for the profitability sake. So, we see this Rs. 900 crores to Rs. 1,000 crores kind of inquiry pipeline rolling at a real -time basis month -on-month. So, the kind of project visibility that we are seeing, we are v ery confident that this inquiry pipeline will continue. And given our strike rate, we should be able to book the orders.

Prateek Giri : Lastly, on this Mabel acquisition, which is in Tamil Nadu, I was curious to check, are we getting any technical capabilit y there? Or is it just land and the CAPEX , I mean, the capacity expansion is what we are getting from there?

Reginaldo Dsouza: Yes. So, Mabel is predominantly into manufacturing pressure vessels and the silos. Now silos is something which has enough engine ering we are not qualified into making. So, that gives us an added product portfolio to make silos for our Oil & Gas and Petrochemical sectors and the geographical spread also helps us to do execution at site. So, in short, Mabel engineers has got 2 pluses . One is silo manufacturing, and second, they have the site work expertise, which we do not have. And that was the strategic intent with which we have acquired that plant.

Prateek Giri : And sir, in silos, the margin profile is similar to what we are curren tly working upon, I mean, 20-plus percent? Or is it a high margin or a lower margin?

Reginaldo Dsouza: No, it 's not (+ 20). It 's in between 15% and 20%, depending on the customer base and the kind of equipment profile, meaning metallurgy when I say equipment profile. So, it will vary between 15% to 20%.

Prateek Giri : Just one last if I can squeeze in. In this domestic slowdown, there 's no market share loss for us. I mean, we are still more intact with the market share we have, which is not public, I understand.

Reginaldo Dsouza: Yes, absolutely. In a sense, it has not impacted us at all because earlier we were focused only on domestic. Now with this export focus, 50% of our order booking is taken care of by that. So, I would say, it is more of a choic e to be a 50%, 50% kind of a business profile to derisk ourselves from cyclicity.

Moderator : Next question is from the line of Abhineet Anand from 3 P Investment Managers. Please go ahead.

Abhineet Anand: The first being on Mabel numbers. Can you help us w ith the numbers for the last few years, how has it grown in the last 3 years on the revenue side?

Reginaldo Dsouza: So, in the last financial year, they were about Rs. 50 crores plus with an EBITDA between 15% to 20%.

Abhineet Anand: And any growth numbers that they would have done in the last 3 years? I mean, is it steady at 50%? Or was it a 15%, 20% growth type of story?

Reginaldo Dsouza: They 've grown between 10% to 15%. Largely, I would say that they 've been operating in a single shift an environment. So, we have a larger potential to grow it quickly. So, once we get into the real drive, we will be able to book more orders for those particular product portfolios that they are into and also add the product portfolios of Anup, which are smaller in size, which

we normally would not be able to do it at Ahmedabad or Kheda facility, we would be targeting at Mabel.

So, the whole strategy going forward is to continue making silos the special products that they have, plus add Anup

's product portfolio suitable for that particular plant. So, that's the reason for this year, we have a plan of about Rs. 50 crores to Rs. 60 crores, which is going to continue from where we bought it and then probably we will get into expediting the growth from next year onwards.

Abhineet Anand: And secondly, you see your medium -term plan of Rs. 1,000 crores by FY '27. And then you have talked about skids and modules that capability that you will develop over the next 2, 3 years. So, that skids and modules part that you're talking about, is it surely beyond the Rs. 1,000 crores, which can still give us a 15% or whatever percent type of growth, right? Is it a fair assumption to be made?

Reginaldo Dsouza: That is correct.

Abhineet Anand: And last one, I mean, your EBITDA margin this year was around 300 basis points higher than last year, out of which, 200 basis points has come from gross margin. So, obviously, while you always come in 20% plus and now 23% that we have done this year, but I mean just as the '25, '26, which side will it tilt towa rds, whether it 's 20% or 23%, any qualitative will work as well?

Reginaldo Dsouza: No. Actually, what happens is, see, as we grow and book orders, right, with the same capacity, as I explained in the past, too, with the same capacity, when I say capacity, it's tons of fabrication that we can do from a plant. If we have to grow the revenue, the only way to do it is gone up the metallurgy or complexity chain of the equipment. And when we start doing that, the raw material content as percentage keeps moving up . So, it's all about how good or how well your procurement strategies work, how well are you able to save on your estimated raw material. So, it all depends on the favorable conditions in terms of commodity pricing, too. And while we say always that we wan t to grow at a 25% to 30% rate, along with an EBITDA percentage of 20% plus is because we could pick up orders, - as I said, our strike rate is only 20%, we could make that strike rate to 30% by compromising a little on margin. But we are very watchful tha t as we grow, we are also remaining profitable.

Moderator : Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : A lot of my questions have been answered. Just so on a different side of mode, I wanted to as k that around Rs. 750 crores of orders we are hoping to execute this year. So, would it include Mabel order book? Or how would it be?

Reginaldo Dsouza: So, as we said earlier, Rs. 700 crores is something that we are looking from Anup, and that is our Ahmedabad and Kheda facility, and Mabel would be over and above that. So, roughly, we are expecting anywhere between Rs. 50 crores to Rs. 60 crores from Mabel.

Darshil Jhaveri : So, just asking because you have given a very good guidance of 25% to 30%, but just the way I look at it, are we being a bit on the cautious side, and I feel we could maybe overperform our guidance. Is that a fair way to look at it? If that is the possibility of doing that because we have a good order backlog and a new acquisition coming in. So, will that be fair?

Reginaldo Dsouza: So, this guidance broadly is based on the execution philosophy that we have and the execution capability. So, this Rs. 850 crores of pending order book could h ave been much larger if we wanted to. So, we have been calibrating our order intake very, very carefully and cautiously because, as I mentioned earlier, too, our business mantra is very clear that we should deliver on time because 70% of my orders come fro m repeat customers, and I need happy customers to be on our side.

So, we calibrate even in good times when there could be a large amount of order inflow possible. We calibrated suitable to our execution philosophy of ensuring that every project is delivere d on time. And that is how we have don

e it in the past and that is how we are projecting the future of 25% to 30%. The market was fantastic over the last couple of years. It is going to be good for the next 2 to 3 years we know. So, from the order booking side, it shouldn 't be a challenge, but it is more about execution because, as you know, this is a project environment and every order that we take has to start from ground zero, that is starting from design. No 2 equipments are standard or common. And that's where the challenge is that the whole value chain, right from design to procurement to manufacturing and delivery is always starting from zero for every project. And our experience says that this is the rate at which we 'll be able to maintain the execut ion philosophy intact and keep happy customers. So, that's the reason we are growing at this very cautious pace.

Darshil Jhaveri : Thank you so much for the detailed explanation. That 's it from my side.

Moderator : Next question is from the line of Naysar Pa rikh from Native Capital. Please go ahead.

Naysar Parikh : Just a couple of questions. One was broadly, can you give the sector mix for this quarter? And what sectors domestically are you seeing doing well relatively?

Reginaldo Dsouza: So, this quarter and probably the answer would remain same even for the year. The Petrochemical sector is something that we are seeing is coming a big way. Of course, in the exports side, it will be more on the hydrogen side. But for domestic, it 's more on the petrochemical an d fertilizers side.

Naysar Parikh : And just going forward, obviously, you mentioned the domestic sector, and some obviously , weakness there. But are you seeing that it 's increased competition, that is why in order to maintain your profitability that there 's some weakness in our order book? Are you just not seeing those many orders flowing through?

Reginaldo Dsouza: It's more about, I think, calibrating our order intake and our aspiration of moving more into exports. And that 's what is manifested in our pending order book position as well. So, this little bit of slowdown that I 've spoken about, that 's nearly because the large scale of projects was in the implementation Phase-from IOCLs and other PSUs. And now gradually, we are seeing lot of other projects now being announced. And 5 to 6 months, as I said, we see a large junk of projects coming up our way for bidding.

Naysar Parikh : Okay. And on the exports side, it 's all direct to clients or are there any distributors? And the net working capital, does exports need more investment in NWC?
Reginaldo Dsouza: What we get the orders are mostly from EPC contractors. EPC contractors are like, I will name a few, just for your understanding, Tecnimont, Technip, Air products, Toyo, so all these are EPC contractors. And we have years of relationship with these EPC contractors. So, we get direct orders from EPC contractors to be supplied to the end user.
Naysar Parikh : And NWC is any additional investments generally needed in exports?
Reginaldo Dsouza: No, absolutely not. In fact, as I said earlier, working capital is a little better when it comes to export because we have larger advances to the tune of 35% to 40% advances as compared to domestic. So, we are better off on the working capital side.
Modera tor: Next question is from the line of Ajay Kumar Surya from Niveshaay. Please go ahead.
Ajay Surya : Sir, my question is, sir, can you provide a breakup of your export between the geographies, between U.S.A., Middle East, Nigeria and Australia? And further question on that, sir, what is the global competition intensity between players like us and Alfa Laval or Kelvion or Escher? So, how is the competition intensity currently over there, if you can provide a view on that?
Reginaldo Dsouza: Yes. So, answering your first question, of the total export orders pending, roughly

about 40%
comes from United States, around 30% would come from Middle East and balance 25% would come from Southeast Far East. Southeast Far East, when I say, I would include Australia in th at.
Ajay Surya : And sir, on the competition intensity level playing between players like Alfa Laval, Kelvion, so how are we competing against them? Like is it because of the cost advantage that we have or is it because of the better technology? And how is the competition intensity among those players and us?

Reginaldo Dsouza: So, on the competition profile that you mentioned, we hardly compete with these competitors. So, there are a different set of competitors in India and global, largely because we are on to heavy fabrication side. So, we have a product portfolio, which is in a mid-segment. If you put it as Tier-1, Tier-2, Tier-3, we are in the Tier -2 kind of a product segment, which are upwards of 30 tons kind of fabrication. So, we don' t deal largely on the lower side.
Ajay Surya : So, sir, who are we competing against?
Reginaldo Dsouza: So, in India, as you see, it would be more about AZTEC, L&T, Godrej. That 's the set of competition that we play with.
Ajay Surya : No, sir, my question is for the export side. Like in the export market, who we would be competing against, like Indian players or local players from there or any global MNC and if you can name them?
Reginaldo Dsouza: So, for exports, largely today, we see in this static process equipment, most of the orders are released in India, Indian manufacturers. So, we see these competitors even for exports. Also, there are European competitors in Italy and others. But now because of the heavy energy cost, we don't see too heavy competition from there. Chi na, yes, in limited regions and for projects, we see competition. But largely, I would put it as that whatever inquiries that we get as Anup Engineering, we see large competition only from Indian players. We hardly compete with foreign players.
Ajay Surya : Sir, my next question is on the hydrogen side, sir, because we are seeing a good chunk of our order book from the hydrogen side. Sir, do we have any tie -up for technology? Or sir, how are we progressing on this side? Like why are we able to get such a hig h chunk of order book from the hydrogen side? If you can just give any view like why is Anup getting such huge traction?
Reginaldo Dsouza: So, frankly, we do not have any technology part specifically for Hydrogen business. And to the question why we are getting orders for Hydrogen for such heavy stuff, it is mainly our past track record. So, any customer who wants to place inquiries and subsequently purchase orders for these kind of heavy equipments, they will check your credentials in terms of your past experiences. And touchwood, we have over the years of our existence, created a lot of PTRs that they call, that past track record, where we build very, very heavy equipments which serves as our testimony. And that gives the confidence to customers that we could deliver.
And moreover, all these customers that we get these orders from, we have been working with them for many years now. Average, I put it as that we would have worked with them for 5 to 7 years now constantly delivering critical large -scale projects for them. And then that is how we tend to get repeat orders for various sectors that they get into.
Ajay Surya : Sir, just a clarification because you said that you get most of your orders from EPC, so the comment on will you get repeat orders from your customers, so it would be a big EPC player or

the end IOCL or Nayara Energy, so those kind of players. So, just a clarification on that. Our

repeat customers will be the EPC players or the end customers that they would be serving?
Reginaldo Dsouza: So, when you take it from Indi

an context or the domestic context, of course, all the PSU
companies would have direct tenders, right? So, we bid on tenders directly. Whereas for all the private players, on most of the occasions, EPC contractors. So, it would vary year-on-year. But overall, say, a 3 -year horizon, if you have taken average, it would be sort of 50% to direct customers and 50% to EPC contractors.
Ajay Surya : Sir, last question. Sir, I was saying that even because we begin in shell -and-tube type of heat exchanger. And even in the industry, there is a strong preference of air and cold and even plate heat exchangers are currently gaining a lot of traction. So, how do you see the overall heat exchangers market? And do we see any kind of risk where one kind of heat exchanger goes on to replace shell -and-tube. How are we pleased against such kind of risks or any other risk which we can foresee? Just a comment on that .
Reginaldo Dsouza: So, air-cold heat exchangers have been in use for many, many years, along with shell -and-tube kind of a construction. They are largely used where you find water scarcity or other stuff. But as Anup Engineering, though we have the capabi lity to manufacture, we have not taken that strongly as a product portfolio, especially because we see that as a low margin profile product. That's the only reason. Otherwise in terms of capabilities, we do have those capabilities to manufacture.
And in te rms of square meter kind of footprint, that takes the larger space to fabricate as compared to my Oil & Gas and Petrochemical kind of a business. So, direct answer, today, Oil & Gas and Petrochemical sector along with Hydrogen is definitely a more lucrativ e segment for us going forward.
Moderator : As there are no further questions, I would now like to hand the conference over to Mr. Reginaldo Dsouza for closing comments. Over to you, sir.
Reginaldo Dsouza: Thank you. So, thank you all for those wonderful questions. I once again take this opportunity to thank my wonderful team at Anup and to each and every one who has contributed to this performance. A big thank you to all of you, our shareholders, for your trust and standing by our side always. Thank you. And on behalf of my team at Anup, I wish you all a very happy, healthy and prosperous life ahead. Thank you so much.
Moderator : Thank you. On behalf of Anup Engineering Limited, that concludes this conference. Thank you for joining us, and you may now discon nect your lines.

Call: Jul 2024

“The Anup Engineering Limited
Q1 FY '25 Earnings Conference Call ”
July 31, 2024

MANAGEMENT : MR. REGINALDO DSOUZA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – THE ANUP
ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Conference Call for a discussion of Financial Results of First Quarter ended on FY 2024 -'25 of The Anup Engineering Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Reginaldo Dsouza, Managing Director and Chief Executive Officer. Thank you, and over to you, sir.

Reginaldo Dsouza: Thank you. Hello, everyone, and warm greet ings from team Anup. I'm glad to be part of this call to share our quarter 1 results of the financial year '24 -'25 and also to provide a brief on the business outlook. We clocked a revenue of INR146 crores for quarter 1, which is 16.6% growth Y-o-Y over th e same period last year and with an EBITDA of INR33 crores, which is 22.6% EBITDA. This is our best quarter 1 on revenue. The previous best was INR125 crores, which was in the last financial year. So with this INR146 crores in quarter 1, we 've clocked our best quarter 1 revenue so far.

The fundamentals of the business continue to remain strong. A strong pending order book position of INR810 crores end of quarter 1, a well -managed working capital of 3.97 , export share of the revenue at 48.6% truly signifies that we are a global player now. And moreover, with the current execution plan on hand, we will end the year with exports of over 50%.

Our strategy to get deeper into complex equipment types and spread geographically is evident from the results. The high er cost of goods sold signifies a higher complex metallurgy mix product portfolio and the exports at 50% plus demonstrate our reach into newer international markets.

On the major strategic long -term development s, I wish to mention a few. Our Kheda facilit y has stabilized the Phase 1 operation s and are executing some critical long duration projects at the moment. Of the total quarter 1 revenue, INR8 crores was built from Kheda in quarter 1.

Moreover, with the plan in place, the Kheda plant should deliver anywhere between INR150 crores to INR175 crores revenue for this financial year. The orders for this being already in hand.

Mabel Engineers, the plant that we acquired this year in Tamil Nadu, the transaction was closed on 19th June 2024 of quarter 1. So it meant that we had 11 days of the quarter. And during those 11 days, we posted a revenue of about INR1.7 crores, which is p art of the consol number of INR146 crores. And as conveyed in the last call, Mabel would clock about INR50-plus crore s revenue for th is financial year.

Another piece, our new design office at Vadodara, which we started off somewhere in the month of March this year, has also shaped up well and helping our operations very, very effectively. This team at Vadodara and the design team will be a 50 -member team, and we wish to grow this bigger as we move into the year s. On a broader scale, on the capacity side, now with the three

manufacturing locations, that is one in Ahmedabad, the second one at Kheda and the third one
in Tamil Nadu, we now have a capacity build for almost INR1,000 crores.
To talk a little on the sustainability initiatives, the 1 -megawatt rooftop solar at Ahmedabad plant
has been now commissioned and yielding desired results. Happy to announce that we also own and operate a windmill and also happy to state that with these operational, approximately 60%
of our power requirement in Ahmedabad plant is through renewable sources. We also have plans to commission the rooftop solar at Kheda plant too in this financi

al year, which wi ll ensure that
we use about 70% of our total power requirements through renewable sources.
On the market side, we see continued investment, especially in gas, hydrogen and fertilizer business. Although on the domestic side, we see a little lower traction, but export opportunities
are at a very good level. Having said this, we are hopeful of domestic opportunities, resurfacing probably after October, November period, as mentioned in my last call.
On the export side, we see good traction from the United Sta tes of America, Middle East regions
and some in Australia and Africa. The present geopolitics is a very important aspect in our
consideration of where we do business. And hence, we exercise a lot of caution in deciding on
the projects we work with. We will continue on our strategy to spread geographically to newer
customers and newer countries.
Finally, to conclude, we had our best quarter 1 performance and the momentum created will
surely help our guidance of 25% to 30% growth plan for this financial year . We will cross the
INR700 crore s mark for this year with an EBITDA of 20% -plus. The pending order book of
INR810 crores as on date and with some very interesting opportunities ahead gives us good
visibility into this year and also the coming year.
For this year's revenue, the focus is now solely on executing the orders on hand. We have
completed the order booking for this year. We have the complete order book on hand. The only
focus now remains for this year is on executing the orders, which I belie ve, over the last six
quarters, we've done a pretty decent job. And on the order booking side, we are calibrating our
order intake for the next financial year, that is '25/'26.
I am confident that with a good business visibility into the year and at the s trength of a strong
capable team at Anup, and with the continued support from our reliable partners and suppliers,
we will be able to deliver on our plans. My sincere thanks to all our hard working committed
team members, our partners, our suppliers and al l our shareholders for standing by and trusting
in us. We are ever indebted for your trust and support.
Thank you all for attending this call and for your patient listening. I'll be happy to have your
questions now. Thank you.
Moderator: The first questio n is from the line of Chetan Vora from Abakkus Asset Managers.
Chetan Vora: Congratulations on the good set of numbers. I just wanted to understand that the guidance what you have given of INR700 crores plus and EBITDA of 20% -plus, that is for the stand -alone
business, right?

Reginaldo Dsouza: That is correct. Mabel will be added to that.
Chetan Vora: Right. And why the EBITDA of 20% on the stand-alone? Because what -- we were under the
impression that the entire order book is at a very good margin. So why 20% -plus?
Reginaldo Dsouza: So Chetan, as I said, you're right . This year, we have moved up in the metallurgy and complexity
of equipment. Because of the same capacity, we have to move up in terms of revenue. So the
material content -- and you can easily s ee it in the cost of goods sold for quarter 1 as well where
the material percentages are almost now at about 55%.
It will go up a little considering the titanium and other metallurgies that we are going to execute
in the coming quarters. So that's the rea son we are saying -- of course, it's being a little
conservative, 20% -plus, but definitely, we will be in the region where we have ended the quarter
1.
Chetan Vora: Because the quarter 1 ended, we have done close to 23% margin. So what percentage of the
complexities would have grown in this quarter in terms of execution of this INR145 crores?
Reginaldo Dsouza: So most of the equipment that we have delivered in this is for hydrogen. So if you look at our
configuration on the industr ies that we have serve

d , most of it has moved to hydrogen side of
the business, where most of the metallurgies would be on the duplex and super duplex side. So
if you look at the slide of industry, we've almost covered 47% of the total revenue to hydrogen for this year, which is an

unusual thing.
We normally have almost 75% of our business coming from o il and g as and p etrochemicals put together, as against that roughly about 46% this year -- for this quarter into that segment. But of course, it will normalize along the next 3 quarters, and it would come back to our original mix of Oil and Gas and Petrochemicals roughly around 65%.
Chetan Vora: Right. So despite 46% of the revenue coming from hydrogen, we are still able to manage 23% margin. So that the guidance of 20% looks to be quite conservative, isn't it?
Reginaldo Dsouza: Yes, that's what I said. So as we progress into the quarter, things will be more clearer because we've got some buying still pending for the future quarters. But as I said, we will surely see it anywhere in the region of 20% to 22%.
Chetan Vora: Right. And then what kind of order book we are anticipating to close it for this year? As we have right now INR810 crores of revenue or order book, and we are saying that we will be focusing on executing this order book, which we have on hand. So what sort of order book we would like to have by the end of the year after the execution of say nearly about INR700 crores of revenue?
Reginaldo Dsouza: So the order booking new order intake for this financial year, we should be close to about INR900 crores, which will be in line with our plan for next year, which will be, again, a growth of 25% to 30% from this year's number.
So if you put the arithmetics together on the pending order book of INR810 crores, assuming that we are going to have a 30% growth this year, you would see that we already have close to

about INR225 crore s around number for next year already, which should be good enough for our quarter 1 number for next year.
So it is very evident that we are actually calib rating our order intake in line with the execution for next year. Because execution is very, very crucial for us. On time delivery is very crucial. So we are actually calibrating the order intake for next year based on the execution philosophy for the next financial year.
So as I said, direct answer, approximately about close to INR900 crores will be the new order intake in this financial year, which will set ourselves in a clear visibility of financial year '25/'26 as well.
Chetan Vora: And this, when you are saying this is only the stand -alone. Right now, we are not seeing including Mabel, right? Mabel will be separate, right?
Reginaldo Dsouza: No. So when you look at next year, Chetan, as I mentioned in my last call as well, and in fact, in this call as well, if you look at all the 3 capacities that we have put in place now, that is Ahmedabad facility, Kheda Phase 1, which we've completed, and Mabel, the total capacity put together is about INR 1,000 crores.
So the next year, that the numbers that we talk about will be inclusive of Mabel, which should be close to about INR100 crores last year. This year, we are talking about around INR50 crores to INR60 crores within that. And next year, it should be about INR100 crores.
Chetan Vora: So the next year, if y ou're seeing INR100 crores of revenue -- or consol revenue, then INR100 crores from Mabel, so the organic growth will be like on INR700 crores to INR800 crores. Is that fair understanding?
Reginaldo Dsouza: Sorry, can you please repeat that again? I couldn 't get it?
Chetan Vora: What I was asking that if we next year, we are planning to do a sales of INR 900 crores and of that Mabel is INR 100 crores, so the -- Anup on its own will be doing a sales of INR 800 crores, which this year we are looking to do a sale s o

f INR 700 crores, a growth of 15%. Is that right?
Reginaldo Dsouza: No. So next year, again, Anup will look at a growth of 25%. So we will continue on a consol basis, the growth of 25% to 30%. So we should be very close to hitting the INR 1,000 crores mark next year. And it is in line with discussion if you see on the last call. So it's in line with our plan.
Chetan Vora: Right. Got it. So next year, we are looking to do a number close to INR 1,000 crores of revenue.
And just on the maintenance side. In the June quarter, we have seen a sharp decline on the operating and the manufacturing expenses, the other expenses, which has declined from INR 31 crores to INR 24 crores. Any specific reason for that?
Reginaldo Dsouza: That, Chetan , was largely due to the royalty payout. So in the last year first quarter, we had a lot of Helix heat ex changers which we have delivered, which calls for royalty to Lummus Heat

Transfer who was the licensor . Whereas in this quarter, we had the issue of funds under the royalties. So the difference is majorly due to the royalty shares.
Moderator: The next question is from the line of Nitin Gandhi from Inoquest Advisors Private Limited.
Nitin Gandhi: Can we start talking about Phase 2 Kheda, what's the plan an d -- because whatever current

capacity, INR1,000 crores are there for that the visibility, everything is built. So if you can throw
some next -- light for next phase post 1K, it will be helpful.
Reginaldo Dsouza: Yes. So on Phase 2 at Kheda, as mentioned i n the earlier call, too, so we have now capacity built
in enough for INR 1,000 crores with all these three plants. And -- on organically, we are planning
a 25% to 30% growth journey. So the capacity built in is good enough for next financial year as
well.
And as mentioned earlier, we are timing the decision for Phase 2 by probably end of this calendar
year, somewhere around November, December, we will take a call. Because it takes about 11 months for us to build a
manufacturing bay at Kheda. So we will time the investments, we will
time Phase 2 investment probably somewhere in the month of November, December.
And as I said, we are open to looking at opportunities. So if something like the earlier
acquisitions come our way, we will look at it. So that's the reason we are giving ourselves that
some time to take the timely decision of Phase 2. So Phase 2 decision, we would announce
probably in quarter 3 of this year.
Nitin Gandhi: Assuming we go for Phase 2 and at the time of the design of Phase 1, I think we had estimated -- some guess
estimate for Phase 2 to what's likely capacity a nd what is the amount? Can you
share those numbers if they are revised or something?
Reginaldo Dsouza: Yes. For each manufacturing bay at Kheda, addition would cost us roughly about INR40 crores to INR50
crores of capex . And that should give depending on the product portfolio that's
ordering that we are able to book, it should give us an assertion of -- between 3 to 4.
Moderator: The next question is from the line of Bhavya from Samaasa Capital.
Bhavya: Congratulations on a good set of numbers. Just one question. I don't know if you have mentioned
it in the opening remarks, but I just wanted to understand in the last few years, have you seen
any new geographical region that has come up? And going ahead any particular area you're kind
of looking at it can be a good opportunity?
Reginaldo Dsouza: Yes. So we did add two countries last year. So if you have seen o ur presentation, we were at 32
countries, now we are present in 34 countries. And that is very much in our strategic roadmap of widening our reach into
various continents and geographies of the world. So we've got another
two countries planned in this year . So we have a targeted approach to venture into new
geographies. So there are two more reasons that we wish to e

nter. The legwork has already been
done. The moment things materialize, we will surely let you know about this.

But the strategy, as I explain ed, is very clear. It's a two -pronged strategy, get deeper into a
complex and more technical products. And the second strategy is spread wider into new
geographies and new countries.
Bhavya: Understood, sir. That was helpful. Just one last question. What percentage of the current order
book will be executed towards hydrogen?
Reginaldo Dsouza: So in quarter 1, you would have seen a spike almost about 47%, but that's because there were large
chunks of equipment that we made for hydrogen. But on the annualized at the end of the
year, you would see anywhere number between 20% to 30% coming from hydrogen.
Bhavya: But is it fair to assume none of this will be from a domestic point of view, it will be all exports?
Reginaldo Dsouza: I would put it as about 5% would be for domestic, larger -- almost 25% -- 20% to 25% would
be for export mainly to United States of America and Canada. These are the two regions that we
have supplied. And a considerable amount even for Saudi Arabia -- the Neon project in Saudi
Arabia, whi ch is a green hydrogen project.
Bhavya: Understood. So this will be the first time you'll be doing a domestic order for hydrogen? Is that a fair assessment?
Reginaldo Dsouza: No. We've done this in the past. So hydrogen business we were into so many years, but green
hydrogen, we've never done it. So this is the first project that we did for green hydrogen, but not
for domestic as it was for Saudi Arabia. But hydrogen has been c ontinuous fees for long, but of
course, not as a high percentage as this today.
It used to be about 2% to 3% very negligible of the total revenue. But now with a renewed focus
on the energy transition, a large amount of projects are declared on blue hydrogen in the United
States and Canada. That's the reason the percentages have gone up to about 20% to 30%.
Moderator: The next question is from the line of Prateek from Subh Labh Research.
Prateek: Congratulations on good set of numbers, Mr. Dsouza. I was just curious on the order book side, so because if we
see this quarter, we are seeing sequential fall in both domestic and export order
book. Now domestic we understand because of elections and all there was a discussion of slowdown. But what is causing ex
port order book to shake? And in domestic order book, sir,
what is the current bidding pipeline, if you can share, which is probably supposed to be revived
after November, probably as per your comment.
Reginaldo Dsouza: Yes. So on the order booking side, a s I mentioned earlier, it was more about we calibrating

ourselves in line with the execution philosophy. So as I mentioned, we -- it was a running average of about INR 900 crores to INR 1,000 crores kind of an inquiry bank in our hand. So probably it was the choices that we decided to make in quarter 1. Because even if we had taken, we wouldn't have been able to execute it on time. And as I said, execution is very, very crucial to us.
Of course, now it's the time that we will definitely focus on other booking gain because if we look at the numbers, as I said, if we put the arithmetics together, we already have close to about

INR225 crores order book for next year, which is just over our quarter 1 plan of next financial year.
So as we speak, on hand, we have close to about INR 900 crores kind of on inquiry bank position or of which close to about INR 250 crores to INR 300 crores is domestic and balance is exports.
Generally, what we see is close to about INR 1000 crores to INR 1,200 crores kind of an inquiry bank position.
And we see generally a 50%, 50% ratio between domestic and international. So since domestic is in little under slow traction right

now because of the reasons mentioned earlier, it's about close to about 20%, 25%. But based on our information and what we see on the project progress, we see this uptick again from October, November onwards, that's the third quarter for this year.
Prateek: Understood. So it makes sense. So you're saying that it's a conscious call we have taken to contain the order book rather than any market dynamics playing into it?
Reginaldo Dsouza: So it's got -- let me be frank . It's got both, one is calibrating of course. And of course, because of the domestic being on the lower side, the prices were lesser as compared to the past . So that's the way I would put at it, but more from the calibration perspective, in line with our execution philosophy for next year.
Prateek: Understood. Just one small question. The execution this quarter is heavily tilted towards heat exchangers. So is there more to read into it or the execution was planned that way, Mr. Dsouza?
Reginaldo Dsouza: So it was planned and I would give you a reason for that it becomes very evident. So as you know, now Kheda has kick started with the full -scale production of Phase 1. And as explained earlier, strategically, Ahmedabad plant will now continue making only heat exchangers and Kheda plant will make reactors, vessels and columns, because of the sheer location of the plant being on the highway and also because of the sheer size of that plant.
Heat exchangers are smaller in sizes and Ahmedabad being in the city, that's how we strategically decided that Ahmedabad will be the heat exchanger manufacturing hub and Kheda will be the reactors, vessels, and columns manufactu ring hub.
And added to that, the product portfolio, which will be in Kheda will be all longer duration cycle time. So for example, a heat exchanger would be anywhere between 2.5 to 3 months in manufacturing on the shop floor , reactor and vessels would be about 5 to 6 months on the shop floor . So a lot many equipments which are in progress and in quite an advanced stage in Kheda, they will come for deliveries in quarter 2 because they will get ready by then.
And whereas in Ahmedabad, we are able to turn ar ound the deliveries every quarter. Of course, it will normalize now as Kheda picks up and longer duration orders are continuously booked over there. But since this was sort of a first quarter in full-fledged position, lot of equipments have reached advanced stage of manufacturing, but not yet delivered.
So you will see that happening. And that is the reason the overall turnover of INR146 crores, you see a larger chunk coming from Ahmedabad which are heat exchangers. But next quarter

and onwards, it will no rmalize and come back to what I mentioned earlier, about 65% to 70% would be heat exchangers and 30% to 35% would be vessels, columns and reactors.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Reginaldo Dsouza, Managing Director and Chief Executive Officer, for closing comments.
Reginaldo Dsouza: Yes. Thanks. So I once again take this opportunity to thank my wonderful team at Anup and to each and every one who has supporte d and helped us deliver results. A big thank you to all of you, our shareholders, for your trust and standing by our side always. Thank you. And on behalf of my team at Anup, I wish you all a very happy, healthy and a prosperous life ahead. Thank you so much, and have a good day ahead. Thank you.
Moderator: On behalf of Anup Engineering Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

"The Anup Engineering Limited Q2 FY25 Earnings
Conference Call"

October 28, 2024

MANAGEMENT : MR. REGINALDO DSOUZA – MANAGING DIRECTOR ,
THE ANUP ENGINEERING LIMITED

The Anup Engineering Limited
October 28, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY25 Earnings C onference Call of The Anup Engineering Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded .

Before we proceed to the call, let me remind you that the discussion may contain certain forward -looking statements that may involve known or unknown risks, uncertainties, and ot her factors.

It must be viewed in conjunction with our business, risks that could cause actual results, performance, or achievements to differ significantly from what has been expressed or implied in such forward -looking statements.

Please note that the Company have uploaded the Results, Press Release, Investor Presentation and also the outcome of the Board Meeting on the website of st ock Exchanges and Website of the Company .

I now hand the conference over to Mr. Reginaldo Dsouza – Managing Director of th e Company . Thank you and over to you, sir.

Reginaldo Dsouza: Hello everyone. Warm greetings from Team Anup. I sincerely thank you all for your presence on this call. I am glad to share our Quarter 2 and Half -Year Results for this Financial Year 2 025.

And also, I would like to briefly share on the "Business Outlook ."

On the standalone basis :

The revenue for Quarter 2 was Rs. 187.9 crores, a 34% growth quarter -on-quarter with an EBITDA of 42.9 crores that's 22.9% , a growth of 37% quarter -on-quarter. The PAT was at 32.3 crores, that's 17.2%, a growth of 48% quarter -on-quarter. Please note, this is our best ever quarter on revenue. On the consult numbers, that is with Mabel Engineers, our 100% subsidiary, Quarter 2 revenue stands at Rs. 193.1 crores, a growth o f 38% quarter -on-quarter. EBITDA is at Rs. 43.3 crores, that's 22.4% , a growth of 38% quarter -on-quarter. PAT is at Rs. 32.5 crores, that is 16.8% , a growth of almost 50%.

So, if one looks at the period ending September, the console numbers for H1 is reven ue at 339.1 crores, a growth of 28% year -on-year with an EBITDA of Rs. 76.3 crores, again a growth of 28% year -on-year. And the PAT stands at Rs. 56.6 crores , a growth of almost 40% year -on-year.

The working capital was healthy at 4.1 tons. The exports for the year also has been encouraging and is at 52% H1, with pure exports at 47%.
The sectorial revenue for the quarter has also been interesting. We have oil and gas and petrochemicals at 61% share of revenue, hydrogen at 30%, and fertilizers and others at 9%. This

clearly shows that other sectors have started to contribute. The product -wise revenue share is in line with our expectations, with 72% coming from heat exchangers, 24% from vessels, reactors, and columns, and 4% from others. This clearly shows the contribution coming from our new Kheda facility.
There have been some good developments during this period, and I would like to share a few :

- First, our Kheda Phase -1 with two manufacturing bays are now completely operational. This phase is equipped to del iver Rs. 200 crores revenue per annum.
- Second, we have signed a collaboration agreement with Graham Corporation , USA. This is a US -based Company and our providers of vacuum and heat transfer systems for refinery and petrochemical projects. With this, we are now the exclusive manufacturers for their global projects. In short, we have the first chance for refusal.
- The third development is that we ha ve made the decision on expanding our capacity further. We have started construction activities on Phase II (a), where we will add one additional manufact

uring bay. We expect to commission and start manufacturing from 3rd Quarter in the next financial year , that is FY26. This means we will have two quarters of execution from this added day for the next financial year. With the addition of this day, we will h ave three manufacturing base at K heda plant, which can deliver revenue anywhere around Rs. 300 crores to Rs. 400 c rore based on the product mix for random.
- Fourth interesting development has been the Mabel engineers, our newly acquired unit in Tamil Nadu. I must say, it's also doing well. We have backed a good order for the supply of silos to be delivered in this financial year. With this, Mabel should be able to deliver on plant revenue for this year.
- And the fifth development is our Vadodara design office, which is well stabilized now and we plan to grow this further. This is helping us debottleneck our design activities as we grow.

A few moments on the “Future Outlook ”:
The pending order book period ending September stands at Rs. 882 crores, interestingly with about 68% exports. And just for your information as we speak, as on date, the pending order book position stands at Rs. 932 crores which means that we have about Rs. 500 crores order book for next financial year, that is FY26. This sets things very pos itive for us for the next year.
On the market :
Domestic sector, which was subdued over the last few quarters, since we'll start with opportunities from 3rd Quarter end, we are seeing few already. Exports continue to provide opportunities. The inquiry pipel ine continues to be around Rs. 900 crores to Rs. 1000 crores. And at the same time, we are also seeing some aggressive market competition . On the sustainability initiatives, with the one megawatt rooftop solar at our Ahmedabad plant and with

our windmill w e operate, approximately 60% of our power requirement in Ahmedabad plant is through renewable sources. With the Kheda rooftop expected to complete this quarter, we will have about 75% of our total power requirements through renewable sources.
To conclude :
We have had our best quarter performance and the momentum created will surely help our 30% growth guidance for this financial year and with a n EB|ITDA of around 22%. A healthy pending order book with some interesting opportunities ahead gives us a more cer tain visibility into this year and also the coming year. I am confident that with a more certain business visibility into the year and at the strength of a strong capable team at Anup and with the continued support from our rival partners and suppliers, we will be able to deliver on our plans.
My sincere thanks to all our hard -working committed team members, our partners, our suppliers, and all our shareholders for standing by and trusting in us . We are grateful for your trust and support. Thank you all for being on this call and for your patient listening . I'll be happy to have your questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Vikram, who is an individual investor . Please go ahead.

Vikram: Just a couple of questions. First one, as we look at F Y26 and FY27, given that you said we would like to be close to Rs. 1000 crores in F Y26, I think we've done a lot of fundamental work to get there. I just want to look a little ahead into 27 and 28 and see any kind of insights that you can provide at this stage ? And secondly, around the Graham collaboration, I just want to understand what it means for the Company in terms of potential and what are the next steps that we can expect on that ? Thank you.
Reginaldo Dsouza: Thanks, Vikram, for the question. To answer your first question, so our guidance for the next two to three years remains the same, that we wish to g row at 25% to 30% growth year -on-year in the next t

wo to three years. How we are going to do it, as I explained in the last call, two folds. One, of course, we will keep expanding our capacity, timing it correct like what we did for Kheda now. You would ha ve heard me on the call, last call, saying that we would take a call somewhere in November, December of this year. But I think we've preponed it a little and taken a call to start building this capacity because we will need it for the next year. So, we hav e a further base plan for Kheda. W ith this, we will be completing three bays. We would have another space for four more manufacturing bays, which we will time as we progress, since each base take roughly about 11 months for us to execute. At the same time, as I said, we are also looking at opportunities like Mabel on the card. We are in discussions. And if something materializes, we will surely come back and announce those developments. On the Graham, it's a collaboration. It's a US based Company where Anup becomes the exclusive manufacturer for their products. Graham is not new to us. They are our customer. They have been our customers. Even today on the shop floor, we are executing some jobs, some equipment for Graham Corporation. It's only

that we are mov ing the relationship one level higher, being the exclusive manufacturer, so we get the first chance for refusals and more certain volume of work in the year. So, that's the arrangement. It's all about getting our capacities filled in a more certain way yea r-on-year. We will look for more such opportunities in the market.
Vikram: And just to add, is there a sense of what Graham will mean for us in FY26 or is it too early?
Reginaldo Dsouza: Of course, it will be an estimate. So, the estimate that we are looking at is anywhere between Rs. 30 crores to Rs. 40 crores kind of revenue that can be b rought in FY26. That's only for the Indian market we are looking at. This opens up the door even for their international market which I am sure we will get more visibility in the quarters ahead.
Vikram: Got it. And in terms of Mabel, any numbers for 26?
Reginaldo Dsouza: For 26, as I said, we maintain , Mabel will double the turnover to Rs. 100 crore s in FY26.
Moderator: Thank you very much. Next question is from Jaiveer Shekhawat from Ambit Capital . Please go ahead.
Jaiveer Shekhawat: My first question, we have been seeing a lot of initiatives that you've been taking to diversify your revenue streams across industries, across your product line geographies as well. So, looking three years out, I mean, how do you see, one, your end user c ontribution, and then also with respect to your products as well, and if you can paint a picture to the investors about that ?
Reginaldo Dsouza: Thanks, Jaiveer , for the question. So, first, let me take on the product side. So, we see the product portfolio at Anoop being on an average 60% to 40% kind of a ratio. That is heat exchangers taking about 60% kind of a shape and vessels, reactors, and columns at 40%. Strategically, as I mentioned earlier too, heat exchangers will be focused at our Ahmedabad facilit y and reactors, columns and other products will be focused at Kheda facility, given the sheer size of the plant and the location. That's on the product side that we look at. On the customer segment, we see oil and gas and petrochemicals , stabilizing at abo ut 50% to 55% kind of a revenue share. And hydrogen, as we are already at 30%, hydrogen and fertilizer will take up larger shares to close to about 40%. The regions that we look at the spread is largely into US and Canada. Basically, we see the blue hydrog en opportunities out there . In Abu Dhabi, Saudi, Aramco, and that area, we see the gas projects. And on the Australia and Nigeria side, we have seen some good traction on the fertilizer side. So, this would be the broad breakup.
Jaiveer Shekhawat:

Second, just in terms of technology, I mean are the discussions internally to sort of develop or do technological tie-ups for even things like plate heat exchangers which can possibly support even the generation aspect of green hydrogen, where in possibly you're not present at the moment.

Reginaldo Dsouza: Yes, so as we grow, the strategy is very clear that we are going to consolidate on our current existing product portfolio through building capacities, and at the same time diversify into futuristic products. So, we are already in talks with some of the technology and design companies. As it materializes, we will surely come back and announce. But a direct answer, yes , we are looking for collaborations and support on the technology and design side with companies and established players in the world.

Jaiveer Shekhawat: And in terms of your capacity, if you could also give light in terms of where your capacity is stand currently across all the three locations and then what is the kind of capacity utilization you're r unning at. And then after the manufacturing bay at Kheda gets commissioned next year, I think where would those capacities go?

Reginaldo Dsouza: So, when we talk about capacities, if it's in metric tons, as I said earlier, our Ahmedabad facility is completely built up. That has got a capacity of anywhere between 10,000 to 12,000 metric tons per year. That's kind of a capacity at Ahmedabad . Kheda , with this two manufacturing base in place, it has got a capacity of close to about 5,000 to 6 ,000 metric tons. With one more bay getting added up, it would add another 3,000. So, Kheda with three manufacturing bays, once completed somewhere next July, we should be having a capacity of close to 8,000 to 10,000 metric tons. And Mabel, currently with the capacity in place, they have a capacity of 2,000 metric tons. So, let me repeat, Ahmedabad 10,000 to 12,000 metric tons ; Kheda o nce the next phase is closed, it will be 8,000 to 10,000 metric tons and Mabel at 2,000 metric tons. In terms of the revenu e, the current capacity in place, that is, Ahmedabad , Kheda and Mabel, that's good enough for 1,000 cror es turnover.

Jaiveer Shekhawat: And could you also call out what capacity utilization you're running at a new Kheda facility because you've been also sh ifting a lot of your heat exchanger production there. So, is it running at almost full capacity utilization and then Kheda is more opened up?

Reginaldo Dsouza: So, heat exchangers is all in Ahmedabad . We don't make any heat exchangers in Kheda, Kheda is br oadly making vessels, reactors, and columns. And the capacity utilization, currently the Kheda is at 75%.

Jaiveer Shekhawat: And what about the Odhav facility? Is it there that you have a lot more headroom ?

Reginaldo Dsouza: No, so in Odhav , it's completely utilized. So, we don't have much of legroom there . Probably 85% to 90% is the utilization at the moment. So, we have 5% to 10 % of leverage.

Jaiveer Shekhawat: I think see the disconnect is with respect to the revenues that you've already clogged and then for you to go to almost Rs. 1000 crores on scale. I mean, even if you were to not include the new day that you're adding and that should be sufficient to take you to ab out Rs. 1000 crore in revenue which you had earlier guided in the call as well, I am just trying to sort of reconcile the numbers here. If you're saying Odhav is fully utilized and with the Kheda fac ility, it's already 75 %, I

mean, how do numbers line go up to Rs. 1000 crores in terms of revenues? And please correct if there is a misunderstanding here.

Reginaldo Dsouza: No, that's correct. So, let me just explain. So, in FY26, when look at F Y26, Ahmedabad facility will be at Rs. 600 crores. Kheda facility n ext year, because it will have

two quarters of the new additional way that they are building in, will be at Rs. 300 crores and Mabel will chip in at Rs. 100 crores. So, that's 600, 300, and 100. And that's the kind of turnover that we are looking at.

Moderator: Thank you. The next question is from Chetan Vora from Ab akkus Asset Managers. Please go ahead.

Chetan Vora: I wanted to ask a few questions in addition to the questions as ked by the previous participant . As you mentioned that the Kheda will brin g 20 crore of revenue, and it is utilize at 75%, but that 75% is the first bay of the Stage -I, right? The second bay has recently got operationalized, isn't it?

Reginaldo Dsouza: So, right now, both the bays in Kheda are operational. That is two full complete manufacturing bays are operational.

Chetan Vora: And both of them are being utilized at 75%.

Reginaldo Dsouza: Yes, that's correct.

Chetan Vora: And the expansion what you have kicked off recently, is it getting c ommissioned then?

Reginaldo Dsouza: This will be commissioned in July, August next year. The construction would close and we will kick start the production in Q3 of next year. That is FY26. It will deliver revenue for two quarters into the next year, Q3 an d Q4.

Chetan Vora : And then the execution of the order book of Rs. 890 crores and as of date which is close to Rs. 930 crores, we have got a strong visibility for this year as well as the next year , but 0:23:19__ of the margins what we are looking currently in terms of profitability?

Reginaldo Dsouza: We are looking at the same margin of 20% plus . So, anywhere in the region of 20 %-22% with the EBITDA .

Chetan Vora: Alright I observed something on the balancing sheet front, t he debt have increased qui te sharply for the first half , its Rs. 220 crores , which was Rs. 127 crores as of year end. Any clue or any

comment on that debtors part ?
Reginaldo Dsouza: That's purely what has happened is there were some equipment meant for exports, where a customer has, since the site is not ready, has asked us to put it on store. So, we have actually

stored those equipment in Kheda and it will be delivered somewhere in December end of this year.
Chetan Vora: I was not able to get what you said you said billing will be in December ? Why the debtors days shot up?
Reginaldo Dsouza: So, the equipment which, because we get the advances, right? Which is roughly about in the region of 25 % to 40%, depending on which order is. And the balanc e is at the point of dispatch. So, unless you dispatch, we'll not be able to raise the commercial bill. So, this was supposed to get dispatched. So, they will be getting dispatched somewhere in the month of December.
Chetan Vora: So, the billing has not be en done, but this is the unbilling you are saying that.
Reginaldo Dsouza: That's correct.
Chetan Vora: And what should be the billing amount, what should be your unbilled amount?
Reginaldo Dsouza: That should be close to about Rs. 60 crores -Rs. 65 crores.
Chetan Vora: So, even after excluding Rs. 60 crores – Rs. 65 crores of the unbilling part, the debt has come to around close to Rs. 160 crores and the quarterly sales are also near about Rs. 190 crores.
Reginaldo Dsouza: That’s correct.
Chetan Vora: So, is it fair to assume that the dispatches would have been at the second of the quarter ?
Reginaldo Dsouza: That’s correct.
Chetan Vora: I was just asking why the tax rate has been low ?
Management: Yes, so in this part there was an exercise of ESOP, if you look at the notes of our standalone, the number of ESOP exercised by the staff was 1, 01,500 for the quarter. That's the reason why there was a n ESOP related expense with it in the tax P &L. That's why the tax amount is quite low . That is the only reason. An d probably except the ESOP granted to Rishi. There were certain ESOPs which we

re granted to the ex -CEO , Mr. Rishi Roop Kapoor. He has exercised most of his ESO P in the last qu arter. So, in the long run, we can expect a tax rate of 25%. But this was the only reason why tax rates were so low in this particular quarter. The number of ESOP s granted in the north of standalone as well as consolidated public financ ial.
Moderator: Thank you. Next question is from Kunal Shah from Carn elian Capital. Please go ahea d.
Kunal Shah: Our receivables, which were at about Rs. 127 odd crores in March ‘24, has gone up to about Rs. 230 crores in September 24. That's almost an increase of Rs. 100 odd crores. So, is it that our receivable cycle in the current half year has gone up?

Reginaldo Dsouza: Yes, and one reason is, of course, as I answered earlier, it is because of the unbilled revenues. And the second is, as we have more and more exports now coming in, the last 10% of payments are on the documentation part. That is wher e it's taking a little longer time, but it's in the cycle. It takes about 45 days to 60 day s for to encash the last 10% of the payment which is reflecting in this and the dispatch is happening through the later part of the quarters.
Kunal Shah: But unbille d revenue should be sitting in inventory , not receivables right? Correct me if I am wrong. Right? If it's recorded as sales ?
Management : Kunal, unbilled revenue, so here in this case, often equipment where we build, the revenue recognition point would be the moment when the IRN is received mostly when it is accepted by them. Because as per accounting standard, there are various portions whe rein we don't have alternate use of this particular product and it has very limited chances of getting rejected because it goes through the customer quality point at every stage. So, at that point in time when the portion of equipment is ready, we recogniz e the revenue. So, if you look at the last two-year balance sheet even there you will find a considerable amount of receivable which is shown under the unb illed. But this time there is one of the consignment where customer is asked us to stop the supply and store at our end and they will also give us the storage charge s soon. For that particular segment you find a bit higher data otherwise it's normal in equivalent to the increase in the overall business .
Reginaldo Dsouza: Kunal, what I mentioned yesterda y if you actually come and see in our Kheda facility today , there is a huge separate storage area created for these finished goods , they have been moved from our Odhav facility to Kheda for storage and that's precisely because customers have requested us t o store it for additional 3 months, and we are being paid for those storage charges additionally than the equipment as well. So, as I said, towards the later part of this December, the shipping would be these are exports orders going to US and Canada and other parts. Towards

the end of December, the shipping would be arranged. Shipping is in the scope of customer. Our scope is incoterms are only up to FOB . So, once the shipping is arranged, all the equipment will move.

Kunal Shah: And the other question th at I had in the current quarter, we have done sales of about Rs. 45 odd crores for towers and reactors, right? Which was on average about Rs. 5 crores in the previous quarter and about Rs. 15 odd crores in the quarters before that. So, if you could help un derstand, this is largely to do with Kheda coming on stream and how should we see that ? And also the end users, where this is getting used basically ?

Reginaldo Dsouza: You're right. These are largely reflecting Kheda contributing into the revenue. So, as I said, all the vessels, reactors, columns would be actually made in Kheda . So, almost 90% to 95% of the revenue that will be clocked by Kheda will be from this product. And as I said, strategically at

a

macro level, heat exchangers should be around 60% , and these other products should be around 40%, largely coming from Kheda and Mabel.

Kunal Shah: Also, if you could help understand the end user industry, basically that would help understand a little bit more on this product piece ?

Reginaldo Dsouza: This is both for petrochemicals and gas projects largely, the orders that we are executing today. So, that will be a set of heat exchangers and vessels needed. Heat exchangers are being executed in order for the same project and the vessels are being executed for the same project in Kheda . So, these are same conventional projects, but more focused towards petrochemical and LNG.

Kunal Shah: And what would be our CAPEX spending amount for the remaining half of the year? How much do we plan to spend in the coming six months for the construction of the additional bays at Kheda ?

Reginaldo Dsouza: So, the added bay at Kheda would be at a CAPEX of about 40 to 50 crores, inclusive of the machineries, which we plan to commission in Q2 of next year. And that would be abou t 15 crores of regular CAPEX for upgradations of our machines of latest technology.

Kunal Shah: And just wanted to understand on this order inflows, like they have been pretty robust in the current quarter and the closing order book also. So, by year end, how we should look at, I mean, there is ample visibility for the next year, but how should one look at that? What's your sense? I mean, how is our order pipeline looking like presently? Will we be able to kind of, you know? Utilize the capacities that we a re building up and also basically speed up the additional capacities to kind of utilize from 3rd Quarter of the next year. So, if you just provide a little bit visibility on how the order book visibility is looking like for the remaining six months ?

Regina ldo Dsouza: Yes, so the average inquiry pipeline looks to be the same region of Rs. 900 crores to Rs. 1,000 crore s, which has been over the last probably three to four quarters, which is quite encouraging. But of course, having said this, the larger chunk comes from exports. So, by the end of the year, as I said earlier, we wish to open the year with almost a full com plement of our plan for next year. So, by March end, we should open up the year, 1st of April with close to about Rs. 900 crores kind of a pending order book, executable in next year.

Moderator: Thank you. The next question is from Abhishek Singhal from Naredi Investments . Please go ahead.

Abhishek Singhal: I had only one question. Is there any plan to monetize the facility in Ahmedabad because there is a problem in transporting the big projects? So, this capacity transfer to Kheda , so any plan to monetize the Ahmedabad facility?

Reginaldo Dsouza: So, Abhishek , not really. And that is the strategic choice that we have made of making heat exchangers in Ahmedabad. Now heat exchangers generally are smaller in sizes. They don't pose much problems in transportati on. And the limit for us in Ahmedabad is about 5.5 meters diameter equipment that can be moved out from Ahmedabad with ease. And most of the heat exchangers would be below that. So, that is a precise reason why we have decided to have heat exchangers

being manufactured in Odhav . And we wish to continue that. And Kheda will expand to the master plan of seven days, making vessels, reactors, and larger size equipment because of its sheer location on the National Highway. And also added to that, we have the com plete machine shop needed for machining of heat exchangers built at Odhav . So, we wish to be there for heat exchangers. And also the location is very strategic, because as I've said in my earlier calls to the most important raw material for a heat exchange r is tubes. And all the world

renowned tube

manufacturers are around probably 40 kilometer radius from our facility in Ch hatral area. So,

the location is ideal for heat exchanger manufacturing.
Moderator: Thank you. Next question is from Ajinkya Jadhav from Kris PMS . Please go ahead.
Ajinkya Jadhav : My question revolves around this Graham arrangement. If you can throw some light on what is the role of Graham in this arrangement, like kind of a product portfolio they will bring to the application. This is the first part.
Reginaldo Dsouza: So, Graham Corporation has been a pioneer in heat transfer and vacuum systems, which are used in refineries, petrochemicals, and any other process plants. So, they have been doing business in India for a long time. They ha ve been our customers for a long time. As I said, even today, we are executing some projects for our IOCL project in India. So, they were our customers. Now we have become strategic partners, wherein we become their exclusive manufacturers now. So, in simp le terms, if Graham wins an order in India or globally, we should have the first chance for refusal for executing that project. So, it's sort of a volume guarantee of business for us .
Ajinkya Jadhav : Okay and how is the business arrangement like are we goi ng to pay them the royalty or how is it?
Reginaldo Dsouza: No, there will be no royalty . it's an exclusive manufacturing agreement . So, we will be their exclusive manufacturers that is a rate contract which have been agreed fixed for a year and with some clauses and every year we will review that rate depending on the commodity pricing.
Ajinkya Jadhav : And the margins will be similar to what we do in our core business?
Reginaldo Dsouza: That is correct. No compromise on the margin.
Moderator: Thank you. The next question is from the line of Ayush Rathi from Aditya Birla Money. Please go ahead.
Ayush Rathi: First of all, congratulations on a strong set of numbers and most of my questions have already been answered. Just on the strategy side, sir, you mention ed in your opening remarks that we are looking for any opportunities if it comes up. Can you throw some more light on what kind of opportunities are we looking at? Is it on the collaboration part? And like if on the collaborations, which like is it on something that will boost our existing product portfolio or anything else? Ca n you throw some light on that?

Reginaldo Dsouza: Yes, so the collaboration that we are looking at or acquisition that we are looking at is not on the capacity side. So, as I ment ioned earlier, anything to do with capacity expansions in our existing product portfolio, we would prefer to do it in Kheda , since we have a land and we can expand. So, whatever opportunities that we are looking at is more on the strategic side in a sense of getting additional product portfolio other than the products that we have today or on some technology acquisitions. That is where we are looking at. So, it should give us a parallel product portfolio. It should give us a futuristic product portfolio in terms of something into green energy, or even a design tie -up. So, that's the area that we are looking at. Nothing on the existing, no capacity addition in the existing product portfolio that we are looking at for tie -ups.
Ayush Rathi : All right, so I got it. Another question on the order book side and e nquiry pipeline in fact. So, we have seen a lot of orders from the export side as well. We can see it in the export order book as well, the contribution from export side. So, just wanted to understand because of the global scenario which is right now going on, do we face any challenges? Do you foresee any challenges in the coming years? I know you have been quite optimistic with your remarks, but just wanted to understand that is there any risk on the e xecution part ?
Reginaldo Dsouza: Yes, so y

ou're right. The concern stands right considering the current geopolitical scenes. But as I said earlier too, we are very cautious of which countries or which projects we work with. So, if you look at in the export profile today, most of our orders and the projects that we are executing is for US and Canada. On the Middle East side, it is more to do with Abu Dhabi for ADNOC , that is Abu Dhabi National Oil Company and Saudi Aramco, which is in Saudi Arabia. These are the only two countries that we are doing in the Middle East and on the Southeast side, it's Australia. So, we are very choosy about the countries and the projects that we work with. Precisely the reason that you spoke about and s o if you see any of the di sturbed regions today, we don't have any projects or any customers that we work with that. But having said that, yes, geopolitics is always a challenge when it comes to export and we are very cautious. And we do a lot of due diligence before we pick up any projects in the exports.
Moderator: Thank you. The next question is from Vikram who is an individual investor. Please go ahead.
Vikram: My question is really around the fact that at the end of next year, we would have pretty much exhausted our entire capacity. So, in terms of thinking through on the next round of CAPEX , when would that be and any initial thoughts on that? And the second pi ece really is around the fact that you did mention earlier on that there was some imminent competition that's coming in. So, you ought to just spend some time on what that means for us. Thank you.
Reginaldo Dsouza: Thanks, Vikram. So, on the capacity addit ions, the next decision that we would make is somewhere in the month of June and of quarter one of next year, because that would be the right

time for us to get the capacity additions. As I said, we will give this time now from now on to next June for us t o look at opportunities in the market. If something comes well, we would definitely take it, or else we will go ahead with the additions of the capacity in Kheda . Similar to what happened today, if you look at, we were holding on the decision for expansion of one

more bay, as only because we were looking at and exploring other opportunities. But then to time it right, we took this call so that we have enough capacity built in for F Y27. So, this should be good enough to suffice our 25 % to 30% growth guidance for the next 2 years. And we would add, so a direct answer to your question, next June would be the decision on the next capacity additions. On the competition, as you know, we play into the export market now, are close to about 50% of our businesses into exports. Domestic, as last couple of quarter, it has been down. Of course, we see it reviving now towards the end of this quarter and moving forward. Things should normalize. But during this interim phase is where, since most of our comp etitors rely on domestic orders and there are not good opportunities right now on the table. The competition is a little stiff and that's where I think for us, fortunately what has helped us is spreading geographically has helped us. So, the competiti on is there in the domestic market, but exports is something that is helping us build up our order book positions.
Moderator: Thank you. Next question is from Balkrishna Julia, who's an individual investo r. Please go ahead.
Balkrishna Julia: I just want to know that you earlier mentioned that Graham Corporation, that is a purely price - based contract for the one year. I want to know if any geographical changes and uncertainty happens within a year, then what any clauses have been added to the contract that c an increase the margin, increase the price, does not let go of the margin for the year? I just want to ask that one?
Reginaldo Dsouza: So, we don't have any price variation clause in our contr

act and no r it is there in any of the contracts, by the way, that we execute for even our customers. The only thing that we have in this contract is a first chance for refusal. So, we have, and there are some clauses in built, because since we are partners together, u nforeseen circumstances like war or COVID or pandemics, any other situation that would abruptly take the commodity pricing to extreme, we definitely have amicable solutions within the contract. But variable price contract is definitely not in place. And just for your information, we do not have that contract in any of our contracts that we execute. That is where the forecasting models of our commodity and raw material pricing helps us during the estimation process.
Moderator: Thank you. The next question is from Mohit Surana from Monarch Networ th Capital Limited. Please go ahead.
Mohit Surana: Just one question, can you give some insights on the overall competitive landscape and the total market opportunity for our products both in India and globally? Yes, that's it from my side.
Reginaldo Dsouza: Yes, so the competition profile remains the same. It has not changed for us. It's only that in domestic, the competition has gotten a little more aggressive because of lesser opportunities on the table as of now in the current interim period. But as I said, once the opportunities pick up towards the end of this quarter, things should normalize. In terms of the opportunities globally, spreading geographic helped us. So, as I said today, we are sitting on an enquiry ba nk of close

to about Rs. 900 to Rs. 1000 crores kind of an e nquiry bank largely fueled through exports and to be finalized in possibly next 2 to 3 months kind of a window. So, the enquiry pipelines are looking healthy. Domestics, once it picks up towards t he end of the quarter, we should be in a much better position even on the competitive front.
Mohit Surana: Can you give some number on the overall total addressable market for our products? Is there any k ind of estimation that we have?
Reginaldo Dsouza: So, the overall pie, it's based on the market analysis that we do. So, overall pie for the product portfolio that we deal with as Anup Engineering and as Anu p Engineering we are interested in the overall product of pie is close to about 18,000 to 20,000 crores per annum . That's kind of a pie and then we keep taking shares from that. So, spreading geographically was one strategy where we could garner more exports share from the same pie.
Moderator: Thank you very much. Th at was the last question. I would now like to hand the conference back to Mr. Reginaldo Dsouza for closing comments.
Reginaldo Dsouza: Thank you. Thank you, everyone. I once again take this opportunity to thank my wonderful team at Anup and to each and eve ry one who supports and helps us deliver results. A big thank you to all of you, our shareholders, for your trust and standing by our side always. Thank you. And

on behalf of my team at Anup , I wish you all a very happy, healthy, and a prosperous Diwali.
Thank you and take care. Bye.
Moderator: Thank you very much. On behalf of Anup Engineering Limited , that concludes this conference.
Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Feb 2025

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Call: Feb 2025

“The Anup Engineering Limited Q3 FY ’25 Earnings
Conference Call ”
January 31, 2025

MANAGEMENT : M R. REGINALDO DSOUZA – MANAGING DIRECTOR – THE
ANUP ENGINEERING LIMITED
MR. NILESH HIRAPARA – CHIEF FINANCIAL OFFICER – THE
ANUP ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY ‘25 Earnings Conference Call of the The Anup Engineering Limited.
As a reminder, all participants’ lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” and then “0” on your touch tone phone. Please note that this conference is being recorded.
Before we proceed to the call, let me remind you that the discussion may contain certain forward-looking statements that may involve known or unknown risks and uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause actual results, performance or achievements to differ significantly from what has been expressed or implied in such forward-looking statements.
Please note that the company has uploaded the results, press release, investor presentation and also the outcome of the board meeting on the website of the stock exchanges and the website of the company.
I now hand the conference over to Mr. Reginaldo Dsouza, Managing Director of the company.
Thank you and over to you, sir.
Reginaldo Dsouza: Yes, hi. Thank you. Hello, everyone. Warm greetings from team Anup. I am happy once again to have this opportunity to share with you all our performance for quarter three and nine-month period ending December 2024.
The Anup Engineering Limited, in quarter three, we posted a revenue of Rs. 170.9 crores, a growth of 33% year-on-year, with an EBITDA of Rs. 40.2 crores at 23.6%, a growth of 34% year-on-year for the quarter. The profit after tax was Rs. 31.4 crores at 18.4%, a growth of 55% year-on-year. So, for a year-to-date nine-month period ending December 2024, the revenue stood at Rs. 503 crores, a growth of around 28%, EBITDA clocked is Rs. 115.9 crores at 23%, a growth of 29.7% year-on-year. And PAT, profit after tax, is at Rs. 87.5 crores at 17.4%, a growth of 44.8%.
Please note here, we have a lower tax rate due to some tax reversals of last year and ESOPs being exercised by a few members. This performance of the period ending December 2024 should give us a good confidence of achieving our plan for this year, that is around 30% growth with an EBITDA of around 23%.
The pure exports have seen good growth for the period at 51% and we should be closing the year with exports of over 50%. The working capital was healthy at 3.9 tonnes and net cash closed at Rs. 35.6 crores. The sectoral revenue across industries for quarter three was quite interesting.
We have oil and gas at 17%, petr ochemicals at 20%, hy drogen at 45% and fertilizers at 14%. Of course, these are for a quarter and will normalize for the year. But what does clearly signifies is

that our capabilities are fungible across industry se ctors and is not dependent on a particular one.

So, when the business exists in any of the indust ry sectors, we will be in a position to compete for the opportunity globally.
The product provides revenue share is in line with what we had forecasted earlier. The exchanges at 57%, mostly coming from our Ahmedabad plant, and 42% for vessels and reactors from our new Kheda facility. Surely our Kheda plan has started contributing well, which is seen from this 42% of vessels and reactors and columns coming out from that plant.
At Mabel Engineers, most projects under manufacturing are planned for Quarter 4 delivery, and hence no sizable revenue is noticed in Q3. For the period ending December, the total revenue build is about Rs. 26 crores. And with delivery is planned for Q4, we should be on plan for around Rs. 50 crores revenue that we have planned for Mabel Engineers.
Before I proceed, I would like to make a small note, a small correction in the i

nvestor deck that
we have posted. On slide number 11, nine-months period FY ’25 breakup of revenue of Rs. 503 crores, the domestic numbers stand a little corrected. The domestic share is Rs. 208.4 crores which is 41.4%, exports Rs. 258.4 crores versus 51.3%, and SEZ and deemed exports is at Rs. 36.6 crores, which is 7.3%. So, this wa s just a correction on slide number 11.
On the development side, there have been some good developments over the quarter, quarter three. First and foremost, on our foray in to critical equipment business, we have successfully manufactured and delivered our first chrome moly vanadium modified material equipment. These were five numbers for an Indian client.
We have also started manufacturing our first solid internal equipment weighing 200 metric tonnes single piece at our Kheda facility for an export customer. In fact, this, incidentally, will be our highest single equipment value ever manufactured by Anup, and the value would be over Rs. 40 crores for one single equipment. Now, both these are in line with our strategy to have calibrated strategic inroads into cr itical and complex metallurgies.
Second development, on our capacity expansion plan as committed over the last call, we have started the construction of our Phase-2 at Kheda location. This will add one complete bay and one open yard. It is expected to be operational in the third quarter of the coming year, FY ‘26. So, with this, we will have, in all three complete bays and one open yard at Kheda, capable of delivering about Rs. 40 crores per year. This will be about 33% of our master plan for Kheda, which is to have seven manufacturing bays. So, at seven manufacturing bays that plant should deliver somewhere around Rs. 1,200 crores, and that's how this Rs. 400 crores with Phase 1, and Phase-2 would be about 33% of our total master plan.
Next, our operations at Mabel Engineers and the office at Vadodara has stabilized quite well.
With these installed capacities at our manufacturing locations that is in Ahmedabad, Kheda and Tamil Nadu, we have a capacity capable of delivering revenues up to Rs. 1,100 crores to Rs. 1200 crores per year, depending on the product mix on the order book. We will expand further in line with our growth guidance.

Next, I would take a few minutes to talk on the future outlook. We are currently working on some interesting inquiry base, la rgely for exports. Domestic, as I mentioned earlier, has been sluggish for last three quarters now, but we are seeing some movement recently from private conglomerates, and we have been successful in getting some orders. PLC projects have not taken shape yet, though there have been some good announcements from Indian Government, both on refinery and petrochemical projects. I am sure we should see them surfacing probably over the next six to eight months.
Middle East is dominating with new gas projects, and USA and Canada and Europe we see good hydrogen projects lined up. But as you all know, last two quarters has been a wait and watch for many economies globally. Geopolitical developments, wars, speculation over policy changes due to change of regime in a major economy, trade tariffs, and many other factors have delayed decisions on some interesting projects. But having said that, my view, this will settle down eventually and projects which are of strategic importance for the energy transition roadmap will surely see the light.
Our overall pending order book as on date remains encouraging at Rs. 831 crores. And considering our plan for this financial year, it means we have an opening order book of about Rs. 600 crores executable in the next financial year, 2026. With two months’ balance into the year, we should be able to bag orders in line with our growth plan for the coming year. So, our guidance for the next year, FY ’26, continues to be at 25% to 30% revenue growt

h, and with an EBITDA of over 20%. Exports will be in the range of 50% to 55%.
So, we as a business are mindful of the risks and challenges that can come our way. We are cautious of geopolitics and how it could impact trade. We are cautious on the projects and the countries that we work with. We are cautious of the competitive landscape in India. We are also cautious of the aggression in the market to bag orders. And we are watchful of the energy transition activities globally, and also the trade tariff dynamics, and many other factors that can play.
We at Anup, the apex team just concluded our strategic business planning meet and have decided the future road map. I may not be able to spell out the strategy, but we surely have targeted a few new products and service verticals we will get into to diversify our product portfolio. I will surely share further details during our next year end call.
So, to conclude, with this position of nine-months period ending December 2024, we are on track to achieve our revenue and profit plan for this year. The encouraging pending order book with some interesting opportunities ahead gives us a more certain visibility into the coming year FY '26. I am confident that at the strength of my team and with the continued support from our reliable partners and suppliers, we will be able to deliver on our plans.

My sincere thanks to all my committed team members, our partners, our suppliers and all our shareholders for standing by and trusting in us to deliver results. We are grateful for your trust and support.
Once again, thank you all for being present on this call and for your patient listening. Happy to have your questions now. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jaiveer Shekhawat fr om Ambit Capital. Please go ahead.
Jaiveer Shekhawat: Sure. Thanks a lot. And Reggie and team, congrats on another strong quarter. My first question is with respect to your order intake in the intern ational markets, just trying to understand what has happened on a sequential basis, have you seen a dip in the order intake?
Reginaldo Dsouza: No. In fact, I would say that the exports have continued. The dip has basically come in the domestic side. Exports over the last one, one and a half months in the last quarter, that's November, December, of course we have seen a little sluggish movement, mainly because the decisions are pending because of the change of regime and other tariffs and other discussions on. But now we are seeing good traction and discussions. In fact, in January we have got some good order bookings overseas.
Jaiveer Shekhawat: Sure. Because I was just trying to see the order backlog that you had at the start of this quarter, which was about Rs. 690 odd crores and which has come down to about Rs. 540 odd crores as of say the December quarter, while the revenue booking was only about Rs. 115-odd crores. So, I was just trying to see, have there been any orders that have been cancelled or that had gotten pushed out, if you could highlight any of that?
Reginaldo Dsouza: Yes. So, the revenue book is Rs. 170 crores to be precise.
Jaiveer Shekhawat: No, only on the exports market, I was actually meaning on the exports market.
Reginaldo Dsouza: Okay, so you are talking about the exports. There was a large order which we have booked close to about Rs. 20-odd crores and there was descoping and there was a short closure of the order by about Rs. 60 crores, and that's the reason you are seeing that in exports. But of course, we have safeguarded our margins, and we could quickly continue our order booking and fill those slots from some domestic and some international markets.
Jaiveer Shekhawat: Could you just explain or substantiate as to why there was a cancellatio n or the short change what you sai

d?
Reginaldo Dsouza: So, that was an order for a project in United States, and it was dependent on a feedstock. So, the feedstock was retained, and there were some challenges in the feedstock availability for the assessment, probably at the customer's end. So, we do not have the actual details from the customer side, but what we understand is currently they have descoped and short closed that.

Maybe they are looking at, once the feedstock revives somewhere in the quarter three of next financial year, for us it may come up again. So, we will keep our fingers crossed for that. Of course, if it revives somewhere in October, November, we should be the natural choice for that since we already completed halfway in terms of design and other stuff.
Jaiveer Shekhawat: Understood. And currently, I mean, given the momentum that you have seen over the last few quarters, what's the usual order intake trend that you are seeing on a quarterly basis on the exports market?
Reginaldo Dsouza: So, on the export side, we should be getting traction over a quarter close to about Rs. 110 crores

or Rs. 115 crores per quarter.
Jaiveer Shekhawat: Understood. And it's also quite encouraging the way hydrogen has sort of shaped up for you. So, could you call out what has been the overall share of hydrogen related projects in the nine-months, and then what's your expectation going forward?
Reginaldo Dsouza: Yes. So, by the end, nine-months also it's been about 30% of our revenue comes from hydrogen. And by the year end, we believe that it will rema in. Of course, in the quarter it looks a little skewed, it looks 45% for quarter three. But as I said, over the year it should normalize. And based on the numbers we have, by the time we complete Quarter 4, hydrogen should have close to about 30% to 32% share of our total revenue. And just to add, it is mostly blue hydrogen with a small share of green hydrogen.
Jaiveer Shekhawat: Understood. And the expansion that we have seen on the gross margin side, is that because of higher export mix or is that because of higher hydrogen mix in the quarter?
Reginaldo Dsouza: I would say both. When I say both, it's like one is of course export because, as I said, export on the FOREX side we are a little conservative when we book the order. So, generally we tend to release it at the end of execution on the FOREX side. And second, being on hydrogen, we see a lot of exotic materials where we see lower competition as compared to low material grade.
Jaiveer Shekhawat: Right. And in relation to your manufacturing tie up with Graham, have you been able to crack into any of your new proprietary products and in terms of how you are thinking about the overall opportunity over, say, the next two, three years?
Reginaldo Dsouza: So, when we signed the agreement, we were actually in the process of executing a project for them for an IOCL project in India. We just completed the dispatches last month. We have got a couple of inquiries right now that we are work ing along with them for exports, basically. And that was our objective. Actually signing the ag reement, the main objective was that domestic business would continue, but we wanted to tap on the international business. And fortunately, that's what we are seeing on the table right now. Of course, it's not got into an order shape yet, but there are inquiries for exports which we are looking at.

Jaiveer Shekhawat: Sure. Anyways, I look forward to hearing more possibly in the coming quarters about newer products and services that you had decided on your strategy meet. Anyways, thank you so much. Thanks for answering and all the best.
Reginaldo Dsouza: Pleasure. Thank you.
Moderator: Thank you. The next question is from the line of Mohit Surana from Monarch Networth Capital Limited. Please go ahead.
Mohit Surana: S

ir, thank you for the opportunity. A few questions. One, in the last concall you mentioned that we execute fixed term contracts. So, basically I wanted to understand if there is any volatility in the raw material prices, how do we manage that? The second question is with respect to the capacity utilization, if you can gi ve some sense of how was your capacity utilization for this quarter and for nine-months? And the third one I will ask once the other two are addressed.
Reginaldo Dsouza: Yes. Hi. Thanks for the question. So, the answer to your first question, yes, we have only fixed term contracts. And as I would have mentioned earlier, we build in all the costs at the estimation stage itself. And most of our critical orders we do back-to-back with our vendors as well. So, from that sense, most of the critical orders where we feel that there could be a volatility, we go back to that with our vendors. And from that sense, our prices are protected.
Mohit Surana: Understood.
Reginaldo Dsouza: And the second part in terms of the capacity utilization, of course, as you know that we put up the additional capacity at Kheda in the last September. So, if you ad d up both the capacities together, it would be close to about 70% to 75% capacity. And as I said earlier too, we always keep about 10% capacity for short-term shutdown equipments, which are generally more profitable.
Mohit Surana: Understood, sir. Sir, just to again talk about Kheda, I mean, you mentioned that we already have one complete bay and one open yard, and the revenue potential from that will be around Rs. 40 crores, that’s what you said, right?
Reginaldo Dsouza: No. What I said was that in our Phase 1 we have two bays which are already commissioned up and running. We have started construction for Phase-2 where again we are building two bays, but one will be fully covered and one will be an open yard. So, when you look at the end of probably September of this year where we will have that commissioned, we will have three complete bays of 200 meters long covered under roof, and one open yard. So, effectively four bays, three covered, one open yard, and that should give us a revenue of close to about Rs. 400 crores.
Mohit Surana: Understood. So, the last question is with respect to the financia ls. I see your consolidated PAT is lower than your standalone pad, is it like we faced some losses Mabel, can you just throw some light on that?

Reginaldo Dsouza: Yes. So, Mabel, as I said in my initial comment, all the manufacturing that we have done in quarter three, they are all dispatchable in Quarter 4. So, there was a negligible revenue intake into quarter three for Mabel. We have a large order for Reliance getting executed. We have already started the dispatches in this month, that is in the month of January, and it will go up to March to complete that purchase order. So, most of the revenue will be booked in Quarter 4, which will get us back to close to about Rs. 50 crores revenue from Mable which we have planned, and close to about 15% EBITDA.

Mohit Surana: Understood. Thank you, sir. That's all from my end.

Reginaldo Dsouza: Thank you.

Moderator: Thank you. The next question is from the line of Vikram, an individual investor. Please go ahead.

Vikram: Yes. Hi. Excellent results again, so congratulations. A quick question on March ‘25, where do we see ourselves ending? I mean, at this stage we are close to what, Rs. 500 crores for the nine-months, so any sense of where we will end up with March ‘25 numbers?

Reginaldo Dsouza: Yes. Thanks. So, we will end up in line with our guidance of 30% growth. So, putting the numbers together, we should be about Rs. 725 crores for Anup Engineering.

Vikram: Understood. And plus Mabel another Rs. 50 crores?

Reginaldo Dsouza: Yes, standalone. Mable of course, as I said, Mabel would hit a number of close to about Rs. 50 crores, but abou

t Rs. 20 crores of that will not be reflecting in our books because that was before we closed the share transactions.

Vikram: Okay. So, what you are saying is, the chances are consolidated number for March ‘25 will be Rs. 750 crores?

Reginaldo Dsouza: That's correct.

Vikram: And that means the last quarter will be a huge quarter in terms of size and Rs. 250 crores kind of a number?

Reginaldo Dsouza: That is correct, Anup and Mabel put together.

Vikram: Yes. And we have the capabilities in terms of infrastructure and all the wherewithal to kind of deliver that, right?

Reginaldo Dsouza: Yes, absolutely. We have all the projects lined up, we know what what's going to get dispatched and ready before March. We know for Mabel as well. And in terms of capacity if you look at, as I said, the current capacity is about Rs. 1,000 crores, and the moment we complete this

construction that we have started, it will be Rs. 1,200 crores. So, I am pretty sure that should give you the confidence in terms of our capacity to execute.

Vikram: Excellent. And I know you mentioned that you have just finished a strategy workshop and you know that you cannot outline everything, but in terms of the key highlights, would there be different products? Would there be new technology partners? Would it mean getting into different markets? Any sense on that?

Reginaldo Dsouza: Yes, so it definitely is going to be different products, that's the reason we said products. So, it will be on products and services both. And mostly what we are looking at is mass volume kind of products. So, in a sense that it continuously keeps the volume going, what we do today is mostly customize very order we need to design and kind of stuff. We want to look at products which are more sort of not very customized, to some extent customized, but more generalistic in nature, which gives us a little bit of comfort in terms of engineering and others. And I will add to your earlier question, I am sure you would have looked at the history, last quarter is always a very, very good quarter.

Vikram: No, but this is exceptionally good, Rs. 250 crores is a big number, so that's why.

Reginaldo Dsouza: Yes. And what happens, you see, generally you would have heard me saying, Q1 and Q3 are generally not that great quarters. In a sense we have a lot of absenteeism because of festivals and other stuff. Whereas Q2 and Q4 are generally the peak quarters with full attendance, so we have a good drive in terms of project progress.

Vikram: This is very comforting because many managements in the last few days have had changes in their guidance, so it's great to see that you maintain the guidance. And it is going to be a heavy quarter, and you are already middle midway through, so I guess the level of confidence is high, so thank you.

Reginaldo Dsouza: Pleasure. Thank you for your questions.

Moderator: Thank you. The next question is from the line of Rishabh Chaudhary from Carnelian Capital. Please go ahead.

Rishabh Chaudhary: Sir, thank you for the opportunity. Could you shed some more light on the order book visibility for the coming year and how we will achieve our revenue target of 30% growth year-on-year? Where do you anticipate the growth coming from?

Reginaldo Dsouza: Yes, hi Rishabh, thanks for the question. So, as I said, we see a good traction of course in the export market for now. The inquiry bank that we are holding, we are holding close to about Rs. 900 crores kind of an inquiry bank as on date. Of course, 70% is coming from exports. And domestic, we see a revival, we have got a couple of projects on the cards with inquiries from customers coming in. So, we should be good for the next two months. In fact, January also has been good in terms of some order booking, both domestic as well as exports. So, we should be

very

comfortable for 30% growth for the next year. As I said, we already have Rs. 600 plus crores up our sleeves executable into next year. And with the pending order book position and the visibility seen in the market today, we should be comfortable for a 30% growth next year.
So, where we are seeing the growth in exports, it is largely coming from the hydrogen stream, which is largely fueled by the US and Canada, and to some extent some European countries. The Middle East is throwing up a lot of projects on ga s, currently also we have a large contribution of gas projects from the Middle East. And we have a few inquiries up our sleeves for gas as well.
And in domestic, of course the private players are mostly on petrochemical side right now, the PVC, VCM kind of projects from Reliance and Adani. When the PSU starts, which have already announced a couple of projects, they would be mostly on the refinery and petrochemical projects based on the guidance from Indian Government. So, these are the factors that we see we should be doing some good work. So, hydrogen, I believe, will continue to be about 20% to 30% kind of a contribution in our growth journey.
Rishabh Chaudhary: Understood, sir. That was quite elaborate, that's a lot for that. Secondly, the EBITDA margin guidance that you gave was (+20%) as against (+23%), 23% odd we are looking at this year. So, any specific reason for guiding for a lower margin in the coming year?
Reginaldo Dsouza: Not specific. I will only say that we are little conser vative in a sense that since growth is on the agenda, we would not compromise growth. And that's the reason we are being a little conservative. Otherwise, we should be good around this number that we have even this year.
Rishabh Chaudhary: Understood, sir. And just one last question, typically once you book an order, what is the kind of lead time we see for it to tran slate into execution in our revenues?
Reginaldo Dsouza: Are you asking from the lead or are you asking from the inquiry?
Rishabh Chaudhary: From an inquiry, once an order has been booked, from then to when it translates into revenue.
Reginaldo Dsouza: Okay. So, as of today, the product portfolio that we deal with, it is anywhere between 11 to 12 months, average. Some products could be 8 to 10 months, some could be 12 to 14 months on an average 11 to 12 months.
Rishabh Chaudhary: Okay, understood. Thanks a lot sir.
Reginaldo Dsouza: Thank you.
Moderator: Thank you. The next question comes from the line of Mohit Surana from Monarch Networth Capital Limited. Please go ahead.
Mohit Surana: My questions are already answered. Thank you.

Moderator: Thank you. The next question is from the line of Bhavya Sonawala from Samaasa Capital. Please go ahead.
Bhavya Sonawala: Hi, thank you for the opportunity. So, my first question is regarding the Graham agreement that we have signed. Just wanted to understand, do you see more opportunity where we are able to manufacture on behalf of our clients like Graham? Do you see more opportunity like this coming ahead in exports as well as in domestic markets?
Reginaldo Dsouza: Yes, there are. In fact, we are in discussions with some end users and customers. So, we are looking at opportunities like this because it helps us to book our volume, rather than we having to struggle every time for an order. So, we prefer to be exclusive manufacturers for our customers like Graham. So, yes, opportunities are on the table, once it materializes we will surely come back to you on it.
Bhavya Sonawala: Okay. And are these specifically for export, or we are looking at domestic and export mix altogether?
Reginaldo Dsouza: So, these opportunities like Graham, right, they are probably the proprietary equipment holders. So, they do projects globally, including India. Same with Graham. But our objective would be, once associated with licensers like Graham,

it gives us an opportunity to tap even into the export market. Domestic any which way we can compete and probably if you are competitive we can bag the order from them. But I think such strategic tieups helps us to get more into export in addition to the domestic market.
Bhavya Sonawala: Okay, understood. And my just last question probably might be difficult for you to answer, but

with the new administration in the US, and they have taken a stand against the renewable energy in terms of solar and wind, do you see any effect in future going ahead to hydrogen and probably
other nations following it? Any kind of thoughts that you can share?
Reginaldo Dsouza: I think it's too early to comment. Of course, we will wait for policies to be announced. But having said that, if you look at our product portfolio and the industries that we serve, solar and other renewables does not impact because we are not in that field. Hydrogen is, but we are on the industrial hydrogen which I believe is here to stay. So, from that perspective, not a direct impact, but yes, when economies get impacted, we will have to be cautious and vigilant.
Bhavya Sonawala: Thanks a lot, sir. And all the best.
Reginaldo Dsouza: Thank you so much.
Moderator: Thank you. The next question is from the line of Balkrishna, who is an individual investor. Please go ahead.
Balkrishna: Mr. Dsouza, congratulations for your good set of number to you and your team.

Reginaldo Dsouza: Thank you.
Balkrishna: I just want to know few things. One is, current de bt level in the company. And second thing, this current expansion plan is going on, so sir I want to know, it is fully by internal accruals or it will be done by debt?
Reginaldo Dsouza: So, thanks for the question. We are net debt free, so we do not have any debt, net. And whatever investments that we are going to do even in Khed a now for Phase-2, it will be completely from internal accruals. I hope that answers your question.
Balkrishna: Yes, got it. Thank you.
Moderator: Thank you. The next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.
Shyam Maheshwari: Thanks a lot. Hi sir. Congrats on a great set of numbers.
Reginaldo Dsouza: Hi. Thanks.
Shyam Maheshwari: Yes. One question on the US side, again. I think you mentioned it in your opening remarks, but just wanted to understand a little bit more in detail. So, as far as we know, the Trump Administration has now kind of stopped any fu rther disbursements when it comes to the IRA, and that involves your hydrogen ecosystem as well. So, is there any sense that you are getting from your end customers as to when they maybe kind of halting or taking out more cautious approach towards their ongoing pr ojects, particularly in the US?
Reginaldo Dsouza: Yes. So, we have heard this, we have also read these policies. Now what we understand from our customers is whatever orders that we are executing, these are large multinationals and end users basically. So, they have invested their own fund to get this project going. And we do not see. So, even now, of course there could be some other technical reasons why projects get delayed. Because what happens is these items, once we supply this equipment, these have to be modularized in a package. And these modules generally will be moduled in places like China or Indonesia and other places. Now, the tariff structure will definitely greatly impact them, because finally it's a landed cost which will impact for the end user. So, they are cautious in a sense, waiting and watching as to what would be the tariff structures, because based on that they will have to define from which countries they need to buy. And I think the cautious approach that I have mentioned in my opening remarks is basically what we are saying is from the tariff perspective the end users are a little watchful and they are

waiting for some co ncrete understanding on the trade tariffs. Other than that, in terms of projects, I believe hydroge n is here to stay, we all know. We are talking about industrial hydrogen gas. And we do not s ee any projects. In fact, in Europe, we are getting good opportunities in hydrogen at the moment. So, I hope I have answered your question.

Shyam Maheshwari: Yes. And sir, how much would the US be as a percentage of our hydrogen business?
Reginaldo Dsouza: So, of the overall hydrogen business, the 30% that I spoke about, US standalone this year would be close to about 26% to 27% of that. Of which we have completed the part we are going to execute in this quarter, so we should be good at that.
Shyam Maheshwari: We have significant business from other geographies as well then, 70% of the hydrogen business is from other than US?
Reginaldo Dsouza: Yes.
Shyam Maheshwari: Understood.
Reginaldo Dsouza: So, apart from hydrogen, we have a very strong business. So, currently the biggest account for us today is coming from the Middle East. Middle East, two countries that is Abu Dhabi which is from ADNOC, Abu Dhabi National Oil Company; and the second is Saudi Aramco, which is

in Saudi Arabia. And I am sure these two compan ies are like two countries. So, most reliable
and that's why I used the word earlier that we are very cautious on which countries and which
companies we work with.
Shyam Maheshwari: Interesting. Perfect sir. Thanks for the detailed explanation and all the best.
Reginaldo Dsouza: Thank you so much.
Moderator: Thank you. As we have no further questions, I would now like to hand the conference over to
Mr. Reginaldo Dsouza for closing comments. Over to you, sir.
Reginaldo Dsouza: Thanks. I once again take this opportunity to thank my wonderful team at Anup and Mabel, and
to each and everyone helping us deliver this performance. A big thank you to all of you, our
shareholders, for your trust and support as always. Thank you. And on behalf of my team, I wish
to all of you happy days ahead. Take care and stay healthy. Thank you so much.
Moderator: Thank you. On behalf of the The Anup Engineering Limited, that concludes this conference.
Thank you all for joining us. You may now disconnect your lines.

"The Anup Engineering Limited
Q4 Quarter and Year Ended FY '25 Earnings
Conference Call "
May 13, 202 5

MANAGEMENT : MR. REGINALDO DSOUZA – CHIEF EXECUTIVE
OFFICER & MANAGING DIRECTOR – THE ANUP
ENGINEERING LIMITED
MR. NILESH HIRAPARA – CHIEF FINANCIAL OFFICER –
THE ANUP ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and year ended FY '25 Earnings Conference Call of The Anup Engineering Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Before we proceed with the call , let me remind you that the discussions may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in the conjunction with our business risks that could cause actual results, performa nce or achievements to differ significantly from what has been expressed or implied in such forward -looking statements.
Please note, the company has uploaded the results, press release, investor presentation and also outcome of the Board meeting on the we bsite of the Stock Exchanges and website of the company.
I now hand the conference over to Mr. Reginaldo Dsouza, CEO and Managing Director of the company. Thank you, and over to you, sir.
Reginaldo Dsouza: Thank you. Hello, everyone. Warm greetings from t eam Anup. I'm happy to be here to present to you all our performance for the financial year 2024 -'25 ended March 2025. I must say the year has been very eventful and challenging. The geopolitics, wars, trade tariff positions, etcetera, has been volatile an d uncertain. And I'm sure still continues until complete clarity emerge.
Let me take you all through the financial numbers for the year 2024 -'25. We achieved a consolidated revenue of INR751.3 crores, a growth of 36.5% Y -o-Y. Please note, this includes INR18 crores of premerger revenue of Mabel engineers. The EBITDA stood at INR172.8 crores at 23%, a growth of 36.3% Y -o-Y. Profit after tax is INR124.6 crores, a growth of 19.8% year - on-year. And PAT without considering tax reversals has grown by 35.5%. Inte resting contributions from all our three manufacturing locations.
Ahmedabad plant at INR565 crores for FY '25. Kheda plant in its first full year operations delivered INR143 crores and Mabel engineers, which we acquired last year, clocked in with INR43 crores. So , we are happy that all the three locations have been contributing very well to the revenue.
The sectorial revenue across industries was as expected with hydrogen at an encouraging 30%, which clearly demonstrates the energy transition to cleaner forms and also, at the same time, our preparedness for this business. Oil and gas at 30%, petrochemicals at 23%, fertilizer at 10% and others stood at 7%. In terms of the product mix, heat exchangers stood at 65% and the vessels reactors, columns and othe rs at 35%, which signifies the contribution made from our Kheda plant, which mainly focuses on manufacturing vessels, reactors and columns.

In line with our strategic road map, the exports was at an encouraging 54%. This is pure exports with deemed export s, it stood at 59%. The average working capital is at 3.6 t ons. I would like to

make a note here, the working capital block is touch higher than expected, mainly on account of, of course, our growth and also an order where we have delayed the delivery as t he customer site is not ready. In fact, we have many equipments ready for dispatch, which results into a higher unbilled debtors.

But we used this opportunity to commence manufacturing of other fast -track projects, which has taken good shape now and shoul d be executed in quarter 1 of this financial year. Therefore, as we execute quarter 1 and quarter 2, this working capital should normalize. On the order book, as on date, we have a pending orde

r book of approximately INR740 crores for this financial year.

Of course, if not for the large 1 cancelled order, which I mentioned during the last call, this pending order book position would have been much better around INR810 crores. Yes, the order finalizations have been a little slow over the last 2 months, main ly for the reasons that customers are waiting for more clarity to emerge on policies and trade tariffs, which can define competitiveness of every country.

We are in touch with our customers and considering the fact that trade agreements are being ironed o ut between various countries, things would improve as clarity emerges. Also important to note that the domestic business also is seeing a good traction. The inquiry pipeline continues to be robust, especially on exports. As we speak now, we have an inquiry pipeline of about INR800 crores. Of which we are working on a few very closely and are confident to get the necessary order intake for this financial year plan.

Moving ahead, there have been some good developments during the financial year gone by FY '25. I would like to make a note a few. First, on our foray into critical equipment business. We have successfully manufactured and delivered our first chrome moly vanadium modified material equipment for an Indian client.

This is extremely critical and strategic to move into critical metallurgies in line with our strategy. We have also started manufacturing our first solid internal equipment weighing over 200 metric tons single piece for an export customer at our Kheda facility. This would be our first t rack record for a solid internal material equipment.

And after a long gap, we have manufactured and supplied titanium equipments for our clean room in the last financial year. Further, we are currently manufacturing a few more equipments in the clean room . This is, again, in line with our strategy to have calibrated strategic inroads into critical and complex metallurgies.

So we have now started using our clean room effectively. Second, on our capacity expansion plan, we have started the construction of o ur Phase 2 at Kheda location, which is estimated to be completed by quarter 2 and commissioned in quarter 3. This will add 1 complete bay and 1 open yard at Kheda.

With this, we will have 3 complete bays, manufacturing bays and 1 open yard capable of delivering about INR400 crores per year from this facility. Our acquisition of Mabel engineers

is yielding good results. It has added about 200 metric tons per year of fabrication capacity, and we expect to double the turnover this year, as mentioned.

Our design office at Vadodara has stabilized well, and we moved to a bigger 60 -seater office, single floor to increase the bandwidth and to have more people working on design, research and development. This is in line with our strategic road map of building Va dodara as Anup's design hub for new product development and also as a profit center in the future.

With these three installed capacities at our 3 manufacturing locations, that is Ahmedabad, Kheda with Phase 2 and Mabel engineers at Tamil Nadu, we have a c apacity capable of delivering revenue up to INR1,200 crores per year, depending, of course, on the product mix. We will expand it further in line with our growth guidance at Kheda.

On the background of these facts and the market outlook globally, our guid ance for this financial year FY '25 -'26 continues to be about 25% revenue growth and with an EBITDA of over 20%. Exports will be targeted in the range of 50%. So we, as a business, are mindful of the risks and challenges that can come our way.

We are cautious of the geopolitics and how it could impact trade. We are cautious on the projects and the countries we work with. And we are watchful of the competition and the energy transition activities globally and also the tra

de tariff dynamics and many othe r factors that can play.

Considering these, we have prepared a strategic road map for our growth in the future. I may not be able to spell out everything, but surely have targeted a few new products and service verticals we will get into to diversify our product portfolio. To mention a few, we have started our focus on large volume play with short manufacturing cycle jobs. This is nothing but the high -volume play.

We have also started Anup Technical Services which seeks opportunities into testing services using our NABL accredited laboratory, health checks of static equipment at site and small repair works. Happy to share that we have executed a few already under this and also bagged another service order just last week. This is a high -margin play business .

On the dividend, last year, our company has declared a regular dividend of INR15 and a special dividend of INR5. It is my pleasure to inform you all that the company has declared dividend of INR17 per share, INR17 per share versus INR15 of last year. Th e same will be distributed post approval of shareholder in ensuing AGM. To conclude, I believe that at the strength of our strong team at Anup, we have delivered decent results despite all challenges and uncertainties.

Of course, we have had some learning s and opportunities for improvements along the way, and I'm sure we will improve them in the coming years. I'm confident that with the continued support from our reliable partners and esteemed customers, we will be able to deliver on our plans.

My sincere thanks to all my committed team members, our partners, our suppliers and all our shareholders for standing by and trusting in us to deliver results. We are grateful for your trust and support.

Once again, thank you all for being present on this call and for your patient listening. Now I'll be happy to have your questions. Thank you.

Moderator: We have our first question from the line of Jaiveer Shekhawat from Ambit Capital.

Jaiveer Shekhawat: My first question was on your gross margins. So what I see is s equentially as well as on a Y -o-Y basis, there has been almost about 600 bps of contraction there. So could you highlight what has led to that given that, I mean, you have still seen an export mix that has increased? I mean, what explains that?

Reginaldo D souza: Yes, Jaiveer, so this is nothing but as mentioned earlier, as we move higher into the product mix, the margin as percentage is bound to shrink because these are high material -intensive products.

And that is the reason it will help you to grow in terms of growth. It will give you absolute margins on the higher side, but on the percentage terms, it will drop.

So in short, it is purely a product mix play. And as we move to higher product mix, as we mentioned earlier, in terms of EBITDA percentage, i t's likely to drop. but it will allow you to grow because for the same tonnage, you get a higher revenue in terms -- which will help you to grow.

Jaiveer Shekhawat: Sure. And as you rightly mentioned in your opening remarks as well about the evolving situa tion globally as well, and we have also been seeing that there have been delays with respect to order finalization and plus the fact that the oil prices are where they are? And what sort of gives you still the confidence that you'll be able to sort of cont inue this growth trajectory possibly over the next 2, 3 years?

Reginaldo Dsouza: So the inquiries that we are handling, about 70% of them are in petrochemicals and hydrogen. So it's more on the energy transition side for which -- because that does not get impacted with your oil prices on the higher side. So that gives us the confidence, and we are in touch with customers. So there's no dropping of the plan.

Probably it is only more clarity in terms of their complete budget for a particular pro

ject. Having said this, when we work out the economics in terms of which countries can supply th is kind of products to maybe United States or Canada or other parts of the world, I think India still holds a dominant position in terms of -- even if the mentioned trade ta riff has to be implied, India still has the dominant position in terms of being the most competitive country.

So that is where it gives us confidence because we know the competition that we play with. And since the projects are on the go, it's only a prob able delay in terms of finalization.

Jaiveer Shekhawat: Sure. What I see on the balance sheet is that your trade receivables, these have increased to almost 2x to about INR280 crores. And also, there is roughly about INR90 crores of other current assets. S o I think first question is on trade receivables, what sort of explains the increase?

Second, how much of the other current assets is the unbilled revenue for you?

Reginaldo Dsouza: Yes. So as I explained, the working capital did swell up and the block is higher in terms of receivables as well. It's mainly because 1 project where the deliveries were extended up to

September because the customer sites were not ready, and we had to deliver those equipments. Now they are ready. Most of them at our Kheda facili ty packed, printed and we have to deliver them.

But we have taken that opportunity to take in more fast -track projects, as I mentioned in my opening remarks, which is helping us to deliver those equipments on time. It will normalize over probably quarter 1 and quarter 2 by the time we execute these projects and roll out. So that's the basic reason why the unbilled revenue seems to be a little swell up.

Jaiveer Shekhawat: So is the entire INR90 crores, is that unbilled?

Reginaldo Dsouza: Sorry? Sorry, come again?

Jaiveer Shekhawat: So I see that the other current assets, I believe for the jobs that you've already booked or sales that you've recognized, I mean that would flow into your trade receivables, but your unbilled I assume would be part of the other current assets, right?

Reginaldo Dsouza: No. That would be a part of receivables. The other current asset is roughly INR20 crores, INR23 crores increase in the advances to the supply. Because as we get into the higher metallurgy, most of material is imported from either Europe or China, where we have to pay a few percent. And in some of the material imported from the Europe, we had to pay 30% to 40% advance to get the material.

And second, there is an increase of roughly INR10 crores in the prepaymen t of the royalty. So the royalty, which we pay to a technology provider, say, HLE, we need to pay them 100% royalty on the receipt of the order from our customer. So INR10 crores is increase in the prepayment on account of the royalty, which is pass -throug h expense to the customer.

Jaiveer Shekhawat: Got it. Regi, my last question, since you talked about your strategic road map as well and you are targeting newer products as well, which are possibly going to be more higher volume, more recurring business. H ow do you think about margins for those kind of projects versus your existing ones? And then what margin range would you be comfortable with while you try to sort of scale up Anup Engineering?

Reginaldo Dsouza: Yes. So we -- broadly, as we scale up, we are going to have the business moving into 3 main verticals. One is, of course, our legacy old products, which we are into today, which is giving us the EBITDA of 20% plus. So we are going to continue that. The other business -- so it's basically a 60-20-20 kind of a model. So 60% of our businesses would come from this. 20% is where we move to high -volume quick turnaround jobs, which may be in the region of 15% kind of an EBITDA margin.

So they would be termed as high volume low margin, which will help us ass ure our gr

owth. And

the third is where we are wanting to get into the services part, which is very high margin, low volume kind of a business. So these 3 models put together as we grow in the future, we wish to keep the EBITDA margins 20% plus. That would be our guidance going forward.

Moderator: We have our next question from the line of Mohit Surana from Monarch Networth Capital.

Mohit Surana: A few of my questions have already been answered. But just to ask, sir, in terms of exports, what is our exposure in terms of countries? Like how much is U.S., Japan, Canada, Europe and Middle East?

Reginaldo Dsouza: Mohit, so in terms of exports, of course, year -on-year, it would change a little. But if you take an average out over a 3 -year period, you would find U. S. -- or even if you take last year, U.S. would be about 30% of the total exports. 50% -- so it is broadly when I say Europe -- sorry, U.S., 30%, which includes the U.S., North America and Canada, that part of the world. 50% is Middle East.

When I say Mid dle East, it's mainly Saudi Aramco, which is in Saudi Arabia, so the national company there and Abu Dhabi. So these are the only two countries in Middle East that we work with. And then the balance 20% forms part in Australia and some parts in Nigeria. So these are the broad countries that we work with.

Mohit Surana: So you said Middle East is 15%, right?

Reginaldo Dsouza: Yes, 50%.

Mohit Surana: Got it, sir. Got it. Sir...

Reginaldo Dsouza: Yes, because we've got a pretty large orders for ADNOC and Saudi Aramco, which we'll fuel.

And of that balance, 20%, about 5% is in Europe. We don't do much business normally into Europe, but I beli eve this is the first time that we have got an opportunity to make a project and send inside Europe.
Generally, we have customers in Europe, but the project in rest of the world, but we have recently got some good order where we have to make the equipment and the project is residing in Germany to be precise, which is for a hydrogen project.
Mohit Surana: Understood, sir. Sir, my second question is with respect to our tax rate. So this time, our effectiv e tax rate is somewhere around 27% for this quarter ve rsus the refund same period last year. So going forward, can we expect the tax rate to be around, say, 23%, 24% for the rest of the quarters because earlier we used to get tax subsidies. Can you just elaborate on that?
Reginaldo Dsouza: Yes. So it will be a flat rate of 25%. Of course, there would be some tax rebates that we may get as we move forward.
Nilesh Hirapara : Yes. But if you see in this quarter 4, there was no issuance of ESOP. So generally, ESOP issuance is one where we get a higher tax benefit b ecause of the tax effect. Otherwise, the tax rate will remain in the 25% to 26%.
There -- as we said earlier, there are tax provisions which is made in the books on a conservative side of roughly INR15 crores to INR18 crores for which assessment will happ en in this year or probably the next year. As and when we get a clear assessment from the department, we will write back all those tax provision in the books that may call for a lower percentage of tax.

Mohit Surana: Got that, sir. Sir, just one last quest ion, if I can chip in. Sir, can you just reiterate how much is the revenue for this year for Odhav, Kheda and Mabel?
Reginaldo Dsouza: So the revenue for Ahmedabad, that is order facility was INR565 crores, Kheda with Phase 1 as today is INR143 crores and Mabel is INR43 crores.
Mohit Surana: Understood. And sir, in terms of capacity, how much will these be?
Reginaldo Dsouza: So these three put together, we can deliver about INR1,200 crores business. Hello?
Moderator: Sir, the participant got disconnected. We'll move on to the next participant from the line of name Navani Nar

edi from Naredi Investment.
Navani Naredi: Yes. So my first question is, what steps are you taking to improve the profit margin given the rising raw material costs? And sec ond will be what role will government contracts and defense projects will play in the future? So these are my 2 questions, sir.
Reginaldo Dsouza: Yes. So on the margin side, as we are growing, we will try and get the product mix in the range that allows us to remain with an EBITDA of 20% plus. That would be our game plan. Of course, your question specific on the raw material, we have definitely a methodology within where we try to source the best competitive pricing, maybe in India or imported.
So, we have that process in place. But short answer, we will try and make the choices such that it allows us to maintain an EBITDA of 20% plus. I believe your second question was on the PSC orders. Yes, the traction has started. In fact, we have some inquiries that w e quoted. They being all tenders, they may open up probably 60 to 90 days from now. So as I mentioned in my call earlier, definitely, the domestic PSC orders intake would start soon.
Navani Naredi: All right, sir. And owing that the tariff impact that the whole economy is facing right now. So will we be able to compete -- and the rising raw material cost in terms of that I'm asking.
Reginaldo Dsouza: Yes, sure. In fact, if you per se look only at tariff and how it is going to impact us, probably if you look at the countries that are involved in manufacturing these kind of products, probably we are at an advantage position. In fact, it's only going to be advantageous for us considering our relationship with the United States and the tariff that is applicable on India. And the raw material, which we generally buy from, we buy from Korea and some parts of Europe. Korea, anyway, we have a free trade treaty.
So that does not impact us because most of our forgings come from Korea. And the larger part of the materi al, almost 70% of the material is bought in India. The steel, AM&S and Jindal. So a larger portion, it does not impact us. But yes, for critical materials, which are exotic in nature , we have to go to Europe or China, depending on the metallurgy and case t o case.
Navani Naredi: All right. And my last question is on Mabel Engineering. So like at what point of time will we be able at a breakeven point? Because right now, I can say because of the losses, I think the profit margins has also impacted. So like what is the future of Mabel Engineering so far?

Because you have already mentioned that you will be doubling the turnover this year. But what

is the further growth and margin strategy going ahead for Mabel Engineering?
Nilesh Hirapara : So Mabel is already a profit -making ma'am. They had a very good profit chunk orders in this year, wherein they have done the EBITDA in the similar tune what Anup has done. But going forward, when they will do INR100 crore, we expect them to generate an EBITDA in the range of 18%, I mean somewhere near to 18%.
Moderator: We have our next question from the line of Ravi Naredi from Naredi Investment.
Ravi Naredi: Sir, I would like to know, after the INR50 crores capex which we are doing in Kheda, what is our next capex plan?
Reginaldo Dsouza: So for this, once the Phase 2 is done, we don't have any plans as of now for Kheda. As I mentioned, with all the capacities in place, we will be able to deliver about INR1,200 crores. Beyond INR1,200 crores, of course, we will need some capa city in place for which we will make a decision towards the end of this financial year to add 1 more bay at Kheda because it takes about 11 to 12 months to put that in place. So the next capacity that we will need is for FY '28.
Ravi Naredi: Very nice, ver y nice. And sir, our order book is INR741 crores this year. Last year, it was INR854 crores order,

so can we think there will be less turnover this year?
Reginaldo Dsouza: No, because as I said, our growth guidance still remains at 25% growth for this year. Yes, the order booking number looks at INR741 crores. If not for that one order which got cancelled , probably we would have been looking at INR800 crores -plus, which is i n line with our strategic intent. What we've always maintained is that at the beginning of the year, we should roughly have about 80% of the plan for the year.
And the balance 20%, we generally keep for short -term -- short delivery items or shutdown items where the profit margins are much better. So we are a little lower than our plan. We would have liked to be about INR800 crores. But if not for the cancelled order, we would have been today announcing that we have INR810 crores order. So -- but considerin g the inquiry positions today, yes, we are positive.
Ravi Naredi: Can you tell the figure, how much order we have bid and how much percentage of success we can achieve?
Reginaldo Dsouza: So in terms of the conversion rate, we generally, as a policy, wish t o keep it below 20%. We don't wish to take it at a higher conversion rate because we can increase the conversion rate, but then we have to compromise on the margins. So to get better margins, we generally keep our conversion rate lower than 20% always.
Ravi Naredi: Okay. And how much orders we have bidded?
Reginaldo Dsouza: So as of -- as we speak, as I said in my opening remarks, we have roughly about INR800 crores worth of inquiry bank that we've bid as of today and it's likely to go up because of the PSU s are going to come up with inquiries now. So that will add up to this INR800 crores.

Moderator: We have our next question from the line of Kunal Shah from Carnelian Asset Management.
Kunal Shah: Hi, Regi and Nilesh ji. Thanks for the opportunity. I have just one question. You mentioned in your opening remarks that we have started new services work as well across our Odhav facility or across our testing facility, correct me if I'm wrong, right? So just wanted to get a sense how big this opportunity can be in the overall scheme of things.
And I believe that the margins and everything over here largely would be much better in the sense that a large part would be directly flowing down to EBITDA. So if you could help understand the opportunity size for this, h ow meaningful can it be? And how meaningful can it be in the terms of it translating to PAT?
Reginaldo Dsouza: Yes. Kunal, so yes, we did start this kind of technical services this year. It's in short, providing the testing facilities using our NABL labora tory in Odhav, doing the health check at site for static equipment, which we are -- we have the expertise and at the same time, conduct the repair work at site during the shutdown. So these are the services that we promote. And as I mentioned, we've comple ted a couple of them.
Yes, these are good EBITDA margin business. It can give you clear margins of upwards of 30%. As of now, we -- since we have started, we want to ramp up the service. But our estimate is that in 3 years' time, this can be close to a INR200 crore business with 30% plus kind of an EBITDA margin.
Kunal Shah: Right. Right.
Reginaldo Dsouza: Other competitors have much higher share of this because they have been into this for many years. We just started off. So we are going to ramp it up slo wly.
Kunal Shah: Got it. Got it. Got it.
Reginaldo Dsouza: And why did we get into it is Mabel gave us that confidence of site service because Mabel has got the capability of doing site work. So with that now, we are confident that we'll be able to do a good job on the service business.

Kunal Shah: Got it. Fair to assume then in the current year, it will contribute in the range of INR50 crores, INR70 crores or a large part of the ramping

up then would happen slowly, gradually in FY '27 - '28?

Reginaldo Dsouza : So this year, Kunal to be frank, we are targeting INR25 crores to INR30 crores into this business vertical since it needs some sort of PTR, what we call as proof test. So we have to do some PTRs and go to the customer saying that, see we are confident of doing this work. So the first year would be a little ramp -up. But next year, what the number you are mentioning is a possibility.

Kunal Shah: Right. And this is over and beyond the INR1,200 crore from the existing facilities basis the capacity that we hav e is what we are talking about. So this is beyond that INR1,200 crore number?

Reginaldo Dsouza: That's right.

Kunal Shah: Right. And the second question is, are we also looking at any further acquisitions in terms of building capabilities, etcetera, if you would want to throw some light. Or maybe a facility like we had Mabel, which further opens up the opportunity for us to g o beyond INR1,200 crores like we have in terms of what you just spoke about?

Reginaldo Dsouza: Yes, for sure. We will not be able to drop too much details out here. But yes, we are looking out for acquisitions, what I mentioned earlier, too, but only on th e capability side. So it's a clear strategic road map that we will look out for acquisitions or joint ventures for capability side. Capacity, we will grow it up at Kheda or at Mabel where there's ample amount of land for us to expand. So that will be the r oad map ahead. Yes, we are in talks on some of the possibilities. As and when it materializes, we will surely come back.

Moderator: We have our next question from the line of Mehul Panj wani from 40 Cents.

Mehul Panjwani : Yes, sir I have a question on the o rder which we have received from Germany. You have mentioned that it's on the hydrogen side. Can you just elaborate what is this order about because I'm new to the organization -- new to the company right now?

Reginaldo Dsouza: Yes. So these are nothing bu t the static process equipment that we supply, which is our bread and butter product, but it is only going to the hydrogen service. And it's not only in Germany. We have supplied to U.S. We have supplied to Canada. So these are static equipment in the form of heat exchangers or vessels, which is used for plants generating hydrogen.

Mehul Panjwani : Okay. And what kind of -- sorry.

Reginaldo Dsouza: And currently, there are a lot of projects which are in Europe because they are into the phase of transitioning to hydrogen operated economy. And we expect some more projects to be started soon in Europe, especially Netherlands, Germany and that part of the world.

Mehul Panjwani : Right. So can I say that this is basically supplying heat exchangers for a hydrogen facility?

Reginaldo Dsouza: Heat exchangers and vessels for hydrogen facility, yes.

Mehul Panjwani : Okay. And sir, since you mentioned it's a standard product, so what kind of competition do we have? Do we have suppliers from other peer companies in India supplying this?

Reginaldo Dsouza: Yes, yes, we have. So we compete with the same competition profile, which is normally for any of the export jobs.

Mehul Panjwani : Okay. So my follow -up question because -- pardon my advance, but since this -- as you mentio ned that more and more countries are moving towards clean energy and hydrogen -based projects. So has it impacted us in the sense that we have much more inquiry and much more market potential for our heat exchangers because of this last couple of years of p roliferation in the hydrogen projects?

Reginaldo Dsouza: So when we talk about hydrogen project in today's context, it is mostly blue hydrogen. Blue hydrogen is nothing but the conventional hydrogen generation method, but using something called as carbon c apture unit, CCU unit, they call it. So blue hydrogen is nothing b

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conventional where you don't emit carbon dioxide directly into the atmosphere, you actually store it and use it for some purpose.

That's the only difference. So since conventionally, the stream remains the same of converting gas to probably hydrogen and then to ammonia, our products, which were -- which are legacy old products into heat exchangers and vessels, they remain. In addition to that, we have a requirement for heat exchangers and vessels for this carbon capture unit also. So in short, when

a blue hydrogen project comes up, it's the conventional opportunity plus the CCU opportunity
that comes your way.
Mehul Panjwani : Okay. So sir, is it fair to assume that whosoever is manufacturi ng the heat exchanges, will be able to qualify for this kind of opportunity?
Reginaldo Dsouza: Yes. But at the same time, these are some small design nuances, which I believe the big -time players, the reputed players surely will have built in. But you need to -- because the customer profiles will be a little different. In our products, we need something called as customer qualification. So as long as the Hennig fabricator who's got the customer qualifications, and the design nuances in terms of hydrogen can definitely pass. But the entry barriers are not easy. It takes a lot of time to get qualified into a customer.
Mehul Panjwani : Right, right. And for these heat exchangers, do we have a technology transfer from somewhere else? I mean do we -- are we paying license -- do we have licenses for this?
Moderator: Sorry to interrupt, sir. May we please request you to rejoin the queue?
Mehul Panjwani : This is last question, if I can get the answer, please.
Reginaldo Dsouza: Yes. So here, when it comes to heat excha nger, we already have 2 licenses. One is for Lummus heat transfer, which is the Hennig heat exchanger. So we've been with them for over 5 to 6 years now and EMBaffle technology from Brembana & Rolle, Italy. So these are 2 technology licenses that we have.
Moderator: We have our next question from the line of Vedan t Sarda from Nirmal Bang Securities.
Vedant Sarda : Sir, just you discussed about the blue hydrogen. So our major revenue contribution is from these blue hydrogen projects?
Reginaldo Dsouza: That is right. Having said that, we have also executed a green ammonia project as well for NEOM in Saudi Arabia. But yes, the larger contribution as we speak today comes from blue hydrogen.
Vedant Sarda: Okay. And sir, the revenue guidance which you have provided of INR1,200 crores, in that 20% is of service, 20% is of product mix and 60% is from old business. So INR1,200 crores comprise of 60% plus 20%, like you told services apart from these INR1,200 crores?
Reginaldo Dsouza: So let me just clarify. So the guida nce is 25% growth for this year. The INR1,200 crores is basically the capacity that we have today. All my 3 locations put together, that is Ahmedabad,

Kheda with Phase 2 construction completed this year and Mabel put together has a capacity to turn around INR1,200 crores.
So that's the capacity of the plant and not the guidance. Guidance is 25% for this year. And you're right, of the INR1,200 crores the capacity that we can make, the strategy is very clear that we wish to make 60% in our legacy old product , 20% on high -volume products and 20% on the futuristic products.
Moderator: We have our next question from the line of Yagnam Pathak from Asian Markets Securities.
Yagnam Pathak: I just wanted a small clarification that in the press release, we have mentioned order book size as INR770 crores. And in the presentation, it is INR741 crores. So I just wanted to confirm ?
Reginaldo Dsouza: Sorry, can you repeat the question, please?
Yagnam Pathak: Yes. So basically, on the press release, we have mentioned or

der book size as INR770 crores.
And otherwise, it is INR741 crores mentioned in the presentation, I just wanted to confirm the figure ?
Nilesh Hirapara: INR741 crores.
Moderator: We have our next question from the line of Shankar Chandan wala, an individual investor.
Shankar Chandanwala : Apologize if you have answered this question already because I joined a little late. What I see is while our top line growth is around 30%, right, fr om quarter -on-quarter from INR171 crores to INR221 crores this quarter, our cost of material consumed, it is like more than doubled, right? It is more than 100% growth. So from INR59 crores to roughly INR148 crores. So can you please explain what caused th is much jump in the material cost?
Reginaldo Dsouza: Yes. So basically, the cost of goods sold is up a few percentage points is mainly because we have moved our needle towards more exotic and critical metallurgies, where the material content in your overal l sales price goes much higher. Just to give you an example, say, for example, a normal carbon steel equipment, you would have your material price at about 50% of your total sales price. When you go to, for example, duplex or super duplex material, it can go as high as 70%, 75% of your total price. So it's only a product mix that is moving up the needle.
Moderator: The participant got disconnected. We have our next question from the line of Mohit Surana from Monarch Networth Capital.
Mohit Surana: Sorry, I got disconnected earlier. Just one last question on the utilization side. You said our total capacity is somewhere around INR1,200 crores. What is our current utilization? And what will be the guided utilization over the next 2 to 3 years?

Reginaldo Dsouza : Yes. So this INR1,200 crores, Mohit, is once we close our Phase 2 construction at Kheda, which we are expecting in Q2 of this year. So with that, it will be INR1,200 crores. So this year, we are going to -- with the guidance of -- so it's going to be roughly about 75% to 80% of the capacity utilization.

Mohit Surana: So 75% to 80% is the utilization expected including this Phase 2?
Reginaldo Dsouza: That's correct, for next year.
Mohit Surana: And how much is the utilization for FY '25?
Reginaldo Dsouz a: So we generally keep about 10% capacity for quick turnaround, the shutdown jobs because they generally -- and also to cover up because -- to cover up some unaccepted work.
Mohit Surana: Understood, sir. So sir, is it fair to say currently utilization is somewhere around 65% to 70%, which will ramp up to 75% to 80% over the next 2 years?
Reginaldo Dsouza: No. So what we are saying is, Mohit, currently, without Phase 2, if you see, we are almost at about full capacity utilization, and that's the reason we went on to expand our Phase 2 to cover up for the growth for next year. So next year, once we have the Phase 2 in place, that will have a capacity of INR1,200 crores. As against that, we would be making with the growth guidance roughly about, say, INR900 c rores -plus, which will give you roughly about 80% of the overall capacity.
Mohit Surana: I understand, sir. That's it from my side.
Reginaldo Dsouza: And again, Mohit, it depends on the product mix because it depends on whether you get heat exchangers orde rs or vessels order, the value addition keeps changing depending on the product portfolio.
Mohit Surana: I understand, sir. Got it. Got it.
Moderator: We have our next question from the line of Pankaj Motwani from Equirus Securities.
Pankaj Motwani: So jus t -- I have just a single question. So like you are guiding for 25% growth in FY '26, like it will translate revenue of around INR916 crores. So -- and also in the previous call, like you had guided the typical lead time from the order book to revenue is a round, I think, 11 to 12 months. And as of now, order book stands at around IN

R741 crores.
So like based on your stated execution cycle, so like the INR741 crores wholly will take FY '26. So like -- so how will -- and even if we receive fresh orders after this, so like the contribution from that order will start in FY '27 only. So like how would you -- how are you justifying the growth of 25% growth in FY '25?
Reginaldo Dsouza: Yes. So generally, as a principle, you would have heard me saying in the past, too, when we open up a year, that is on 1st of April of any year, we wish to have about 80% kind of an order booking in our kitty because the balance 20%, we generally keep for short delivery shutdown requirements from our customers, which are like very go od on margins generally.
So that's how we normally fill our capacity. Now if you look at 25% growth, it means that we should have been somewhere around INR760 crores kind of an opening order book position. As against that we are roughly INR740 crores arou nd. So it's -- so we are very sure that the short - term delivery items, the shutdown requirements, which generally ranges anywhere between 15%

to 20% is up for the taking for us because they generally come with 7 to 8 months kind of a delivery.
So when we talk about 11 to 12 months average delivery cycle, it's an average. So some are 7 to 8 months and some are 12 to 14 months. So it's averaged out. So based on the inquiry positions in our hand and what we know, we are pretty confident that we should be able to achieve this guidance.
Pankaj Motwani: Like can you justify the number of -- from this short duration orders? So like what could be the orders from this pipeline?
Reginaldo Dsouza: So we need -- see, we need about INR150 crores to INR200 crores of short delivery items, which would be between 7 to 8 months kind of a delivery, which we are pretty confident of getting.
And just to add and clarify, the Mabel products which are there, they are generally 6 to 7 months kind of a delivery because they are d ifferent products.
They are silos, which does not need material of those requirements where we have to import or with a larger long lead time. We get those material within 2 weeks from PO. So those are short delivery items, and that is where we are focusi ng on right now to build this revenue growth for this year. And you will see largely the orders being booked for those kind of products, which we

can even make it in Mabel or we can even make it in our Kheda facility.
Pankaj Motwani: Got it. And one more q uestion. Like you have -- I think you have -- you have had a tie -up with the Graham Corporation USA. So like in the last call, like you have mentioned that you are receiving inquiries from them. So like is there any order converted from that pipeline?
Regi naldo Dsouza: So those -- we are right now working on T3 inquiries for them. Those inquiries are still live. One is Indian to be precise and two are export not concluded yet, but on the verge of conclusion, of course, one is in U.S. So we are expecting it -- the decision to be made only maybe somewhere in the month of June. But there's an Indian project, which should conclude soon. So we have not lost anything yet. All 3 are onboard. We are in discussions and something should materialize soon.
Moderator: We have a follow -up question from the line of Mehul Panj wani from 40 Cents.
Mehul Panjwani : Sir, the INR1,200 crores, which you mentioned, which is going to come from the three facilities. Are these facilities fungible? Are the capacities?
Reginaldo Dsouza: Odhav and Kheda are surely fungible. Mabel to some extent because crane and other facilities are not to that extent like what we have here. But surely, both the facilities in Ahmedabad and Kheda are fungible.
Moderator: We have our next question from the l ine of Bhavya Sonawala from Samaasa Capital.
Bhavya Sonawala: Yes, yes. Just one question.

I think previously, you were saying even with the tariffs in the current situation, if they don't get reconsidered, we still stand a better chance compared to other

geographies. So can you just lay out what other geographies do we compete with in terms of our product portfolio?
Reginaldo Dsouza: So for the product portfolio that we deal with, generally, we see competition coming from China. We see competition coming f rom Mexico, and we see competition coming from Europe, especially Italy and other parts. So obviously, Europe is generally not an option for these kind of products because of the current cost structure there.
Mexico has been hit with the high tariff, as y ou know, China Plus and along with the tariff is definitely difficult for them. So in all probabilities, any order getting finalized, India still hol ds an advantaged position when it comes to tariff scenarios.
Bhavya Sonawala: Understood. And just another question, if I can squeeze in. You spoke about how we're going into exotic metallurgy and a lot of these metals need to be imported and the lead time is quite a bit. So can you just throw some light on how -- what's the difference between if you do a norma l metal fabrication compared to a high metallurgy, if that's possible?
Reginaldo Dsouza: Okay. So just for simplicity sake, let's take only 2 products. One is carbon steel, which is run of the mill steel, not too complicated, and it's available in India in the mills like ArcelorMittal and Jindal. Now I would get that material within 3 months from my PO to them. Now if you go one step higher, which is low alloy steel material, maybe Grade 22 and with little higher thickness, I have to go to Europe.
There is no other choice because that's not made in India. None of these mills supply those high thicknesses and Grade 22. Now that material would need anywhere between 6 to 7 months to be landed at my place. So that's the kind of a difference. So generally, on an average, the difference would be close to about 3 months, which is 12 weeks landed material at a shop difference. And that is where sometimes delivery becomes a challenge for us.
Bhavya Sonawala: Okay. So basically, where I was coming from, just want to u nderstand, like, let's say, you said that the exotic metallurgy in this example comes from Europe, would there be any advantage to the local European producer because there is -- the shipping charges don't levy for him? So any benefit for him or that doesn 't matter?
Reginaldo Dsouza: No. So, if you look at 95% of our products, even more than that, in fact, goes for non -European countries because generally, our customers -- EPC companies are from Europe, but they are generally for projects outside Europe, ge nerally oil and gas, petrochemicals, fertilizers are generally in the other parts of the world.
So they do have transportation. And with the cost structure that is given today, we know we compete with them on a regular basis. But with the high energy cost for the products that we deal as Anup, I don't see -- we've seen them in much competition anytime in the past or in the future.
Moderator: We have our next question from the line of Vedant Sarda from Nirmal Bang Securities.

Vedant Sarda : Sir, I want to as k you, like if our Phase 3 comes in operation, so how much kind of revenue we could generate from the complete capacity?
Reginaldo Dsouza: So the complete macro plan for Kheda is seven manufacturing bays. Phase 3 will mean another 3 more bays because Phase 1 and Phase 2 will be 4 bays. So once we have the 3 bays in place, which is Phase 3, which means we will have all seven bays, it can generate close to about INR1,200 crores from that facility.
Vedant Sarda : INR1,200 crores?
Reginaldo Dsouza: Yes.
Vedant Sarda : Total or Kheda?
Regina

ldo Dsouza: Kheda.
Vedant Sarda : And total, Kheda, Mabel and Odhav?
Reginaldo Dsouza: With all the 7 manufacturing bays in place.
Vedant Sarda : Kheda, Odhav and Mabel facility, all revenue would be INR1,200 crores?
Reginaldo Dsouza: No, no, no. So let me just explain. Kheda, the master plan is for seven manufacturing bays. With this Phase completion, we will have four bays built in. We will have space for another three bigger bays. If all the seven bays are built in, Kheda facility can give you anywhere between INR1,000 crores to INR1,200 crores, depending on the product mix. Maximum, it can go up to INR1,200 crores.
Odhav facility can generate up to INR600 crores. And Mabel, if in the current scen ario with the three manufacturing bays that we have, that can generate another INR200 crores. So INR1,200 crores, INR600 crores and INR200 crores. So roughly about INR2,000 crores is something that all the three facilities put together in full scale can ge nerate.
Vedant Sarda : Thank you for the clarity , sir. And these calculations have been based at the current prices or you have considered some price hikes in this, like how they are calculated or volume growth, order growth?
Reginaldo Dsouza: Yes. So inflationary factors would be factored in. But generally, these are from capacity addition in terms of metric tons of fabrication that we can do every year.
Vedant Sarda : Okay. Only inflation part you have considered in that nothing else in the current mar ket prices. Okay.
Moderator: As there are no further questions, I now hand the conference over to the management for closing comments.
Reginaldo Dsouza: Yes. I -- so thank you, and I once again take this opportunity to thank my wonderful team at Anup and t o each and everyone helping us deliver performance. A big thank you to all of you,

our shareholders, for your trust and support, as always. Thank you. And on behalf of my team, I wish all of you happy days ahead. Take care and stay healthy. Thank you so mu ch.
Moderator: Thank you. On behalf of Anup Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

“The Anup Engineering Limited
Q1FY26 Earnings Conference Call”

August 05, 2025

MANAGEMENT : M R. REGINALDO D'S OUZA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , THE ANUP ENGINEERING
LIMITED

Moderator: Ladies and Gentlemen, Good Da y and Welcome to the Q1-Ended FY26 Earnings Conference call of The Anup Engineering Limited.
As a reminder, all participant lin es will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please si gnal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
Before we proceed to the call, let me remind yo u that the discussion may contain forward-looking statements that may involve known and unknown risk s, uncertainties, and othe r factors. It may be viewed in conjunction with a business risk that could cause actual result performance or achievements to differ significantly from what has been expressed or implied in such forward-looking statements. Please note that the company has uploaded the results, press release, investor presentation and also the outcome of the board meeting on the website of the stock exch ange and website of the company.
I now hand the conference over to Mr. Reginaldo D'Souza – Managing Director and CEO of the Company. Thank you and over to you, sir.
Reginaldo D'Souza: Thank you. Hello, Everyone and a Very Warm Welcome to this Conference Call on our Q1 performance for the Financial Year 2025-26.
Historically, the period April-June Q1 has always been a weaker quarter for us, mainly due to high labor absenteeism on account of annual holidays. Mo reover, this year had its own challenges from supply chain pressures due to wars and trade un certainties due to tari ffs. Considering these uncertainties, I believe we had a fairly dece nt first quarter of this financial year.
Now, let me quickly take you all through the “N umbers.” The consolidat ed revenue was Rs.175.2 crores, a 20% growth, with an EBITDA of Rs.40.4 crores, a growth of about 22%, and a PAT of Rs.26.3 crores, a growth of about 21% as co mpared to Q1 of the last financial year.
Interestingly, the exports was at 72% of our re venue. Yes, this seems hi gh, but I believe will normalize over the year to about 50%-55% consideri ng our order book pipeline. This is fairly in line with our strategic intent of being a 50% export business.
The revenue contributions from all our three ma nufacturing locations was in line with our expectations, with Ahmedabad plan t contributing at 58% of the re venue, our new Kheda facility at 37%, and balance coming from Mabel E ngineers, Tamil Nadu. So, I am very happy to state that all our three locations have started contributing well to our business growth.

The sectoral revenue across industries was also as expected, with oil and gas at 44%, petrochemicals at 32%, and fertilizer and chemicals at 21%, and the rest from others.
In terms of the product mix, heat exchangers, which are predominantly manufactured in our Ahmedabad facility, was at 46%, and the vessels, reactors, and columns, which are largely manufactured at Kheda plant, was 44%, which si gnifies substantial contribution from our Kheda plant. The balance 10% products we re silos from Mabel Engineers.
The working capital block was a touch higher for th e quarter, mainly on account of a short-term increase in raw material inventory due to specialized material metallurgy buying for on-hand orders and also due to lower customer advances. This is a short term, and is expected to normalize in the coming quarters, with execution of these high-value orders and better order intake to our historical working capital terms of 3.5-plus terms.
Our manufacturing capacities have shaped up well, with all our three manuf acturing locations, i.e., Ahmedabad and Kheda both in Gujarat, and Mabel Engineers at Tamil Nadu operating and contributing well.
The Phase-II expansion at Kheda is expected to be completed before t

ime , and we should commission
it in Q2 of this financial year instead of Q3 as in formed earlier. With this, we will have a capacity to roll out approximately Rs.1,200 crores business per year from these three locations. A break-up for you all, if it helps, could be approximately Rs.600 crores fro m Ahmedabad, Rs.400 crores from Kheda, and Rs.200 crores coming from Mabel. And as we expand further, it would improve in line with our growth aspirations.
Coming to “Order Booking,” the order booking for Q1 has been a touch sluggish due to the current uncertainties, mainly on account of wars disturbing the supply chains, trade disruptions due to tariff concerns and other geopolitics.
We have some good opportunities in the United St ates under negotiation, and we had hoped to close them in Q1. But with current developments on trad e agreements with India, we may have to wait a couple of months for our customers to proceed with ordering. Not that these CAPEX projects in the United States will not see the light, but the delay is probably on account of reassessing the budget or the ROI, and approval of the same to proceed.
As you all are aware, almost all our export contracts are FOB India port, and hence the duty needs to be borne by the customers in the United States, which inflates the landed cost for them. Even with a higher tariff of about 25%, India would still be comp etitive, as largely the supply options for these kind of capital equipment we offer to the United St ates are probably coming from countries like India, Europe, China, Korea, and Mexico, largely. To give an example, as late as last week, we got a

confirmation for an order of about USD1 million for s upply into the United States. Hence, it is likely more about uncertainty that is botheri ng our customers than the real tariff.
Our pending order book as on date after Q1 execution is about Rs.604 crores. This will surely see a good traction in the coming months.
We have seen a strong enquiry in flow from Middle East and domesti c markets. The domestic market has picked up quite well after a slow last three quar ters with considerable amount of enquiry inflow.
For example, projects like the Bina Refinery, Petronet LNG, Reliance PTA, BPCL Kochi PP plant, and a couple of other chemical and fertili zer plants provide good business opportunities.
We have an encouraging enquiry bank of about Rs .1,020 crores for global projects where we are bidding very strongly. All going well , these should fuel our growth plans for this and the start of the next year. Hence, at the backing of a robust en quiry pipeline and customers moving higher risk projects, especially in domestic and Middle East markets, there will be good business opportunities in the near future.
With due consideration to these uncertainties, es pecially on trade due to tariffs and supply chain challenges due to wars and geopolitics, our guidan ce for this financial year FY25-26 would be 15%-20% revenue growth with an EBITDA of about 21%- 22%. Of course, we will try and keep this at 20% growth. Exports shall be in the range of 50%-55%.
Having said this, we as a business are mindful of th e risks and challenges that can come our way. We are cautious of the geopolitics and how it could impact trade and hence we are using strategic levers to maneuver the short-term uncertainties.
On the long-term strategic initiatives towards sustaining our growth, we have been working relentlessly over the last few months on the di versification and inorganic growth opportunities.
As mentioned earlier, we are looking at opportunitie s in the space of energy-related technologies, special chemical sectors, packaged process systems, etc., We will surely keep you all informed of the progress as we get closer to a certainty.
To conclude, the current uncertainties may have a very short-term impact but with a strong proven execution, necessary c

apacity in place for our grow th plan, and an encouraging pipeline globally, we should see good business prospects in the future.
With these pointers, I wish to thank all of you fo r your presence and patient listening. Now, I would be happy to have your questions. Thank you.

Moderator: We will now begin the question-and-answer sessi on. The first question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.
Jaiveer Shekhawat: Sure. Thanks a lot. Regi, my first question is just with respect to the order booking. While you highlighted that you would expect a lot of these projects to get finalized over the couple of few months, is it that some of that growth will get pus hed forward to the next year, let us say FY27, which is why you brought down the overal l growth guidance for this year?
Reginaldo D'Souza: You are right, Jaiveer. So, as yo u have heard me on the last call , we were expecting some good order intakes from the United States, which we had almost reached closer to finalization. Unfortunately, those have not gone through. We should get hands on them maybe in a coupl e of months, but then we have less time for execution. So, to be more certain, we have brough t down the guidelines to about 15% to 20%. Of course, internally, we will gun for 20% growth, but you could expect the guidance anywhere between

15% to 20%.
Jaiveer Shekhawat: Sure. Very well understood. Second, if you could also highlight what has been happening on the newer verticals that you had earlie r highlighted about, especially y our AC HE business and also on the services business, is there any update, there any new orders that you are receiving there?
Reginaldo D'Souza: Yes, so on the services business, surely, we have three enquiries ri ght now on board. One, we have already got the order. It is a small one. So, as I explained initially for the first year, we are not looking at a very large volume coming from service, but we are trying to build our credentials for service business in this market, which in three years' time, all going well, we s hould reach about Rs.200 crores. So, we made some good inroads into the serv ice with a small order in take already. Two, we have executed. One, we have just received, and two inquiries are in the pipeline. And also on the new product side, we have made some good inroads also in the power sect or. We were comp letely missing on the power sector and happy to say that we bagge d the order close to about Rs.7-8 crores in the power sector already in the last month. So, that is also an inroad for us into power. AC HE, your specific question, we have three enquiries already quoted for. Hopi ng something will turn around for us in the coming weeks.
Jaiveer Shekhawat: Sure. Lastly, on the gross margin side, I think I see a lot of volatility across quarters. This quarter, it has sort of surprised significantly on the positive side. If you could highlight the reasons there and also given that you had a new appointment of Mr . Mathias as the Chief Marketing Officer, what would his role be and then which are the newer mark ets or possibly segments that you are looking to sort of target along with his expertise?
Reginaldo D'Souza: From the margin side, yes, we had some profitable orders executed in Quarter 1. That is where the gross margins have reflec ted better. But based on our pending or der book position, we think it will normalize anywhere between 21% and 22% and that is the reason for our guidance. In terms of

Rudolph Mathias, he comes in as Ch ief Marketing Officer for us to ta ke care of our sales and business development side, the content of th e business. And he comes with a lot of international experience, being in Canada for a pretty long time, worked in Middle East. Also on over all experience globally, which would augur well for us for pu

shing our growth plans into the international markets. So, his role in short would be to head the complete front end with sales an d business development.
Jaiveer Shekhawat: Thank you so much and all the best.
Reginaldo D'Souza: And just to add to what I said about AC HE earlier, we also built up a team for designing and estimation of these products. So, our technical offers are we ll accepted by customers, which says that we built pretty good capabilities in -house in terms of understanding th is product and also offering a good proposal to our customers. I believe it is just a matter of time that we will end up on an order.
Jaiveer Shekhawat: So, in terms of the initial signs of pickup, I mean, when do you expect that it will start meaningfully contributing to revenues, will it be by end of the year?
Reginaldo D'Souza: So, contribution directly to the revenue part, I be lieve it will be in Quarter 1 of next year, because generally the cycle times would be anywhere between seven to eight months. So, I believe even if we bag an order by the end of this quarter, so we should be good to go with Quarter 1 revenue coming in from AC HE.
Jaiveer Shekhawat: Sure. Thank you so much.
Reginaldo D'Souza: Pleasure. Thanks.
Moderator: The next question is from the line of Mohit Surana from Monarch Networth Capital Limited. Please go ahead.
Mohit Surana: Thank you for the opportunity. My question is with respect to the order book. Is there any chance of order book cancellations going forward from the orders that we have alread y received? And keeping in mind the global supply chain issues and the ta riff-related uncertainties, can there be some more erosion in margins in order to get the orders?
Reginaldo D'Souza: Let me just clarify. So, your first question was basically any chances of order cancellation, and second, based on the current supply chain concer ns, whether there could be any erosion on the margins, right?
Mohit Surana: Yes, that is correct.

Reginaldo D'Souza: Okay. So, on the order cancellations, the answer would be no. By and large, these are the orders that we have booked are large petrochemical, hydrogen pr ojects and also refineries. So, these are large scale projects and where the investments have gone ahead to a large extent. So, the possibilities of cancellations are very rare, if I have to say. In te rms of profitability, also, we have things protected because these are all, as you know, estimation mode ls and we generally go back with our suppliers for all the critical items. And based on the pending order book position, almost 70% to 80% of our raw material is from sourcing dome stically in India. So, in that sense, we do not see much of an impact to us coming from the supply chain. Of course , a little bit of delays in case if the wars and others elevate to different levels, we could see a little bit of delays into the supply chain, but in terms

of the profitability, no, I think we are fairly well covered for this year.
Mohit Surana: Understood, sir.
Reginaldo D'Souza: And if you see the reflection of that, in fact, we have kept our guidance 21% to 22%, almost similar to what we projected at the beginning of the year.
Mohit Surana: Absolutely, sir. Yes, that is fair, sir. Thank y ou. So, just one more question. So, you have given a guidance of 15% to 20% revenue growth for this year . Just thinking of a slightly longer term, a three year to four year kind of perspective, what kind of revenue CAGR we can expect from a longer-term perspective?
Reginaldo D'Souza: So, on a three year perspective, as a business, we are still at 15% to 20% kind of growth plan for the next three years. As a business with all the divers ification plans in place, which should be inching towards 20%, but I would keep the guidance of 15% to 20% over the next three years.
Mohit Surana: Understood, sir. That is helpful. Thank you

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Moderator: The next question is from the line of Gopalakris hnan from Uthramush Investments. Please go ahead.
Gopalakrishnan: Yes. Excellent afternoon to all of you. And first of all, thanks for the opportunity given to me. First question is regarding the profit growth and sales gr owth of the company for three years and one year period. I find that the profit growth is lagging the sales growth. For example, for three years, the sales growth is 35% and profit growth is only 22% and for the trailing 12-month period, the sales growth is 29%, whereas the profit growth is only 9%. I woul d like to know why this profit growth is lagging behind the sales growth? This is question number one . Question number two is, in the last quarter, there was a consignment which was held up close to around Rs.200 crores im pacting the financials of the company. Has that consignment been dispat ched this quarter? And another question is about the order. The order book size is Rs.600 crores, wh ereas the turnover that we are going to do this year is around Rs.840 crores, i.e., Rs.700 crores pl us 20% growth if I take, around Rs.840, 850 crores.

So, how will the company, even if they get the order of Rs.250 crores, can they execute it within this financial year? This is my third question. Thank you.
Reginaldo D'Souza: Yes. So, on the first part, in terms of the sales growth and profitability, of course, profitability I am sure you understand it will all depend on the produc t mix that we go with. So, as we grow and get our growth at the rate of around 30% that we had over the last three years, we have to get more aggressive in the market, number one to win contracts, because as you know, these are all estimated contracts. We estimate the pricing, we negotiate, and we win contracts on negotiable bids. So, as we grow, we have to take orders at aggressive prici ng for our growth plan. That is one. Second, I am sure you would have heard me in the calls of the pr evious that as we are gr owing, we have decided to take up a more large volume product, which ma y be lower in profitability, maybe about 15% profitability, but the churn cycles are more. And that is the precise reason which we have been able to grow over the last three years with 30%-plu s CAGR. So, the difference between the growth and profitability, I think it all depends on the product mixes that we choose, depending on the projects that hit the ground in that particular year or a peri od. Yes, so the larger order that we spoke about in the last quarter, that was on hold or delayed for dispatches from the customers. Still not been dispatched. We are talking to our customers, but th ey have requested us for some more time to be able to pick up the equipment. But at the same time, as I said, we have been covered in terms of payment for a large extent and also the storage clause is in the contract. So, we are safeguarded in terms of our cost and margins due to this delaye d pickup from our customers. And the third one, the order book has slowed down. Yes, of course, as I explained, there has been some uncertainties. In fact, over the last three quarters , as you know, we are largely 50% domestic and 50% export. That is our strategic roadmap. Domestic ove r the last three quarters has been really stagnant. But touchwood now, as anticipated, it has started moving well. And in international business, mainly because of the current trade uncertainti es, first quarter, as explained, has not be en that great. But the kind of enquiry pipeline that we have today, clos e to about Rs.1,020 crores, which is one of the historical highs, we believe that the strike rate and th e conversion rate that normally we have, it should fuel our growth journey. And how we will achieve the numbers of 20% growth? So, if you look at Rs.175 crores that we have done, and if we add the Rs.604 crores pe nding order book, which i

s completely executable
in this year, we are already at about Rs.780 crores, what we need to get is only about Rs.70 crores. And we have a large portion incide ntally. We generally do not get th at. But incidentally, a lot of enquiries are very, very short-term delivery items. And I am sure yo u will be surprised when I say that we have large enquiry banks which are as low as five months' delivery for the customers. Maybe the customers have delayed the or dering because of the uncertainties . But now the run rate remains the same and we have to deliver it quickly. So, obvious ly, it is sort of a blessing in disguise for us that we have got this opportunity of short-term de livery items. So, with that, we are confident that we should be able to hit the guidance of 15% to 20% growth rate for this year.

Gopalakrishnan: Sir, one more just follow up. Ou r dependence on the U.S. is close to 27% if I remember it right. Has it increased or are you going to diversify geographica lly, say to Europe? I think Saudi Aramco is one of our major customers, that is what you mentione d in one of the calls. So , with OPEC deciding to increase their output and all of that, I think we should have more opportuni ty from such geographies. Is my assumption correct?

Reginaldo D'Souza: Yes. So, the first point you made about the U.S. contribution to ou r revenue about 27% to 30%. Yes, right. Last year, if you see of the total exports, th e U.S. was about 30% last year. But this year, we had that large orders coming in. This year, what we had factored in, into our workings was anywhere between 5% and 10% order booking from the United Stat es. So, having said that, as I mentioned, we do not see those projects going away, but maybe a t ouch delayed by the two to three months, that's what we are expecting. But at the same time, we understand that we need to course correct and diversify. So, we have already taken initiatives to focus more on Middle East, where there are many enquiries on the table at the moment. So, as I menti oned earlier, we have taken course corrections to diversify and focus on the other regions to fuel our growth and order intake.

Gopalakrishnan: Oh, that clarifies my doubts, sir. Thank you. Tha nk you very much. All the best to the entire team, sir.

Reginaldo D'Souza: Thank you. And I think I missed mentioning about Sa udi Aramco that you mentioned. Yes, it is the first order that we are executing for Saudi Aramco, cl ose to about, I believe, 26 heat exchangers. It is a very critical piece of equipmen t for us, important project, we s hould be delivering it all by Q3 of this year.

Gopalakrishnan: Superb, sir. Superb, sir. Superb, superb, sir. All the best. All the best. I am extremely happy.

Moderator: The next question is from the line of Ravi Na redi from Naredi Investme nts. Please go ahead.

Ravi Naredi: Thank you very much to give me a chance. Sir, just a previous question I may forward. This Rs.200 crores order delay, how much we received against this order and whether this Rs.200 crores order include in Rs.600 crores order?

Reginaldo D'Souza: Yes, so this Rs.200 crores that we are talking a bout, we have not closed everything, it is on the pipeline, because customer pickup has got delayed for the ready it ems, we have slowed down the production. The revised completion date for all thes e equipments is December end, which is almost in Q3 of this year. So, we would be closing up all the equipments by Q3 and customers would pick up. So, this is a request that they have made against which we have in the contract storage clause. So, they are paying us on the cost and the storage clause as per the contract. So, we are safeguarded in terms of the contractual terms. So, a short answer, we should be able to execute this complete order by December-end and customer has agreed to pick up all the equipments.

Ravi Naredi: How much we have received against this Rs.200 crores order?

Reginaldo D'Souza: So, the equipments which are ready and where we have issued the IRMs and waiting is 75% of the payment we have received. Generally, we receive only 35% to 40% in advance. But in this case, we have been paid close to about 75% to 80%.

Ravi Naredi: 75% we already received?

Reginaldo D'Souza: Yes.

Ravi Naredi: Okay. Thank you, sir. One more. After Rs.50 crores to Kheda CAPEX done, how much top line we may expect in financial year '26 and '27?

Reginaldo D'Souza: From Kheda plant?

Ravi Naredi: Yes.

Reginaldo D'Souza: So, Kheda plant for next year will be anywhere between Rs.300 crores to Rs.400 crores depending on the product mix. So, the plant capacity would be Rs.400 crores. Depending on how the order intake goes, it can be anywhere between Rs.300 cr ores and Rs.400 crores. But largely it would be towards Rs.350 crores, 400 crores mark.

Ravi Naredi: Okay. And sir, in longer time, any plan to shif t Ahmedabad unit to other place and monetize land value?

Reginaldo D'Souza: No plans at all. Ahmedabad plant is a very strategic location for heat exchangers, because it is very close to the tube manufacturers. So, it is a very, very strategic location an d we have no plans to capitalize on the land.

Ravi Naredi: Thank you very much. All the best, sir. All the best.

Reginaldo D'Souza: In short, the Ahmedabad facility w ill be dedicated for all heat excha ngers because it is in the city limits and heat exchangers are smaller in sizes, so transportation would be ea sy. All reactors, vessels and columns, which are generally larger in size and heavier in weight, they will be made in our Kheda location, which is on the national highways. And all the silos and chemical it ems would be made in our Chennai Mabel Facility because that is also on the national highways.

Ravi Naredi: Yes, sir. But lastly, I am asking, this Rs.200 crores order, which we delivered in Quarter 3, is it included in Rs.600 crores order book?

Reginaldo D'Souza: About Rs.50 crores to Rs.60 crores is included in that.
Ravi Naredi: Okay. Thank you very much. Thank you very much.
Moderator: Thank you. The next question is from the line of Naysar Parikh from Native Investment Managers. Please go ahead.
Naysar Parikh: Thanks for taking the question. So, I heard obviously your comments around order flow and things like that. But, if I just compute based on your opening and closing order book and what you have booked, it seems like it is less than Rs.50 crores or Rs.40 crores of new order booking in this quarter, and for exports, it seems like it is nil really. So, can you just throw some light, overall how do you see things moving forward and specifically on e xports, did we not book any orders, were there cancellations or what happened?
Reginaldo D'Souza: So, to be precise, we had an order booking of Rs.74 crores in Quarter 1 up to this period for this year. And you are right. It was more domestic because as I mentioned in my call, there were many domestic projects which picked up in line with our expect ations. I do understand the concerns of the order book, but as I mentioned, as per our view, this is a short-term uncertain ty because of the current trade. Domestic has picked up. And if you look at the enqu iry bank position that we have of Rs.1,020 crores, generally we have a strike rate of anywhere around 20%. So, considering the enquiry pipeline and considering the projects that is getting a go-ahea d, especially in domestic and the Middle East market… when I say Middle East, it is largely the Sa udi Aramco and (ADNOC), that is Abu Dhabi National Oil Company. And in India, the projects that I did mention on my earlier remarks, that gives us a lot of confidence that we will be able to run a good order book. And at the same time, because of our capacit

ies already in place with phase-II extension, we have flexibility to execute much ahead of time. So, even if we are running short of time, we will have a little bit of better flexibility now, with added capacity to be able to turn around th e revenue to the guidance that I have provided of about 15% to 20% growth for this year. So, you e xpect us to close anywhere Rs.840 crores around that number for this year.
Naysar Parikh: Yes. Just to clarify. Your March end order book was some Rs.741 crores, right? And you booked some Rs.175 crores in Rs.604 crores. So, if you bo ok Rs.74 crores new order, your order book should be closer to Rs.600 crores. So, just if you can explain, were there some order cancellations which is bringing the order book down?
Reginaldo D'Souza: No, there was no order cancellation.
Naysar Parikh: And if I can, on the domestic si de, can you just talk about any s ectors or something that you are seeing traction and do you expect that it will be do mestic largely that will he lp you get to the Rs.840 crores or you think that export market may recover, how are you looking at it?

Reginaldo D'Souza: Yes, so domestic, the larger traction that we are se eing is on the petrochemicals side. Of course, there are options of refinery expansions , but largely what we are seeing is petrochemical plants. So, if you see the projects that I have named, Reliance PTA, if you see the PP plant of BPCL Kochi, if you see Petronet PP plant, so all these are projects mostly on the petrochemical s side. So, the larger traction, of course, is coming from petrochemicals and domestic will surely be driving in this quarter in terms of order intake, plus some extent from the Middle East. And that is the reason if you see an export, which is at about 72% in Quarter 1, we are saying by the end of the year, it will be roughly about 50% to 55%. So, obviously, there will be more contributions coming from domestic, both from the pending order book as well as the new orders that we are expecting, which are short delivery items. So, from that context, your assumption is right.
Naysar Parikh: Okay.
Management : Hello! And just to clarify on that order part, if you refer to our last investor presentation of Q4, the closing order book as on 31st March was at Rs.700 crores, and Rs.741 crores was the closing order book as on 30th April 2025. So, probably that is a Rs .40 crores which probably you are finding as a difference. So, Rs.700 crores was an opening and then the order inwards, the minus revenue will match exactly the amount wh ich we have reported.
Naysar Parikh: Got it. No, that helps. Just last question is on the EBITDA margin. What you mentioned, maybe closer to 21%, 22%, is it just because new plants and economies of scale, or even at a gross profit level, are you seeing that there is pricing pressu re or customers are dema nding some relaxation on pricing?
Reginaldo D'Souza: So, to a large extent, as I said, we already have Rs.604 crores pending order. And being an estimated model, we very clearly have an understanding in te rms of the margins. But, at the same time, since we have to get orders in the next couple of months, we believe that we will have to be a little more aggressive in the market. And that is what we ha ve factored on a conservati ve basis when we talk about 21% to 22%.
Naysar Parikh: Right, right. Because 21% at Rs.840 crores is ba sically a single digit EBITDA growth, right, which is a bit far off from the earlier numbers that obviou sly historically you have done and what you have

been expecting. So, that is the reason I am asking. So, there is a possibility that we can have a single-digit EBITDA growth here, right?
Reginaldo D'Souza: Yes, so 21%, 22% that we are saying is a conser vative number. If the order intake spirals out into profitable orders for us, we may see numbers better than that. But, at the moment, w

e would keep the guidance at 21%, 22% and we will try to get it on the higher side.
Naysar Parikh: Okay. Thank you so much.

Reginaldo D'Souza: Pleasure.
Moderator: The next question is from the Gopalakrishnan from Uthramush Investment s. Please go ahead.
Gopalakrishnan: Yes, sir actually, my question is just a follow up. See, you are saying the export will be 50% by the end of this fiscal. Now, in this 50%, what will be our dependence on the US, will it be the same 27% or it will be less, what it is?
Reginaldo D'Souza: Mr. Gopalakrishnan, there will be no dependence on US. So, in this number for exports that we are talking about, we have discounted assuming that the uncertainty would cont inue for a little longer period, and even if we get those orders, we may not be able to execute in this financial year. And that is the precise reason we are seeing a guidance of about 15% to 20% as compared to our earlier guidance.
Gopalakrishnan: Oh, sir, there is a headline, sir. That is a head line. You are not going to have any dependence on the US. You are not going to be impacted by the tariff. My God! This is a headline actually. Great.
Reginaldo D'Souza: For this particular year.
Gopalakrishnan: Yes, this is great, sir. That gives me a lot of relief as an investor. Thank you. Thank you for this clarification.
Moderator: As there no further questions from the partic ipants, I would hand the conference over to Mr. Reginaldo D'Souza for closing comments. Over to you, sir.
Reginaldo D'Souza: Thank you. Thank you all for your insightful questi ons and I hope we were able to clarify to your satisfaction. In case, if you have any further queries , please feel free to conne ct with us and we would be happy to respond. I take this opportunity to th ank my wonderful team at Anup and to each and every stakeholder helping us deli ver performance. A big thank you to all our shareholders for your trust and support as always. Thank y ou. Take care and stay healthy.
Moderator: Thank you. On behalf of The Anup Engineering Li mited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

“The Anup Engineering Limi ted Q2 FY-26 Earnings
Conference Call”

November 10, 2025

MANAGEMENT : M R. REGINALDO DSOUZA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , THE ANUP ENGINEERING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the conference call for discussion of financial results of second quarter and half year ended on 30th September 2025 by The Anup Engineering Limited.

As a reminder, all participants’ lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

Before we proceed to the call, let me remind you that the discussion may contain certain forward-looking statements that may involve known or unkno wn risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause actual results, performance or achievements to differ significantly through what has been expressed or implied in such forward-looking statements.

Please note that the company have uploaded the results, press release, investor presentation and also the outcome of the Board meetings on the website of stock exchanges and website of the company.

I now hand the conference over to Mr. Reginaldo Dsouza – Managing Director and CEO of the company. Thank you, and over to you, sir.

Reginaldo Dsouza : Thank you. Hello, everyone, and a very warm welcome to this conference call on our Quarter 2 and H1 performance for this financial year period ending 30th September 2025.

Carrying forward on our Quarter 1 performance, I believe we have had a fairly good performance in Quarter 2 and H1. At the end of H1, the consolidated revenue achieved is INR 407.5 crores, a 20.2% growth with an EBITDA of INR 91.8 crores, a growth of 20.3% and with a 14.3% profit after tax of INR 58.3 crores, a growth of 3.1%.

The export revenue was as planned at 56%. I am pleased to state that all our 3 manufacturing locations are contributing well to the revenue growth. The Ahmedabad plants contributed INR 256 crores, that's 63% of the revenue. Kheda plant at INR 143 crores, that's 35% and Mabel Engineers with INR 8 crores, that's 2%. Mabel Engineers is seemingly low on revenue, but please note, it is in line with the project execution plan as most deliverables are in Quarter 3 and Quarter 4. Therefore, we will see substantial uptick in revenue for Mabel in the coming 2 quarters. These revenue contributions from all the locations provides the confidence and reemphasizes that our investments were timed right and are now delivering results.

The sectoral revenue across industries was also as expected with oil and gas at 42%, petrochemicals at 30%, and fertilizer and chemi cals at 18%, with 10% coming from others. In terms of product mix, heat exchangers, which are predominantly manufactured in Ahmedabad

plant was at 58%, and the vessels reactors column, largely manufactured at our Kheda plant was at 38% and 4% were from silos and other products.
Broadly, the sectorial and the product mix revenue are in line with our expectations. The new order booking for Quarter 2 has improved to INR 257 crores YTD as compared to INR 65 crores in Quarter 1. Though it could have been better, had all the opportunities reached conclusion as per expected time line.
Finalization of many good opportunities, including high-value tenders were pushed back a little, and is expected to be closed by December this year, hence, providing good possibilities in this Quarter 3.
We had about INR 600 crore opportunities quoted and expected to be finalized by December this year. The current pending order book is at INR 568 crores, which implies that necessary orders for growth guidance of this financial year FY '26 has been fulfilled, and we are now booking orders to be executed only in the next financial year, that is FY '27.
The working c

apital block was a touch high at an average 3x, that's 120 days, mainly on account of 2 factors: one, lower customer advances; and second, higher debtors owing to long cycle time orders under execution, and major being exports with FOB contracts, the duration of collection has been a bit longer as it depends on the availability of ships at the port, which is in our customer scope.
Incidentally, these equipments being very large in size has taken a little more time. For your information, as we speak, we have about INR 150 crores worth of equipment, either in inland transit to the port or site or waiting at the port for the ship. But the good part is that most of it will be closed in the next 4 to 6 weeks. Hence, this working capital position is set to improve in coming quarters with improved new order booking in Quarter 3 and Quarter 4, thereby improving customer advances, and closure of high-value purchase orders in Quarter 3.
The working capital is expected to be back at our historical expected average term of 3.5 plus.
The return on capital employed, ROCE is about 22.8%.
Happy to state that all our 3 manufacturing locations that is Ahmedabad, Kheda and Mabel Engineers have shaped up well in terms of requisite capacities and capabilities, and are ready to generate about INR 1,200 crores revenue. The construction work of Phase 2 expansion at Kheda is coming to an end now, of which 1 manufacturing bay has already been commissioned, and the other one is expected before December this year.
With this, we would have increased our overall manufacturing capacity in Gujarat from 8,000 metric tonnes per annum to about 20,000 metric tonnes per year, an increase of 2.5x in 3 years. With good CAPEX already in place, the focus now would be to utilize and maximize revenue generation from these facilities. This would sure ly support our future revenue growth plan.

On our strategy to get more deeper and wider into the market, we had a few good developments.
Our anticipated presence in Middle East region is now a reality. We now have our official presence in Dubai with our sales and marketing head EME region, stationed full-time there. This will ensure more aggressively push into the growing Middle East market. And as I mentioned in my earlier call, we would pursue having an official presence in Houston, U.S. too.
On our push towards power sector, we have made inroads and won our first direct order after many years from a customer in Europe and is under execution now. So, this marks our foray back into the power sector. This will surely pave way for many more business from this customer in future.
We have also received our first ever order for a product other than process equipment. This was our strategic intent to diversify. This is nothi ng but a critical power turbine component, which involves fabrication and critical machining for re puted European players in power sector. This will surely help Anup to diversify. We made good interesting progress.
We have booked our third order under Anup Technical Services. And as articulated earlier, we plan to execute small technical services and repair business to help develop our capabilities to play a larger role in the future, wh ich is part of our strategic intent.
On our sustainability initiatives, happy to stat e that we have successfully commissioned our rooftop solar facility at Kheda. So, now with both our locations in Gujarat being rooftop solar powered and with our wind mill, major portion of electric power we use for manufacturing is sourced from renewables, thus helping lower our carbon footprint, and also helping us save costs in the longer run and stay competitive.
On the broader business outlook, we surely see a good traction in the coming months. We see a strong inquiry inflow from Middle East and also the domestic Indian market. The domestic market has picked up really well with

projects li ke Bina Refinery, Petronet LNG, Reliance PTA,
BPCL Kochi PP Plant and a couple of other petrochemical plants, providing good business opportunities.
Thermal power plants are backed strongly with 3 major projects kick started and expected to get into CAPEX ordering more soon. There are also opportunities available in the nuclear power sector through the project being executed by an EPC company in South of India for Nuclear Power Corporation of India.
In all, the form inquiry pipeline with us for global projects stands at approximately INR 1,100 crores. All going well, these should fuel our plan for the next financial year. Hence, as the backing of a robust inquiry pipeline and customers moving ahead with projects, especially in domestic and Middle East market, there will be good business opportunities in the near future.
So, considering overall macro factors, we continue to maintain our guidance for this financial year.

I would like to state that we are also watchful of all the geopolitical developments globally and are mindful of the risks and challenges that can come our way. We are working on strategic levers and prepare to derisk any business impact due to these developments.
On the strategic initiatives long term towards sustaining growth, we have been working over the last few months on diversification and strategi c opportunities. As mentioned earlier, we are looking at opportunities in the space of energy-related technologies, specialty chemical sector, package systems, et cetera. We are in discussion s, and we will surely keep you all informed of the progress as we get closer.
With these opening remarks, I wish to thank you all for a patient listening. And now would be happy to answer your questions or any clarifications required. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. (Operator Instructions) The first question is from the line of Vivek Patil from Ficom Family Office. Please go ahead.
Vivek Patil: Thanks a lot for the opportunity, sir. Please pardon my questions as I am very new to the company. Firstly, what is the competitive intens ity in the heat exchanger segment as a whole if one were to describe the intensity on the base of, say, for example, the size of vapor, so less than 20 tonnes, 20 to 100 and 100 plus? And also, does the complexity of the product increases as the size of the product increases? That will be the first question.
Reginaldo Dsouza: Yes. So, considering Anup's and the capabilities that we have in place in terms of manufacturing large-sized equipments, our competitive advantage lies anything about 30 metric tonnes per equipment. That's a segment that we are largely competitive with.
And the second question, whether complexity increases as a size? Of course, from the manufacturing perspective, yes, as the tonnages go up, the manufacturing complexities do increase. But I would say that the major complexity is coming as the metallurgy or the MOC Material of Construction changes, the complexities increase further with a reference to higher metallurgies.
Vivek Patil: So, anything in terms of tonnage below 30 metric tonnes is very highly competitive market. Is that the correct understanding, sir?
Reginaldo Dsouza: That is correct. Because there would be players in the market who can address those with lower capacity plants and lower overheads.
Vivek Patil: Understood. Thank you that, sir. Secondly, continuing on the same lines of competitive intensity, could you please expand on the requirements of a company to become empanelled with a large licence, for example, Engineer's India? What are the requirements for that?

Reginaldo Dsouza: So, the basic capability requirements. So, any licensor that a company like us would want to get registered in, we will have t

o make an applicati on with all our credentials, both in terms of design and manufacturing. And then there would be obviously a sharp audit conducted by the licensor. And then those credentials are assessed. And if they find suitable, they would take a company on board. So, it's largely the design capabilities as per the ASME core requirements or any other certified core requirements. And second, your capability in terms of manufacturing, which will involve especially welding, because welding is the core.
Vivek Patil: So, we believe many players in the market would have the sort of license empanelled by especially someone as large as, for example, Engineers India or Honeywell, many players --.
Reginaldo Dsouza: Very sorry. See I think we will restrict this call to the results related questions. I think you can reach out to us for these queries, these are all very basic nature of queries. You can join back the queue or we can answer your questions offline.
Vivek Patil: About the result, just had one small bookkeepi ng question. Can you throw some light on the

increased other expenses and interest expense for this quarter? And were these one-offs? Or can
we expect the number to continue? Thank you.
Reginaldo Dsouza: Yes. So, on the other expenses side, it's mostly on the marketing expenses side, which is contributed largely by the royalty part, because we are empanelled, as you said, with process licenses, technology licenses like Lummus transfer. So, any helix heat exchangers that we made,
and we made a large, we have to pay royalty to the licensor. So, we had a good amount of helix heat exchangers and EMbaffle technology heat exchangers manufactured, for which the royalty needed to be paid to the licensor, which was not part of the previous year. So, when you compare, that looks to be on the higher side.
But having said that, the costs are part of our co st, built in into the estimation. And that's why you will never see that impact truly on the EBITDA, and that's why you see our EBITDA maintained at that position.
Vivek Patil: Thanks a lot for your answer. All the very best.
Reginaldo Dsouza: Pleasure. Thank you.
Moderator: Thank you very much. (Operator Instructions) The next question is from the line of Chetan V ora from Abakkus Asset Manager. Please go ahead.
Chetan Vora : Yes. Hi, Regi. I really wanted to understand our order book which was always above INR 800 crores, INR 850 crores has gone down to INR 575 crores, INR 580 crores, what's your view on that and whether we would be able to see the order book again going back to above INR 850 crores, INR 900 crores, Regi?

Reginaldo Dsouza: Yes. Hi, Chetan. So, you are right, the order booking, as I mentioned in my opening remarks too, could have been better. If you look at the form inquiry base of the market, you will find that we are almost at about INR 1,100 crores kind of an inquiry bank position. So, the opportunities in the market stayed.
Unfortunately, things which were supposed to get finalized, like there are a lot of tenders that we have quoted, which we were expecting it to close before Diwali holidays, but it didn't. It moved and got postponed to post Diwali, and that's where we are expecting most of these tenders and inquiries on board to be finalized either in the month of November or December.
So, we are pretty confident of moving back to our order position. It's a small little delay from the perspective of tenders and large ticket items. And we are very hopeful, and I am confident of coming back on our order book position.
Chetan Vora : Great. Great. And the one thing that I noticed in this quarter, there was a stark difference between the gross margin, which has gone up to close to 54% sales minus raw mat cost, which is like all-time high. And whereas the other expenses has again jumped up quite sharply. Can you explain the thing which has helped in i

mproving the gros s margin, whereas that has been largely offset
because of the increase in other ex penses. You told that because of the royalty thing, but I would first like to understand why the gross margin has improved sharply? And is there any other cost, sitting in other expenses?
Reginaldo Dsouza: Yes. So, what I was saying is that gross will depend on the type of MOCs that we handle. As we handle more exotic, you will find the gross margins to be on the--because the material cost goes up. That's the main reason for that.
And in terms of other expenses, as I said, in fact, we had one of the best executions in terms of EMbaffle heat exchangers in this quarter, which we have to pay a royalty to Brembana & Rolle, Italy. And added to that, we had lot of equipment delivered of Helix heat exchangers, which,
again, we had to pay royalty to Lummus heat transfer. But as I mentioned, these are costs already built into our estimation and it will not impact our EBITDA any which ways.
Chetan Vora : Right. So, it will be fair to assume that whenev er there is a high gross margin, it will be getting offset because of the outgoing account of royalty and the licensing fees?
Reginaldo Dsouza: No, no, it's not like that, Chetan. Incidentally, this time, what happened was, material was leaner materials, but at the same time, it was with technology product, which is either Helix or EMbaffle. If it is a normal standard heat exchanger, then it will not get offset, because we will
not have the royalty to be paid for normal heat exchangers.
Chetan Vora : So, on a continual basis, other expense as a percent of sales, what it should be? Because ideally it was in the range of 17%, 18%. And this quarter, it has gone up close to 26%. So, what should be the range for the other expenses as a percentage of sales?

Reginaldo Dsouza: So, on an average, if you look at quarter-to-quarter, because it's going to be dynamic, you can assume 19% to 20% average other expenses.
Chetan Vora : Right, right. And other one on the interest cost also though it is not sharp, you saw that material,

but the quarterly interest cost has gone up to INR 2 crores, which was like INR 60 lakhs, INR 70 lakhs every quarter. Anything which is led to this?

Reginaldo Dsouza: That's mainly because of the working capital block. If you lo ok at our working capital block and as I explained, we had very long cycle items and largely FOB contracts, which are ODC. So, it took about 30 days from my shop to the port. So, that's where we needed some working capital, and that's why it's the short term and one-offs.

Chetan Vora : Okay. Thanks, Regi.

Reginaldo Dsouza: Pleasure. Thank you.

Moderator: Thank you very much. The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Sure. Thanks for taking my question. Regi, hi. Good evening. Regi, first question the inquiry pipeline that you have shown in the deck about INR 850-odd crores, what would be the strike rate of that? And by when do we expect to finalize that?

Reginaldo Dsouza: Yes, hi Regi. Yes. So, these are inquiry pipelines, which should be finalized as per the normal time line in the next 3 months, that's a window, which normally takes for any form inquiries in our hand. And the site rate for this because these are focused ones, their cycle should be anywhere in the region of 30% to 35%.

Jaiveer Shekhawat: Understood.

Reginaldo Dsouza: And it will be rolling. So, 1,100, if you see even in the last ca ll, we had close to about 1,000 crore inquiries, some were finalized, the new ones came in. So, this 1,100 crores, considering the macro dynamics today in terms of how the market is moving, I believe for the next 6 to 7 months, the average inquiry pipeline should be in the range of 1,100 crores to 1,200 crores, which augurs well for us.

Jaiveer Shekhawat: Understood. So, on a

quarterly basis, I think we can still expect about INR 250 crores, INR 300 crores of an order intake. If your inquiry pipeline tends to be about INR 1,200-odd crores with that 20%, 25% strike rate. Is that a fair understanding?

Reginaldo Dsouza: Yes. In fact, that's our strategy as well. The intent is that every quarter, we should be getting in at least approximately about INR 200 crores to INR 250 crores fresh order intake.

Jaiveer Shekhawat: Understood. With respect to your FY '27 growth target because I think you have talked about at least maintaining around a 20% growth on top of the INR 850-odd crores of revenue that you do. What kind of opening order book would you want to be starting the year with? And what order book would you be comfortable with?

Reginaldo Dsouza: So, at the starting, as I mentioned earlier, as we step into the first of April of the year, we wish to have at least 75% to 80% of the revenue plan for that particular year. So, if you look at from FY '27 perspective, we should be comfortable with anything between INR 700 crores to INR 750 crores.

Jaiveer Shekhawat: Understood. And I think this quarter, we have seen an increasing pickup in order intake, as you had also been highlighting in the previous call as well across both domestic as well as exports as well. So, in terms of your inquiry pipeline, is that more focused on the domestic at the moment? Or are you seeing uptake in the export market as well, especially Middle East and other regions?

Reginaldo Dsouza: No, it is 50-50. Good uptick in domestic from nowhere. If you look at previous 2 quarters, there was nothing. And International Global has continued to get in good inquiries, of course, especially driven by Middle East. So, I would say 50% is the inquiry pipeline.

Jaiveer Shekhawat: Understood. Thank you so much, and all the best.

Reginaldo Dsouza: Thank you. Pleasure, talking to you.

Moderator: Thank you very much. The next question is from the line of Gopalakrishnan Subramaniam from Uthranush Investments. Please go ahead.

G. Subramaniam: Excellent afternoon, sir. Great. So, my first qu estion is our company's sales growth for the past 3 years has been 36%, and whereas profit growth is only 23%. And even in the trailing 12-month period, it is not a very encouraging scenario. Why this profit growth is lagging behind the sales growth consistently? This is my first question.

Can I go to the second question? Or shall I wait for the answer and then ask my second question, sir?

Management: Hold, I will answer your first question. Yes. So, if you look at the tax as a percentage in corresponding period, then tax as a percentage was quite low because there were certain ESOPs. If you look at the recent declared, then during corresponding period last year, the ESOP say exercise were of 101,000. That is the reason th ere was a huge tax benefit, which led to a lower tax, and that is not the case in current period, that's why if you see the revenue, EBITDA and the PAT, PBT increased wherein the PAT has not decreased in the same fashion.

G. Subramaniam: Thank you, sir. So, going forward, what you are saying is profit growth will overtake the sales growth. Can I take it like that?
Management: It would be largely in line with the top line growth.
G. Subramaniam: Okay. So, fine. And then my second question is regarding the order. See, in FY '25, we did around INR 730 crore turnover. So, if you take 20% to that, it will be INR 880 crores is what we should be achieving in FY '26, in that we have already done INR 408 crores, which means balance INR 472 crores is there. In that INR 472 crores, we have an order of INR 569 crores, which means as of today, even if we don't get any order till March, we will have a pending order of INR 200 crores as on 1st of April.
And going forward, in the n

ext 6 months period, we should get enough orders to cater to FY '27?
So, as on 1st of April, we should have almost the entire year covered. Is my understanding correct? And in that, any American orders are slightly because, I am sure some tariff clarity will come. So, as of now, we don't have any dependence on America, but going forward, in FY '27, what will be the extent of dependent of American orders?
Reginaldo Dsouza: Yes. So, as mentioned earlier, as we step into any new financial year, we wish to have 75% to 80% of the revenue plan for that year. So, in that perspective, as I mentioned, anywhere between INR 700 crores to INR 750 crores as on 1st of April, pending order book, we should be comfortable with.
Why 75% to 80%? Logic is because there are short-term shutdown requirements, which customers want, which needs to be delivered between 6 to 8 months and which are very profitable orders. And that's the reason we keep about 20% to 25% capacity for short-term delivery items. So, that's the first answer.
On the U.S., of course, as I mentioned in my previous call, for these numbers that we are talking about right now, we have discounted any opportunities in the United States, because we are waiting for a certainty for the tariffs. But having said that, we are also in discussions with customers in the United States for inquiries, wh ich will be materializing in 2 to 3 months' time frame. And I am pretty sure we are all hopeful that some certainty on tariffs will evolve by then.
So, that should give us further fillip to the order book position before March.
G. Subramaniam: Thank you, sir. One more slight clarification, sir. The INR 200 crores invoice was pending because there was no space with the customer, have you dispatched those INR 200 core order, sir?
Reginaldo Dsouza: So, of which we have already made close to about INR 80 crores, the balance were in the process.
We have not dispatched those, but we have come to a very good negotiation with the customer.
They are, of course, paying us for the storage charges. And also, they have given up on date to pick up in the month of February. So, there are ships being booked and they will be delivered.

And at the same time, they will be paying us 90% of the money, even without dispatching the goods. So, all in all, pretty good settlement and more certainty in terms of when the equipments will move out from here.
G. Subramaniam: Okay, sir. And then one more thing, sir, you ar e saying that the short- term borrowings have gone up because there is not much of advanced payment from the customers. Is it because we are dealing with 2 big customers? And the standard terms are not giving any advance and we had to pay the raw material supplier ahead of time to ge t the material and all of that, is it because of being these 2 big customers?
Reginaldo Dsouza: So, let me clarify. This lack of advances is not because customers are not paying us. It's only because our order book intake in the Quarter 1 and the previous quarter was not that great, because of which the advances have dropped.
Now with Quarter 2 having improved, these advances will come as the milestones arrive in the month of November and December, and the advanced good positions would go up. So, it is not because customers are not paying, it's only beca use our order intake was not in line with our expectations.
G. Subramaniam: Okay, sir. Thank you. All the best and hope to meet you in the next quarter calls. Thank you, sir.
Reginaldo Dsouza: Thank you for your questions.
Moderator: Thank you very much. (Operator Instructions) The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri : Good evening. Thank you for taking my question. Firstly, congratulations on a great set of results, sir. A lot of my questions have already been answered. But just like one question that

I

had, that we are saying you want to start the year with around INR 700 crores, INR 750 crores

order book, which would be around 75%, 80% of the revenue plan, so if the reverse calculate it would mean that we want to target INR 1,000 crores year for us. Is that a fair way to look at it?
Reginaldo Dsouza: Yes.
Darshil Jhaveri : But then compared to the growth that we have been done in the past, that would not be substantial, right. We have been planning 20% this year, INR 1,000 crores over INR 850 crores would be around 14%, 15%. So, is there like any upside that we want to guide for in that way?
Reginaldo Dsouza: So, if you look at when I say INR 1,000 crores, it will be little over INR 1,000 crores. So, what we said is we had great 3 years in terms of our CAGR growth of 37% approximately, with lot of investments done. Now we have completed with all our CAPEX investments in terms of capacities. And now it's time for us to deliver results on those CAPEX.

So, from a lower number, we moved very aggressively for the last 3 years. And now we need to stabilize our operations. And if you have heard our guidance, we were supposed to grow aggressively for the first 3 years and then normalize it in the range of 20% to 25% growth rate, because beyond INR 1,000 crores, I am pretty sure you would understand that growing at 37% will be too tight for this kind of an industry.
Having said that, this growth plan is only for organic growth plan, anything that we are doing on the strategic acquisitions or anything else that comes our way inorganically, that would be upside of it. So, that, as I mentioned, we will come back to yo u as and when our developments do happen. But this growth plan is purely on our organic growth with the product portfolio and the customer base and the sector that we have today.
Darshil Jhaveri : Okay, sir. Fair enough, sir. So, just wanted to clarify that 20% growth rate would do, right? Because if I would do INR 1,000 crores or INR 880 crores, that would be roughly 13%, 14%. That was my area of concern.
Reginaldo Dsouza: INR 1,000 crores plus.
Darshil Jhaveri : Okay. Okay. Okay. That's really helpful, sir. And sir, just wanted to know you clarified a bit about the royalties, but from what I understand that the higher gross margin products also carry a certain royalty. So, even if it's a higher gross margin, eventually, the EBITDA turns out to be same as our normal heat exchangers? Is that correct way to look at it? Or you could just help us clarify how much royalty did we pay in the current quarter? So, if you could just help match those numbers.
Reginaldo Dsouza: Yes. So, the royalty percentage re mains the same, irrespective of a percentage of the total value of the equipment. So, it doesn't depend on what kind of metallurgies we work with. With more exotic material, the royalty for same tonnage equipment will be higher, because the value of the equipment is higher. If it is simple metallurgies, the value will be lower. So, it's a percentage of royalty is fixed, it's a little confidential right now in terms of, because we have a confidential agreement with the licensor, we will not be able to disclose the actual percentage but you can take it in the range of 5% to 10% for different, different licenses.
So, right now, we have executed in Quarter 2 for 2 licenses, one is EMbaffle technology and the other one is Lummus heat transfer for Helix heat exchangers. So, it's a percentage on the value of equipment.
Darshil Jhaveri : Okay. Fair enough, sir. And just last question from my end, sir. With regards to the inorganic opportunity, when do we see, are we in a process maybe that we can have an acquisition in this year or next year. Could you just help us brief a bit about that?
Reginaldo Dsouza: I will be cautious to put a time line to it. Ther e's lot of discussions on. That is all that I can mention at this point

in time, because there are lot of opportunities that we are looking at, as I

mentioned in my opening remarks, especially into the new age energy sectors and specialty chemicals and packages. But sure, as we get closer, we will surely come back to you with more information.
Darshil Jhaveri : Fair enough. That's it from my si de. Thank you so much. All the best.
Reginaldo Dsouza: Thank you.
Moderator: Thank you very much. (Operator Instructions) The next ques tion is from the line of Ranjeet Kumar, an individual investor. Please go ahead.
Mr. Ranjeet Kumar, please go ahead.
Ranjeet Kumar : Hi Regi. What percentage of sales was exported to U.S. last year before Donald Trump came into place?
Reginaldo Dsouza: Sorry, if I understood the question correct, what percentage of revenue did we export to U.S.?
Ranjeet Kumar : Yes.
Reginaldo Dsouza: Yes. So, last year, overall, all put together was close to about 30% of the total exports.

Ranjeet Kumar : So, you are going to hit with tariffs. What's your forward take on this, because huge percentage of sales comes from the U.S. and tariff is going to affect you. How do you expect that in next quarter and next year?
Reginaldo Dsouza: Yes. So, let me get it right.
Ranjeet Kumar : What are you doing to mitigation?
Reginaldo Dsouza: So, 30% of our exports. So, that's roughly about 15% of our revenue we exported last year. This year, if you look at, we have hardly anything that is exported to U.S. directly, because we didn't have any order book from there. We focus more on Middle East.
Tariff, of course, as I mentioned in my last call as well, for us, whatever contracts that we take from our customers is Freight Onboard, FOB, India port. So, obviously, it impacts us in terms of landed cost and the competitive ness when customer looks at it from U.S. lens. But as I said, in all our projections that we made, we have right now discounted for the business from U.S. Anything that comes from the U.S. is going to be a bonus for us.
Having said this, as mentioned, we are in talks with customers right now from the United States for many inquiries despite having 50% tariffs. And we are pretty sure based on the conversations and I believe the way tariffs are, things are go ing to normalize and mayb e in maximum 3 months.

But of course, as I said, that's going to be a bonus for us. We have discounted business from U.S. from our projections right now.
Ranjeet Kumar : And when did you start your office in Houston?
Reginaldo Dsouza: We have not started. We have plans to start. We are just waiting for how things pan out, considering the current scenario, and we will take a call. So, we thought it was right to start the office in Middle East, in Dubai, because that wa s a bigger priority for us at this moment. The next would be Houston.
Ranjeet Kumar : Perfect. Thank you. What are the reason companies 6 decades old, 60 years old, and you are in oil and gas and petrochemical while Houston is probably $550 billion GDP that combined Gujarat and Maharashtra together, and consuming 19 million barrels a day. How do you explain that you had no presence in Texas and U.S. for this long, and you are in oil and gas. Because for me, oil and gas, U.S. is bigger than Saudi Arabia or UAE combined.
Reginaldo Dsouza: Yes. So, that was part of our strategy, how do we expand. We started off with many countries in Middle East. We had representations in Abu Dhabi. We had representations in Oman, Kuwait and now official presence in Dubai, and the next stop is at Houston. So, it's a strategic plan. I do understand and I take it that Houston is the biggest hub for oil and gas.
But I think we have been doing pretty well in terms of connecting with customers, because as you know, 7 to 8 EPC contractors gives us 70% to 80% business for us, and the EPC contra

ctor is the same who executes the project largely in U.S. too. So, from that perspective, we were pretty fortunate to get repeat orders from our EPC contractors. Why now we feel the need to be in the United States and having a presence in Houston is to cater to the other customers who are local and who do not work with the large EPC contractors.
So, in short, it was part of our strategic game plan to spread at a defined pace.
Ranjeet Kumar : Do you have presence in Canada?
Reginaldo Dsouza: We don't.
Ranjeet Kumar : Thank you.
Reginaldo Dsouza: Thank you for your question.
Moderator: Thank you very much. The next question is from the line of OP Gandhi from Sidhi.
OP Gandhi: Yes. Good afternoon. My first question is, what is the potential of U.S. market? And if U.S. tariff is removed, then will you revise the guidance from 20 to higher price? And my second question is about the competition from glass lined heat exchangers.

Reginaldo Dsouza: So, in terms of glass lined heat exchangers, let me answer that. We are no t into glass lined heat exchangers, so we do not compete with them. We are purely nonglass-lined at this moment. In terms of U.S., U.S. can be--
OP Gandhi: And suppose if U.S. tariff is shortly announced, then will you revise your guidance for next year?
Reginaldo Dsouza: Okay. So, our guidance was largely from the perspective of our strategic roadmap of growth. Yes, with the U.S. providing more opportunities, we could look at a slightly higher percentage.
But broadly, our growth plan of 20% plus was guided by our strategic road map.
OP Gandhi: Okay. Thank you, sir.
Reginaldo Dsouza: Thank you. Pleasure.
Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Mr. Reginaldo Dsouza for closing comments.
Reginaldo Dsouza: Thank you all for your interesting questions, and I hope I was able to clarify to your satisfaction.

In case if you have any further queries, please feel free to connect with us, and we would be happy to respond. I take this opportunity to thank my wonderful team at Anup, and to each and every stakeholder helping us deliver performance. A big thank you to our shareholders for your trust and support, as always. Thank you. Take care and stay healthy. Thank you.

Moderator: Thank you very much. On behalf of Anup Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

"The Anup Engineering Limited
Q3 and 9M FY '26 Earnings Conference Call"
February 04, 2026

MANAGEMENT : M R. REGINALDO D'S OUZA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – THE ANUP
ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months ended FY '26 Earnings Conference Call of The Anup Engineering Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
Before we proceed to the call, let me remind you that the discussion may contain certain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause actual results, performance or achievements to differ significantly from what has been expressed or implied in such forward-looking statements.
Please note that the company have uploaded the re sults, press release, in vestor presentation and also the outcome of the Board meeting on the website of stock exchange and website of the company.
I now hand the conference over to Mr. Reginaldo D'Souza, Managing Director and CEO of the company. Thank you, and over to you, sir.
Reginaldo D'Souza: Thank you. Hello, everyone. I welcome you all to this conference call on our performance for quarter 3 and 9-month period ending December for the financial year 2026. The last few months has been quite eventful with reference to tr ade agreements between countries, geopolitical events, anxieties over aggression between countries, and many other global material events.
India-U.S. trade deal was also on the waiting far longer than we all expected. These events did impact the business sentiment, especially when we as a business were equally focused on exports. Given these m acro challenges, both on geopolitical and economic fronts over the last few quarters, I believe your company has delivered a decent performance.
Let me now share with you all our company's performance for quarter 3 and 9-month period ending December for the financial year 2026. The consolidated revenue achieved for quarter 3 is INR206.9 crores, a growth of 20.3% quarter-on- quarter and at an EBITDA of INR44.1 crores, a growth of 13% quarter-on-quarter.
For the 9-month period ending December, the consolidated revenue is INR614.4 crores, a growth of 20.2% year-on-year, with an EBITDA of INR1 35.9 crores, a growth of 17.5% year-on-year.
Profit before tax is at INR112 crores, a growth of 12.2% and the profit after tax is INR85.3 crores without the tax reversals, a growth of 2.3%.
At the PAT percentage level, we are 2.4% lower year-on-year, mainly on account of 3 factors: an EBITDA change of 0.5%; the interest and financing cost of 0.6% due to our higher working

capital block; and the tax change where last year we had lower tax due to ESOPs of 0.9%. So these all added to a PAT percentage level of 2.4% lower as compared to last year.
The return on capital employed, ROCE, is at -- in the expected range of 21.2%. On the working capital management, I believe we could have done better. The average working capital was INR367 crores, at 2.2 turns. This is higher than expected mainly on account of 2 factors: one,
the lower customer advances; and the second, higher debtors owing to long-cycle orders under execution.
This is set to improve with better new order booking, thereby improving customer advance positions and closure of high-value purchase orders in the coming quarters. We expect it to be closer to average working capital turns of 3 or a little higher by the year-end.
On the other expenses head, it is higher but fairly as planned for the year at 24.5% of revenue as against 18% year-on-year. The rationale for the increase is, number one, royalty of about 1.3

%
as we had many licensed proprietary equipment during this period, mainly helical heat exchangers for Lummus Heat Transfer and EMBaffle heat exchangers for Brembana & Rolle technology, which we delivered in the last quarter.
About 1.5% in labor and subcontracting costs, 2.2% on contractual expenses due to timelines and site back charges and 0.5% increase in freight as there were multiple over-dimensional export consignments needing expensive logistics mo de up to the ports of India. Please note that
these all cost heads are factored in our plan and estimation, and hence does not impact our planned profitability.
Our exports was at INR328 crores, which is 53.4% of our revenue. On the industry sectors that we serve, oil and gas and petrochemicals still domi nate with about 73% of the revenue. In terms of the product portfolio, heat exchangers accounted for 57% of the revenue. Silos and centrifuge saw an increase to 7%. So on the product port folio side, heat exchangers still dominates our revenue.
On the new order booking, the new order booking in the near past has been very encouraging, especially on the domestic front. The pending order book as on date is at INR550 crores. It would have been much better if not for some good probable finalization moving to this month. We have a few good level of order negotiations, which is expected to be closed in the near future.
Considering our execution rate required for quar ter 4, it implies that we have about INR300 crores plus worth orders for execution in the next financial year, that is FY '27. Also with a healthy firm inquiry pipeline of around INR1,100 crores, we shall have better opportunities to convert.
Furthermore, with the positive India-U.S. trade deal, it should open up opportunities and even out anxieties created over the last few quarters. We should see revival of discussions with our customers for the U.S.-bound projects converting into meaningful business in the next few

months. Our continued focus on exports should surely help in building the order book.
Moreover, the current dollar-INR rate surely helps us to be more competitive.
On the contribution from all our 3 locations, I'm gl ad that they are all contributing well to the revenue growth. The Ahmedabad plant is at YTD re venue of INR405 crores, that is 66% of the revenue; Kheda at INR186 crores, that is 30%; and Mabel Engineers with INR23 crores at 4%.
Just to note, Mabel for this year has major revenue coming from site fabrication work, which is in progress and hence, we'll see higher revenue in quarter 4 as compared. These revenue contributions from all our 3 locations provides us the confidence and reemphasizes that our investments are now delivering results.
On the capex front, we have completed the Phase 2 expansion at Kheda. And with this, we now have 20,000 square meters of fabrication area, out of which 5,000 square meters is an open yard. This means our Kheda plant now has the capacity to generate about INR450 crores revenue per
year based on the product mix. We do not foresee any major capex soon for our organic growth towards building capacities.
With all our 3 locations, we now have a sufficie nt capacity built for our FY '27 growth plan. On our long-term strategies, I'm glad to inform that on the strategy of product diversification and geographical spread, we have made some good progress in the last quarter. And I would like to mention them subsequently.
First, we have made an entry into the long-awaited nuclear business with a successful order for NPCIL Kaiga project from a renowned EPC company. Order value is in the range of INR20 crores to INR30 crores. The focus now would be to execute this order well, which shall set the path for further expansion into more critical nuclear business.
Second, our entry into the thermal power business. We have bagged an order for NTPC thermal power

project to supply a good number of low-pressure feed water heaters for their Nabinagar and Gadarwara project. Here, the order value is in the range of INR20 crores to INR30 crores
again. Considering the fact that there are 3 more large projects expected in the near future, this experience will surely help us

secure more business on thermal power projects.
Third, our entry into precision machine components. We have successfully bagged an order from GE for supplying critical componen ts for their turbine frames. Order value, though small, has the ability to provide visibility for the next 2 to 3 years of business. We shall strategize further on this business line once we complete this order execution. The deputation of our new sales and marketing head position in Dubai is contributing well to seek leads from Middle East and other GCC countries.
Also, our services business, that is Anup Technical Services, too, have made good progress. We have booked our 10th order over the last 6 months, executed 5 and 5 are under execution. Though small, these are he lping us build our capabilitie s and credibility with customers for larger play in the near future. We, as a business, are very optimistic on the growth of this business vertical, which should be highly profitable.

On our sustainability initiatives, as we mentioned earlier, both our facilities in Gujarat are now rooftop solar-powered, thereby lowering our carbon footprint. This shall mean business sense for us as it will improve our competitiveness in the European market when CBAM, which is carbon border adjusted tax kicks for su pplier revaluation in the near future.
On the overall broader business outlook, we surely see a good traction in the coming months with inquiry inflow from Middle East and domestic markets. Further, with the U.S.-India trade deal in place, we shall see good opportunities coming through. We hold a firm inquiry bank of around INR1,100 crores at this point in time. Thus, at the backing of this robust inquiry pipeline, we expect good business oppor tunities in the near future.
Therefore, considering overall macro factors, we continue to maintain our guidance for this year of revenue growth of 15% to 20% and EBITDA in the range of 22% with exports of over 50%. We, as a business, remain very optimistic of the future business opportunities at the backing of a strong domestic push on infra and energy security, trade deals with major economies improving our competitiveness, and our latest inroads into new products and geographies, providing that strong visibility.
Having said this, being a project industry, we shall be watchful and cautious of the developments globally, especially on geopolitic s. On our long-term strategic initiatives towards sustaining growth inorganically, we have been working over the last many months on diversification and strategic opportunities. As mentioned earlier, we are looking at opportunities in the space of energy-related technologies, specialty chemical sectors, package systems and many more.
We will keep you all informed of the progress as we get closer. So with these opening remarks, I wish to thank you all for your patient listening. Now I would be happy to answer your questions or any clarifications required. Thank you.
Moderator: The first question comes from the line of Chetan Vora with Abakkus Asset Manager.
Chetan Vora: I just wanted to understand now post this U.S. clarification, how do we see the situation for us?
Because U.S. for us last year was close to 15% to 16% of the overall revenue and 30% of the exports. And this year, it has been minimal enough. So how do we see situation going ahead for U.S. particularly?
Reginaldo D'Souza: Yes, Chetan, so as rightly said, with this clarity emerging now, as I mentioned in my last call as well, it was never with U.S. customers what was that percentage, right? Even at tha t percentage, we were quite competitive as compared to U.S. fabricators or any other. It was more about uncertainty in terms of what's going to be the tariff at the end of 12 months when we dispatch.
So now with this trade deal in place, I think there is far more certainty in terms of what would be the landed cost for our customers. And we surely hope and are confident that the discussions will reignite now for all the projects that we re basically stalled for a few quarters now.

And for this year, anyway, as I mentioned, we did not have any order booking from U.S., which was figured in our plan and the growth plan for this year. So whatever happens now, henceforth with the discussions and positive movement, should be an upside and better as compared to this year.
Chetan Vora: Right. And now coming to the order book, the order book has gone down to INR550 crores, which was INR740 crores last year. Now how do we see the execution visibility? Because in the coming quarter, we will be ex ecuting nearly about INR300-odd crores, and we will be getting another INR200 crores order inflow. So how do we plan to end the year? And does it mean that the next year growth is getting challenged, Regi?
Reginaldo D'Souza: Yes. So you're right. On the order booking as compared to what we opened this year with -- and

as on today, it's about INR550 crores. That's broadly taken because if you remember, quarter 1 was literally almost -- I mean to say, negligible quantum that came in, obviously, because of the exports largely getting impacted an d domestic, there was nothing at that point in time. And which we visualized at that point in time that domestic should revive in quarter 1. It did not, of course. But then quarter 2 was much better. And quarter 3 is also in that strike rate range of INR200 crores around that we need every quarter, 3 months block to come in. So it has improved. If you look at the pending inquiry book position of INR1,100 crores, this is one of the best that we ever had. We -- our bests have been close to INR1,100 crores to INR1,200 crores inquiry bank positions. The problem was finalizations of those inquiries because of these uncertainties.
Now with that at our back, I'm pretty sure the finalizations should go forward in the coming months and we should be able to hit a strike rate much better than what we have done in the past.
So we are hopeful and optimistic that business would turn over growth. Exact number, I think we should wait for the quarter 4 to get over, because for quarter 4, anyway, we have the complete order booking with us.
We will wait for the next 2 months how it pans out in terms of the order booking, which we are very optimistic about and then define the growth for the next year. But growth would surely be there.
Chetan Vora: Yes, growth will surely be there, that is right. Okay. But what about the demand environment, both in the overseas market and the domestic market as of now? Because in the domestic market, we saw a decline in the revenue -- sorry, in the export market?
Reginaldo D'Souza: Yes. So export market, it was -- so when we opened up the year, actually, domestic was down, export was better. Then when we went through this year, if you see the last year, domestic was literally nothing for us. All the order booking mostly came from exports. This year, domestic has picked up because most of the order booking -- and you would see that ratio changing from our pending order book position.
It has -- domestic is much high er than our export. That is pr ecisely because over the last 2 quarters, there has been lots of uptick in domestic order booking. And now with this uncertainty

opening up, I'm pretty sure ev en the exports will pick up. An d I'm sure you should get the confidence from the inquiry bank position of INR1,100 crores

, which is roughly about 60% exports and 40% domestic.
And just to add to that, the major uptick that we are seeing, of course, in the international market is on the gas side, gas business. And in the domestic, we are seeing mostly in the petrochemicals and power.
Of course, power, there are limited 3 or 4 projects, but that itself is a pretty high-volume in terms of numbers. So that's a broad breakup if you want to know which sector is kicking in. So exports is largely the gas-based and domestic, it is pet-chem and thermal power to some extent.
Chetan Vora: Right. And now as in where we are standing right now post this clarity of -- again, I'm just repeating and the domestic traction what you have started gaining, now should we assume that both the engines are, as you also said in your opening comment also, that both the verticals should start seeing a good trajectory of growth?
Reginaldo D'Souza: Yes, for sure. And added to that, Chetan, with all these new products that we ventured, like nuclear for the first time, thermal power, which we got in right time because we will be well placed now for the next 3 projects that are coming in. And at the same time, the Anup Technical Services, which is a high profitable business, which we have forecasted that it should be, in 2 to 3 years, close to INR200 crores to INR300 crores kind of a business for us. It's about 40% margin business. So that -- these 3 verticals also should gi ve us a lot of confidence that we have spread deeper into products and also wider in terms of geographies.
Moderator: The next question comes from the line of Sameer Thakur with Ambit.
Sameer Thakur: So my first question is, you already talked about the technical services and all. So if you can just touch upon the high-volume products and MRO, and how is that shaping up? And if you think about the business mix from these 3 service MRO and high-volume products, how should we think about in the next 2, 3 years or so? That's the first question.
Reginaldo D'Souza: Yes. So -- okay. So let me start with the techni cal services business, which is nothing but health tech assessment of the equipment, providing entity services and repairs of the equipment at site.
This is the broad 3 domains under this services . As I said, this should be according to us anywhere in the range of 30% to 40% kind of a profitability business. And our focus for this business internally is to reach about INR2 00 crores turnover in the next 3 years.
That's the kind of focus that we have for this business. In terms of high-volume, which we said it is in the framework of ACACs, PSA Adsorber vessels, maybe some sort of skids and modules, this again is in the framework of EBITDA of 15% . It will not be as high as our conventional products, but they would give us scale in terms of volume.
So that is a fact that about INR200 crores to INR300 crores for the next 3 years, again, that

vertical. And our conventional business would be close to about INR1,000 crores. That is where

we would like to maintain it because these are ve ry complex, takes a lot of management attention
and also critical in terms of execution. So INR1,000 crores, INR200 crores and INR200 crores to INR300 crores, that's kind of visibility in these 3 verticals maybe over the next 3 to 4 years
kind of an horizon.
Sameer Thakur: Okay. And the pipeline that you talked about, INR1,100 crores pipeline, you said the strike rate
should be higher. Any number on that?
Reginaldo D'Souza: See, normally, our strike rate historically has been anywhere between 15% to 20%. What we
feel with this focus today and with our spread on the product mix, it should be anywhere in the region of 20% to 25%. We would not like it to be higher. In fact, we would like to grow the
inquiry pipeline because we would like also our profitability to be maintained.
With a higher strike rate, we can definite

ly get a strike rate, but then I'll have to compromise on
margins to get that business. So I would like it to be in the region of maximum 20% to 25% and
improve the inquiry pipeline and keep that strike rate at that level.
Sameer Thakur: Okay. So would it be fair to assume that we would end up the year with somewhere around
INR600 crores backlog or something?
Reginaldo D'Souza: That's what we are planning for, yes, right.
Moderator: The next question comes from the line of Varun Mishra with VM Chambers.
Varun Mishra: I think my question is broadly answered, but…
Reginaldo D'Souza: Hello, Varun, we are not able to hear you.
Moderator: Yes, sir. The current participant has left the queue. We'll move on to the next participant, is from
the line of Chirag from SKP Securities.
Chirag: So I just want to ask which segment we are targeting in the nuclear segment that we have forayed
into?
Reginaldo D'Souza: So our target is basically on the heat exchanger side and the columns and vessel side. So the
current order that we have bagged is on the columns and vessel side and we would be making
our attempts to get further deeper into heat exchangers and the critical primary island equipment's.
Chirag: Okay. So what sort of an opportunity are we seeing in this particular segment?
Reginaldo D'Souza: So let me mention why we have taken this first step after many, many years. So as you know,
nuclear is a very, very critical domain in terms of execution. And we were wanting to get into this for many, many years now. And -- but after having put up our facilities and capabilities in
place, we thought it is the right time now to move into nuclear and that's how we ventured into.

The first step taken is to get into these columns and things because they are comparatively easier.
I'm not saying it is very easy, but comparatively easier. So we want to execute this. Of course,
the start has been good so far. It's been, I think, 4 months into this year -- 3 months into this year,
sorry.
The start has been good. I think maybe another couple of months and weeks shall get more
confidence in terms of venturing into other opportunities for NPCIL. This also would open up the doors for other nuclear opportunities outside India, not only in India. But we just want to
wait for a couple of months more to get that confidence.
And just to give you an indication of what opport unities this field can open up. I'll give you a
simple product like a steam generator, which is required for NPCIL projects. One set is in the
range of INR400 crores to INR500 crores. But of course, we need to work hard to get there, build our credibility. And I think we have taken the first step moving in this direction.
Moderator: The next question comes from the line of Mohit Surana with Monarch Networth Capital.
Mohit Surana: Regi, you just talked about NPCIL. Can you also elaborate on the other 2 product diversification,
geographic spread that you talked about entering into the thermal power as well as into precision engineering components, so some -- bit more color on these new ventures that you have taken?
And what kind of potential do you see for the business to gain traction into these?
Reginaldo D'Souza: Yes, Mohit. So the first one was the thermal power plant where, as Anup Engineering, we were
not qualified to make any products under NTPC. Through this, we had to go, of course, through the approval procedures. And finally, we got qualified and we were successful in bagging this
order.
As I said, it was in the range of INR20 crores to INR30 crores bracket. Not a big one for now,
but what it does is that it gives us that step into, number one, getting qualified with NTPC; and

second, move to the next category, which is high-pressure heat exchangers, which is almost maybe 3x to 4x value of this product.
So that's what we are aiming at. There are next 2 more projects, big

projects upcoming. One is
for Adani Thermal Power, where the order has been already backed by L&T and Torrent Power.
These are the 2 big. And there's a third one, which is a little confidential, which we know of that has come up.
So this gives us a step and a possibility to par ticipate in the negotiations for low-pressure and high-pressure feed water heaters. The overall number for all these 3 projects for the feed water itself could be in the range of a ballpark number -- of course, it would differ a little on the design, but it would be in the region of INR700 crores to INR800 crores for the 3 projects put together.
Of course, we will have to part icipate, be competitive and prove our credentials on this first order that we've taken. And I believe we would be up against 3 to 4 competitors in India. And

the next one was the machined specialized precision components. Again, this was a complete diversification for us. We had strategized this for many, many years.
But we thought this was the right time to get in to because turbines, as you know, both thermal and gas power plants, the number of power plants that are coming globally is in very large numbers. And GE was a strategic customer for us because we can foresee 2 to 3 years kind of a
future order booking for these kind of quick cycle time orders.
Now these are something which we have never done before. These are fabricated plus machined components. That's the reason I have said that once we complete this, we will strategize on how do we take this forward.
But it looks like if we are successful in executing this, probably it will be a long-time horizon of 2 to 3 weeks kind of a business horizon that we can see. Though not large, but these are very critical and it could come on a nomination basis as -- I believe we are the only guys in India who have taken this at this moment.
Mohit Surana: Understood. Sir, just one last question on the inquiry pipeline. You said it's around INR1,100 crores. Any idea on what could be the strike rate considering things are improving on the geopolitical as well as on the trade tariff front? Any idea what could be our strike rate at this
point?
Reginaldo D'Souza: Yes. So Mohit, first of all, let me just clarify th is INR1,100 crores is a real-time inquiry. It will keep ticking as some other inquiries getting finalized, we'll be able to get new ones in. At this point in time, it is INR1,100 cr ores. But over the last 3 to 4 months, we have seen it between
INR900 crores to INR1,200 crores. So that's a real-time inquiry pipeline.
In terms of your question on the strike rate, as I mentioned on the earlier question, we as a business would like to keep it anywhere between 20% to 25%, not more than that, because getting more than that is easier, you just compromi se on the margins and then take that order.But since we want better profitable orders.
We would like to keep a very good balance on the strike rate and not exceed between 20% to 25% and focus more on getting more inquiries and improve the pipeline, improve the funnel rather than focusing on strike rate. Of course, strike rate, if you compare on a focused set of inquiries could be much higher, but on the overall pipeline, we would keep it at 20% to 25% max.
Moderator: The next question comes from the line of Rahil with Sapphire Capital.
Rahil: Sir, this net interest cost, whic h was high in quarter 3. Now what is the outlook for quarter 4?
What is the steady state interest cost one can factor in?
Reginaldo D'Souza: So even for quarter 4, we would be able to maintain it at this level. As you know it was higher because we had a higher working capital. We have forecasted for the quarter 4 and we expect this to remain at this level of around 1% to 1.1%.

Rahil: And FY '26 end, what do you think the order book

will be? So what kind of order book you will
end the year with to enter FY '27?
Reginaldo D'Souza: So as I mentioned this on the earlier question, of course, our target would be much higher than that, but we expect it to close at the current rate, close to about INR600 crores.
Rahil: Then sir, let's say, 15%, 20% growth you're targeting in FY '26, meaning quarter 4, you do a run

rate of more than INR220 crores, INR230 crores. Going forward, will that run rate keep exceeding to capture a 20% or so growth by FY '27?
Reginaldo D'Souza: Yes, for sure. So our...
Rahil: Just get a visibility.
Reginaldo D'Souza: Our expected order intake on a 3-month block period is roughly about INR200 crores to INR250 crores. We have already reached that run rate right now. And with things improving in the future,
I predict that we should be at that or better level. And we have quarter 1. As you know, our average cycle time is anywhere between 9 to 12 months kind of a cycle time. So we will have to
focus more on the short delivery items, maybe around 8 to 9 months.
And if you look at what we have strategized on these products, like the technical services, the
high-volume products, these are all anywhere completion between 6 to 7 months. So for the next
year, that is where we would focus on to deliver the growth plan for next year.
But as I said, we would wait for our focus right now into close quarter 4. We would wait for a
couple of months before we come back to you. And I would be in a better position to give the
exact numbers.
Rahil: Right, sir. And similar on the margins as well , EBITDA margins, any scope for improvement?
And if so, how?
Reginaldo D'Souza: Yes. So EBITDA margins will be as we have gui ded. It will be in the region of around 22% for
this year. And going forward, as I mentioned in the past, our endeavor would always be to
maintain our EBITDA margins of 20%-plus.
Moderator: The next question comes from the line of Ganeshram with Unifi Capital.
Ganeshram: Regi, I just have a few questions. The first one is, I think it's been hammered a bit the order
inflow status. When I look back the last few years, you've typically started the year with larger order book than the revenue you build in that par ticular year. This sort of seems to be the first
of many years where the situation would be the opposite, right? At 15%, 20% growth, you'll
probably have to deliver INR1,000 crores top line in '27 and you'd begin the year with INR550 crores to INR600 crores?
So could you help -- and that would mean that effectively in Q4, you'd probably need around
INR400 crores-odd in order inflow to get to th at number, right? So if you could just help me

understand if there is any risk to this FY '27 guidance? Or are there other moving parts that's
going to help you compensate? Some granularity on this that will help us give some confidence?
Reginaldo D'Souza: Yes. So you are right. Ganeshram, you're right in your numbers of the previous year that we
started off with an opening balance of good order intake. As you know, last year, the domestic was really, really bad. There was nothing in the 3 quarters of last year, which definitely impacted
the order intake and that's the reason we see lower base because of the market conditions that we had at that point in time.
Fortunately, domestic has picked up, which you are seeing the reflections in the numbers. And
now with these uncertainties and especially the U.S. trade deal out of the way, I think we will
also see the revival in terms of export business. And we should be back to those earlier days
where we have inquiry pipelines and they get finalized within a 2 to 3 months period. And then that ball keeps rolling on inquiry front.
Unfortunately, what was happening over the last maybe 1.5 years or 5 to 6 quarters was mainly
that the finalization work getting deferred because of these uncertainties.

Having said that, we
did realize as a business that we also need to strategize and be prepared for this position. And that's the reason if you see strategically, we have put a few blocks in place.
Number one, we have moved our focus to higher volume, lower cycle time equipment. So if you
see that itself in today's context is about 10% to 12% of our revenue is coming from high-volume,
low cycle time. So when I say low cycle time, these are like 6 to 7 months kind of completion equipment's. And then we focused on the services business, which is anyway a quick turnaround.
Maybe by the time you get the order and you close, it is just about 1.5 to 2 months and a very
profitable business. Now these 3, 2 blocks is going to help us moving forward in terms of building our pipeline for next year, even though we would not open up the order booking to the
original liking that in the past that we would have had.
As I said, we wish to open this year, that is FY '26, at about INR600 crores level or higher if it
is possible. But even if it is not, these blocks ar e going to help us so that , in the first 2 quarters,
we can book orders for these smaller cycle times, maybe 6 to 7 months and still deliver in the
financial year.
So that is our -- plan. We are communicating to our customers in that sense. Our sales and
marketing team is also moving and strategizing in that direction. So to summarize the answer, yes, the opening order book position as compared to the previous phase, it looks lower at INR600
crores. That's precisely because of both the cylinders not firing together, that is domestic and
international.

But today, I think we have reached a point wher e both the cylinders should start firing. The inquiries should start getting finalized. And the strategies of moving into higher volume, low cycle time equipment's and the services business should give us that confidence for the growth into the next year.

Ganeshram: If I can just follow up on that. On the current order pipeline of INR1,100 crores, right, I'm assuming there's no U.S. So with the U.S., what could that pipeline look like? And in this INR1,100 crores, what would be the mix of thos e services or the higher volume products that we'll need?
Reginaldo D'Souza: So on this INR1,100 crores, it's not that there is no U.S. There is some small percentage, maybe 2% of it, which was on the back burner for some time. Now customers have started the discussions again. But with this opening up now, I'm pretty sure, in the next few months, it
should at least bring about INR200 crores to INR300 crores kind of an inquiry position, that is strong inquiry position for the projects bound for United States.
Ganeshram: Okay. And high-volume product contribution in this INR1,100 crores would be how much?
Reginaldo D'Souza: So at the moment, for the high-value item, it's about 13%, 13% to 15% range. But as I said, we would be now seeking for more because these will come at a shorter duration in terms of receiving the inquiry and finalization, because these are normally not called as long lead items for customers.
These are short lead items for customers. So they generally come towards the fag end of the project. So all these projects that we have quoted for the long lead, the short lead items should follow in the next couple of months. And this sh ould augur well for us in terms of strategizing.
Ganeshram: Understood. And just on the second question -- and just the second question is on the working capital front itself. I remember there was about INR120 crores odd that you had to receive and then I think about 20%, 30% of the payment was still pending. If you could just give us an update
on that. And on the…
Reginaldo D'Souza: Hello? Hello?
Moderator: Yes, sir, sorry to interrupt. The current participant has been disconnected. We'll move on to the next question. It's from the line of S

onal with Prescient Capital.
Sonal Minhas: This is Sonal Minhas from Prescient Capital. I had a question on working capital and receivables, which I think the earlier gentleman was also alluding to. Wanted to understand, like you were mentioning your discipline around bidding for orders with a margin of 22%. What are the cut-off levels in terms of your receivable days in terms of how you look at working capital from a project-by-project perspective? That's the first question. I have a second one, I'll ask after we've done with this one.
Reginaldo D'Souza: Yes. So on the working capital side, based on the long cycle items that we are now quoting for with -- sorry, Kheda facility with us where we can make much bigger items than long cycle items, we expect our average working capital to be about 3 turns. In between 3 to 4 is what we would like, but I think 3 is a more practical approach. That's roughly about 120 days kind of working capital that we would carry.

Sonal Minhas: Okay. And sir, is there a difference between export orders and domestic orders in terms of working capital as well, or there's nothing to read there?
Reginaldo D'Souza: Yes, of course, export working capitals are much better in a sense that the pure advances that we get on export orders are generally higher. They are in the tune of average 40%, whereas for domestic orders, they are in the tune of average 25%. So you have a 15% kind of an advances
in your bag, which helps definitely your working capital.
So we -- so from strategy perspective, it's always better for us to take better -- higher export. One is on the working capital front that it is bett er. And also because of the exchange rates, we are generally conservative when we take the orders. And invariably, we have seen on the historical data that we always tend to gain on exchange rates for exports.
So in that sense, the preference is definitely al ways exports. But having said that, I did mention in the past, as a business, we have strategized to be a 50-50 kind of a business, mainly from the risk perspective. So we have our own risk assessment metrics. And based on that, we have defined ourselves that we should be 50% export and 50% domestic business.
Sonal Minhas: Got it, sir. By what time line should we expect the cash conversion cycle to come down to around 120 days from where it is right now around 190 to 200-odd days? Like, is there a ballpark you

have in mind in terms of time line?
Reginaldo D'Souza: So based on our workings and projections, I think quarter 1 should be the time where we should come back to -- we should end the year maybe close to 3 the sum should be a clear between 3 to 4 turns.
Moderator: The next question comes from the line of Ashish Duggal, an Individual Investor.
Ashish Duggal: My question is, there was a news it em that China investment will be open up in Asia. So I just want to understand what will be the impact? Or do we have any Chinese competition in our products?
Reginaldo D'Souza: So Ashish, for the kind of products that we deal with, I don't think so we will have that competition on 2 fronts. Basically, one is, of course, the kind of equipment that we make are quite voluminous. So from that perspective, the transportation cost is generally huge. And on the second front, most of the material that we use is all indigenously available in India today for us.
So from that perspective, we can still compete for projects in India. A nd especially when it comes to PSUs, I'm sure you are aware that Make in India definitely governs. So from those perspective, I don't think this is going to be a challenge for us.
Moderator: The next question is from the line of Ganeshram with Unifi Capital.
Ganeshram: Yes. Sorry, I think I got disconnected last time fo r some reason. But I was just asking the current numbers of inventory receivables, payables. And then we've s

een the commodity basket moves

quite sharply over the last 2 quarters. Are you seeing any impact of it? And how do you generally pass on these RM costs? How is it set up with your customers?
Reginaldo D'Souza: So when it comes to the raw material, Ganesh, it is all built in into the cost estimation for us. We have a pricing model wherein we forecast probably next 2 to 3 months kind of a window in terms of the raw material purchase for us. For us, the la rger volume of buy is coming from plates and tubes and to some extent, forgings. So these are the 3 broad category range that we focus. And we built that estimate into our cost estimation.
So it's built in. So if we see a projection of it goin g high, we built in that into our costing. If you look at historical data, I think we have got it right most of the time, except during the COVID time where I don't think anyone could have got right. So otherwise, in a normal business scenario, I think we are able to forecast that much better, built in into our costing and maintain our profitability.
Ganeshram: Right. So because the period of execution is, let's say, 9 months for the order and maybe halfway through and the RM prices start going up, if it's not back-to-back at the time of booking the order, that impact of RM price movement, who wo uld bear that? Or is there like an escalation clause that's still there?
Reginaldo D'Souza: No, Ganesh, in our case, our projects are 100% fi xed term contracts. There are no variable contracts. But to answer and give you that confidence, once we get the PO, 4 to 6 weeks is the time wherein we place the orders for our raw materials. So the cycle would be longer in terms of execution, but the raw material placement is generally happening anywhere between 4 to 6 weeks from the PO received.
So in that sense, we are locking in the prices much earlier. And nowadays, when the volatility is very high, we generally try to go back-to-back with our vendors so the prices are secured for us.
To add to that, we generally, as you know, have 2 modes of orders, right? One is negotiable bid with the private customers, which is like once we freeze, maybe within a week to 10 days, we'll get the PO. So it's more secured, more certain.
In terms of tendering is where generally the wi ndow between we quote and when we get the PO, is anywhere a gap of 3 to 4 months. That is where our forecasting model comes more handy as compared to the private customers where there is negotiable bid. So focusing more helps on the tender side, whereas on the private side, it is more certain.
And today, if you see our breakup between tenders and private business, it's around 60-40. 60 is the private business, 40 is about tender business. And moreover, the order placement from PO is 4 to 6 weeks. So that should give you the confidence that we are able to lock our prices quite early in the execution.
Ganeshram: That's very clear, Regi. Just the data keeping question is, currently, the numbers for inventory receivables payables, where is it right now and the RM split?

Reginaldo D'Souza: One second, let me ge t the number to you.
Ganeshram: Yes. Okay.

Reginaldo D'Souza: So can we get this offline to you, Ganesh, if it's okay?
Ganeshram: Yes. Yes. That's fine. That's fine. That's fine. That's fine.
Reginaldo D'Souza: Okay. We'll get back to you on this. Nilesh would get back to you on this.
Moderator: The next question comes from the line of Kabir with Kabir Investments.
Kabir: Just to know now that we see more opportunities and more inquiries coming up in the U.S. business, can we expect H2 to grow at a faster pace, maybe move higher from the H1 for the next year?
Reginaldo D'Souza: Sorry. Kabir, can you pl ease repeat your question? There wa s a little bit of disturbance.
Kabir: I'd like to -- now that the

U.S. business is -- we see the U.S. business opening up, can we expect to grow at a faster pace in the second half of the next financial year, maybe to 25%, 30% from the 15%, 20% growth that we are doing this year?
Reginaldo D'Souza: So Kabir, what I believe our focus today is to close this financial year with Q4 execution. And at the same time, as I mentioned, we foresee a good intake with all these uncertainties moving off. So I believe let's wait for the couple of months before we come back to you for the next call where we will be in a better position to put the exact number on the growth.
But surely, our attempt would be to grow much faster than what we have grown this year. And then these are -- just a note, these are pure or ganic numbers. Inorganically, if something goes right, we could land up much higher.
Moderator: The next question comes from the line of Saket Kapoor with Kapoor & Co.
Saket Kapoor: Sorry, I was late into the call, so maybe a repetitive question. But sir, what explains, firstly, the lower turnover and hence, the lower profitability Q-on-Q, the September quarter consolidated revenue at INR232 crores and our December quarter revenue at INR207 crores and thereby the profitability down from INR43 crores to INR34 crores? That is my first question.
Reginaldo D'Souza: So Saket, if you look at historically, quarter 3 is always a weaker quarter for us from the perspective of number of days because there are a lot of festivals around that time in the manufacturing zone that we are in. And if you look at our historical plan, we generally plan it with quarter 3 at that number.
So we were exactly on plan for the growth that we had planned for, and that is how if you look at even in the future, you'll always find quarter 2 better than quarter 3. Except that if you look at quarter-on-quarter last year, we've done much better than Q3 of last year. So short answer, this is as per the plan of the business.

Saket Kapoor: Okay. So then year on year comparison there is a compression in margin. So that is on related to the product mix part or what explains that part of the story?
Reginaldo D'Souza: Yes, that is broadly on the product mix which we had -- I had articulated in the beginning of the year, because we've moved to now scaling up based on high volume products as well, which are high volume, low margin business. So that wi ll pull EBITDA a little lower, and that's why we said that we will be in the ra nge of 21% to 22% of EBITDA.
Saket Kapoor: Okay. And sir going ahead for Q4 is traditionally a large quarter for engineering organizations concerns like us. So we should expect the same trend line for Q4 in terms of at least the execution to be on the relatively higher side?
Reginaldo D'Souza: Yes, Saket, so the last quarter is always the busiest quarter, the full quarter with full number of working days, so we expect it to be to be definitely in the similar trends.
Saket Kapoor: Okay. And sir just to conclude here, we have also seen that sir in the oil and gas space, there has been muted response in terms of the capability or the capex done by the PSUs especially the ONGC of the world and also the crude prices have also remained low, so how has this affected our order booking part firstly and our pricing power also in terms of the bid wherein we are participating as a major of the us our clientele are towards this oil and gas refinery petrochemical segment.
So how are we seeing this pricing power part for us and then second question is pertaining to the new facilities ramping up firs tly at the Kheda and also at th e manufacturing plant at Mabel.
So how are these going to contribute going ahead?
Reginaldo D'Souza: Yes, so Saket, you're right in terms of the invest ment from PSUs, and that is the precise reason if you see, last year almost three quarters it was literally zero from domestic. We had t

o
completely depend on export business, and that is why we could survive because our focus was equal on exports. As we speak now, as I mentioned in the call earlier and I think some of the gentlemen had this question, so domestic has picked up. So last over the last quarter if you see, the domestic contribution is way higher as compared to export.
And now with these uncertainties on trade deals and others out of our way, we think that both

the verticals in terms of exports and domestic should fire equally, and we should be in a much better position to have a better order conversion. In terms of profitability, of course as the demand goes down, there are th ere are many capacities which ar e which are vacan t in India and abroad, and people get to the margin game.
So obviously it builds a little bit of more aggression in the market in terms of pricing, and that brings the pricing level down, and that's where th e lower strike rates and other things come up. But we as a company are quite watchful. We want to grow and at the same time grow profitably. That's the balance that we want to keep, so we're very cautious on every opportunity that comes our way that we maintain our profitabilities as well.

Your next question in terms of the locations, Kheda as I mentioned, we have already completed Phase 2 as planned, so I had said that by quarter 3 we will we will commission. Now Kheda is fully operational with three completed manufacturing bays and one open yard. So it has got a capacity to deliver approximately about INR450 crores per year, of course depending on the product mix, in a full 12-month period.
So that's the capacity which is which is commissioned, put to use, and moving well. In terms of Mabel, as I said Mabel by quarter 3, that is nine-month period it was at INR23 crores. Of course better than last year, but in a sense it will, most of its execution is site-fabricated equipment which are right now in progress, and we expect them to close in February and March. So Mabel should do much better over INR50 to INR60 crores depending on the execution.
So it's moving well. We are not going to have any capex right now in Mabel. As I said, we see that plant to have a capability of anywhere between INR150 to INR200 crores without any further investment there. So that's how the locations are, and as I mentioned in the call, all three locations are firing very well, and we are very happy and glad that all the three locations are contributing well.
Saket Kapoor: And in the order book, sir, we have orders from this new facility for Kheda also which we have just commissioned, that 11 the bid, the closing order book position?
Reginaldo D'Souza: Yes, so 550 the closing order book has that facility also. So all the reactors, vessels, and columns we make in that plant and all the heat exchangers we make in our Ahmedabad plant. So that is strategically how we bifurcated between the two companies. Both are named as Anup Engineering so we can always move things around, but strategically exchangers in Ahmedabad and vessels, columns, and reactors and other big components in Kheda. Because it is on a national highway, it makes sense for us to move to the port.
Saket Kapoor: Okay. And how is Mabel positioned in the three vertical in terms of specialization and how does this unit fit into?
Reginaldo D'Souza: So Mabel is clearly specialized into making silos and tanks. That's the product portfolio that's there, and that was the precise reason why we acquired that company because we didn't have that qualification to make silos and tanks under Engineers India Limited. So they are specialized only in making silos and tankages and at on also added to that some site work.
Saket Kapoor: Okay. And sir, lastly, sir, on the order book front, how much is attributable, you mentioned a figure from the Mabel unit out of the total 550?
Reginaldo D'Sou

za: So out of the total 550, Mabel right now has a pending order book of INR45 crores.
Saket Kapoor: Okay, that is addition to 550?
Reginaldo D'Souza: No, no, that's part of this 550 because we are looking at a console level, console level and that will be all mostly executed in this quarter and the coming quarter with some other orders coming in for them. And Mabel is 100% a profitable company.

Saket Kapoor: Thank you for all the updates, sir, and all the best to the team.
Reginaldo D'Souza: Thank you so much.
Moderator: Thank you. The next question comes from the line of Ganeshram with Unifi Capital. Please go ahead.
Ganeshram: Regi, I hope you aren't tired of hearing my voice. But just one question, which is the receivables from US. I think there was about INR120 crores of which you received 70 already, 70%. So where is the position with that right now?
Reginaldo D'Souza: So we had balance about INR30 crores receivable from that for the equipment that we had already made it ready, out of which already 50% has come in and we expect that the balance to come in next month. Sorry, this month, not next. February, we're already into February.

Ganeshram: So of the INR120 crores, INR15 crores is left?
Reginaldo D'Souza: That's correct. That's correct.
Ganeshram: Okay, thanks, Regi.
Moderator: Thank you. Ladies and gentlemen, this will be our last question. It's from the line of Varun Mishra with VM Chambers. Please go ahead.
Varun Mishra: Hi. Thanks for taking my question. I just had a question on the strategy pivot so to speak where we have decided to go into short cycle high volume equipment also. I think you mentioned in the call that Kheda Phase 2 the expansion has happened which has given us the capability to execute large cycle equipment. So how does this sort of go with the decision to move into short cycle high volume equipment?
Reginaldo D'Souza: So Varun, I couldn't get the question clearly, but let me phrase it. So you're saying we strategized getting into high volume low cycl e, and this Kheda facility whic h has been installed for high tonnages, so how would this match? That was your question?
Varun Mishra: Right, that's right, that's right.
Reginaldo D'Souza: Okay. So as I said, high volume products in terms of CS, PSA adsorber vessels, those are all will be made in Odhav plant because they are smaller. So why do we, why we have strategically bifurcated between these two is based on the logistics challenges that we have. Ahmedabad facility being in the city limits, anything bigger than 5.5 meters moving out becomes extremely difficult because of the traffic. So all these small cycle time items generally would be smaller in size and they would be made here, and the larger cycle times which are generally larger in sizes will be focused to be made in Kheda. However, having said that, as I said, there are three bays in Kheda with closed and one

open yard. Open yard is where the place is where we can make all these small cycle time items if required.
If we do not have enough space in Odhav, then that facility is av ailable. But generally, we would prefer higher size, higher tonnage, and longer cycle time equipment to be made in Kheda because the plant is generally designed for that.
Varun Mishra: Right, understood, understood. And just as a follow up, these short cycle high volume equipment that you mentioned, what would they be like in terms of margins?
Reginaldo D'Souza: They would be, as I mentioned earlier too, they should be around 15% to 18% margin profile.
Varun Mishra: Right, right. Understood, understood. Thank you, thank you so much for your clarificationy.
Reginaldo D'Souza: Thank you, Varun.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Reginaldo D'

Souza for closing comments.
Reginaldo D'Souza: Yes, thank you all for your very interesting questions, and I hope I was able to clarify to your satisfaction. In case if you have any further queries, please feel free to connect with us and we would be happy to respond. I take this opportunity to thank my wonderful team at Anup and to each and every stakeholder helping us deliver value. A big thank you to our shareholders for your trust and support as always. So once again, thank you, take care, and stay healthy. Thank you.
Moderator: Thank you. On behalf of Anup Engineering Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

"The Anup Engineering Limited
Q4 & Year Ended FY26 Earnings Conference Call"
May 28, 2026

MANAGEMENT : M R. REGINALDO DSOUZA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – THE ANUP
ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and year ended FY '26 Earnings Conference Call of the Anup Engineering Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an op portunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touc htone phone. Please note that this conference is being recorded.

Before we proceed to the call, let me remind you that the discussion may contain certain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with the business risk that could cause actual results, performance or achievements to differ significantly from what has been expressed or implied in such forward-looking statements.

Please note that the company have uploaded the re sults, press release, investor presentation and also the outcome of the Board meeting on the website of stock exchanges and website of the company.

I now hand the conference over to Mr. Reginaldo Dsouza, Managing Director and CEO of the company. Thank you, and over to you, sir.

Reginaldo Dsouza: Thank you. Hello, everyone, and greetings from team Anup and thank you all for your presence on this call. I will spend the next few minutes on providing you all a brief on the year gone by and our future plans. The financial year 2026 has been very difficult and eventful on various macroeconomics, challenging in many ways, but also opened up new opportunities and directions.

I believe this year truly tested the resilience and fundam entals of all busine sses. The geopolitics, wars at multiple fronts, trade tariff positions by the major economy of the world, impact on energy supply and the various prices, volatility in raw material pricing, especially steel, shipping challenges due to the closure of the main sea route impacting logistics costs and many others only meant we were all through under pressure for execution and managing cost.

Further, managing supply chains under such volatile conditions is always challenging for project industries like us, where we need to strike the right balance between cost and the timely availability of raw material for completing and delivering the projects on time.

The last 2 months of the year did impact the execution with crucial raw materials planned unable to reach and curtailed industrial gas supply restricting the pace of manufacturing. Also, sizable accumulation of dispatch goods due to the non-availability of shipping lines, limited the flow on the shop floor, impacting progress of new work. As we continue to be watchful of the emerging scenarios globally, especially the constraints on supply chain, the energy crisis and higher raw material costs, I believe your business managed to deliver relatively fairly, good financials.

For the financial year 2026, we achieved a consolidated revenue of INR822.3 crores with an EBITDA of INR174.2 crores. Despite heavy pressure of elevated input costs and execution

challenges, we were able to maintain these financials only because of a sharp focus on cost and timely course corrections along the execution cycle.

The export to domestic ratio continued at 50% to 60% level, in line with our strategic intent. All of our key manufacturing locations contributed well, Ahmedabad plant at INR540 crores, Kheda with INR239 crores and Mabel at INR43 crores revenue. Mabel, of course, would have been better if not for some site projects, which prolonged than expected due to a few technical changes. Of course, this shortfall

shall be managed good in the first quarter of this year.
The sectorial revenue across industries was as expected. Oil & Gas at 39%, Petrochemicals at 32

%, Fertilizer 9%, Hydrogen at 8% and Others 12%. In terms of products, heat exchangers was at 56%, and vessels, reactors and columns at 35%, which signifies contribution from our Kheda plant.
The average working capital was at 2.3 turns. Of course, this could have been better. We would like to maintain it about 3 turns. This was mainly because of low customer advances due to lower order booking in the initial part of the year and higher level of debtors, of which INR260 crores bill debtors where collections were due after Ma rch, which are now being received and that is reflecting clearly on our cash flows.
The cash position, which was negative INR73 crores as on March end, including long-term debt of INR52 crores as on today is about minus INR11 crores and ex pected to be cash positive by end of this month, including long-term debt as substantial collections are planned. So this clearly shows a positive trend in terms of our cash flows.
On the order book, as on date, we have a pending order book of approximately INR770 crores for this financial year FY '27. Order booking did improve over the last 2 quarters. Considering the current elevated input cost and the highly competitive environment se en in the market, we,
as a company, have taken a conscious decision to book new orders with caution and book selectively the ones with risk protected and providing healthy margins. If not for this decision,
we would have reported even better order book numbers as we let go opportunities to protect our financials.
With good enquiry pipeline of about INR1,200 crores, we see good business opportunities for this and the next financial year. Having said, we will be judicious in booking new orders considering the current high input costs.
On the developments, there have been some good developments over the period. Our foray into critical equipment business, we have successful ly manufactured and delivered our first solid internal 200 metric ton single piece equipment to our reputed client in Middle East. This sets us into a different league of manufacturing complex equipment.
Second, our first order into nuclear business, which we are executing on the shop floor at this point in time. Our first order in to thermal power business, which we bagged for an EPC customer

in India for an NTPC project. Our first order for a clean energy storage technology for a European technology company for a project in India.
Our first order for manufacturing skids, this is a product which we've been strategizing over the last few months and happy to say that we were successful in bagging our first order for skids. We were also successful in getting our first order for air heaters, which ha s been long pending.
On the capacity expansion plan, we have completed our Phase 2 expansion at Kheda, increasing the capacity to about 8,000 metric tons per year from Kheda, which shall generate a revenue of about INR400 crores to INR450 crores depending on the product mix.
Our design office at Vadodara has stabilized well and providing meaningful support to the execution team. It has also started taking small profit center work, which has worked well for us. With these installed capacities at our key manufacturing locations that is Ahmedabad, Kheda and Mabel Engineers, we have a capacity capable of delivering revenue up to INR1,200 crores per year.
On our Technical Services business, we have made a good beginning with now over 10 orders executed in financial year 2026. With the initial base set and a dedicated organization structure created, we wish to take this to a sizable business vertical.
On the market outlook, we believe the industry se gments in oil & gas, petrochemicals, fertilizer, chemicals, power and clean energy, options will continue to maintain strong traction once current uncertainties settle. The dependency on energy imports is already helping many count

ries due to the current war and the freight closures impacting the economies at large. We expect countries moving towards self-sufficiency with renewed vigor.
Further, petrochemicals is seeing good growth with projects spread globally. This growth is largely driven by surging demand by core industry sectors and shifting energy markets, especially in ethylene, propylene and specialty chemicals for growing packaging and consumer products. Fertilizer is also gaining tractio n in regions like India, China and Africa.
Nuclear is another cleaner energy source that would provide opportunities, both conventional and the small modular reactors. We are also no ticing good number of projects in the energy storage business using patented technologies, and we are happy to be doing work with these companies already.
LNG projects are also in demand, especially in Middle East. Thermal power projects, which were written off are back strongly with over 14 gigawatts in India for NPC and other private

conglomerates. A few examples of large-scale projects are a large refinery and over 6 trains of fertilizer projects in Africa; multiple gas projec ts in Middle East, mainly driven by ADNOC, Abu Dhabi National Oil Company and in Qatar, refinery expansions and LNG projects in India, large PTA, PVC and VCM projects in India.

Nuclear power projects Kaiga-5 and Kaiga-6, part of the NPCIL fleet program to add 7 gigawatts of power to the national grid is also underway, and we are happy to be part of this project.

We believe that once the war and uncertainties settle, the disruptions and destructions will eventually lead to 3 things: One, the energy security measures by all countries leading to new investments and expansion in the energy sectors within the countries. Second, the repair works for all damaged refineries, gas plants, tanks and pipelines will generate a lot of business for fabricators like us. And third, accelerated push to nonconventional energy sources, which are cleaner, namely nuclear, renewables, green hydrogen, et cetera.

With now our capacities in place and capabilities spread over shop fabricated, site fabricated and technical services, we, as a company are at the right phase to capitalize on this demand as it materializes. At a broader strategic level, we wi sh to capitalize on the current investments made and move to higher value-add products, includi ng design, critical and complex manufacturing and site services.

So considering the current uncertain global business scenarios due to wars, geopolitics and thereby elevated input costs, this year, that is financial year 2027, will be a year where we focus on stabilizing, strengthening ou r fundamentals, consolidation and risk protection. Focus shall clearly be on profits under the current cost pressures and maintain a healthy cash flow. We shall also take this opportunity as an opportunity to be prepared and ready for improved business expected in the near future. I'm sure more clarity shall emerge on how the current war and sea route closures settle in the first half of the year.

Also, please note that with Kheda now fully operational, as a company, we are focused on taking orders which are large-sized complex projects and thereby long cycle average of about 12 months. Hence, it is natural that you shall see fluctuations in quarter-on-quarter numbers, but broadly shall normalize over the year.

Let me end by saying that we, as a Board and management, have deeply thought on every aspect of the business and the macro headwinds or tailwinds and have decided the above approach to be the right in the long-term interest of the business. Surely, we will course correct if needed as clarity emerges on all the macro aspects.

With these opening remarks, I wish to thank you all for your patient listening. Now I would be happy to answer your questions or an y clarifications required. Thank you.

Moderator: Thank you very much. First question is from the line of Saket Kapoor from Kapoor Industries. Please go ahead.

Saket Kapoor: Sir, firstly, within the framework of your opening remarks and also in the closing remarks, you did alluded to the fact that we are cautious in taking all necessary steps that are aligned in the interest for the investors at large. So taking that into account, sir, how is this -- what should investors expect in terms of the revenue profile and the margins also since margins have taken a dip for quarter 4?

So firstly, if you could just explain us the reas on what led to the decline in margin for Q4? And what should we expect FY '26, '27 in terms of the revenue on an order book of INR769 crores?

Reginaldo Dsouza: Yes. So thanks for the question. So on the pending order book of roughly about INR769 crores, that's the pending order book as on date. Of course, the inquiry pipeline is strong. We would be booking a few more orders in a couple of months more, which can add up to this financial year.

But having said that, as I mentioned in my openi ng remarks, currently, the situation in the market the input cost, especially the raw material cost , is at a quite elevated level. And since our contracts are fixed price contracts, we would wait for the prices to normalize, for the situation to normalize maybe over a couple of months more to be able to get to a clear understanding of what's the top line that we can look at and the margin.

So I think it would be apt and prompt for us to give a couple of months for the clarity to emerge, because the whole situation today being so volatil e, it's important that we protect our margins and take, as I mentioned, judicious calls in terms of the new order booking. So I would put it that let's wait for the condition to settle before we come back with a clear profile in terms of

revenue and margins.
Saket Kapoor: Okay. And sir, for Q4 performance, our EBIT DA margins were lower Q-on-Q and much lower
than the blended average for FY '26. So is it only on the RM part that has played the role because of execution of fixed price contract that we have done?
Reginaldo Dsouza: So it's both. One is, of course, the volume you would have seen the revenues have dipped as
compared. So that's one on the volume side. And second, of course, the raw material cost has
not impacted much because these are all estimated projects, but it is by nature of the products
which were estimated to be in quarter 4, so it was planne d to be an EBITDA in that sense.
And that's the reason if you see over the year, we've almost managed 21.2% EBITDA normalized
over the year. So it was mainly the kind of projects which were executed in quarter 4 and a little
bit of challenges on the cost side.
Saket Kapoor: Okay. Just in continuation to the same, sir, when we look at our stand-alone numbers, stand-
alone numbers, where if we do a comparative st udy for last March, it was INR205 crores top
line. We have done INR195 crores for the current quarter, whereas the profitability has gone
down from INR40 crores to INR27 crores. So just to understand the standalone, is it the order
mix that has resulted in it? Or what has led to this dip on a st andalone basis sir, for further
understanding?
Reginaldo Dsouza: Yes Saket, it's purely on the order mix. As I said, that's how the execution was planned. So it's
purely on the product mix.
Saket Kapoor: Now sir, coming on, I think our technical services bu siness vertical in the last call also, sir, you
did mention about setting up of our office, I think so in other geography and then looking at the

potential going ahead. So what is our strategy or thought process on this segment? And some
more color you would like to share on the same, on the technical services arm?
Reginaldo Dsouza: Yes. So this is

one business vertical which we are focusing on very, very strongly. On 2 counts,
mainly, as I said, this is a very, very profitable business. We can expect to the tune of 40% margins, as I mentioned in my last call. We made a very good beginning. We've executed close
to about 10 POs now. Of course, not a big amount, close to about INR4.5 crores kind of a value.
But that was a dipstick for us to gauge our capabilities in terms of ex ecuting these technical
services. We've got very good responses from the customers. We have appreciation letters received from customers. Now this sets the base for us to grow this vertical, which is probably
the most profitable one. And as I mentioned, the strategy is to grow this vertical to about INR200
crores in the next 3 years horizon.
Also, it adds to the strategy, as I mentioned in my clos ing remarks, with all these repair works
now expected to be in the part from Middle East and others, where damages have occurred, this
vertical could be a probable growth engine for us in terms of growing this vertical in Middle
East. And now with our presence in Middle East, we have sales and marketing head positioned
in Dubai. So it augurs well for us strategically to move this business vertical forward.
Of course, we would, in the initial year, focus more on the domestic because there's a lot of site
execution involved on this. And as and when we get opportunities, we mo ve to Middle East and
then probably to the other parts of the world. But yes, this is a vertical which is of great focus
for us, especially on the profitability front.
Saket Kapoor: Okay. Just a small understanding, sir, you mentio ned that our contracts are all fixed price. So
taking into account the key RM requirement, I think so those are also some specialized material. If you could just give us some more understanding, how have the cost inflation worked out
currently for these contracts that we have taken and the current RM prices? Just to get an understanding, at today's rates, at what margins we would be consummating these transactions?
We are deferring them for the time being. But if you could just give us some sense how have the RM prices -- the inflation seen in the RM prices.
Reginaldo Dsouza: Yes. So as we mentioned rightly, our contract s are all fixed price contracts. They are all
estimated. So we clearly estimate the raw mate rial cost. And every raw material cost is
customized to a project. So it can't be used for any other project. So there is a clear definition in
terms of what the raw material cost. Of course , for the orders which we have of the INR769
crores orders that we have, part we had already ordered the material, it is in the shop under
fabrication.
There is no challenge there, but off late the orders that we've taken, definitely because of the raw
material pricing. Since we have a cushion in terms of the deliveries, we are timing. So I would use the strategy of timing the raw material to get the best profitability on project over project.
So it's more about timing. Of course, there is a limit to which we can wait. That's the reason I
said let's wait for a couple of months for the clarity to emerge.

But largely for the orders that we have taken, we are under control. It's only that the fresh orders that we are going to take, we are going to be very cautious that we protect our margins for the new orders that we book. Having said this, of course, there is a little bit of shipping challenges currently because of the closure of Strait of Hormuz, both in terms of the incoming raw material and the outgoing deliveries though shipping is not in our scope for outgoing, but we have an obligation up to FOB India port. Because ships are not available, we need to take th e goods and store it at the port. So that involves an additional cost of mob and demob of axles and other huge material movement equipment, which incur

s a little bit of cost. So we are being cautious on the cost front, both on material and also our operating costs and trying to course correct to maximize profits.

Saket Kapoor: Right, sir. Only to add and then join the queue that means that on the closing order book of INR769 crores, what portion of the order book have our RM being aligned in percentage terms? And we are working on execution of the same. With pipeline raising to 112 or 113, some number you have mentioned that is different. But what sense can we make on the closing order book and the RM alignment pertaining to that that will be offered for execution in the ensuing quarters?

Reginaldo Dsouza: Yes. So if you look at generally our material ordering position is about 6 to 8 weeks from the PO value. And if you look at from that sense the order booking over the last 2 months is something where we are holding on roughly close to about INR200 crores, rest all the materials we have already ordered. It's either in transit or it's in the shop and under fabrication. So close to about INR200 crores out of this is where we are holding on buying the material waiting for the right time for the raw material cost to cool down.

Moderator: Next question is from the line of Aashna from HDFC Asset Management.

Aashna: Sir, basically, typically, we do give a guidance in terms of revenue and margins. So I understand the situation is volatile today. But given the orde r book that we have and as you mentioned that you have some more orders coming in, is there a base revenue guidance that -- or a range that we want to give out for FY '27 and also in terms of the margins? So should we still build a 21% of EBITDA margin for FY '27?

Reginaldo Dsouza: I would love to make that declaration here. But I think considering our order book position at this point, which is roughly about INR770 crores and an inquiry pipeline of close to about INR1,200 crores, we are very confident of booking th e orders to be able to execute in this year.

But what I believe is, I think, it all depends on -- because even if I book orders, if I'm not able to purchase the raw material because of the current volatile pricing, execution could come under challenge. So it's better that we wait for a couple of months, and we all know things should settle down by then. We will be in a better position to give yo u a more realistic guidance in terms of top line and bottom line growth.

But having said that, as I men tioned in my remarks, the whole focus would be on the long-term interest of the business to balance our growth and profitability more. Of course, the focus being given the current circumstances on profits more.

Aashna: Understood, sir. And sir, given that the inflation is global today, and isn't the customer considering to some extent the price variation clau se? I understand historically, it has been fixed, but the times are also different. Or there is no rush from the customer and also to ensure for the equipment as of now. So what are the dialogues we are having with the customers in terms of the price variability today?

Reginaldo Dsouza: No price variability clause in our contracts. Hi storically, it has never been. And as you know, we have 2 modes. One is the tender business, of course, where there is absolutely no price variability. And second is negotiable bids, which are through private EPCs and end users. So we've been trying. But since the project budgets are fixed, customers are also, I think, bound by fixed price contracts, because otherwise, their budget will go completely for a toss so if it keeps varying. So from our perspective, since we do an estimation model, we can make that decision at the time of accepting a particular price. And that's what we 've been doing. Just to give an example, we let go of the order just 2 weeks back just because we couldn't -- we felt that it would not give us margin,

whereas the customer offered and it was close to about INR200 crores kind of a business. So that's a judicious call that we as a business have taken to protect our margins in the long-term interest.

Aashna: Understood, sir. And sir, when you also talk about the INR1,200 crores of order pipeline, so that is under active bidding? Or how should we understand that that is the visibility of the orders that we think that can come over

a period of 1 year?
Reginaldo Dsouza: No, these are only active firm inquiries from customers and which normally get materialized within 2 to 3 months. So if we are in May, June, July, August is maximum, these 1,200 should get finalized either way, either we win it or we lose it.
Aashna: Okay. And sir, just one last question. We had spoken about a new product called air cooled heat exchangers. So is there any breakthrough in that? Any development because I think this was more of a domestic product. So any update there?
Reginaldo Dsouza: Yes I think we have mentioned in our release. Incidentally, it's a good news just this week that we backed our first order for air heaters and also one large order for air cooled heat exchangers for an export project. So it's a breakthrough come at the right time, which is going to fuel our volume business.
As I said, we have 3 modes of business verticals. One is our legacy old business, which is going to be the historical margin business. Second vertical is the high-volume business where air cooled heaters play a big role. And the third segment is the service and technical business. So

answer to your question is that we have already backed an order, should come into an execution on the shop floor maybe maximum 2 months time once we finish the engineering.
And it also builds a strategic capability, as I me ntioned in my earlier calls, it also builds our capability for serving the data center needs for cooling systems. Of course, that's a critical technology, but this will be the first stepping stone for developing that capability for us. So it was a strategic road map for us and now it's a reality.
Moderator: Next question is from the line of Jinesh Gandhi from AMBIT Capital.
Jinesh Gandhi: So my first question is that the order book has grown from INR550 crores to INR769 crores sequentially, which implies a robust order intake growth. So could you give us a number that the order we booked for this quarter? And could you shed some light on what is driving those order growth?
Reginaldo Dsouza: Yes. So we booked close to about INR200 crores, to be specific about INR190 crores in the last 2 months. And this is a mix of both domestic and imports. Domestic it's more to do with petrochemicals and power projects. As I mentioned in my remarks, the thermal power projects, which came from nowhere and we feel in the next 4 to 5 years is going to be a business opportunity for thermal. So it came from thermal and petrochemical.
Domestic, was to name, Reliance and LNG, that's where the orders from. And in Middle East, we back the orders for ADNOC projects. Those were basically the gas projects.
Jinesh Gandhi: Understood. And out of the current INR1,200 crores inquiry pipeline, what would be the expected hit rate for us going ahead?
Reginaldo Dsouza: So INR1,200 crores to be precise, INR1,200 crores is the inquiry pipeline that we have, which we expect normally it takes to materialize 2 to 3 months of time. And we expect the conversion rate of about 20%. That's what we normally like to keep the conversion rate of around 20% for better profitability.
Jinesh Gandhi: Understood. And my last question, I want to understand if we have any plans to diversify our product lines, which can give us some more balancing towards the cyclicity of the core markets.
Reginaldo Dsouza: Yes. So there were 2 things that we really wanted to get into apart from our legacy old products. One is, of

course, the volume business where the margin profile would be around 15% EBITDA margins, but the volume, it will be short-cycle jobs like the air cool heat exchangers that we want to diversify and good news that we have already backed the order and we are executing. Second is on the nuclear side, which we wanted to diversify that also we've already backed an order and it is under execution.
And the third is, of course, on the technical services front and the engineering services, which we made some good inroads. So these are the 3 extensions of our business verticals that we would like to focus on.

Apart from this, there's a large focus on getting more deeper into complex metallurgies because we have not exhausted the 100% product portfolios in Oil & Gas and Petrochemicals. There is a large portfolio of niche, highly complex equipment. So we have strategized to get into those products and the work is already underway. We've got some audits from customers already done through. All going well, we should be adding 2 more products of critical and complex nature to our product portfolio in this financial year.
Moderator: Next question is from the line of Vi shal Shah from Praveen Ratilal Wealth.
Vishal Shah: So sir, can you please elaborate more on the co mpany's first skid package order in the Middle

East in terms of order size, execution timeline and the expected completion? And how large we can expect this segment to grow over the next 3 to 5 years in terms of revenue and margin, skid packaging order?

Reginaldo Dsouza: So you mean the skid package, right?

Vishal Shah: Yes.

Reginaldo Dsouza: So this was something which as a business, we've been strategizing over the last couple of years to get into skids and modules. Of course, modules being the next stage for us, which are large in dimensions. Skids is something which we've got an order for Middle East, close to about INR30 crores single order.

These will be pair of equipment along with structures and instruments. This is what something which we wanted to build our capabilities in, and that's the reason we put up an office in Baroda, where all the design work is happening. So the execution time lines are roughly about 12 months. We are already 3 months into the cycle. So within this financial year, we will be delivering this skid package to ADNOC project.

And in terms of size of these opportunities in the future, of course, as you know, in our industry, we need to have one fast track record to be able to get. So this would be a PTR for us to get inroads to many more customers. And the requirement for skids and modules, as you would be aware, is growing because of landlocked areas and customers do not want to do any work at site. So they prefer skids and modules to come as one package and directly installed at site. So we expect that in a year, we should be able to get at least 4 to 5 such packages going forward once we complete and generate this PTR in the market.

Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Just to put the thought process here, it is about the INR200 crores order booking that we have done recently, wherein we are not working with the execution cycle as of now because of higher RM prices. Is that understanding correct, sir?

Reginaldo Dsouza: Yes. So let me just explain. So once we get the purchase order, we take about 6 to 8 weeks for engineering, post which we go ahead with procurement activities. So from that perspective, we

see last 2 to 3 months kind of an order book, maybe in the range of INR200 crores to INR250 crores where we are yet to go ahead with material procurement.

Not that we will not go ahead with any of the material, there could be some short cycle projects where we have no choice but to go ahead because de livery cyc

les are critical for us. But largely, yes, we will wait because we have the luxury of time in terms of waiting to see whether raw material prices normalizes or not.

Saket Kapoor: Okay. But sir since we are speaking today at the end of May, that means our order booking, as of March 31, which you have just submitted the number INR759 crores is insulated for that execution because we must have done our planning in the month of April. So is that order book separated from this dilemma we are facing today? If you could just give us some color how is the order book position as on date, sir, if you have the number?

Reginaldo Dsouza: So to keep it simple, so as of present date, we have a pending order book position of INR769 crores. About INR250 crores is where we still wait for the material, rest all the raw material is secured.

Saket Kapoor: Okay. INR769 crores is as on closing date -- as on event date today, not 31st March?

Reginaldo Dsouza: No, as of today.

Saket Kapoor: Okay. This is the order book as of today. Okay sir.

Reginaldo Dsouza: Yes, that's correct.

Saket Kapoor: Sir, if I look at our financial numbers for the year ending 31 March, '26, now we have our borrowings have gone up also, finance costs are at higher side. So how are we working on this front? I just shared the numbers. My questions are pertaining to: firstly, on the long-term borrowing of INR34 crores. And then again, our short-term borrowing have also shot up to INR74 crores. So if you could just give us an understanding?

And again, the trade receivables are also much higher at INR416 crores. So all the math are tilting towards higher non availability or -- greater cash conversion cycle. So if you could just give us some color on these 3 aspects sir, the long-term borrowing, short term and the higher trade receivables?

Reginaldo Dsouza: Yes. So let me just clarify this. So as I mentioned in my opening remarks, as on 31 of March for financial year FY '26, we had a cash position of negative INR73 crores, inclusive of long-term borrowing of INR52 crores. Of course, that was largely because of higher working capitals because of which we need to borrow.

Now if you look at the current position, out of that roughly about INR260 crores was which was billed at us towards the end of the quarter, wher e receivables due was in the month after March, April and May. Those have already started coming in, and you are very clearly seeing that reflection in our cash position.

So if you look at as on today, minus INR73 crores, which was as on end of March is already at
minus INR11 crores, inclusive of long-term borrowing, which we are expecting by the end of this month, that is another 2 to 3 days because there's a lot of substantial collections expected,
we should be cash positive incl usive of long-term borrowing.
So we've got things under control. It was a blip in terms of larger working capital block because
we had longer cycle time jobs, which came dispatches towards the end of the year. And that's how our debtors numbers were showing up. So INR260 crores is something which we are
collecting in this quarter itself. So the end cash position should give you a comfort that by this
month end, we will be cash positiv e inclusive of long-term debt.
Moderator: Next follow-up question is from the line of Jinesh Gandhi from AMBIT Capital.
Jinesh Gandhi: I think there was some confusion on my end in the previous question that I asked. So sir, could
you please help me with the number of the order booking that we did for fourth quarter FY '26
and the order book as date 31st March FY '26?
Reginaldo Dsouza: Give us a couple of seconds. So if you look at our order book position fo r the year was INR704
crores for the entire year, new order booking. And we've added another INR190 crores in the last 2 months. So that's our current order book position. Pending order book position remains

at
INR769 crores.
Jinesh Gandhi: Understood. So INR704 crores was the order booking for the entire FY '26.
Reginaldo Dsouza: If you look at our historical best, this has been th e second historical best. The best was in FY '24
where there were a lot of projects where we clocked close to about INR800 crores. This has been
the historical best in terms of order booking for us -- second best sorry.
Moderator: Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to
Mr. Reginaldo Dsouza for closing comments.
Reginaldo Dsouza: So thank you all for your interesting questions and hope I was able to clarify to your satisfaction.
In case if you have any further queries, please feel free to connect with us, and we would be happy to respond. I take this opportunity to thank my resilient team at Anup and to each and
every stakeholder helping us deliver value. A big thank you to all our well wishers for your trust
and support. As always. Thank you and take care.
Moderator: Thank you very much. On behalf of The Anup Engineering Limited, that concludes this
conference. Thank you for joining us, and you may now disconnect your lines. Thank you.